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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Denmark

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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DENMARK

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Denmark, officially known as the Kingdom of Denmark, is a country in Northern Europe, located south of Norway, southwest of Sweden and bordered by Germany in the south. It consists of a peninsula, called Jutland, as well as 407 islands, and is characterised by a relatively flat surface, with little elevation and a temperate climate. Denmark, the smallest country in Scandinavia, had a population of 5.8 million in 2020, of which 13% live in the capital, Copenhagen. The country has a total land area of 43,094 km².

Denmark's climate can be characterised by relatively mild winters and cool summers, with on average eight heating months. The national language is Danish, which is closely related to Swedish and Norwegian, and English and German are also spoken. Denmark is a constitutional monarchy in which the queen is head of state, although her royal power has long been limited to ceremonial functions. Denmark has a multi-party political system, with two or three strong parties and four or five other significant parties.

Like other Western European countries, Denmark is experiencing the phenomenon of an ageing population. This is the result of a strong increase in the number of people over 80 years of age, but is also due to the fact that the members of the large generation of Danes born in the mid-1940s have now reached their seventies, and their numbers will increase the average age of the population even further in the coming years. Over the past decade, the percentage of the population aged 20-34 has declined considerably but, in the same period, the percentage of the population aged 55-64 has increased relatively strongly.

Macroeconomic Overview

According to the Ministry for Economic Affairs and the Interior, the Danish economy is doing well after a long period of recovering from the global financial crisis. The country had a moderate GDP growth in 2019. Unemployment is declining and at historically low levels. The outlook for 2020 is more complicated due to the COVID-19 outbreak. IMF expects the GDP is dropping significantly in 2020 with 6.5%, and employment rate will rise to 6.5%. The outlook for 2021 is predicted to perform better as the GDP is expected to increase by 6%, and the unemployment rate to drop to 6.025%.

The outlook for the Danish economy for 2021 is positive, although the increase in GDP growth is expected to slow down slightly in the coming years. The Danish economy is being driven by positive trends in private consumption, fixed investments and exports. Interest rates are extremely low; however, some groups still have a high share of discretionary savings. People hold their money in bank accounts or invest in bonds or similar, with a very low or zero interest rate, since alternative investments are not as attractive.

Due to a growth in production and an increase in employment, there are concerns regarding emerging capacity constraints. This could slow down the economic growth somewhat in the future. In order to maintain a sustainable recovery and reduce capacity pressure, different economic policies are being discussed within the government. The government has presented several policy proposals such as reduced bureaucracy, easier access to capital, lower taxes and lower energy costs. Public spending is being kept relatively low, and is one of the factors dragging growth down.

Residential Construction

Overview

The Danish construction market has been slow since the outbreak of the financial crisis and the burst of the real estate bubble. Signs of recovery were observed in 2016, when new apartment output increased significantly compared to 2015 outputs. The year 2019 also generated a good level of output, and the outlook from 2021 onward is now more optimistic than it has been for many years. The residential RMI market has been influenced by multiple revisions of the tax incentive scheme, BOLIGJOBORDNINGEN, which has caused some uncertainty in the market over the last two years. Non-residential construction is driven by public investments in buildings such as schools and hospitals. The development of the private sector has been more volatile, but is expected to be good over the forecast period.

New Housing

The new housing market has significantly suffered after the financial crisis, with falls in construction activity being much greater than GDP. Construction output dropped almost 70% over 2007-2010. It reached the bottom in 2010, when the completion figures were c. 40% lower than their pre-crisis levels. Since then, the housing market has only recovered slightly. Total construction started to grow considerably in 2016, and this continued in 2017. However, this growth in housing completion started from a very low level. 2019 saw housing completion levels reach pre-crisis levels, and forecasts indicate that the market should stabilise around these levels over the coming years.

The housing need is mostly observed in the larger cities, where residential real estate prices have risen in recent years. The drivers behind the rising prices are urbanisation as well as the demographic development, with more elders in the population – who own their own dwellings. The housing prices seen in larger cities are now close to the pre-crisis prices.

Urbanisation is an important driver for residential construction; however, there are indications that this development can be reversed or slowed down in the future. A family home is very affordable in smaller cities compared to the larger cities. As the real estate taxation is expected to rise in larger cities, the living differential between

larger and smaller cities is expected to rise even further, which may attract people to move from a large city to a smaller one. If so, there may be a boom in R&M activity instead of in new construction. The forecast is still relatively uncertain, as it is as likely that there will be a boom in more cost-effective construction of new homes in the inner cities. However, BRG estimates that new housing completions will continue to increase over the forecast period, largely driven by apartment completions.

The relatively high immigration flows seen recently are also anticipated to necessitate growth in residential construction. However, the extent to which this will have an impact on the development in Denmark, will depend greatly on the overall global development. In general, affordable housing and social housing is anticipated to be a focus area in the coming years.

The new housing market is predicted to be affected in two ways by the COVID-19 pandemic, firstly, the construction that is already started is still going on, but it is moving along at a slower pace than before, due to the regulations on the sites. Secondly, the market for new building permits is predicted to be greatly affected by COVID-19 due to the uncertainty of the economy and therefore the consumers are less willing to take a risk and invest in a new house.

Housing RMI

Historically, residential renovation activity has been rather more stable than the new construction market because of the large share of the dwelling stock built between 1950 and 1975 (accounting for 33% of the total dwelling stock), which is now in need of renovation. In the aftermath of the financial crisis, the weak macroeconomic environment and a lack of subsidies offered by the government have long delayed the number of renovations judged as necessary. With improved incentives and due to the government's efforts to reduce energy consumption in the existing dwelling stock, the renovation demand has gradually improved in recent years. The impact of energy renovations has been increasingly felt over the last few years, since the new Danish Climate and Energy Policy (*Energiaftalen*) was implemented in 2012. Since then, approximately DKK 80-100 billion has been invested on an annual basis in the renovation and modernisation of the existing dwelling stock.

As far as private residential renovation is concerned, the tax incentive scheme, *Boligjobordningen*, has been one of the main positive drivers behind the growth of the housing RMI market. The incentive scheme was first introduced in 2011 and granted a tax deduction for all renovations and home improvements. In June 2014, the government announced its decision to scrap the incentive scheme before it was reinstated in June 2015 after the 2015 elections.

Housing RMI activities in Denmark are expected to have increased slowly again in 2019, the preferred option to stay in a house and renovate it rather than try to sell it, and due to the investments in R&M to enhance the chances of selling. A growing trend is also to remodel for fashion purposes, even if the dwelling is not in need of

a renovation.

EUROCONSTRUCT forecasts a zero growth for housing RMI in 2020, while support schemes take effect and positively supporting projects during the second half of the year. However, the projects that were not carried out in March-May 2020 will drag the overall growth down.

Non-Residential Construction

There have been large fluctuations seen on the non-residential construction market since the 1970s, with strong elasticity of private investments to macroeconomic indicators. The investment from the private sector increased rapidly at the beginning of the 2000s, before entering a long phase of decline after the financial crisis. Public non-residential construction has in general been more stable, despite cutbacks in local authorities.

New construction for education may increase in the future, due to the growing desire to move a larger share of young people into secondary schools that focus on professional training and away from schools that focus on traditional academic themes. This will require both construction updates and enlargements. However, it is uncertain how this will actually play out, as the new government is proposing to cut the funds for education significantly during the next few years.

According to EUROCONSTRUCT, new non-residential construction has in 2019 grown much less than new residential output, but will continue to grow during the forecast period. For more than five years, the new public non-housing construction has grown, with new hospitals as the main driver, but there has also been considerable growth in parts of the education sector, which have helped to drive the market growth. Both public and private new non-residential construction has seen growth since 2016 and will continue to grow throughout the forecast period, but growth rates will be quite moderate, not least considering the low level of activity at the outset.

The effect of the COVID-19 pandemic on the non-residential construction is hard to predict, but it is believed that the market will not be as severely affected as other European countries. Most construction sites are still open but running at a slower pace than before, due to the restriction regarding how many workers are allowed on a site at once.

II.2 Key Figures

DK - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

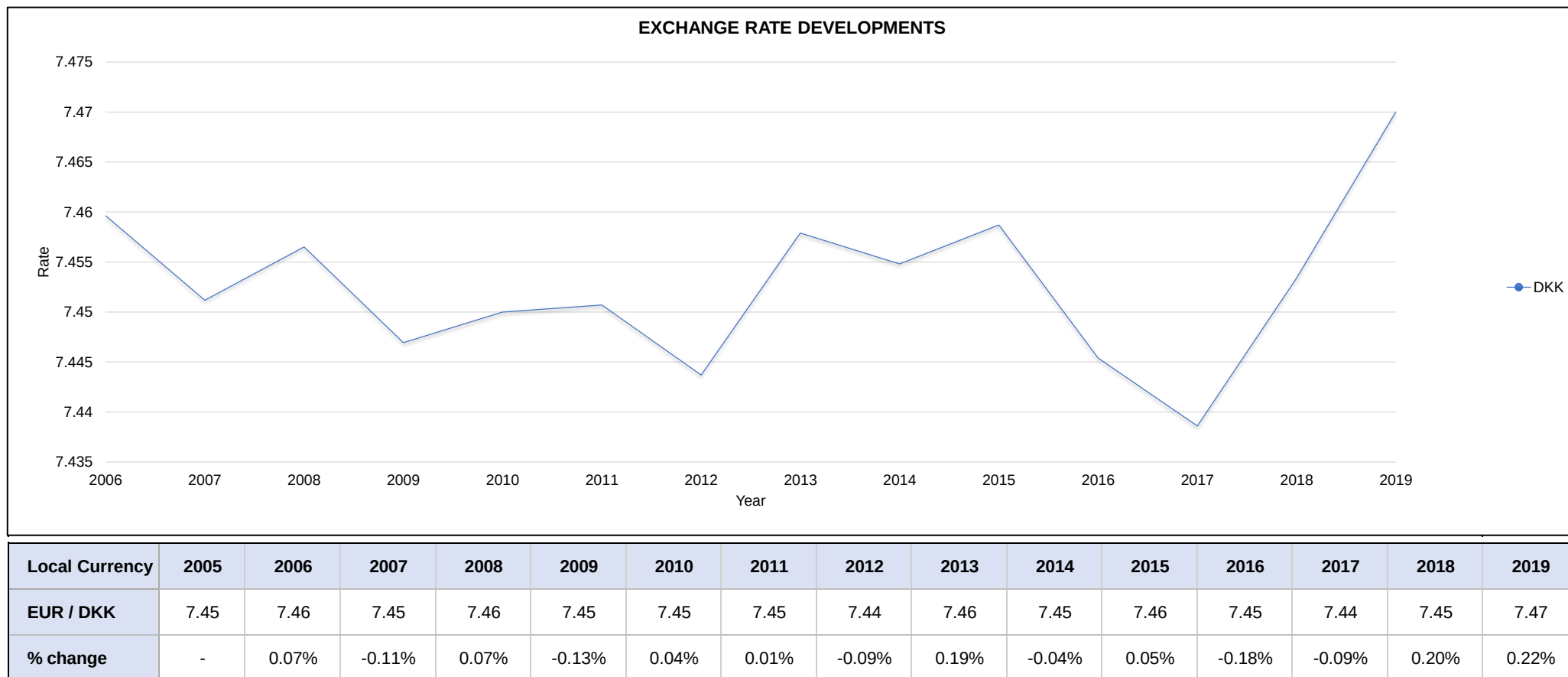
DK - KEY MACROECONOMIC INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	1.73	1.84	1.66	3.64	1.04	2.20	2.66	2.35	0.52	0.35	0.23	0.02	1.06	0.71	0.73	0.70	1.20
GDP (% change)	2.34	3.91	0.91	- 0.51	- 4.91	1.87	1.34	0.23	0.94	1.62	2.34	3.25	2.04	2.39	2.37	- 6.50	6.00
Government Balance (% of GDP)	4.96	4.99	5.02	3.17	- 2.80	- 2.71	- 2.06	- 3.49	- 1.24	1.14	- 1.33	- 0.11	1.52	0.48	2.50	- 7.04	- 0.25
Household Saving Rate (% of Disposable Income)	- 4.27	- 1.53	- 3.03	- 4.10	0.66	1.84	0.80	0.12	2.34	- 2.90	3.91	4.49	6.20	6.57	3.88	6.76	6.85
Private Consumption (% change)	3.70	2.95	1.77	0.49	- 3.43	0.78	0.28	0.51	0.29	0.91	2.35	3.25	2.04	2.39	2.37	- 5.78	3.65
Unemployment Rate (%)	4.80	3.90	3.78	3.72	6.39	7.74	7.75	7.80	7.38	6.87	6.28	6.02	5.82	5.08	5.03	6.50	6.03

Source : IMF and OECD.

N.B. No data available beyond 2021 at the time of publication.

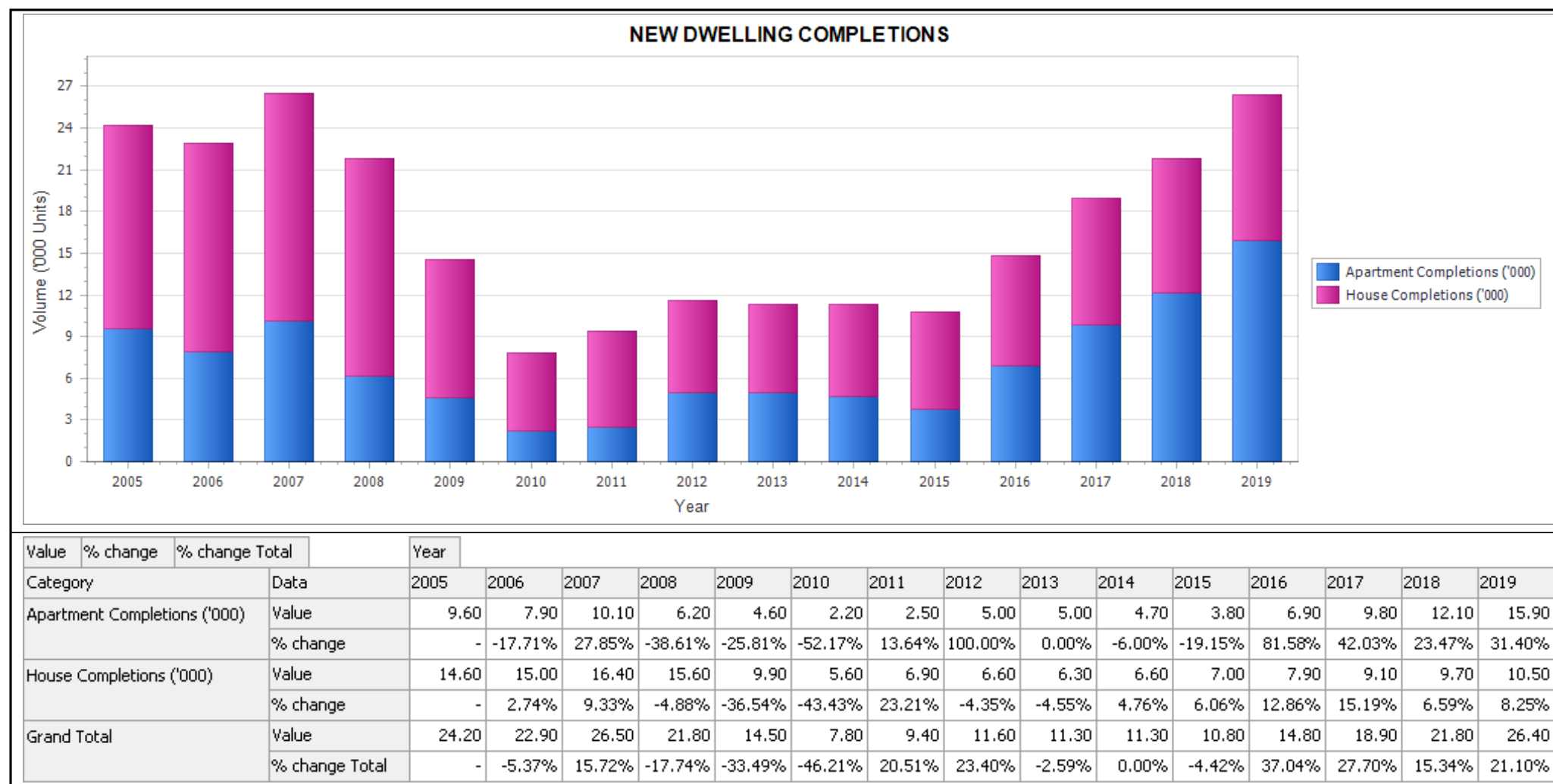
II.4 Historical and Current Exchange Rates
DK - EXCHANGE RATES : HISTORICAL AND CURRENT



Source: OANDA

The Danish Kroner (DKK) is the Currency of Denmark. The Exchange Rates Shown are the DKK to the EUR.

II.5 New Dwelling Construction
DK - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
DK - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	41.82
	Apartments ('000)	1 282.46
	Houses : Rural (%)	8.06
	Houses : Rural ('000)	247.00
	Houses : Urban (%)	50.12
	Houses : Urban ('000)	1 536.90
Dwelling Stock by Tenure	Primary Owned (%)	43.18
	Primary Owned ('000)	1 324.20
	Primary Rented : Private (%)	42.98
	Primary Rented : Private ('000)	1 317.88
	Primary Rented : Public (%)	1.74
	Primary Rented : Public ('000)	53.30
	Secondary (%)	7.21
	Secondary ('000)	221.20
	Vacant (%)	4.88
	Vacant ('000)	149.78

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts
DK – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected easing]	Country-wide lockdown as of 11 th March. The lockdown started to be eased up from the 14 th of April with pupils up to 5 th grade allowed back to school. From the 20 th of April most service stores, such as hairdressers, could open again. Since then most stores are open as normal, but with social distancing measures in place.
Number of officially confirmed cases	13,262 confirmed cases (611 fatalities) as of 20 th July. Total population (2019) 5,8m.
General measures in place to support the economy	Coronavirus Job Retention Scheme: its main focus are cash grants to help support and protect jobs and businesses. Grants of up to £3,600 a month covering 75% or 90% (depending on the type of job) of the employee's salary; for up to three months. People who can work from home are still encouraged to do so. On the 5 th of June the government extend the Job Retention Scheme until the 29 th of August 2020.
Statistics on affected individuals (unemployed or temporarily off work)	The IMF estimates the unemployment rate to be 6.5% (as of 21 st May).
Measures in place to mitigate economic impact on INDIVIDUALS	From 1 st March 20 to 30 th June 20 unemployment benefits were extended due to the ongoing uncertainty, and to give the unemployed more flexibility to find a new job after the crisis.
Specific measures affecting building construction and RMI	DIY stores are open, and the COVID-19 pandemic is not affecting this business negatively. DIY stores are reportedly seeing more private customers than before.
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU's deficit limits , so member states can boost spending. €750 bn Recovery Fund agreed in July 2020.

Sources:

- <https://www.worldometers.info/coronavirus/country/denmark/>
- <https://www.danskerhverv.dk/presse-og-nyheder/nyheder/coronavirus---10-sporgsmal-og-svar/>
- <https://www.imf.org/external/datamapper/LUR@WEO/OEMDC/ADVEC/WEOWORLD/DNK>
- <https://www.detfagligehus.dk/nyheder/4-maaneders-ekstra-dagpenge-til-ledige/>
- <https://www.berlingske.dk/business/byggemarkederne-holder-skruen-i-vandet-trods-krise-og-de-saelger-maling>
- <https://www.bdo.dk/da-dk/covid-19/loenkomensation>

DENMARK

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The trade of bathroom products is conducted either through plumbers' merchants (VVS *grossister*), which sell both bathroom and heating products, or through the retail sector. There are major national trade associations to cover the main players in the market, as well as key interest groups, including VELTEK, which is the union for VVS and electrical manufacturers. The association has 102 members including RØRFORENINGEN, which includes the clear majority of VVS wholesalers, and DANSK VVS-INSTALLATØR FORENING, of which most installers are members.

Although variations between bathroom markets exist, most bathroom products are distributed through VVS wholesalers. The wholesale channel has traditionally been a strong sector for VVS products, where the largest volumes are sold to trade customers or directly to installers. Some structural changes have been observed within the bathroom products' distribution in recent years because of the rapid decline of the new construction market, which has affected all sectors of the market. As a result, wholesalers have increasingly been looking to the DIY and e-commerce sectors to maintain their sales and profitability. There has been an increase in products sold from wholesalers to DIY retailers in recent years, either directly from the wholesaler itself or indirectly through a sister company. At the same time, an increased focus on private label brands has been observed among the main wholesalers. BRØDRENE DAHL, for example, now offers a complete bathroom product line under its ALTERNA brand, including bathroom furniture, taps and mixers, shower walls, baths, ceramic sanitaryware and bathroom accessories, to strengthen its own position in the supply chain. This development has created some disruption to both trade patterns and pricing within the bathroom distribution market.

In terms of volumes distributed, GEBERIT (IFÖ, IDO and GEBERIT), VILLEROY & BOCH (GUSTAVSBERG, VILLEROY & BOCH) and the FM MATTSSON MORA GROUP (FM MATTSSON, MORA ARMATUR and DAMIXA) are the leading players. These manufacturers have a particularly strong presence in the professional market, selling to installers, mostly through wholesalers. With well established relationships with wholesalers and installers alike, they can take higher margins and their products have wider availability in the wholesale and installer networks. With the growing share of private label brands, DIY and online sales in the market, it has, however, become gradually more challenging for manufacturers to define and control their distribution and pricing strategies. As a result, an increasing share of the manufacturers now offer dedicated product lines for different distribution channels, to avoid cannibalisation and large price discrepancies within their own product range.

The Wholesale Level

Traditionally, the VVS wholesale market was dominated by BRØDRENE DAHL, BRØDRENE A & O JOHANSEN A/S, SANISTÅL A/S and LEMVIGH-MULLER,

while the electrical wholesaler market was dominated by LOUIS POULSEN and SOLAR A/S. New strategies executed by the main wholesalers, however, have led to an increased overlap between the product assortments offered by VVS and electrical wholesalers. LOUIS POULSEN and SOLAR A/S have both established VVS departments, mainly through acquisitions. SOLAR A/S acquired the Dutch VVS wholesaler VEGRO in 2008, while LOUIS POULSEN was acquired by LEMVIGH-MULLER in 2005. Additionally, LEMVIGH-MULLER and SANISTÅL have (independently) acquired the stakes in BRØDRENE A & O JOHANSEN, with SANISTÅL owning the majority share. At the beginning of 2016, BRØDRENE A & O JOHANSEN announced that they would re-acquire SANISTÅL's share of 39%. The company has also acquired the internet retailer BILLIG VVS, and authorities approved the transaction in August 2015. The acquisition of BILLIG VVS has caused turmoil in the market, as this strategic move means that the company competes directly with its main customers, the installers, in the private market.

The VVS trade is relatively concentrated, with the four largest wholesalers, BRØDRENE DAHL, BRØDRENE A & O JOHANSEN, SANISTÅL and LEMVIGH-MULLER, accounting for more than two-thirds of the total wholesale market value. The remaining share of the market is in the hands of the following players: DJ SUPPLY A/S (buying group for, amongst others, CHR BOLDSSEN, HATTEN and RØR & ARMATURIMPORT), AHLSELL, SOLAR A/S, and a handful of smaller local operators. The builders' merchant chain XL BYG entered competition with the main wholesalers in 2014, when it launched its new bathroom product range to target smaller local installers, janitors, maintenance staff and plumbers.

Suppliers to the wholesale market include IFÖ (GEBERIT), VILLEROY & BOCH (GUSTAVSBERG and VILLEROY & BOCH), DURAVIT, ALTERNA (private label), DANSANI, CASSØE, and LAUFEN (ROCA) for sanitaryware; and GROHE (LIXIL), FM MATTSSON, MORA ARMATUR and DAMIXA (FM MATTSSON MORA GROUP), HANS GROHE (MASCO), GUSTAVSBERG (VILLEROY & BOCH), BØRMA (IDEAL STANDARD), ORAS, and VOLA for taps and mixers. Other bathroom manufacturers using wholesalers include ROYAL BAD and GEBERIT (GEBERIT).

Retail Level

DIY Retailers

The Northern European DIY markets have their individual characteristics. The boundaries between DIY stores and builders or timber merchants are frequently blurred. Although they have felt the effects of the COVID-19 crisis, the current financial forecasts look relatively good. Many DIY stores use e-commerce and this market has seen steady growth in the first five months of 2020.

As with the wholesale channel, the Danish DIY retail sector is very concentrated. Virtually all DIY sales transactions occur within a store belonging to one of the sector's five largest companies. Many companies operate on the Danish DIY market, and are as follows: STARK, JEM & FIX, VVS PROFFEN, BAUHAUS,

SILVAN, BYGMA, HARALD NYBORG, BILKA, and A-Z. STARK GROUP (DANSKE TRÆLAST) is regarded as the market leader.

STARK GROUP was sold by the British WOLSELEY GROUP in 2017 to the American equity fund LONE STAR and is represented on the market by the builders' merchant STARK. Before selling STARK GROUP to LONE STAR, WOLSELEY GROUP sold the DIY chain SILVAN in 2017 to the German equity fund AURELIUS GROUP. DITAS, a cooperative that has brought various formats together under the XL-BYG trading brand since 2007, is believed to rank second on the Danish market. In January 2016, DITAS changed its name to XL-BYG.

In terms of bathroom products, the DIY channel has increased in recent years. The assortment of bathroom products in this channel depends on individual retailers. There is a clear trend towards lower margins for DIY goods in Denmark, led by JEM & FIX, BAUHAUS and SILVAN. The trend is also having an impact on the suppliers' margins in some bathroom markets. This certainly has led to fiercer competition in recent years. The four major VVS wholesalers are thought to also be the dominant suppliers to the DIY market, but the recent growth of the major DIY players (XL-BYG, STARK GROUP and BAUHAUS) has generated growing speculation that they may increase their activity outside the traditional wholesaler distribution chain as well.

Specialist/Other Retailers

Besides the DIY channel, the other main retail sectors are bath boutiques and retailers specialised in bathroom equipment. In a similar way, there are also kitchen studios, often focusing on the higher price segments, which offer a very comprehensive consulting and planning service. Specialist retailers and showrooms have dropped considerably in number in the last six years, due to the increasing movement towards cheaper products and a greater availability and variety offered by other channels. According to the industry there were around 150 specialist showrooms in 2008 in Denmark, and in 2015 it was estimated that 30-40 of these remained, with only a few exceeding 300 m². In January 2015, the wholesaler BRØDRENE DAHL closed its nine BAD & DESIGN stores that previously were used by installers as showrooms for bathroom products. The main supplier within this channel is VVS EKSPERTEN A/S, which is a specialist retail chain with 27 stores across Denmark. The company sells a wide range of bathroom products, including all the main product categories. 'Specialist retailers' also refers to electronics retailers/supermarkets such as DIXONS CARPHONE (ELGIGANTEN). The channels for electronics retailers/supermarkets sell kitchen taps and mixers.

Internet Retailers

The online retail channel is still relatively new on the Danish bathroom market, with only a fraction of the total sales being distributed through this channel. However, 2019 saw the online retail channel gain more share and the decreasing number of showrooms leaves this channel with the best conditions to grow. BILLIGVVS.DK

ApS is considered to be one of the leading internet retailers in the Danish market. As mentioned, the company was acquired by BRØDRENE A & O JOHANSEN in 2015. The internet retailers are expected to experience good growth in 2020 partly due to the COVID-19 pandemic, which has made many consumers stay home and buy online instead.

DK - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												Buying Group Affiliation	
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other		Specify
SAINT-GOBAIN	BRØDRENE DAHL A/S	Specialist Merchant	Heating and Sanitary/Plumbing	2018	697	52	National	xx	xxx	xx	xx	x							x	Electrics	
A & O JOHANSEN A/S	BRØDRENE A & O JOHANSEN A/S	Specialist Merchant	Heating and Sanitary/Plumbing	2019	478	51	National	xx	xx	xx	x	xx							x	Electrics	
LEMVIGH-MÜLLER FONDEN	LEMVIGH-MÜLLER A/S	Specialist Merchant	Heating and Sanitary/Plumbing	2019	875	29	National	xxx	xxx		xx	xxx		xxx	xxx						
HEINZBAUS PRIVATSTIFTUNG	BAUHAUS DANMARK A/S	DIY Retailer	DIY Assortment	2019	332	17	National	xx	x	xx	xx			x	x	x			x	Electrics	
XL-BYG A.M.B.A	XL-BYG A.M.B.A	Wholesaler	Mixed Merchant/DIY Assortment	2019	731	118	National	xx	xx	xx				xxx	xxx	xx			xx	Electrics	
AHSELL AB	AHSELL DANMARK ApS	Mixed Merchant	Heating, Sanitary/Plumbing & Vent/Air Con, DIY Assortment	2017	95	4	National	x	x	x	x	x							xx	Refrigeration & DIY Assortment	
SANISTÅL A/S	SANISTÅL A/S	Wholesaler	Heating and Sanitary/Plumbing	2019	500	1	National	xx	x	xx	xx								xx	Electrics	

x = Marginal Activity
xx = Substantial Activity
xxx = Core Activity

DENMARK

BATHS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Danish bath market has always been relatively small, due to the longstanding Danish preference for taking showers rather than baths. This is also due to the comparably small size of Danish bathrooms, in particular the *Københavner*-type bathroom in the capital region, which simply indicates its small size. Therefore, baths have remained mostly used for one- and two-family houses, with hydromassage baths being a direct competitor to traditional baths. The limited domestic production of baths means that the market is highly reliant on imports, mainly from other European countries, with levels often accurately reflecting the level of bath demand in Denmark.

Households in Nordic countries rarely use showers in combination with a shower tray. There is a tendency towards having a wet rather than a dry bathroom, where the showering area of the bathroom consists of either a tiled or PVC floor, with open floor drain outlets. This area is then contained either by a shower curtain or by an enclosure. The construction of a shower alcove is also common. As a result, there is no significant market for shower trays in Denmark. Of the estimated market, the clear majority of trays are made of steel, with the rest acrylic, although recent import figures show that this trend is reversing more towards synthetic materials. Today shower trays are mostly made up of replacement purchases. Of the small existing shower tray market, most of the volume is thought to be made up of imports (by wholesalers), since no domestic manufacturers have been identified.

The Danish bath market trend has always followed new housing construction closely, with the popularity of synthetic baths fluctuating over the years, although this material has typically remained more popular than steel. Synthetic baths are principally acrylic models, although there is a small market for cast marble baths in the upper price segment, which is driven by design-focused consumers.

Steel baths are often selected for rented accommodation and hotels, where durability is an important factor. Previously there was a growing trend towards more design-orientated models, which was primarily being pushed by KALDEWEI's marketing campaign to position them as a premium product. This trend is no longer present in the market as synthetic is becoming more popular due to its ability to adapt to various bathroom shapes and designs.

Sales of cast iron baths have always been marginal, representing a niche market, characterised by freestanding models in the upper price segment.

Recent Market Trends

The overall bath market continued to grow in 2019, at a slightly higher rate than that witnessed in 2018. The Danish economy developed positively in 2019, as consumer spending increased again in 2019 and overall conditions in the country remained positive. The market did not benefit greatly from *Boligjobordningen* in

2019 as it did in previous years due to the scheme being more focussed on energy conservation projects, climate-related or those related to installations of broadband internet in 2019. Traditional rectangular baths continue to dominate sales, while asymmetric, and corner baths are niche products, often sold in the upper/luxury price segment. Synthetic baths continued to make up the majority of volume sales on the market and also recorded moderate growth in 2019, while sales of steel baths only increased slightly. Acrylic baths continue to dominate the majority share for material type, with mineral cast (resin) slowly gaining popularity. Hydromassage bath sales continued to decrease in 2019, declining for the fourth year in a row. The demand for hydrotherapy products appears to be waning due to the shift towards high-quality baths in new-housing and housing RMI segments, which do not require expensive and frequent maintenance.

Prices and Market Values

The average MSP, or manufacturer's selling price, (in DKK) for both steel and hydromassage baths increased in 2019. The MSP for steel baths remained relatively high again due to heightened prices of steel worldwide, while prices of hydromassage baths increased marginally, mainly due to a shift towards more quality products on the market. The focus on the market appears to be on the middle price range, as improving economic conditions mean that consumers are distancing themselves from low-cost options, resulting in stagnation for the DIY channel where these products are commonly sold. An insignificant decrease for the MSP for synthetic bath was seen in 2019, mainly driven by a decrease in sales in the upper/luxury segment. The average MSP (in EUR) for both steel and hydromassage increased in line with increases in the local currency, as the exchange rate remained stable. The overall value of the market increased as well, in both currencies.

New Housing

The share of baths in new housing has been declining in favour of showers historically; however, as of 2016, this trend stopped and began to level out. The same positive trend was seen in 2019, as demand for baths continued to slowly pick up with the penetration of baths installed in apartments increasing in line with completions. Baths have a significant penetration in one- and two-family houses and larger apartments, as families with young children prefer a bath. Synthetic baths have a higher penetration in privately owned one- and two-family dwellings. Given their lower prices and durability, steel baths are usually installed in new apartments, even though penetration rates are lower in this segment than in houses. Due to the increase in construction output seen in Denmark in recent years, the number of baths installed in new housing has been increasing also.

New dwellings increased strongly in 2019, which contributed to a significant increase in sales towards the new housing market.

Sales to new housing are expected to decrease significantly in 2020, due to the effect that the COVID-19 crisis is predicted to have on the new housing market.

The construction of one- and two-family dwellings is likely to decrease at a slower rate than apartments in 2020, which should not hamper the bath market that much, given its relatively high penetration rate in this segment.

Housing RMI

The bulk of sales in the bath market continue to come from the renovation segment, encompassing mainly sales of baths installed throughout the late 1990s. Housing RMI has remained at a low level since the onset of the financial crisis, which has been a major barrier to the recovery of the bath market.

There is also a growing trend in Denmark for property owners who let out their apartments to undertake full, rather than partial renovations of their bathrooms, as they have to seek permission from the occupant before undertaking work. As a result, if the property owner wants to renovate certain parts of the bathroom it is easier for them to offer a complete renovation rather than just replace certain parts, which would also be less favourable to the occupant. The result of this trend has been an increase in discretionary remodelling and a lessening of replacements due to breakage, as products are commonly renovated before breakage occurs. Housing RMI continued its negative trend in 2019, mainly driven by the ongoing trend towards showers. The majority share of sales in 2019 was like-for-like replacement sales. Housing RMI is expected to decrease further in 2020, due to the COVID-19 crisis effect on the overall market. It is predicted to pick up gradually from 2021, as the Danish economy and housing market should continue to recover.

Non-Housing

The non-housing end-use segment is primarily dominated by showers, particularly in hotels, preventing significant growth for baths within this segment. In the past, most non-housing installations were equipped with steel baths, as they are more resilient and require less frequent replacement. However, the current trend suggests that synthetic is more popular than steel in non-housing, most likely due to its ability to adapt to various bathroom shapes and designs. The overall positive level of non-housing construction meant light growth for sales of steel baths, although growth and decline appear to be cyclical and relatively seasonal (growing in summer and declining in winter). The market for synthetic baths saw an increase in 2019 in the non-housing sector mainly driven by RMI sales for like-for-like replacement. Sales of hydromassage continued to decline in 2019, driven by a downward trend of this product in the non-housing sector.

Supply Structure

The Danish steel bath market is characterised by the dominance of the former SANITEC brand IFÖ, now owned by GEBERIT, and KALDEWEI. The market is mature and very concentrated, with these two players accounting for over 80% of the total market. Other players include GUSTAVSBERG (VILLEROY & BOCH). There is no production of steel baths in Denmark, and products are mainly

imported from Sweden and Germany. The manufacturers behind these are IFÖ SANITÄR (Sweden), VILLEROY & BOCH's GUSTAVSBERG (Sweden), and KALDEWEI (Germany). GUSTAVSBERG sources all steel baths from the German supplier BETTE. Products counted in the 'Others' category are mainly sold directly to contractors for projects and include a substantial amount of private label sales.

The supply of the synthetic bath market is much more fragmented than the steel segment, but also completely dependent on imports. After the rapid decline of ROYAL BATH, DURAVIT, STRØMBERG & FISCHER and DANLINE are the leading players in the Danish market for synthetic baths. The synthetic segment has increasingly been influenced by cheap imports sold via DIY or internet retailers, or as private label/non-branded products, which is visible in the substantial share of 'Others'. 'Others' also includes brands such as NORO from Sweden, which distributes its products via the BAUHAUS chain in Denmark, WELLMORE, LAUFEN (ROCA), and ALTERNA (BRØDRENE DAHL private label).

The majority share of 'Others' continues to be sourced from Romania, where the Danish company KUMA has a manufacturing subsidiary. Other imports come from Germany (DURAVIT re-exports products from the Swiss brand DUSCHOLUX). DURAVIT has its Nordic headquarters in Denmark and is known for selling designer products in higher price segments. DUSCHOLUX is distributed via CASSØE. The company was owned by ROYAL BATH, but its operations were small, and it is believed to have exited the Danish market. GEBERIT acquired SANITEC in 2015, which means that the company now offers steel and synthetic baths in the Danish market through its IFØ brand.

The supply in the hydrotherapy product markets has become increasingly fragmented in the past ten years, as market volumes have declined. The domestic brand DANLINE has been one of the main manufacturers of hydrotherapy products since the bankruptcy of ROYAL BATHROOMS. Other smaller players include the HAFA BATHROOM GROUP, SVEDBERGS and JACUZZI BRANDS. The role of small specialist hydrotherapy distributors, which import cheap products directly from low manufacturing cost countries, has increased in recent years. To maintain competitive prices, domestic companies have increasingly started to source components from abroad for assembly. DANLINE, for example, manufactures its products in the Netherlands and then assembles them in Denmark.

In terms of distribution channels, the majority of products are distributed via wholesalers. Key suppliers such as IFÖ, GUSTAVSBERG, DURAVIT and KALDEWEI all sell through the wholesaler channel. The specialist retailer channel is stronger for baths than for other product markets because of the product's niche aspect and the market's demand for more tailored products. The importance of the DIY channel has increased as a result of the economy's recovery from the financial crisis and a growing demand for products in the lower/economy price segment. DIY sales growth for baths has improved somewhat in recent years, as the economy has improved.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outlook for the Danish bath market is negative for 2020, given the COVID-19 crisis, and the effect it is predicted to have on all end uses. Many new dwellings and new constructions are expected to be postponed, prolonged or cancelled in 2020 due to COVID-19, which will put a dampener on new completions hindering any growth. The outlook from 2021 is, on the other hand, rather positive with expected steady growth each year due to improved macroeconomic conditions and the predicted increase in new construction output.

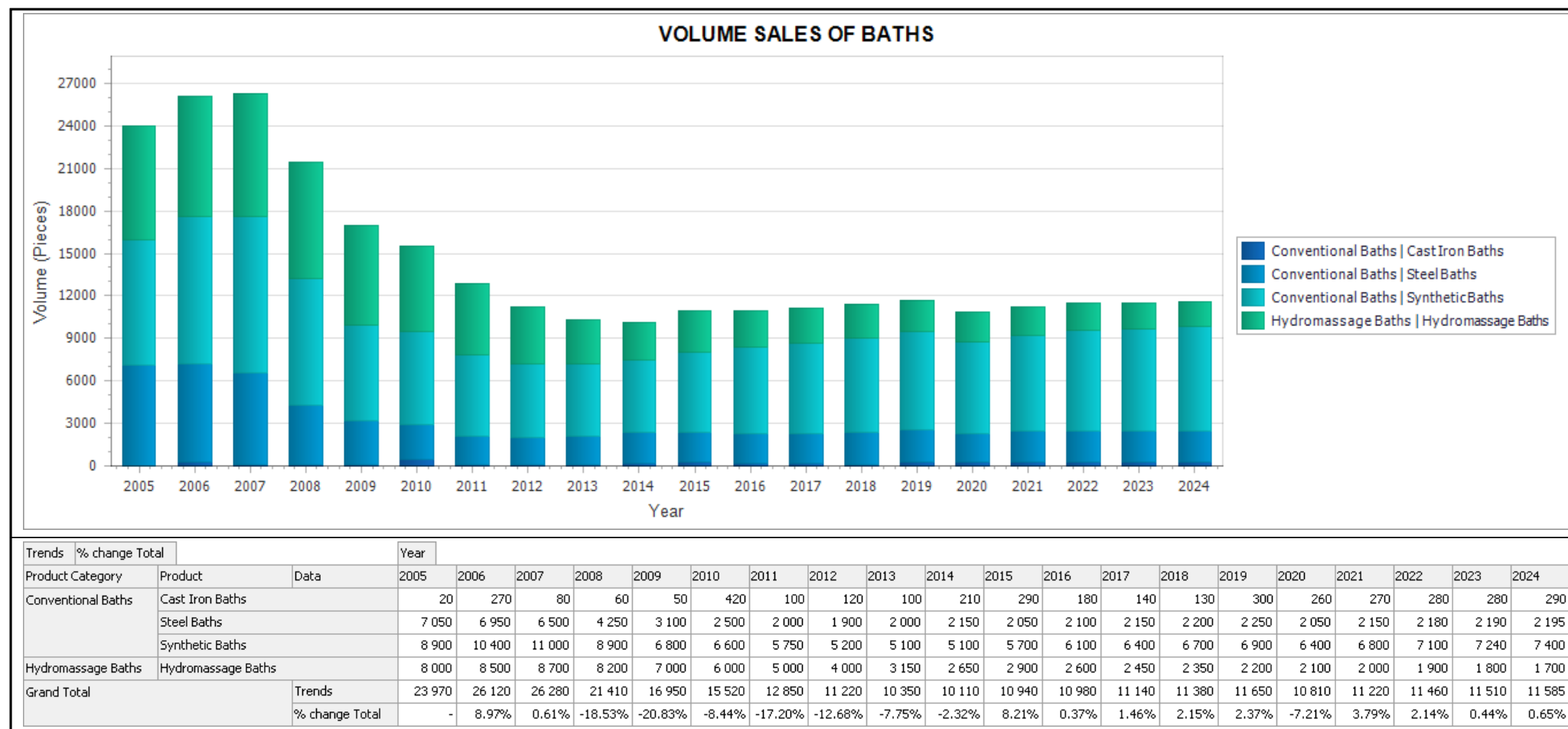
Apartment completions are expected to be positive post 2020; however, the penetration of baths into this segment is relatively low so this will have no adverse effect on the market. House completions are expected to return to good growth in 2021, benefiting the overall bath market with demand for synthetic baths being the driver for sales increase. However, demand for hydromassage baths is expected to remain constrained and further decrease as projected, especially for the non-housing segment in 2020. Sales of hydromassage baths are projected to decrease over the forecast period – due to lowered demand in both the housing RMI and non-housing segment.

The recovery of the housing RMI market from 2021 for non-hydrotherapy products will remain key to growth of the overall market over the forecast period. Expected rising private consumption should contribute to sustaining renovation demand and replacement sales. Synthetic baths are expected to continue to take up a greater share of these sales, with steel bath sales being driven by marginal increase in RMI sales. No significant changes are likely for the non-housing sector with regards to demand for baths.

The overall bath market is expected to experience an increase in new dwelling completions, subsequently leading to an increase in sales of baths in the Danish market, making the performance of the RMI segment more redundant on the bath market. Despite the positive view on the market from 2021 onwards, sales are not expected to reach pre-crisis levels during these years.

1.2 Historical Trends and Forecasts

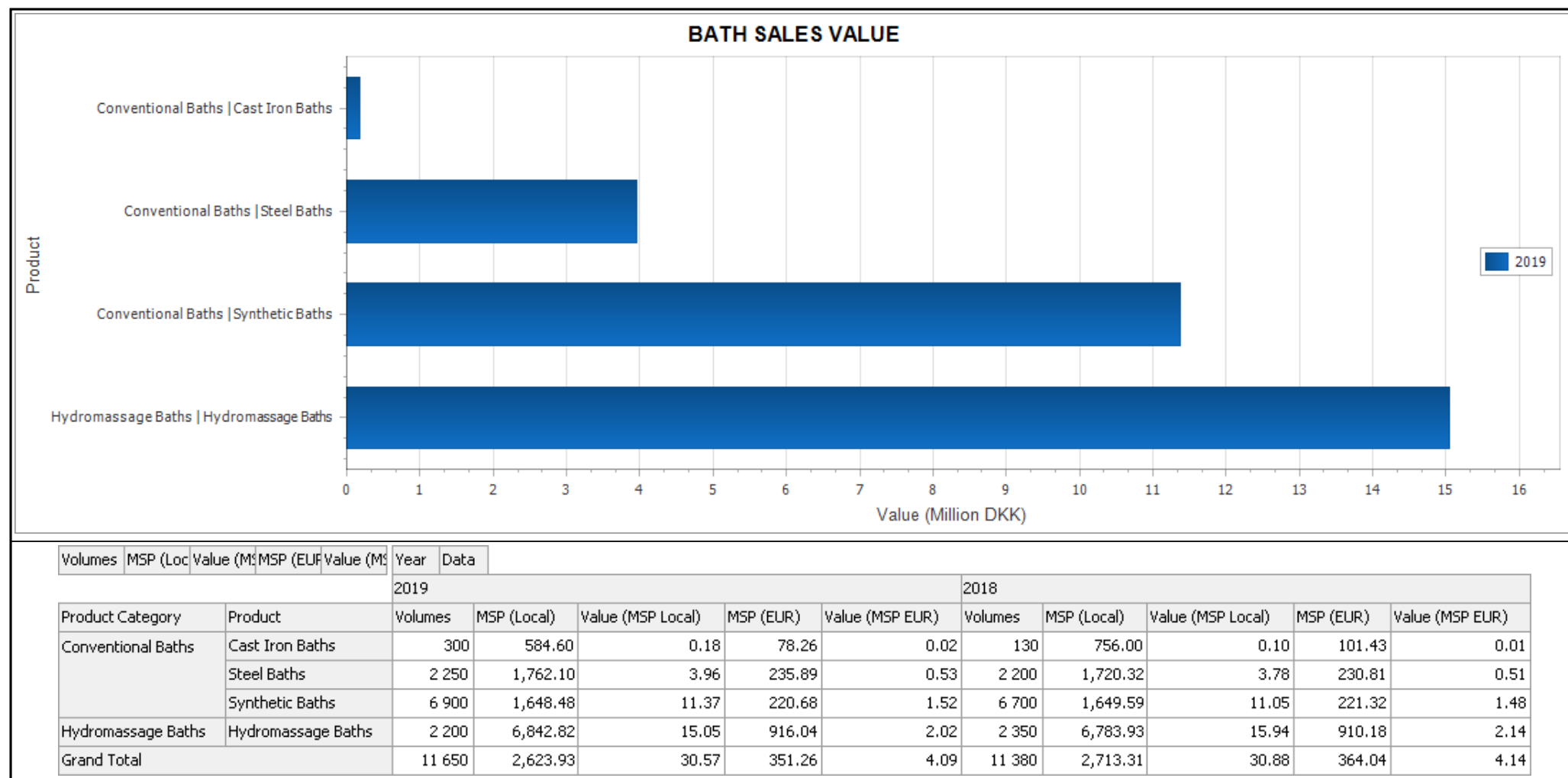
DK - SUMMARY OF TRENDS IN THE BATH MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths

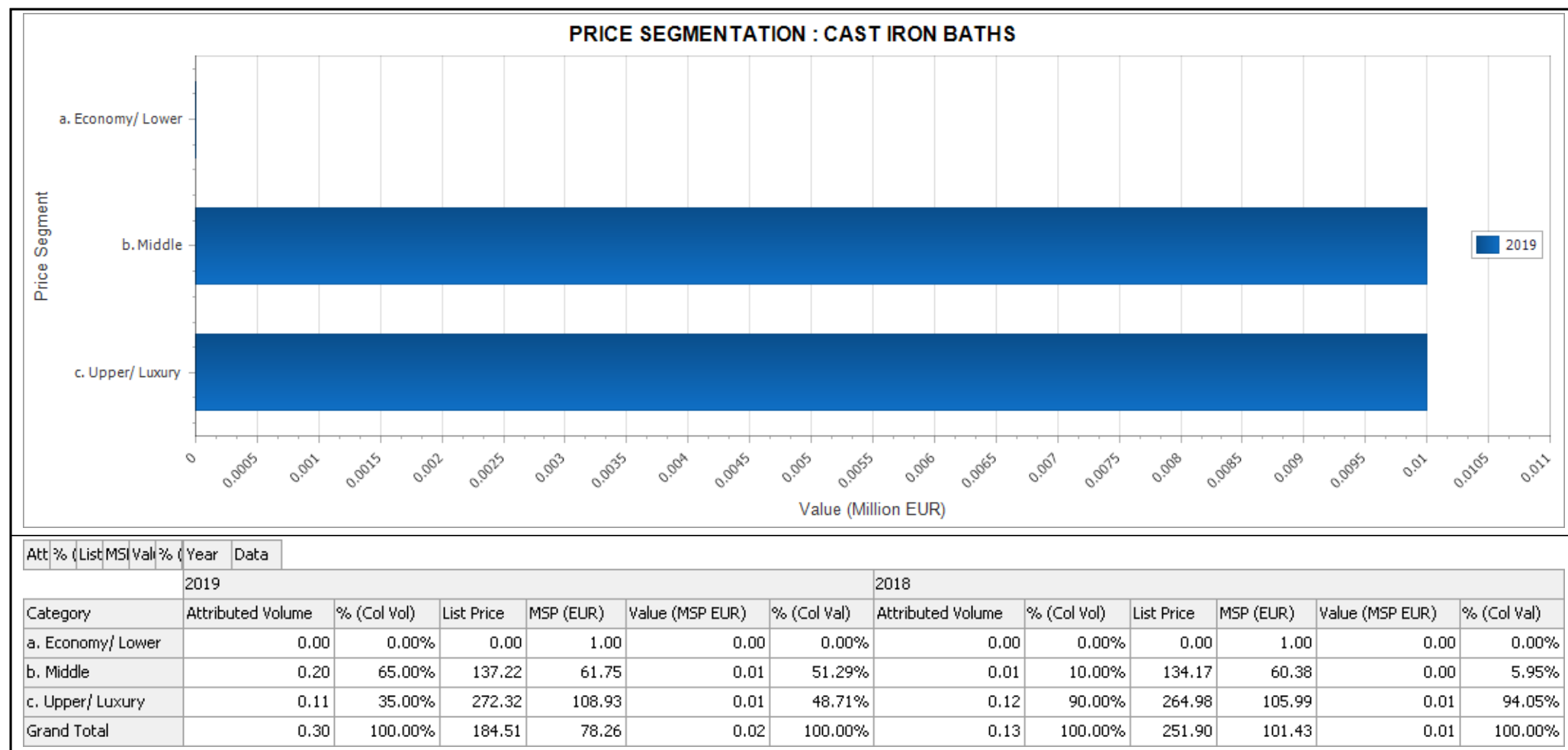
DK - ESTIMATED VALUES OF THE BATH MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

DK - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

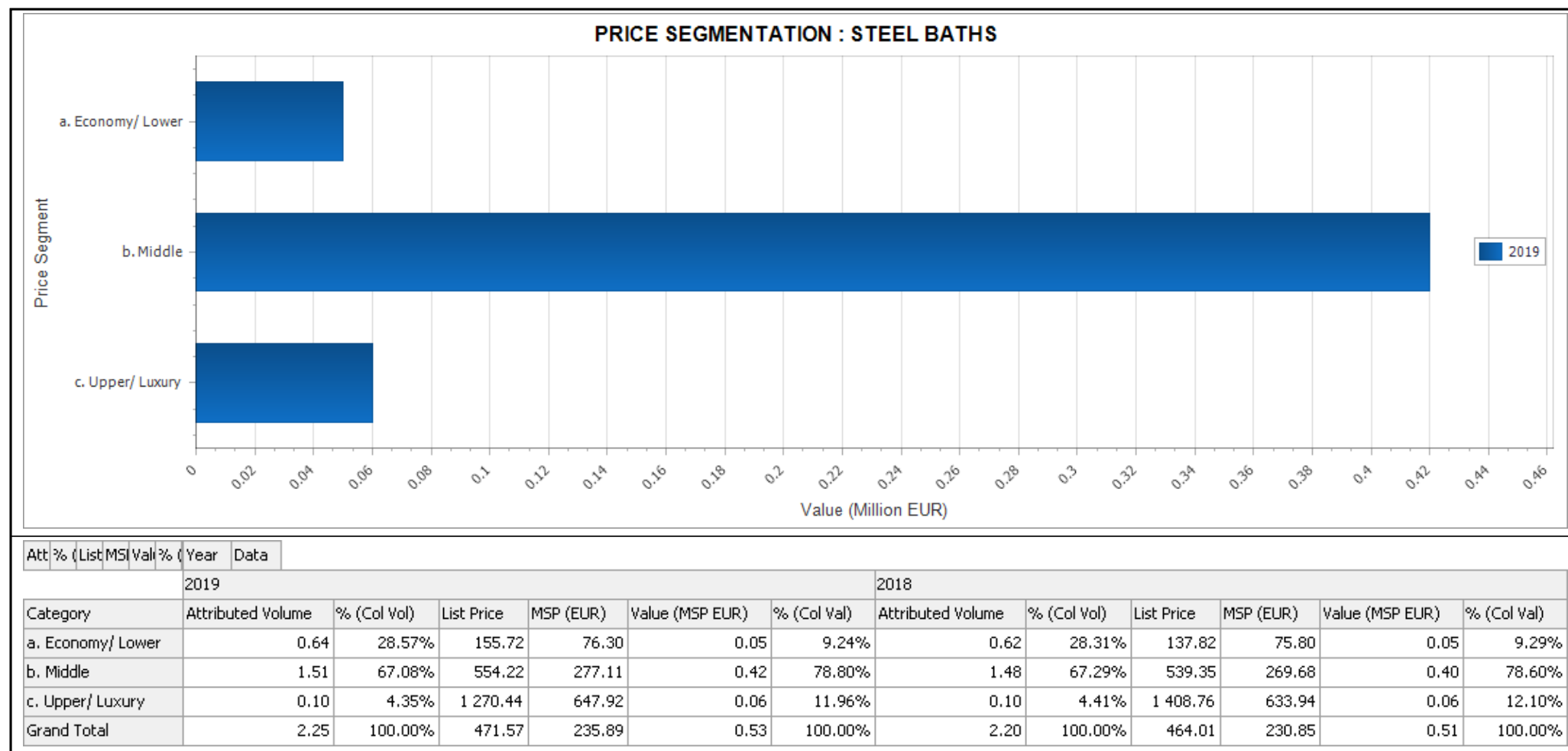


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.3 Price Segmentation : Steel Baths

DK - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

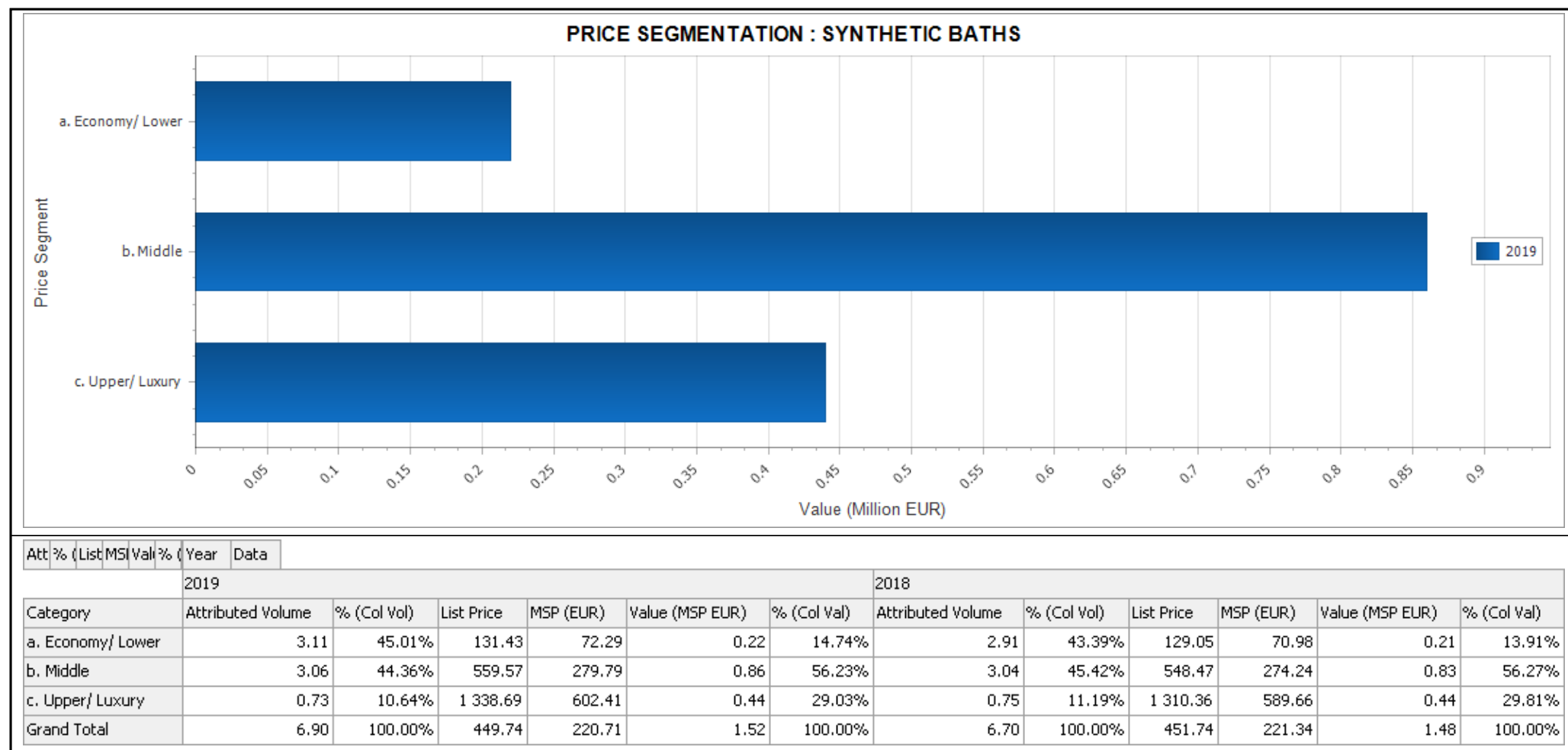


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€300, Upper/ Luxury >€300

1.3.4 Price Segmentation : Synthetic Baths

DK - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

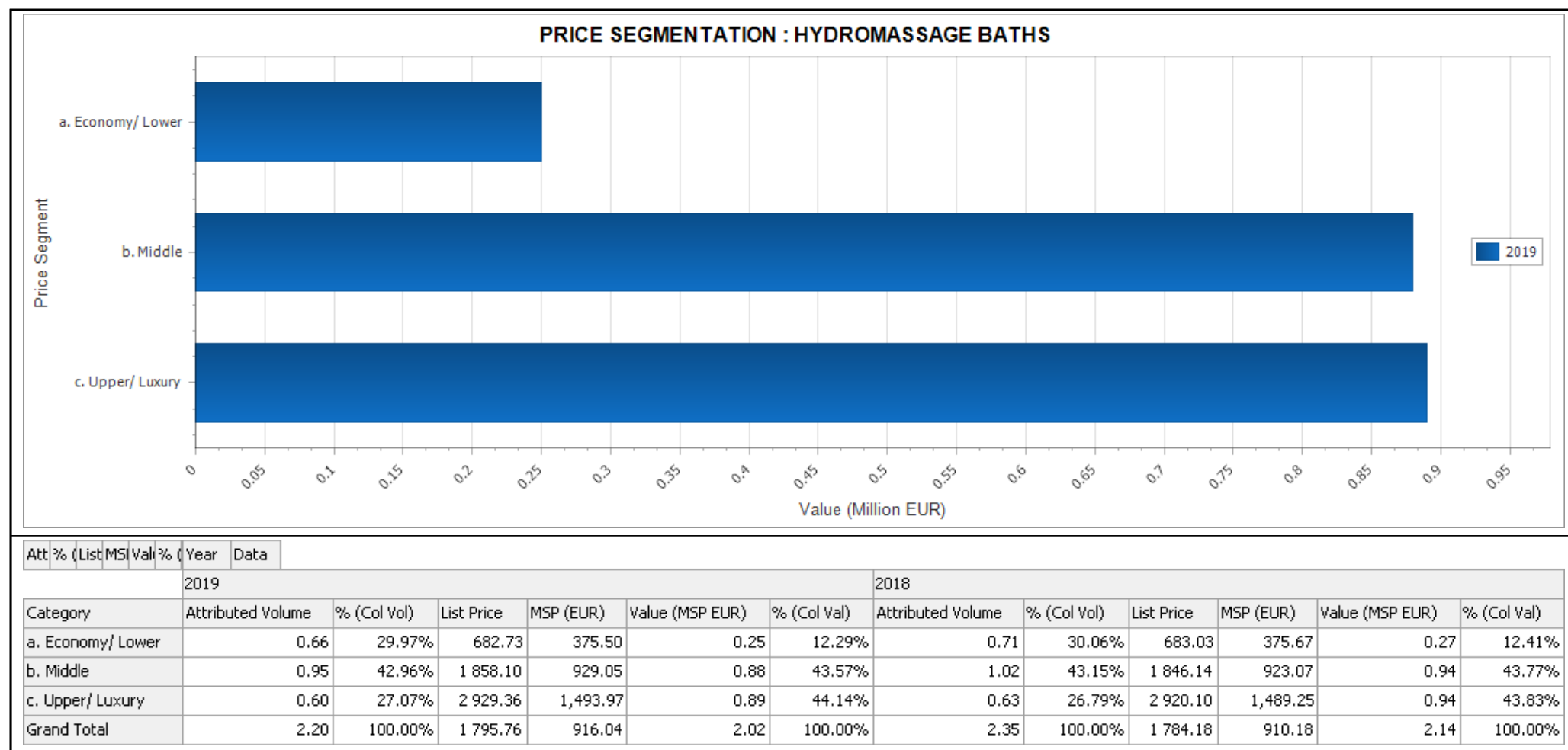


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€300, Upper/ Luxury >€300

1.3.5 Price Segmentation : Hydromassage Baths

DK - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

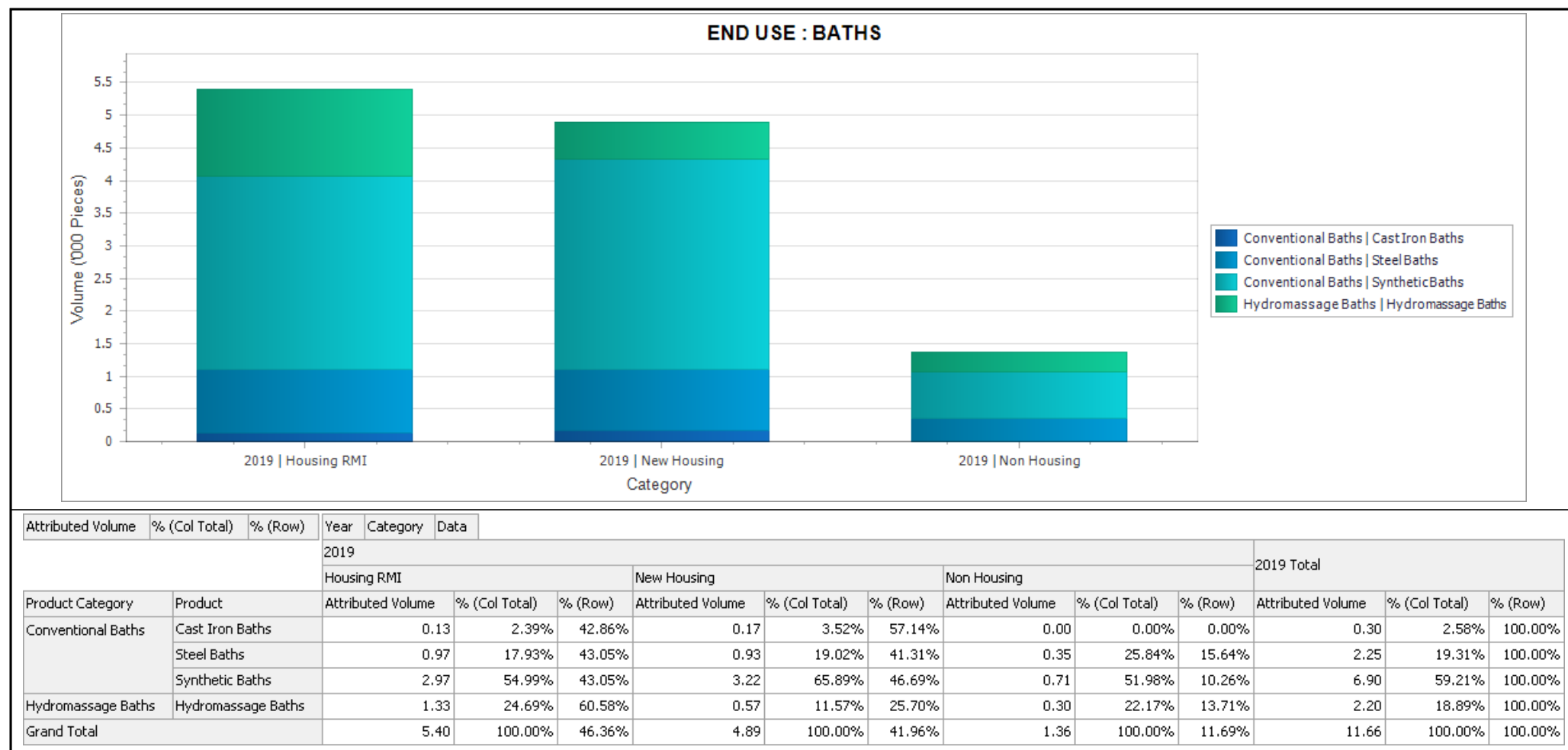


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

1.4.1 End Use : Base Year

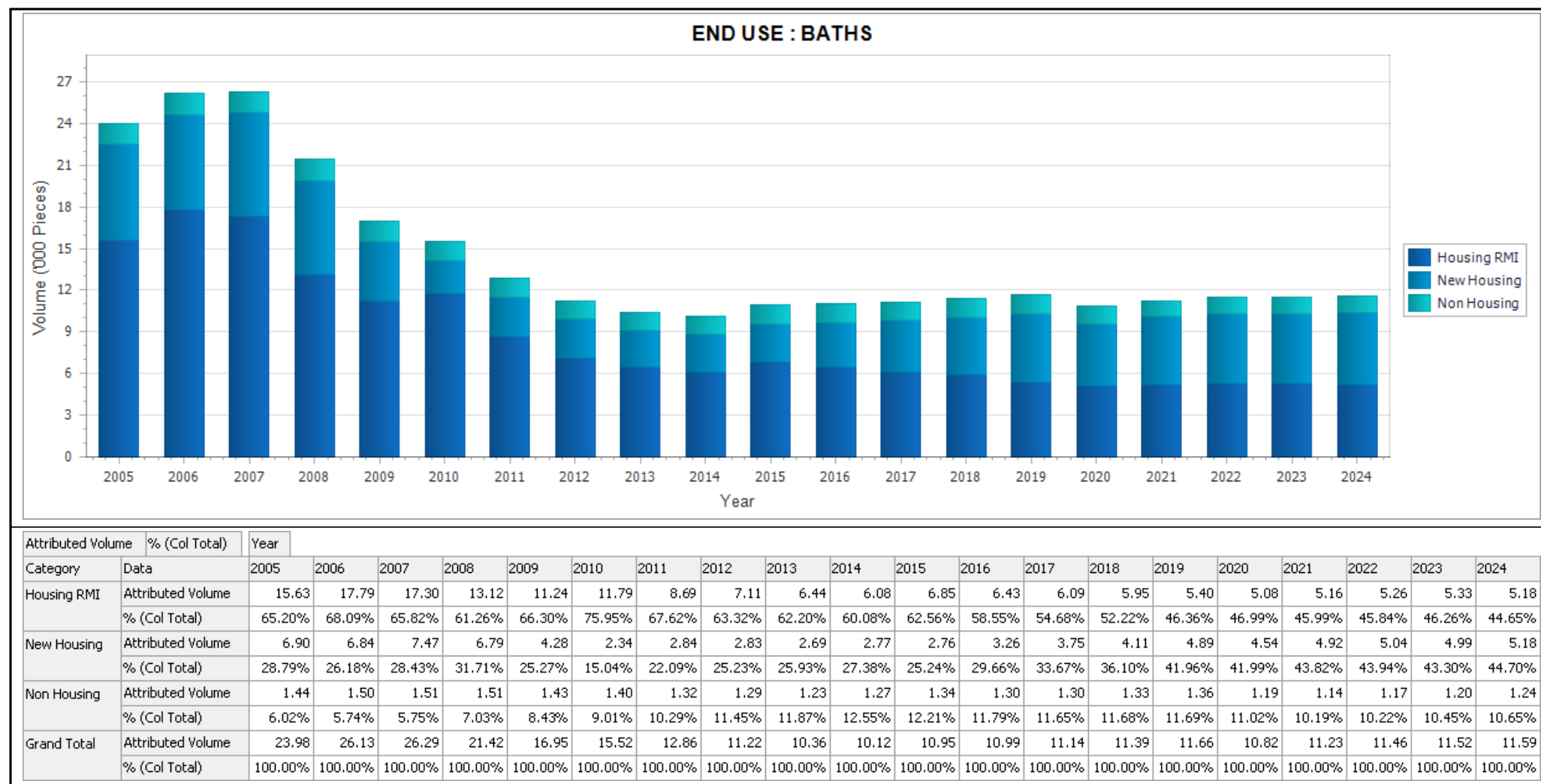
DK - SALES OF BATHS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

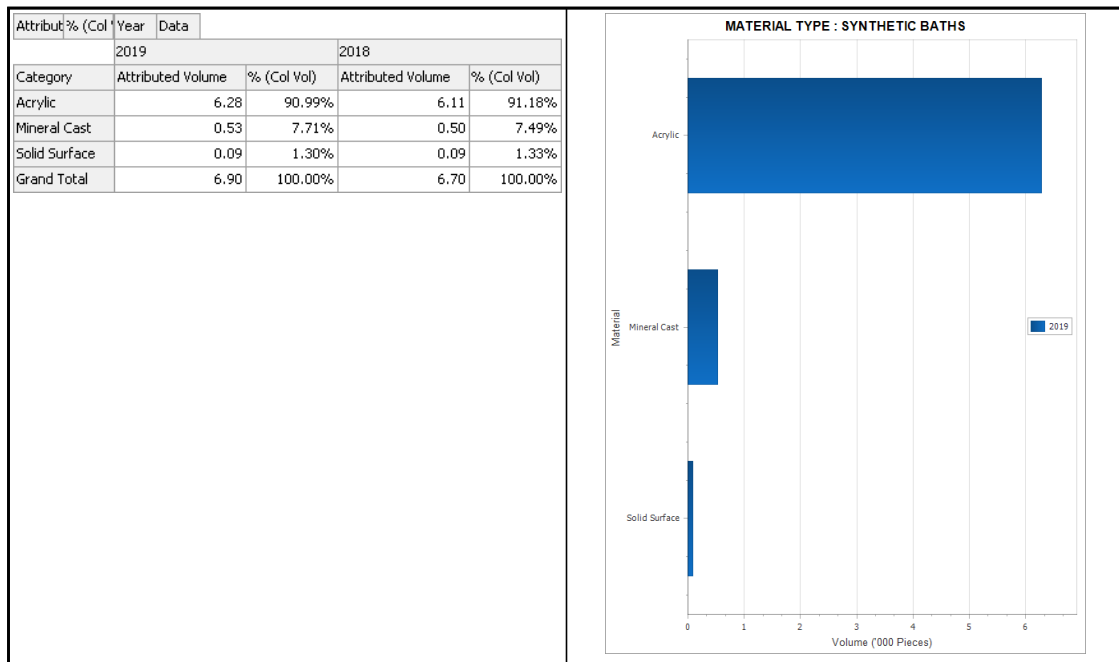
DK - SALES OF BATHS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Material : Synthetic Baths

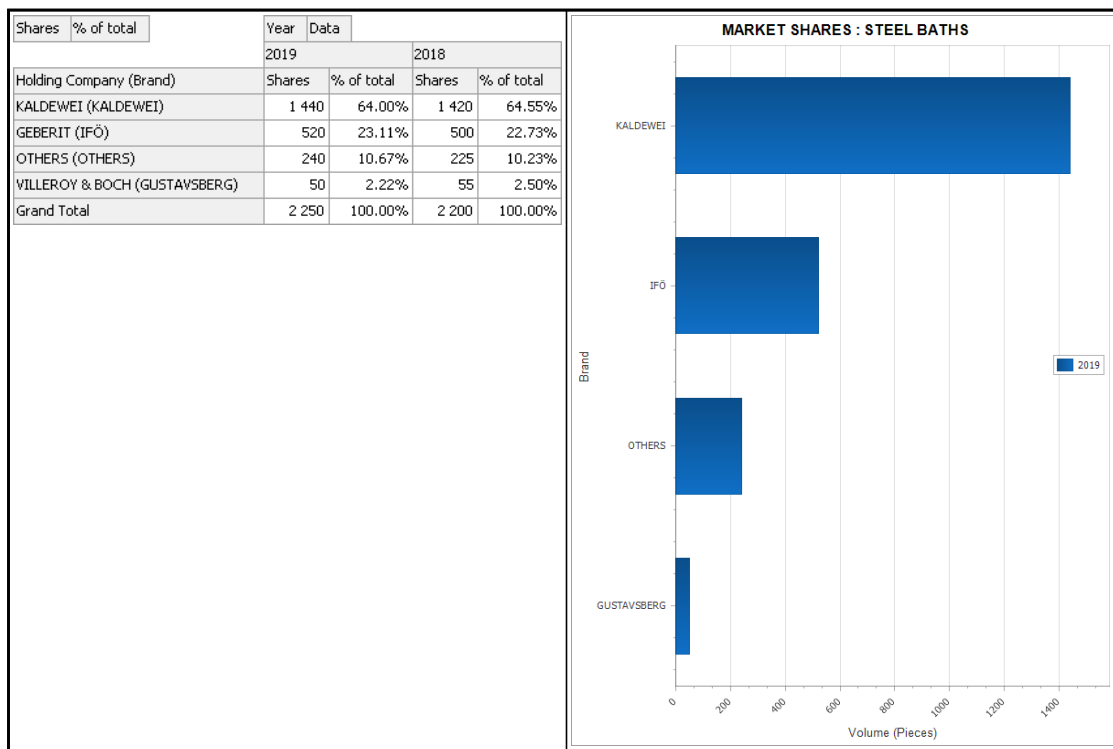
DK - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

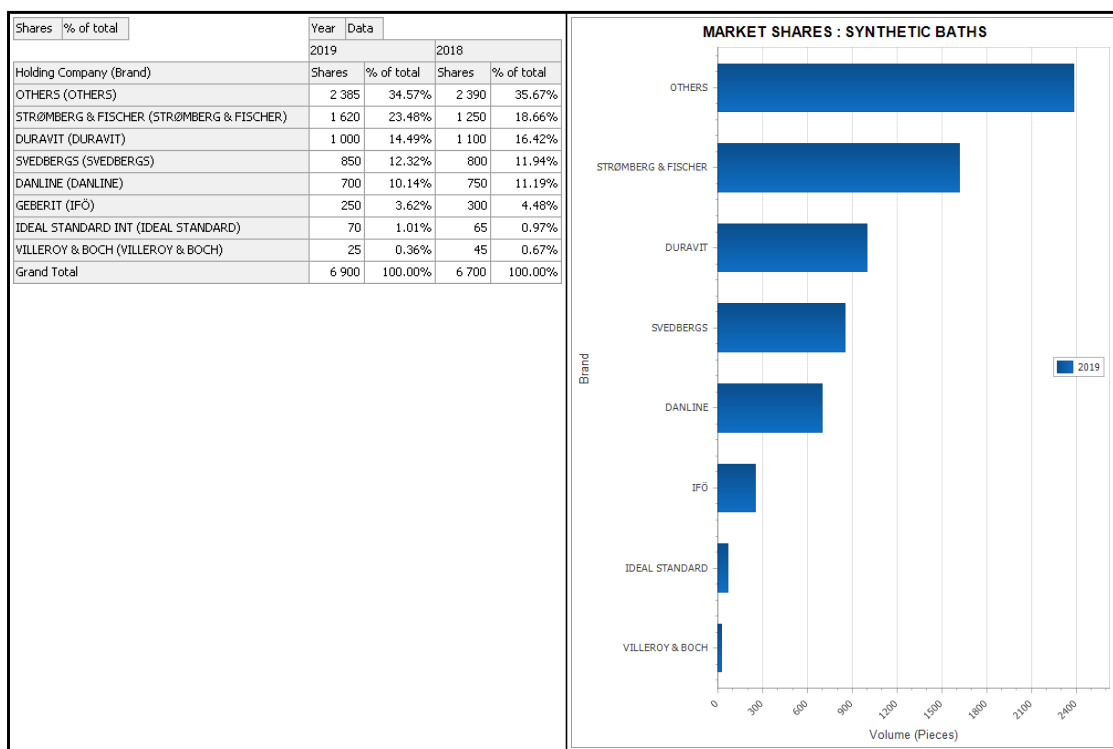
DK - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

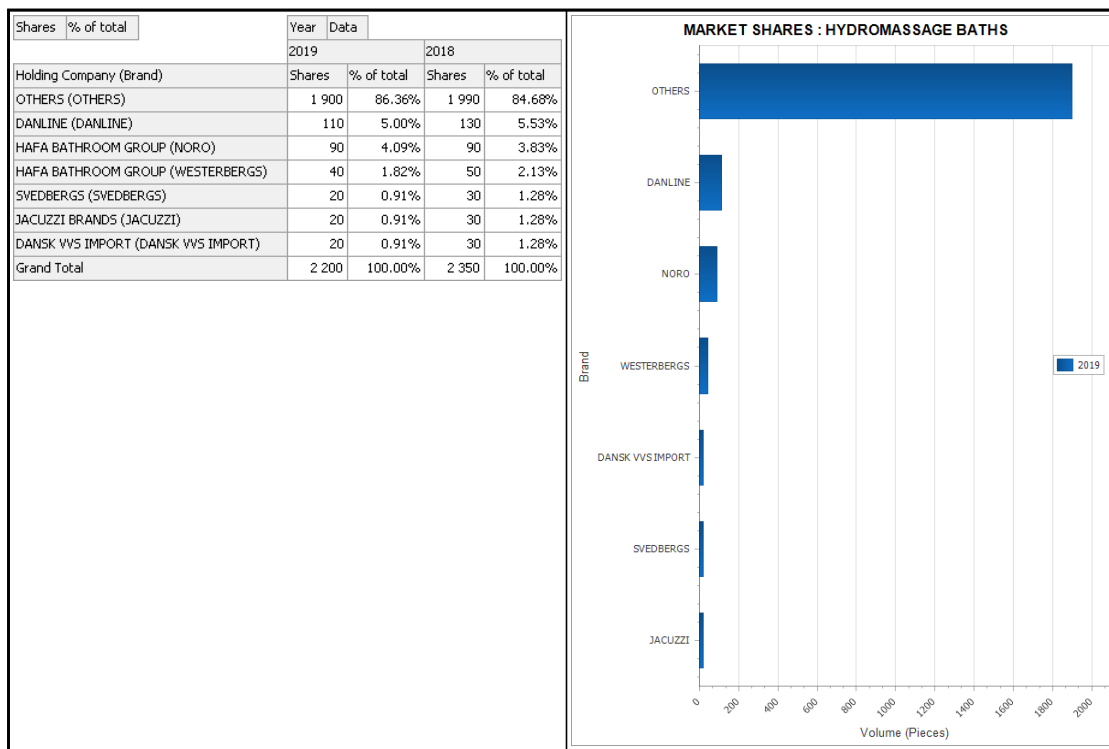
DK - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

DK - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.6.1 DK - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	12	40.5%	87	56.5%	0	0.0%	96	99.0%
China	6	18.3%	23	14.9%	0	0.0%	0	0.0%
Germany	5	14.9%	20	13.0%	0	0.0%	0	0.0%
Lithuania	3	11.1%	13	8.4%	0	0.0%	0	0.0%
Finland	3	10.0%	5	3.2%	0	0.0%	0	0.0%
Poland	2	5.2%	6	3.9%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	0	0.0%	1	1.0%
Total	31	100.0%	154	100.0%	0	0.0%	97	100.0%

Source : Trademap

1.6.2 DK - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	2	71.6%	27	69.2%	0	0.0%	66	94.3%
Faroe Islands	0	15.9%	4	10.3%	0	0.0%	1	1.4%
Greenland	0	5.2%	2	5.1%	0	0.0%	0	0.0%
Sweden	0	3.7%	0	0.0%	0	0.0%	3	4.3%
Switzerland	0	2.8%	1	2.6%	0	0.0%	0	0.0%
OTHERS	0	0.7%	5	12.8%	0	0.0%	0	0.0%
Total	2	100.0%	39	100.0%	0	0.0%	70	100.0%

Source : Trademap

1.6.3 DK - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	92	67.7%	466	28.9%	0	0.0%	83	12.3%
Netherlands	15	11.0%	122	7.6%	0	0.0%	8	1.2%
Germany	14	10.1%	884	54.7%	0	0.0%	548	81.3%
Poland	4	3.0%	28	1.7%	0	0.0%	7	1.0%
Lithuania	2	1.8%	16	1.0%	0	0.0%	0	0.0%
Czech Republic	2	1.7%	23	1.4%	0	0.0%	25	3.7%
China	2	1.2%	1	0.1%	0	0.0%	3	0.4%
OTHERS	5	3.4%	75	4.6%	0	0.0%	0	0.0%
Total	136	100.0%	1 615	100.0%	0	0.0%	674	100.0%

Source : Trademap

1.6.4 DK - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	6	28.9%	19	1.4%	0	0.0%	3	0.3%
Netherlands	4	22.6%	18	1.4%	0	0.0%	9	0.8%
France	4	18.3%	34	2.6%	0	0.0%	30	2.6%
Faroe Islands	3	17.3%	28	2.1%	0	0.0%	60	5.1%
Norway	1	5.5%	10	0.8%	0	0.0%	10	0.9%
Estonia	1	2.6%	18	1.4%	0	0.0%	0	0.0%
Latvia	0	1.4%	11	0.8%	0	0.0%	0	0.0%
Sweden	0	1.0%	1	0.1%	0	0.0%	0	0.0%
OTHERS	0	2.4%	1 179	89.5%	0	0.0%	1 064	90.5%
Total	20	100.0%	1 318	100.0%	0	0.0%	1 176	100.0%

Source : Trademap

1.6.5 DK - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Lithuania	2 477	41.1%	16 063	47.1%	0	0.0%	15 034	35.1%
Romania	1 628	27.0%	4 006	11.7%	0	0.0%	3 618	8.4%
Poland	514	8.5%	4 944	14.5%	0	0.0%	13 816	32.3%
China	468	7.8%	2 347	6.9%	0	0.0%	2 159	5.0%
Germany	266	4.4%	2 458	7.2%	0	0.0%	2 931	6.8%
Netherlands	244	4.0%	1 594	4.7%	0	0.0%	2 260	5.3%
Spain	107	1.8%	684	2.0%	0	0.0%	675	1.6%
Portugal	99	1.6%	587	1.7%	0	0.0%	1 088	2.5%
Czech Republic	69	1.1%	270	0.8%	0	0.0%	60	0.1%
OTHERS	150	2.5%	1 172	3.4%	0	0.0%	1 197	2.8%
Total	6 022	100.0%	34 125	100.0%	0	0.0%	42 838	100.0%

Source : Trademap

1.6.6 DK - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	861	37.4%	3 441	18.6%	0	0.0%	4 119	12.3%
Germany	823	35.8%	10 731	58.1%	0	0.0%	20 320	60.9%
Norway	283	12.3%	2 559	13.9%	0	0.0%	2 275	6.8%
Poland	72	3.1%	185	1.0%	0	0.0%	1 365	4.1%
Spain	68	3.0%	383	2.1%	0	0.0%	3 274	9.8%
Finland	53	2.3%	167	0.9%	0	0.0%	190	0.6%
Lithuania	28	1.2%	157	0.9%	0	0.0%	1 069	3.2%
Iceland	26	1.1%	152	0.8%	0	0.0%	80	0.2%
Belgium	25	1.1%	89	0.5%	0	0.0%	84	0.3%
Faroe Islands	25	1.1%	286	1.5%	0	0.0%	204	0.6%
OTHERS	36	1.6%	315	1.7%	0	0.0%	379	1.1%
Total	2 301	100.0%	18 465	100.0%	0	0.0%	33 359	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
DK - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	56.9%
	Wholesalers / Merchants
	56.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.1%	2.2%	15.6%	12.0%	22.3%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.3%		27.6%		30.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.2%	30.0%	2.2%	12.3%	14.3%
Installers				
61.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	2.1%	1.1%	14.0%	12.8%	58.4%	0.0%	2.6%	1.0%	1.3%	3.2%	3.6%
	Residential						Non-Residential					
	88.3%						11.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	41.9%			46.4%			8.2%			3.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	35.6%		6.3%	4.2%		42.2%	6.4%		1.8%	2.3%		1.2%

1.7.2 Route to Market: Baths
DK - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.5%
	Wholesalers / Merchants
	55.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.5%	2.2%	16.7%	12.6%	21.3%	7.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.7%		29.3%		28.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.8%	29.0%	2.4%	13.0%	13.3%
Installers				
60.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.2%	2.5%	1.2%	14.8%	12.0%	57.7%	0.0%	2.2%	1.1%	1.5%	3.0%	2.8%
	Residential						Non-Residential					
	89.4%						10.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	44.7%			44.7%			7.4%			3.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	38.0%		6.7%	4.0%		40.6%	5.8%		1.6%	2.1%		1.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

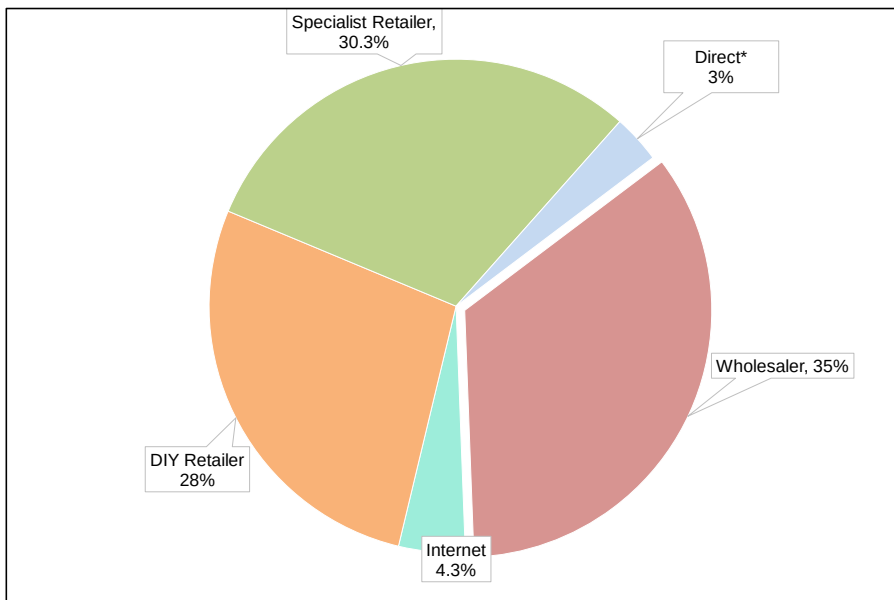
1.7.3 Route to Market - Consolidated View : Baths
DK - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.7%	4.3%	27.6%	30.3%	3.2%	39.8%	8.6%	48.5%	3.0%
100%					48.4%		51.6%	

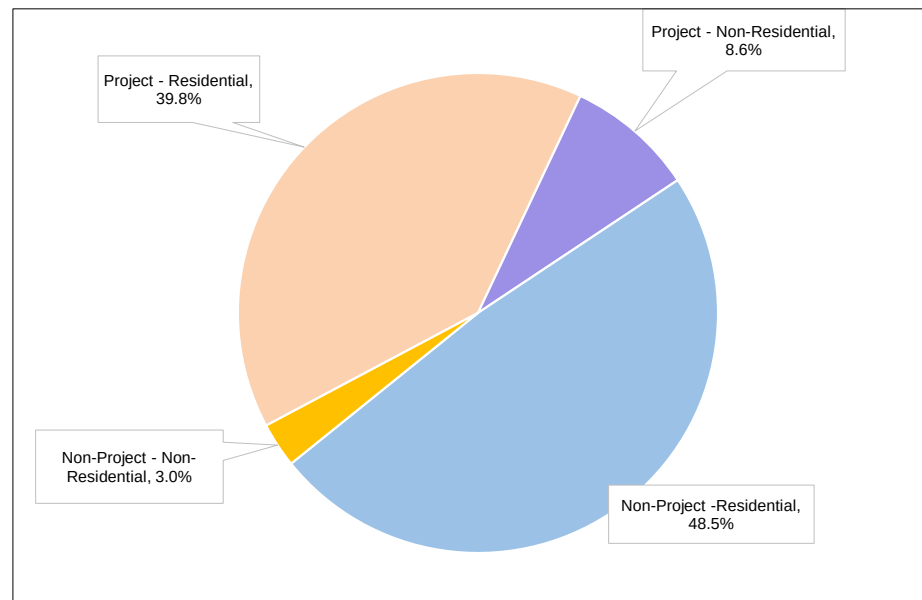
1.7.4 Route to Market - Consolidated View : Baths
DK - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.7%	4.7%	29.3%	28.3%	4.0%	42.0%	7.9%	47.3%	2.8%
100%					49.9%		50.1%	

DK - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



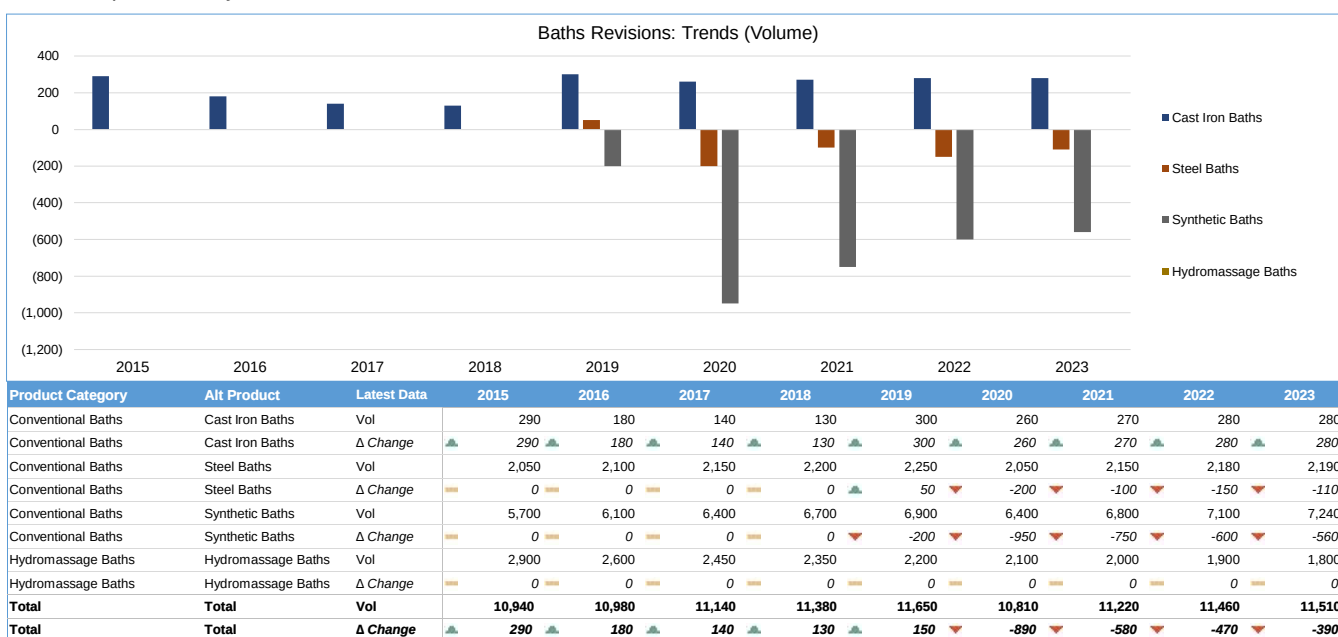
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Danish Baths Market (July 2020)

DK - REVISIONS IN THE DANISH BATHS MARKET

Data Comparison: July 2019



The market size for steel bath was revised slightly upwards in 2019, due to an increased interest in these types of bath in new housing than expected.

The market size for synthetic baths was adjusted downwards in 2019 due to an overestimation of like-like replacement sales of this product.

Cast iron baths trend have been added just this year and therefore no revisions to this market were made. No changes were made to the market size for hydromassage baths.

DENMARK

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Danish ceramic sanitaryware (CSW) sector is characterised by a high proportion of close coupled WCs sold (representing the overwhelming majority of WCs), similarly to the CSW markets in the other Nordic countries. However, over the past few years the share of wall hung WCs has increased significantly, creating strong growth in the market for concealed plastic cisterns. As stated, this trend is present in varying degrees across the Nordic region, and reflects the growing importance of design and aesthetics in the sanitaryware market.

The demand for bidets and pedestals is very limited throughout the Nordic region, and even urinals are becoming increasingly uncommon in offices and high-end commercial bathrooms, with toilets being installed instead. Demand for ceramic sinks has increased in recent years because of successful marketing efforts but has now plateaued. The market for ceramic washbasins, countertops and hand washbasins is rather small in comparison to the large WC market.

In comparison to the ceramic cistern market, the market for plastic cisterns remains small due to the popularity of close coupled WCs in Denmark. The market for exposed plastic cisterns is now almost entirely driven by replacement demand. Most exposed plastic cisterns are installed in old apartment blocks, on camping sites and in portable cabins found on building sites. In the case of camping sites, it is common for exposed cisterns to be installed behind the wall. The clear majority of concealed cisterns continue to be sold to the non-housing segment, but the share sold to residential RMI and new housing has grown in recent years. The majority of these are installed with a frame, as dry installation systems; however, the share of wet installations in Denmark is high when compared to the rest of Scandinavia.

The non-ceramic sanitaryware market has developed well over the years with the two biggest segments being washbasins and kitchen sinks. Stainless steel is the most common material used for kitchen sinks, both in the residential and non-residential segment, and this is unlikely to change in the future. In terms of washbasins, there has been a slight increase in demand for materials such as glass and cast marble, mostly in vanity basins set on top of bathroom furniture.

The majority of the CSW market is distributed through wholesalers. The two dominant brands, IFÖ SANITÄR and GUSTAVSBERG, distribute a considerable part of their sales through large construction projects, which in turn are supplied by wholesalers. Both players can offer healthy margins to installers/contractors, as well as easily accessible spare parts. The DIY sector is well established in Denmark, comprised of several large suppliers with branches across the country. DIY retailers are increasingly stocking a number of foreign brands, which make up the 'Others' portion of the market share table. Specialist retailers target the upper end of the price segment and focus on design and quality. The number of these showrooms has dwindled in recent years, with many bathroom manufacturers

having to supply to kitchen retailers, which have a much stronger presence throughout the country. As a result, this channel constitutes a marginal portion of overall sales.

Recent Market Trends

The overall sanitaryware market developed quite positively in 2019 with most product sections experiencing organic growth. The *boligjobordningen* benefited the market very marginally within the RMI segment, with the main drivers for growth coming from a recovering Danish economy, increases in private consumption and new construction positively affecting the overall sanitaryware market. Main areas of growth came from the sales of WCs, concealed plastic cisterns, and non-ceramic washbasins however, all other product segments recorded decreases in 2019, due to a decreasing like-for-like RMI market.

Concealed cisterns are increasing well, together with wall hung WC's which saw a significant growth in 2019. Despite the continuing displacement of floor standing WC's for wall hung, most of the demand comes from closed coupled WC bowls.

In recent years the novelties were about the colour of the countertop; however, there has been a growing trend for consumers to want their countertops as thin as possible and this trend does not look to be changing anytime soon.

The non-ceramic washbasin market has developed well in recent years due to more choices and designs becoming available. Mineral cast (resin) represent the bulk of sales in the Danish market with acrylic developing quite well and gaining popularity. Other materials such as glass and steel are quite niche and not so popular.

The DIY channel saw good growth in 2019 as more consumers took to purchasing the product themselves and getting the installer to install the product. Also, more installers themselves are beginning to buy from the DIY channel as DIYs offer much more competitive prices than other channels.

Prices and Market Values

Product pricing in 2019 was largely consistent with what was seen in 2018 with slight increases recorded across most product sections. The average manufacturer's selling price (MSP) saw WCs gain the largest increase due to the continued growing share of wall hung WCs sold on the market as, generally, they are priced higher than floor standing or closed coupled WCs. Price pressures have been recorded on the sanitaryware market due to the fierce competition in the market and manufacturers such as LAUFEN, who sell into the economy and lower segment, are continuing to put a lot of pressure on these prices. The MSP for 'Other' CSW dropped again as it was influenced by the falling price levels of exposed ceramic cisterns, the largest segment in volume terms within the 'Other' CSW market. MSP for exposed plastic cisterns experienced the most significant decrease in 2019, following a downward trend started in previous years. This

declining MSP is due to a decreasing market trend and cheaper imports.

The value of the overall market continued to increase strongly, both in DKK and in EUR, as the Danish Krone is pegged to the Euro.

New Housing

The penetration rate of CSW products in new housing has historically remained relatively stable, as the average number of bathrooms/toilets has remained almost unchanged in both apartments and houses. The largest fluctuations are caused by changes in the dwelling completion mix, where the share of apartments has significantly increased in recent years. Volume sales of ceramic sanitary ware products sold to new housing increased in 2019, at a higher rate than what was attributed in 2018, largely due to the significant increase in both apartments and family home completions. WCs and washbasins, both ceramic and non-ceramic, continued to be the most popular products in the new housing segment, due to the larger number of houses built, as opposed to apartments. This means that a higher number of bathrooms are requiring washbasins and WCs. In new housing, sales of 'Other' CSW mainly consist of close-coupled cisterns installed together with a close-coupled WC bowl. Most wall hung toilets are installed in new housing, while most washbasins are countertops with a base unit.

New housing is expected to drop significantly in 2020 as new build completions for both apartments and family homes are expected to be greatly affected by the COVID-19. The new housing market is expected to start increasing again in 2021 onwards, but at a slower pace than in recent years. This is largely due to the many investing groups, who have previously invested in the housing and flat markets, appearing to be hesitant about the future for the Danish housing market so have slowed down on investments. This of course is expected to have adverse effects on products heavily favoured in this segment such as concealed plastic cisterns and WCs.

Housing RMI

Due to the maturity of the market, CSW sales are heavily dependent on the housing RMI segment. There are significant differences between the dynamics of the private and professional markets. The private market, which consists of homeowners and housing cooperatives, is quite consumer-driven and is, therefore, moving towards products such as wall hung WCs and countertops with washbasins. Floor standing models with ceramic cisterns are increasingly being replaced by concealed cisterns which, although considered a complicated retrofit, are gaining ground as consumers seek to increase the value and aesthetics of their house. The popularity of concealed cistern installations in existing dwellings is the reason for the high share of dry installations in the Danish market, where a simple dry wall is constructed to conceal the cistern behind the WC. The professional market, on the other hand, which is mainly made up of property developers and real estate companies, is driven by factors such as housing prices and changes in rental rates, as well as the cost and access to capital and general economic

conditions. This end-use sector mainly comprises upgrades, refurbishments and conversions of primary rented dwellings. The professional market is, therefore, also more cost-driven, which has led to a higher price pressure and the preference for more standardised products, such as exposed cisterns.

The housing RMI market in 2019 saw its first decline since 2015, with a decrease in most product segments. Changes in BOLIGJOBORDRINGEN are the main reason for this negative trend in 2019. WCs was the only product segment that continued to record strong growth, showing the continuing shift in consumer preference towards wall hung toilets on the market. The market is expected to decline significantly in 2020, due to the uncertainty of the market developments, mainly affected by the COVID-19 crisis. RMI market is expected to be the main growth driver from 2021 onwards.

Non-Housing

Demand for sanitaryware products in the non-housing sector is relatively low when compared to the residential market. Sales of sanitaryware products to this end-use segment have increased steadily in recent years, although at a slow pace. As in the residential market, WC sales account for the majority of sales in the non-residential market, with most sales being wall hung models. The high share of wall hung WCs also explains why demand in this end-use sector is higher for concealed plastic cisterns than for ceramic sanitaryware products as a whole. Additionally, the non-housing segment tends to see a greater proportion of space saving products being utilised, such as wall hung toilets, concealed cisterns and hand washbasins with a pedestal. The majority of demand comes from the hospitality and health sectors, such as hospitals and clinics, which have experienced consistent construction and refurbishment growth in recent years, thus boosting sales in the non-housing segment.

The demand for sanitaryware products to the non-residential sector declined in 2019 and kept the ongoing negative trend from previous years. Renovation demand in the non-housing sector continued to account for the majority of sales in 2019, as new construction across public and private sectors remained limited. The 'other' CSW segment recorded a significant decline again while most of the other product segments stagnated in 2019. The market for non-ceramic washbasins experienced good growth in 2019, due to a significant growth in base units with which most non ceramic washbasins are installed.

Non-residential construction is projected to remain low in the coming years, with an expected decline in 2020 and 2021, due to the slowdown in RMI and new builds mainly affected by the COVID-19 crisis. The market is predicted to pick up again in 2022 onwards.

Supply Structure

The market is dominated by the Nordic brands IFÖ SANITÄR and GUSTAVSBERG, now in the hands of two international groups, GEBERIT and

VILLEROY & BOCH. Together, these manufacturers account for approximately two-thirds of the Danish sanitary ware market. Despite a continuing decline for IFÖ SANITÄR in 2019, they still accounted for the vast majority share across all product segments. Following the acquisition of SANITEC, GEBERIT is present in Denmark through the brand IFÖ SANITÄR (sourced from Sweden) in addition to its GEBERIT brand. The importer MAX SIBBERN previously distributed the IFÖ brand, but distribution has been taken over by GEBERIT as of 2016. VILLEROY & BOCH is present through the GUSTAVSBERG (sourced mainly from Sweden) and VILLEROY & BOCH (from Germany) brands.

Other significant players in the market include DANSANI, LAUFEN and SVEDBERGS. SVEDBERGS, a Swedish supplier, has strongly increased its presence in the Nordic countries over the past few years, largely through aggressive marketing campaigns targeting consumers directly, with a focus on the design aspects of the company's products. Similarly to market leaders GEBERIT and VILLEROY & BOCH, the company markets a full range of CSW products and mainly sells WCs and washbasins. LAUFEN (ROCA), which has its Nordic headquarters in Denmark, also offers a full range of CSW products. DANSANI, a specialist bathroom furniture manufacturer, offers a wide range of ceramic washbasins. DANSANI acquired the Swedish manufacture INR in March 2020.

The share of 'Others' includes companies such as the Swedish HAFA and WESTERBERGS (the HAFA BATHROOM GROUP), Polish CERSANIT, Chinese EAGO, and German DURAVIT. Private labelling is a growing phenomenon in Denmark, with wholesalers and DIY retailers alike sourcing and rebranding products from abroad, mainly China.

The market for concealed cisterns is still dominated by GEBERIT, although GROHE has gained significant share in recent years through aggressive marketing strategies. These two companies make up the large majority of sales in the market. There is no production of concealed plastic cisterns in Denmark, and all products are sourced from abroad. GEBERIT manufactures its products in Germany and the UK, GROHE's products are imported from Germany, and GUSTAVSBERG's products are sourced from WISA in the Netherlands.

Other suppliers of cisterns include SANIT EISENBERG, sold through DANSK VVS IMPORT; FRIATEC, sold through ALIAXIS UTILITIES & INDUSTRY A/S; JOMO, sold through the retailer CASSØE; and TECE, which is sold via BADIMPORT.

For cisterns, the 'Others' category mainly includes brands imported by construction companies for large projects. The largest supplier included in the category is the German supplier VIEGA.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Given the COVID-19 crisis, the overall CSW market is expected to decrease significantly in 2020, where a decline is predicted across all product segments. Private households are less willing to take risks and build a new house, which should hamper the new housing market. Housing RMI is also forecasted to decline in 2020, due to the uncertainty of the market, which is likely to make house owners hold out on remodelling their home. The non housing market is also anticipated to be negatively affected by the COVID-19 crisis, due to the many scheduled new builds and remodelling projects which were put on hold at the onset of the pandemic.

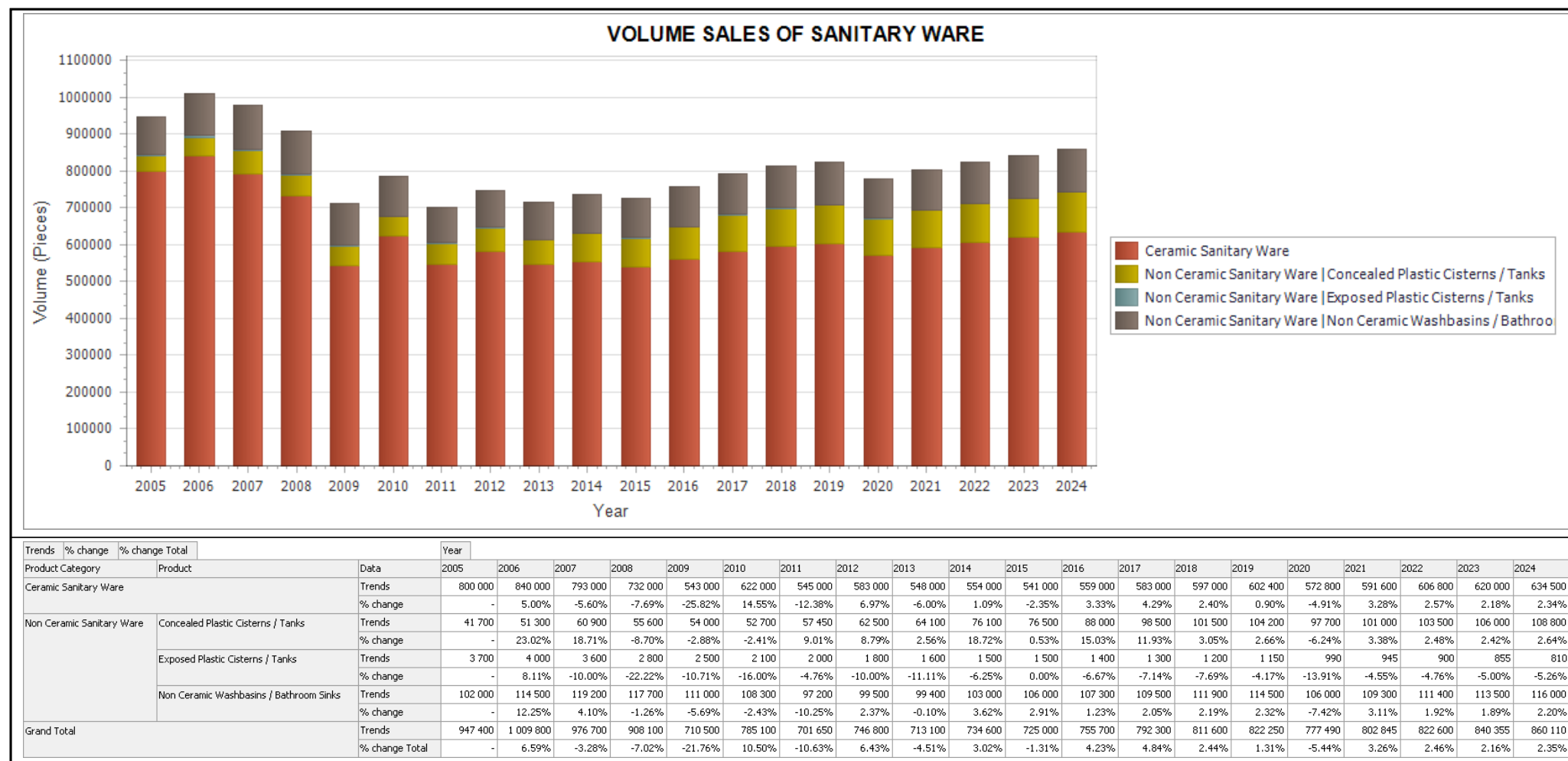
The forecast for 2021 onwards is expected to be positive across all end use categories and product segments. Only a small decrease in non-housing is likely in 2021. Exposed plastic cisterns are the only product that are anticipated to decline over the forecast period, due to the decrease in floor standing WCs, which this product often is installed in combination with.

WCs and concealed cisterns are expected to be the best-performing segments. The WCs segment is believed to have a significant outstanding park of replacement sales and is not being substituted for any other products (e.g. such as ceramic cisterns being increasingly replaced by concealed plastic cisterns). Concealed cistern sales are expected to continue their strong growth, as the WC product mix increasingly moves towards wall hung models. Stable growth is also expected for washbasins, with ceramic washbasins projected to be the best-performing segment.

The trend towards wall hung toilets and plastic cisterns should continue to play a major role in the development of the CSW market over the period, leading to slower growth in sales of wall hung models sold with ceramic cisterns.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

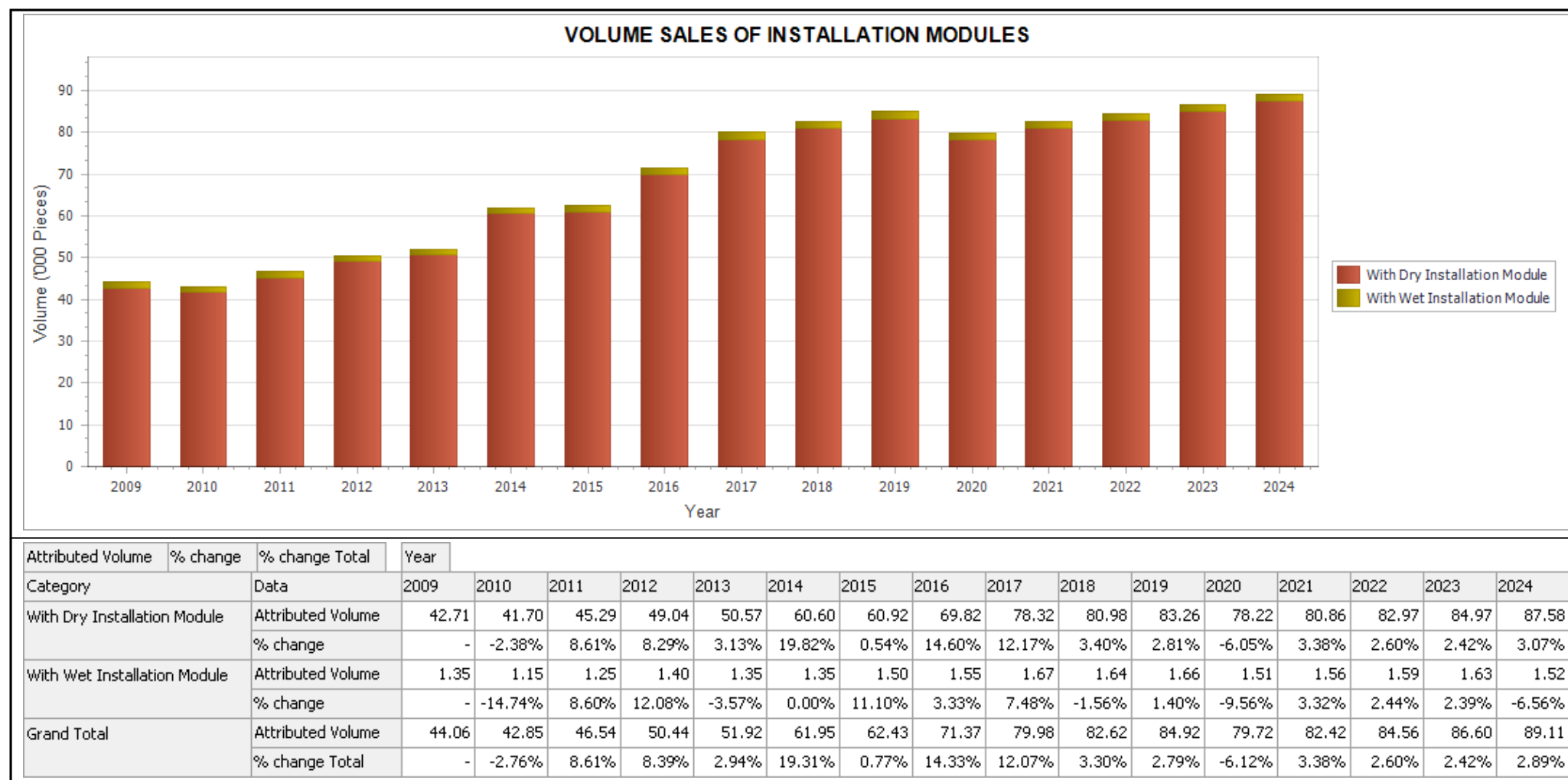
DK - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

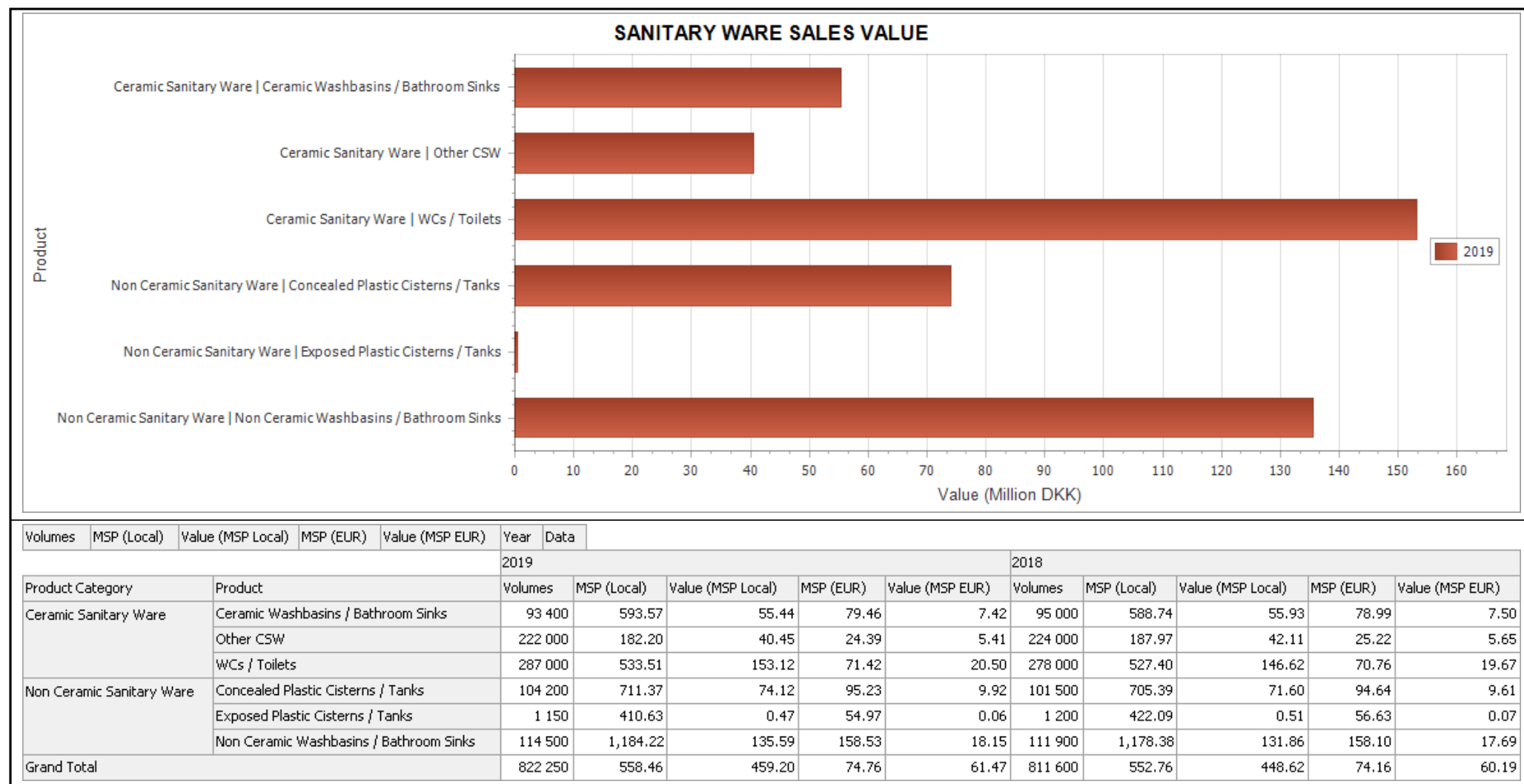
DK - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

DK - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

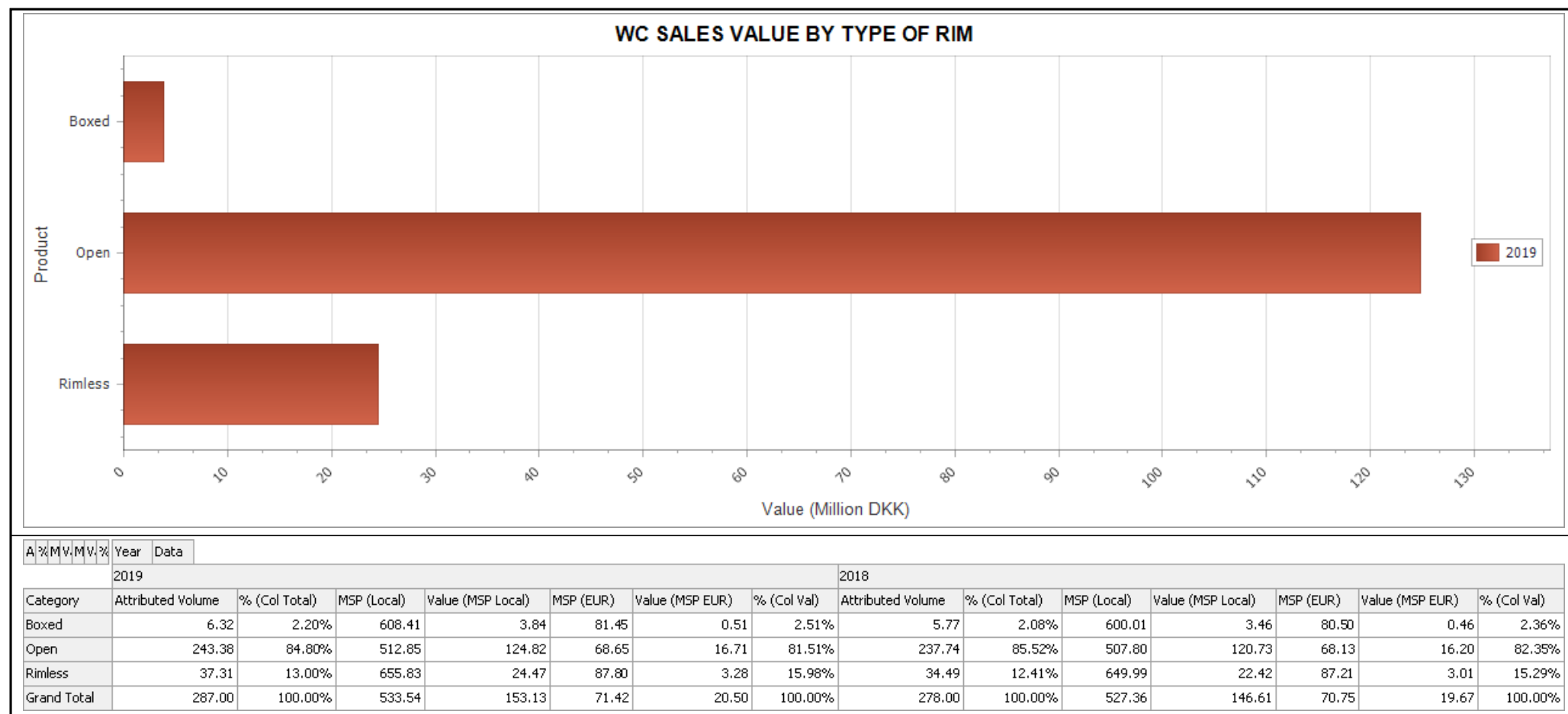
DK - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	48.52	51.95%	594.99	28.87	79.65	3.86	52.07%	49.42	52.02%	588.48	29.08	78.96	3.90	52.00%	
	Hand Washbasins	13.87	14.85%	365.99	5.08	49.00	0.68	9.16%	14.14	14.88%	363.50	5.14	48.77	0.69	9.19%	
	Inset Washbasins	1.96	2.10%	800.00	1.57	107.10	0.21	2.83%	2.09	2.20%	796.99	1.67	106.93	0.22	2.98%	
	Pedestal Washbasins	0.84	0.90%	749.99	0.63	100.40	0.08	1.14%	0.95	1.00%	748.99	0.71	100.49	0.10	1.27%	
	Semi-Recessed Washbasins	2.15	2.30%	1,099.99	2.36	147.26	0.32	4.26%	2.28	2.40%	1,095.02	2.50	146.92	0.33	4.46%	
	Undermount Washbasins	3.08	3.30%	996.98	3.07	133.47	0.41	5.54%	3.23	3.40%	980.01	3.17	131.49	0.42	5.66%	
	Wall Hung Washbasins	22.98	24.60%	603.02	13.86	80.73	1.85	24.99%	22.90	24.10%	597.02	13.67	80.10	1.83	24.44%	
Other CSW	Bidets	0.48	0.22%	315.01	0.15	42.17	0.02	0.37%	0.50	0.22%	318.00	0.16	42.67	0.02	0.37%	
	Close-Coupled Cisterns	207.60	93.51%	157.99	32.80	21.15	4.39	80.31%	208.49	93.08%	159.99	33.36	21.47	4.48	79.20%	
	Kitchen Sinks	1.65	0.74%	2,236.90	3.69	299.45	0.49	9.04%	1.80	0.80%	2,234.92	4.03	299.85	0.54	9.56%	
	Others	1.94	0.88%	306.01	0.59	40.97	0.08	1.46%	2.01	0.90%	308.01	0.62	41.33	0.08	1.47%	
	Pedestals & Half Pedestals	1.00	0.45%	247.00	0.25	33.07	0.03	0.60%	1.12	0.50%	249.99	0.28	33.54	0.04	0.66%	
	Urinals	9.32	4.20%	360.02	3.36	48.20	0.45	8.22%	10.08	4.50%	364.81	3.68	48.95	0.49	8.73%	
WCs / Toilets	Close-Coupled WC Bowls	176.79	61.60%	519.99	91.93	69.61	12.31	60.04%	175.70	63.20%	514.99	90.48	69.10	12.14	61.71%	
	Floor Standing WC Bowls	23.53	8.20%	486.00	11.44	65.06	1.53	7.47%	21.68	7.80%	483.20	10.48	64.83	1.41	7.15%	
	Wall Hung WC Bowls	86.67	30.20%	573.99	49.75	76.84	6.66	32.49%	80.62	29.00%	566.31	45.66	75.98	6.13	31.14%	
Grand Total		602.41	100.00%	414.00	249.40	55.42	33.39	100.00%	597.01	100.00%	409.82	244.66	54.98	32.83	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in DKK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

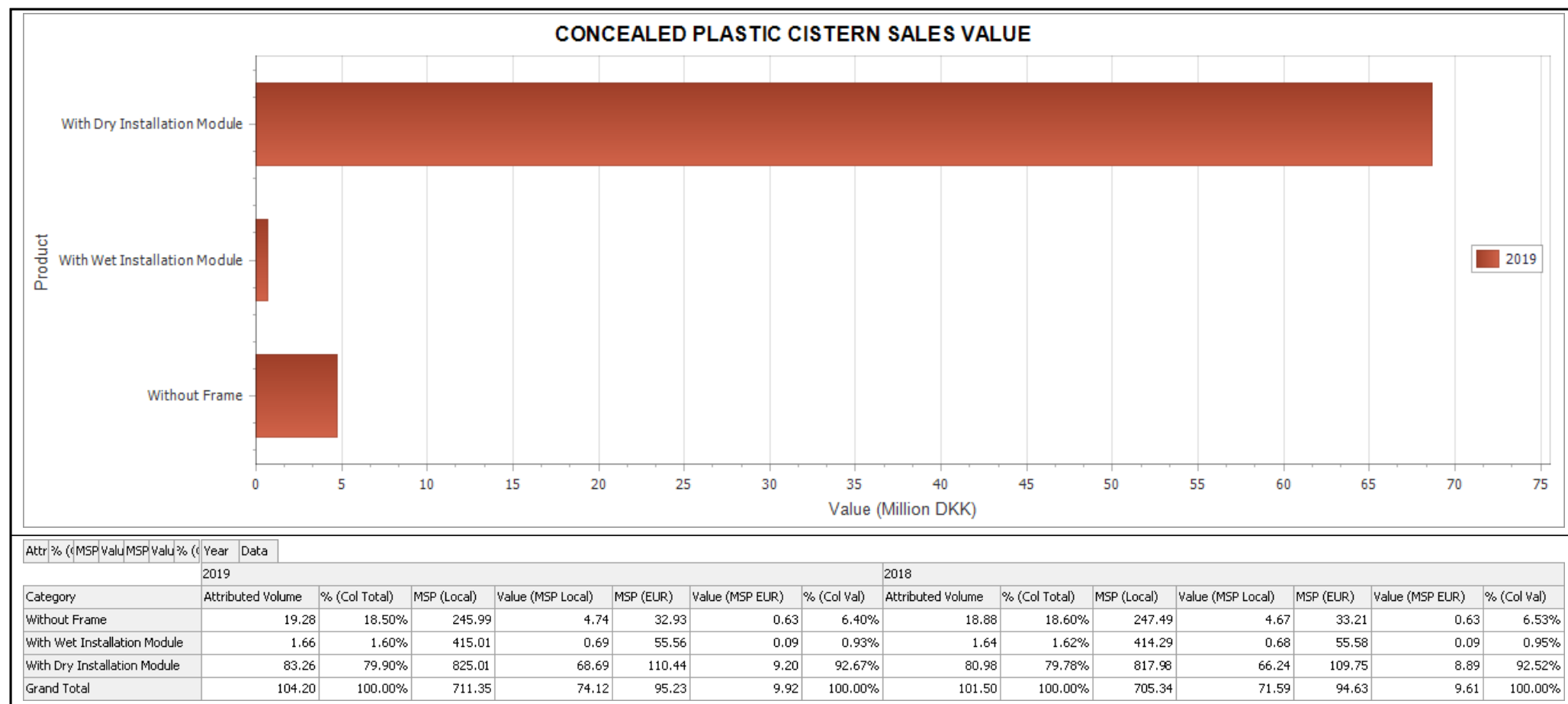
DK - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in DKK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

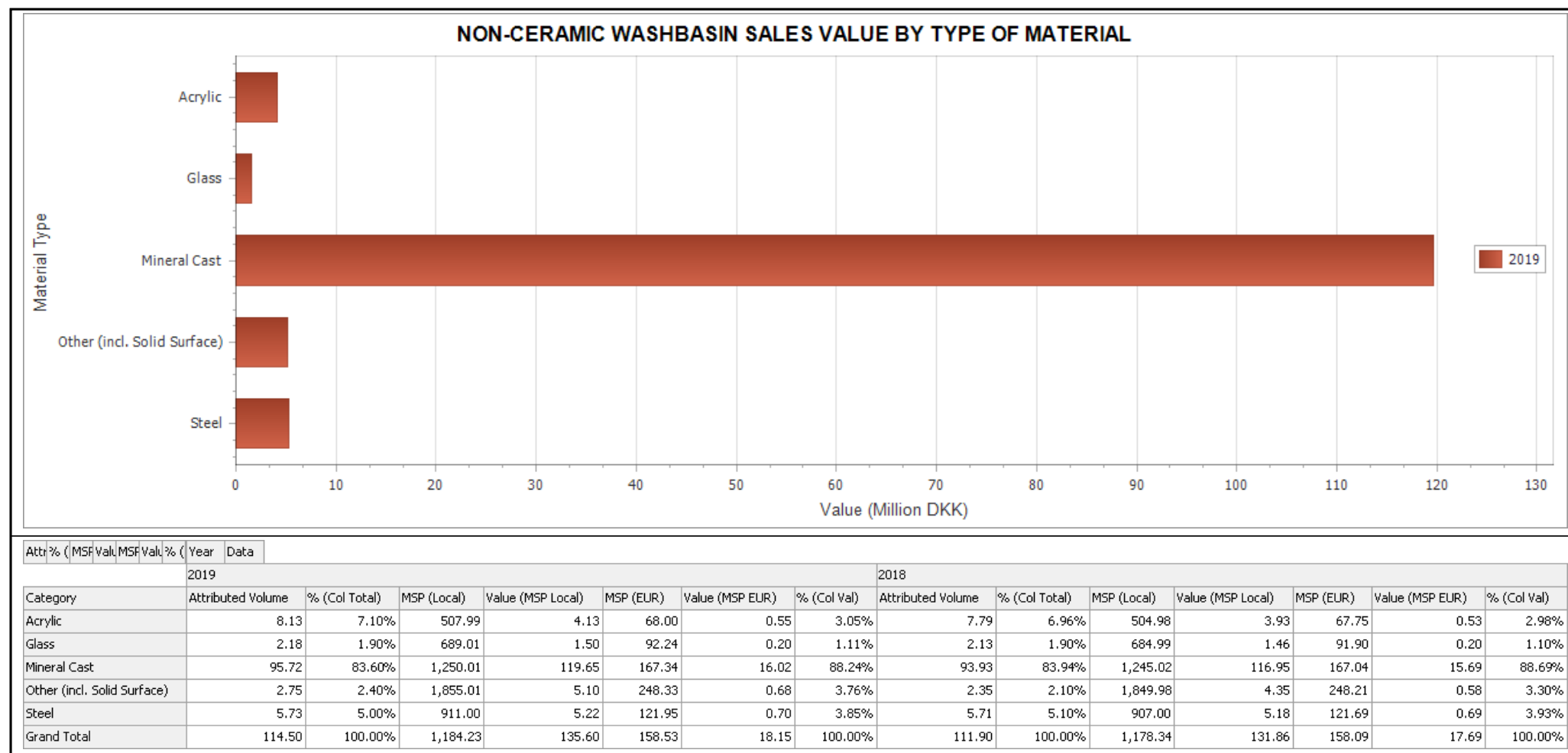
DK - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in DKK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

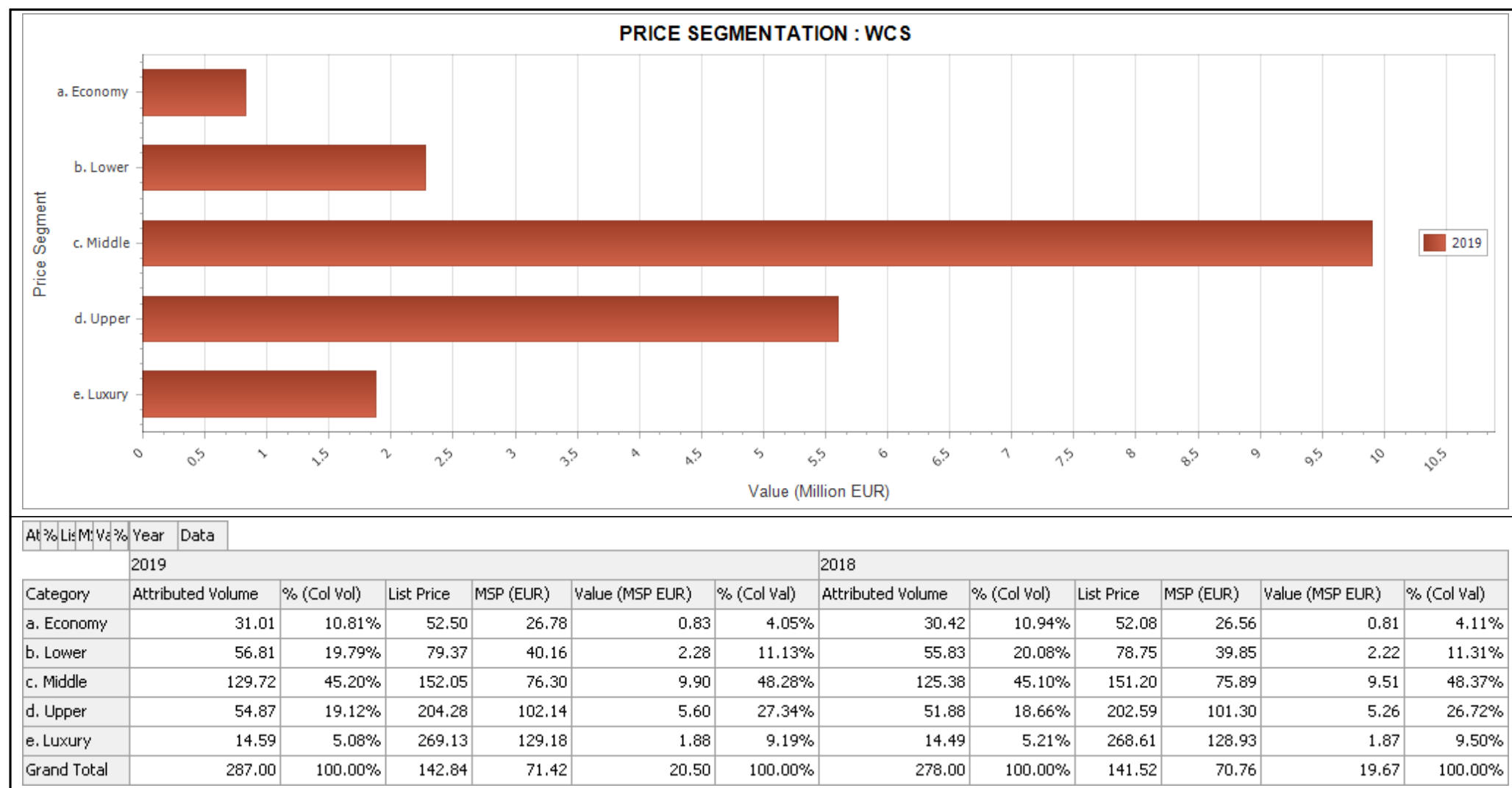
DK - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

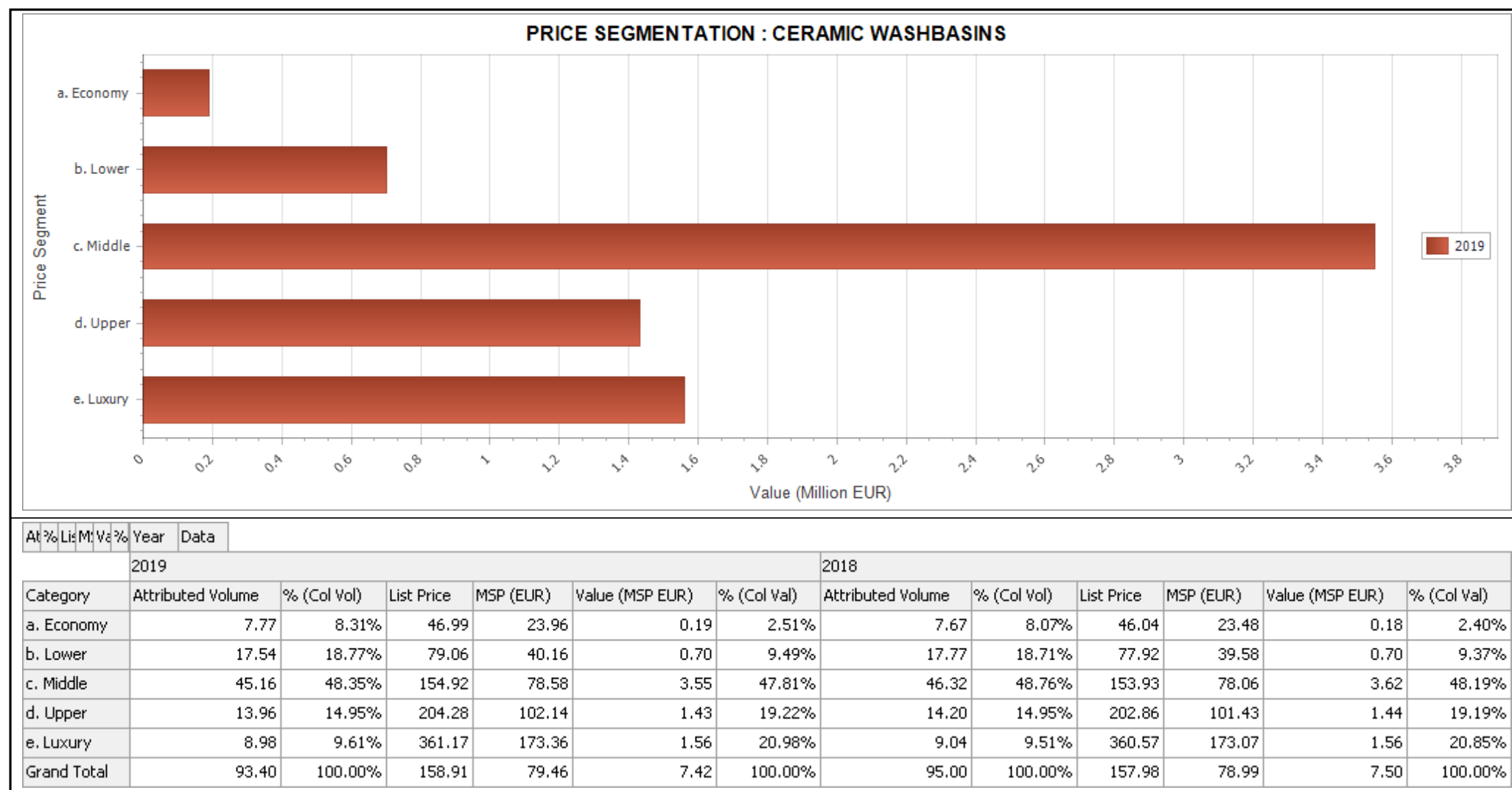
DK - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€50, Middle €50-€80, Upper >€80-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

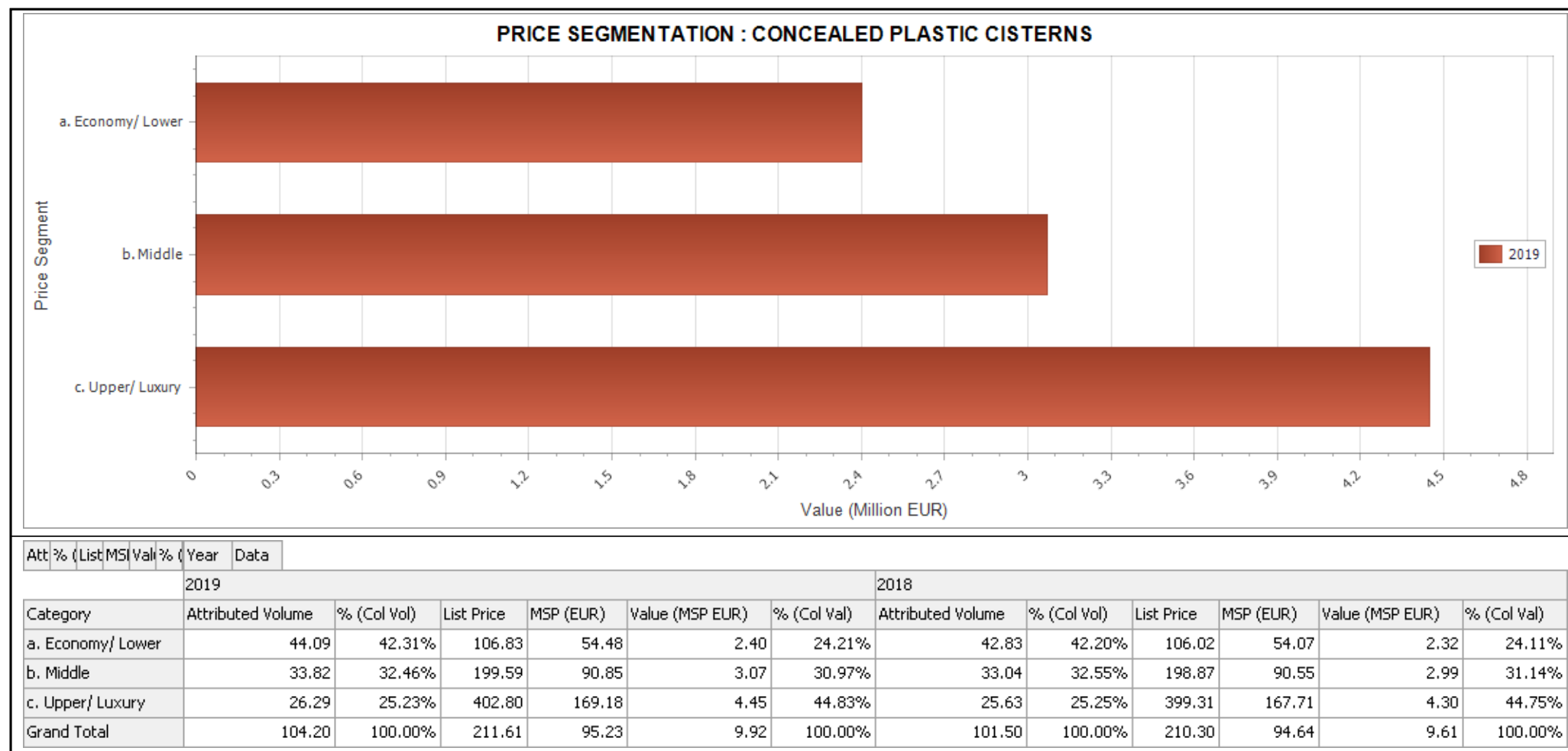
DK - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€45, Middle €45-€80, Upper >€80-€120, Luxury >€120

2.3.8 Price Segmentation : Concealed Plastic Cisterns

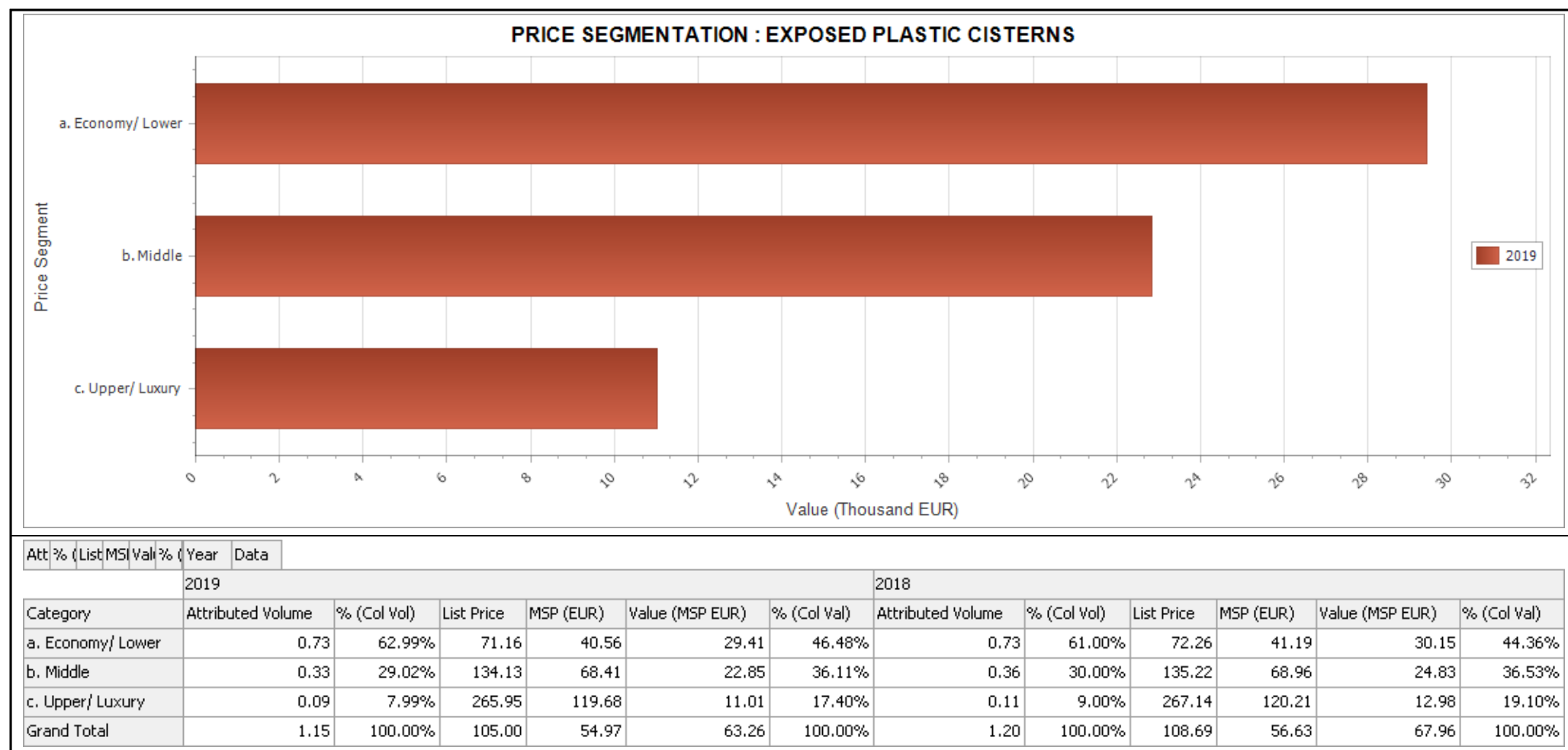
DK - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

2.3.9 Price Segmentation : Exposed Plastic Cisterns

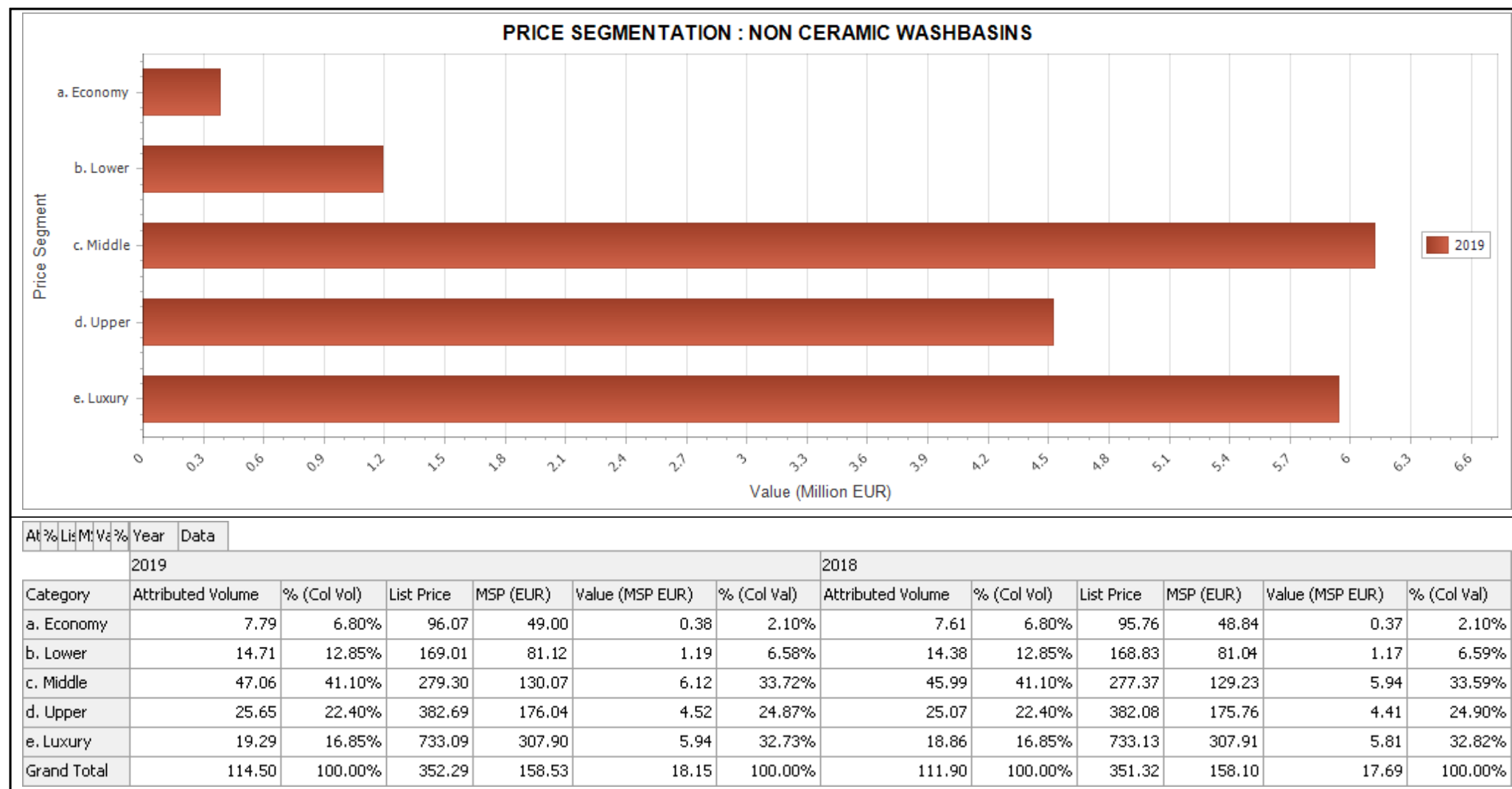
DK - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes and Values Shown in Thousands.
Economy/ Lower <€50, Middle €50-€80, Upper/ Luxury >€80

2.3.10 Price Segmentation : Non Ceramic Washbasins

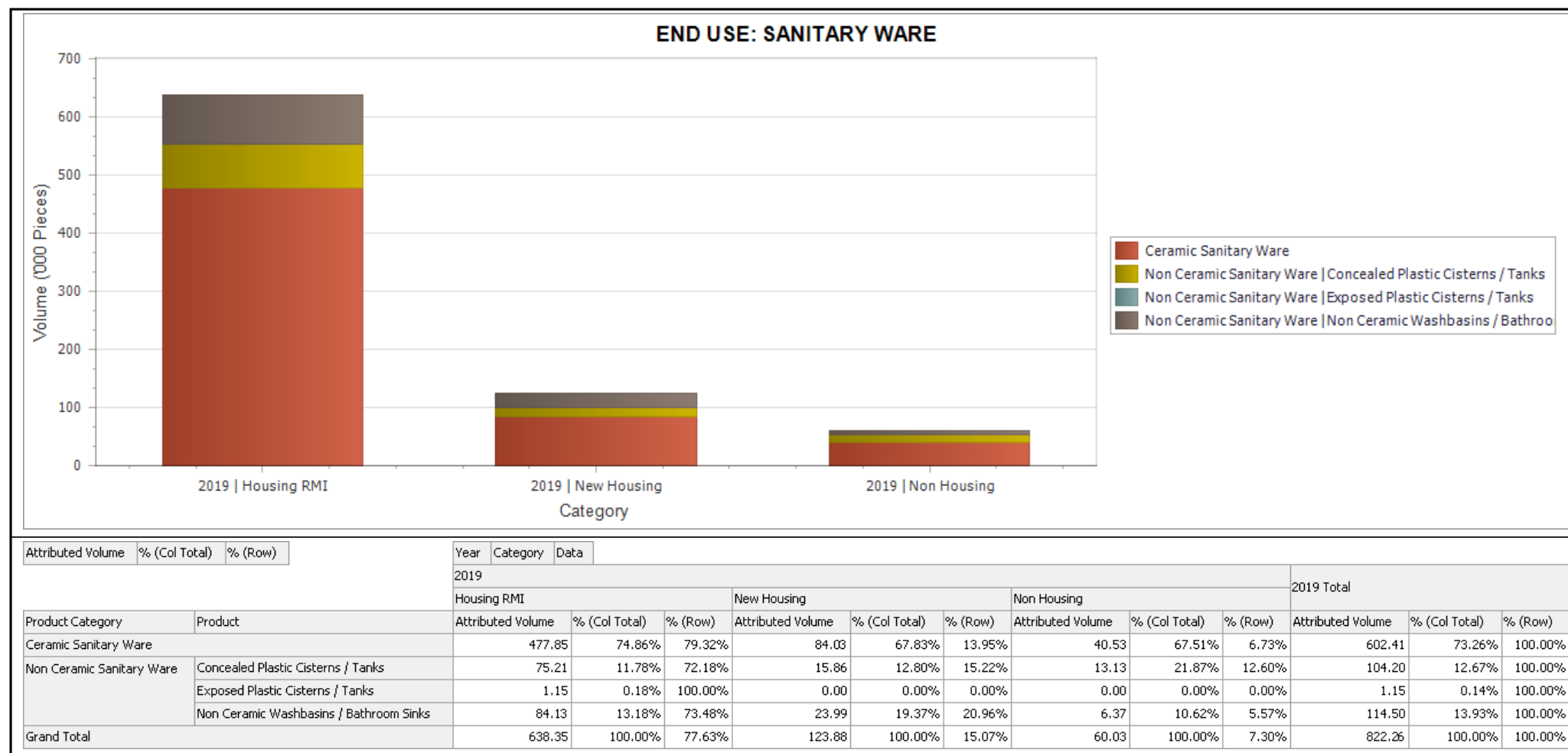
DK - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€150, Upper >€150-€200, Luxury >€200

2.4.1 End Use : Base Year

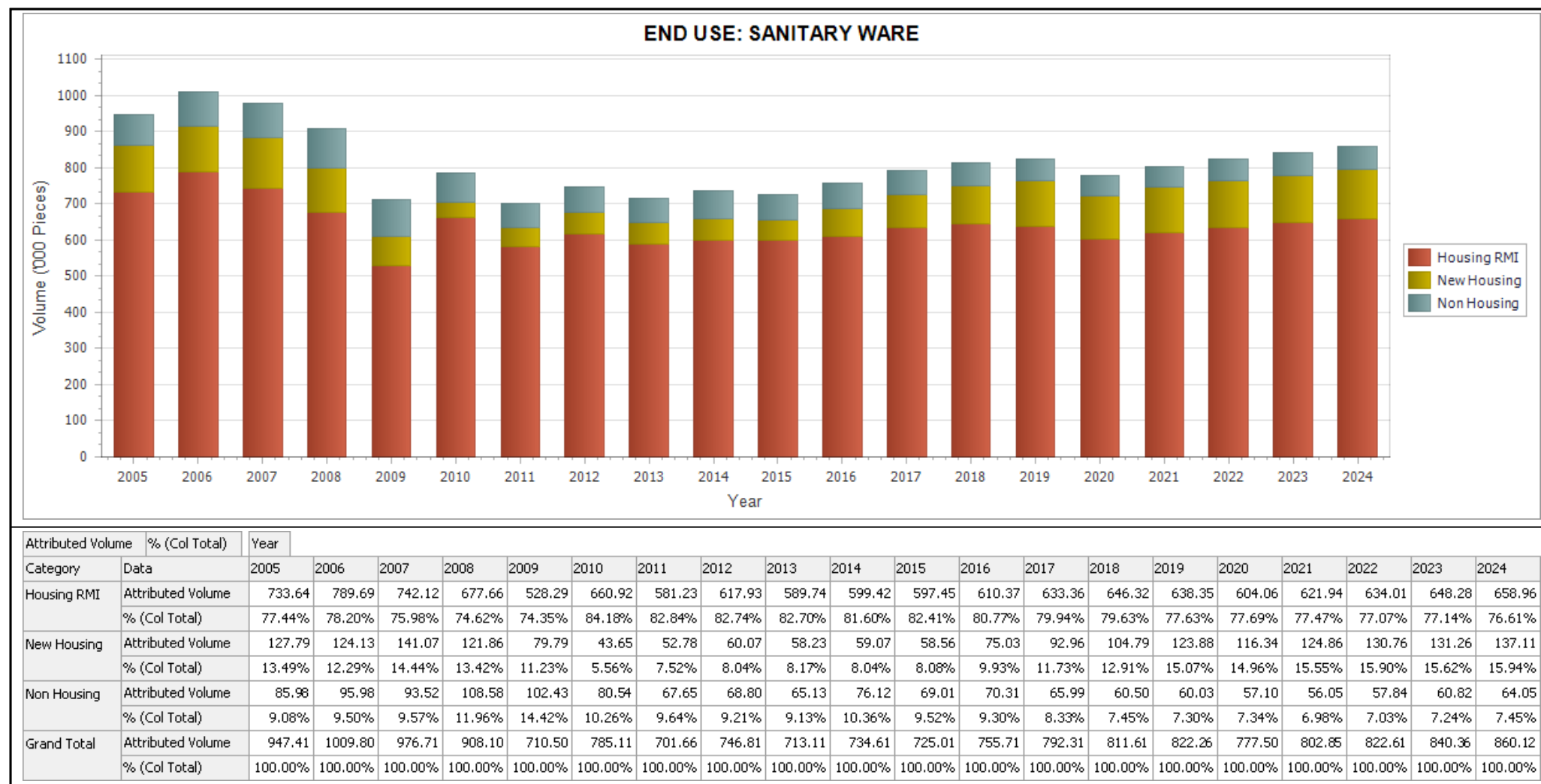
DK - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

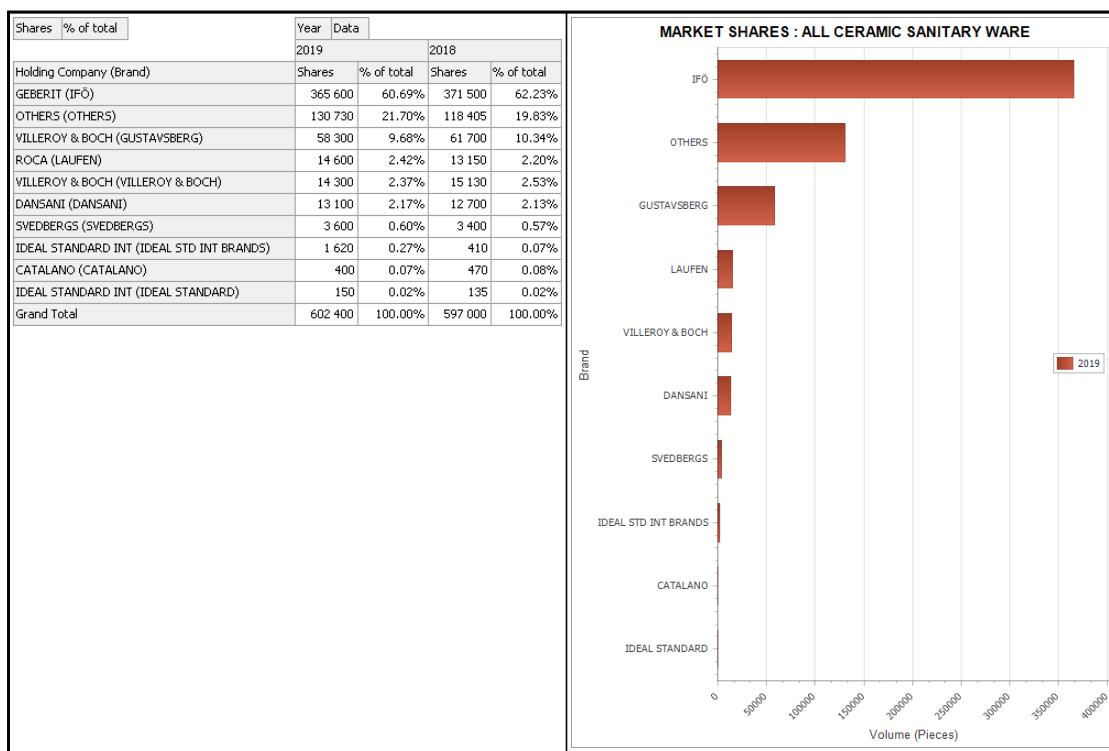
DK - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

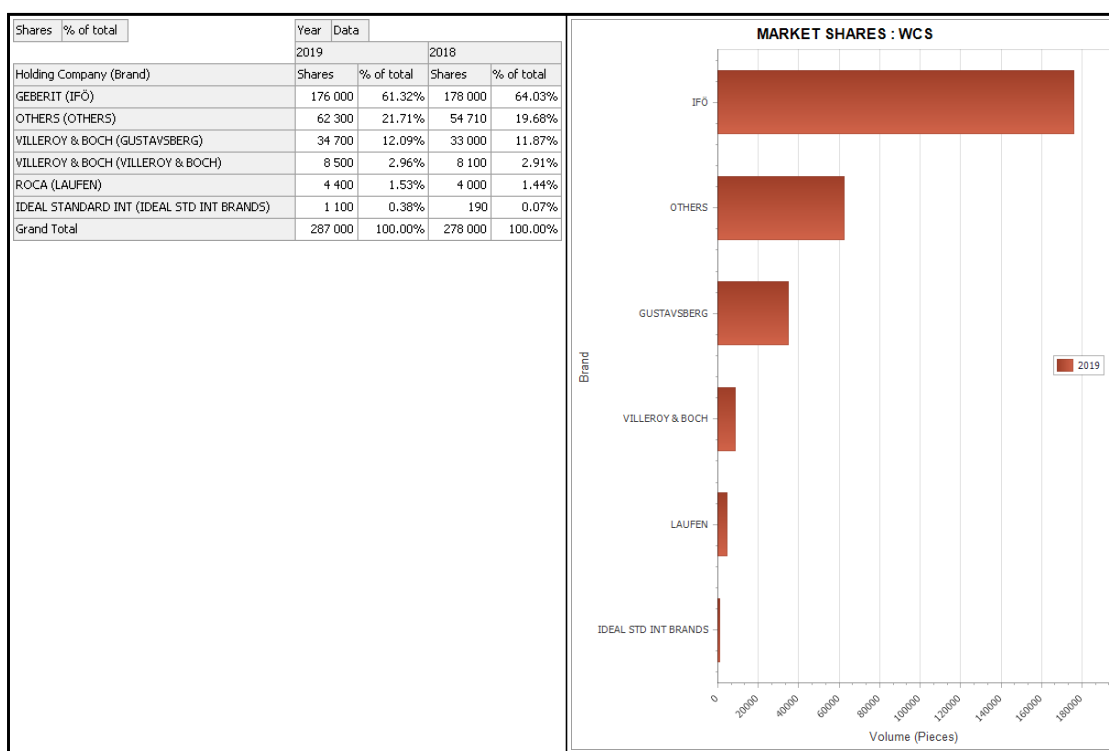
DK - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

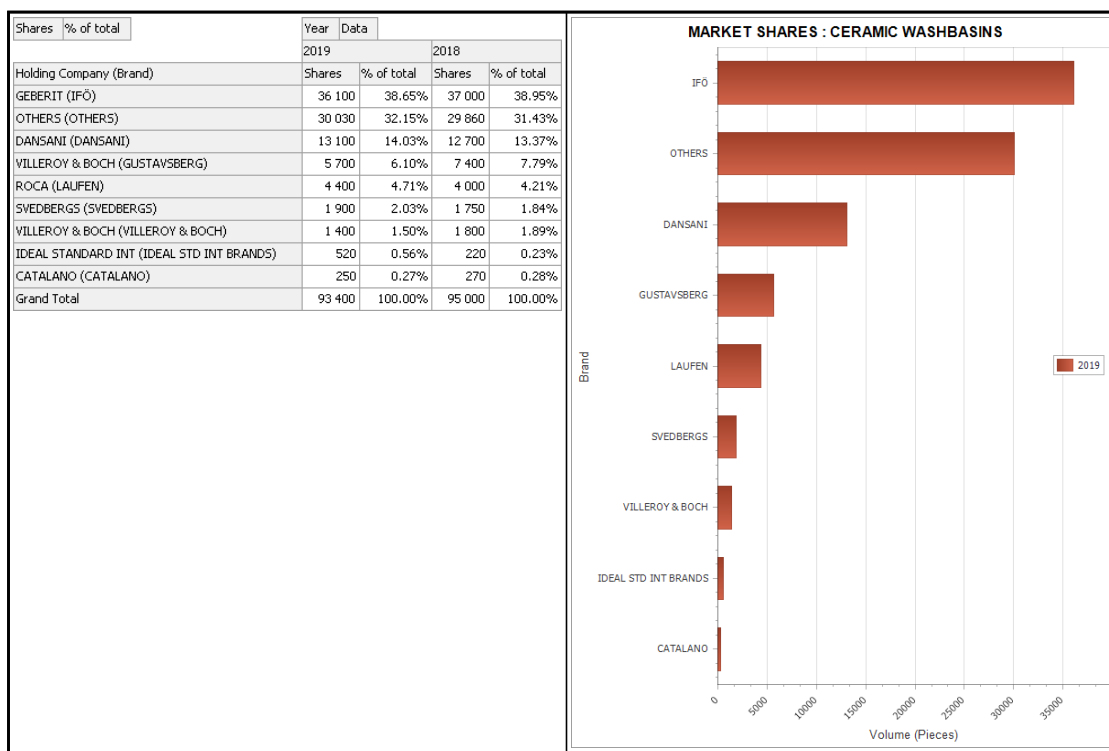
DK - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

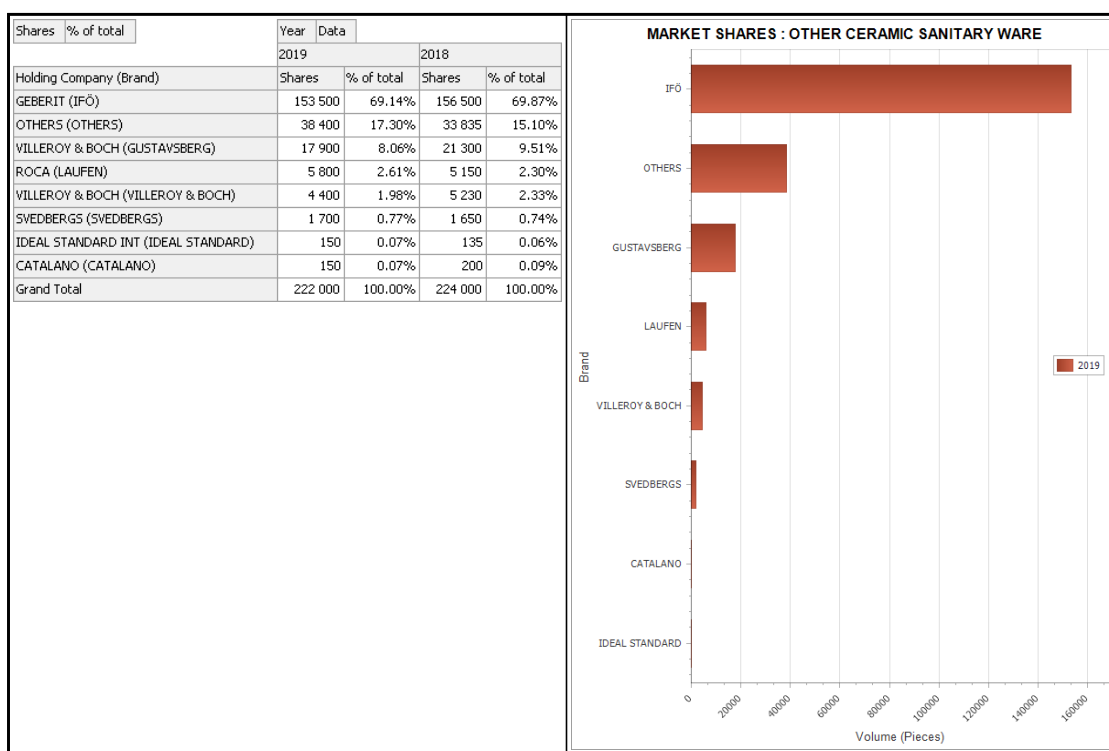
DK - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

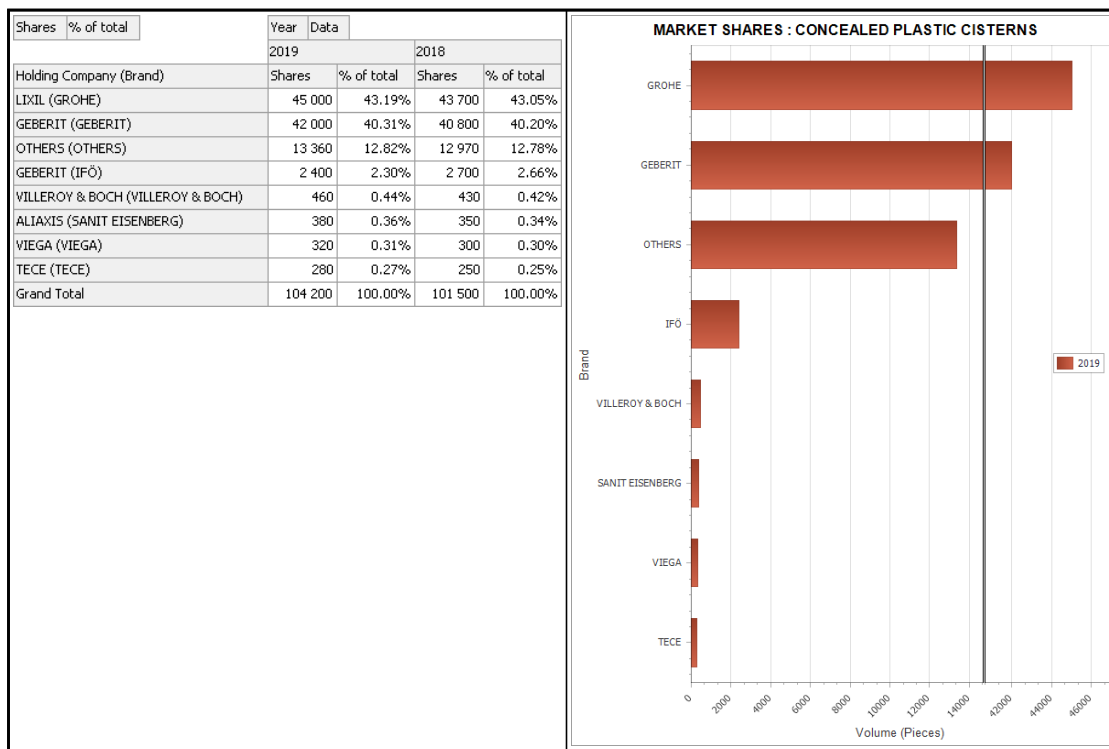
DK - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

DK - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1 DK - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	5 022	37.0%	23 506	47.2%	0	0.0%	26 516	54.7%
Czech Republic	3 582	26.4%	9 802	19.7%	0	0.0%	7 468	15.4%
Germany	1 804	13.3%	7 929	15.9%	0	0.0%	6 183	12.8%
China	1 330	9.8%	2 967	6.0%	0	0.0%	2 313	4.8%
Portugal	588	4.3%	929	1.9%	0	0.0%	1 683	3.5%
Poland	487	3.6%	750	1.5%	0	0.0%	301	0.6%
Norway	313	2.3%	1 811	3.6%	0	0.0%	1 364	2.8%
OTHERS	464	3.4%	2 124	4.3%	0	0.0%	2 607	5.4%
Total	13 589	100.0%	49 818	100.0%	0	0.0%	48 435	100.0%

Source : Trademap

2.6.2 DK - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Sweden	1 093	50.5%	4 550	34.1%	0	0.0%	4 144	33.5%
Germany	335	15.5%	2 885	21.6%	0	0.0%	1 617	13.1%
Finland	315	14.5%	1 418	10.6%	0	0.0%	1 314	10.6%
Norway	296	13.7%	2 893	21.7%	0	0.0%	3 004	24.3%
United Kingdom	37	1.7%	527	4.0%	0	0.0%	454	3.7%
Netherlands	25	1.2%	346	2.6%	0	0.0%	338	2.7%
OTHERS	62	2.9%	721	5.4%	0	0.0%	1 509	12.2%
Total	2 163	100.0%	13 340	100.0%	0	0.0%	12 380	100.0%

Source : Trademap

2.6.3 DK - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 637	77.2%	10 821	69.0%	0	0.0%	11 852	72.7%
Sweden	214	10.1%	1 901	12.1%	0	0.0%	2 572	15.8%
China	106	5.0%	784	5.0%	0	0.0%	534	3.3%
Netherlands	57	2.7%	920	5.9%	0	0.0%	417	2.6%
Czech Republic	31	1.5%	188	1.2%	0	0.0%	47	0.3%
OTHERS	75	3.5%	1 078	6.9%	0	0.0%	891	5.5%
Total	2 120	100.0%	15 692	100.0%	0	0.0%	16 313	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
DK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.3%
	Wholesalers / Merchants
	80.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.3%	5.2%	5.7%	11.7%	5.8%	14.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.5%		17.4%		20.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	34.0%	1.0%	4.0%	5.9%
Installers				
48.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	13.2%	8.1%	12.5%	13.3%	46.2%	0.0%	1.5%	0.4%	0.9%	1.3%	2.6%
	Residential						Non-Residential					
	93.3%						6.7%					

New Build				Residential RMI			
13.9%				79.3%			
Project		Non-Project		Project		Non-Project	
11.9%		2.1%		7.1%		72.2%	

New Build				Non-Residential RMI			
4.7%				2.0%			
Project		Non-Project		Project		Non-Project	
3.7%		1.0%		1.3%		0.7%	

2.7.2

Route to Market: Ceramic Sanitary Ware
DK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.1%
	Wholesalers / Merchants
	79.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.3%	6.0%	6.7%	12.6%	5.0%	13.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.3%		19.3%		18.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	33.7%	1.1%	3.8%	5.4%
Installers				
47.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	11.8%	9.7%	14.8%	12.2%	45.1%
	Residential					
	93.5%					
New Build			Residential RMI			
14.4%			79.1%			
Project	Non-Project		Project	Non-Project		
12.3%	2.2%		7.1%	72.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.3%	0.5%	0.7%	1.1%	2.9%
Non-Residential					
6.5%					
New Build			Non-Residential RMI		
4.5%			1.9%		
Project	Non-Project		Project	Non-Project	
3.5%	1.0%		1.3%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

DK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

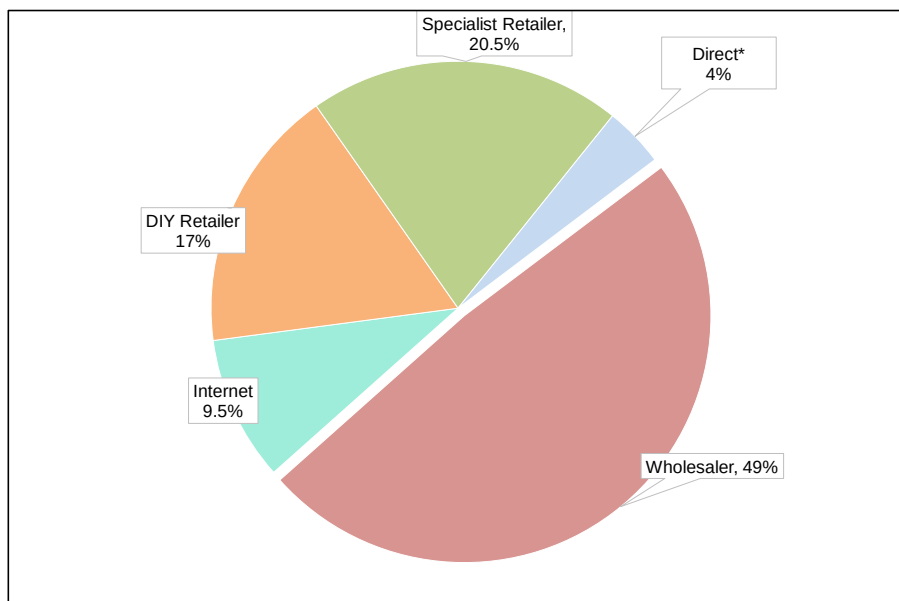
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.7%	9.5%	17.4%	20.5%	3.9%	19.0%	5.0%	74.3%	1.7%
100%					24.0%		76.0%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

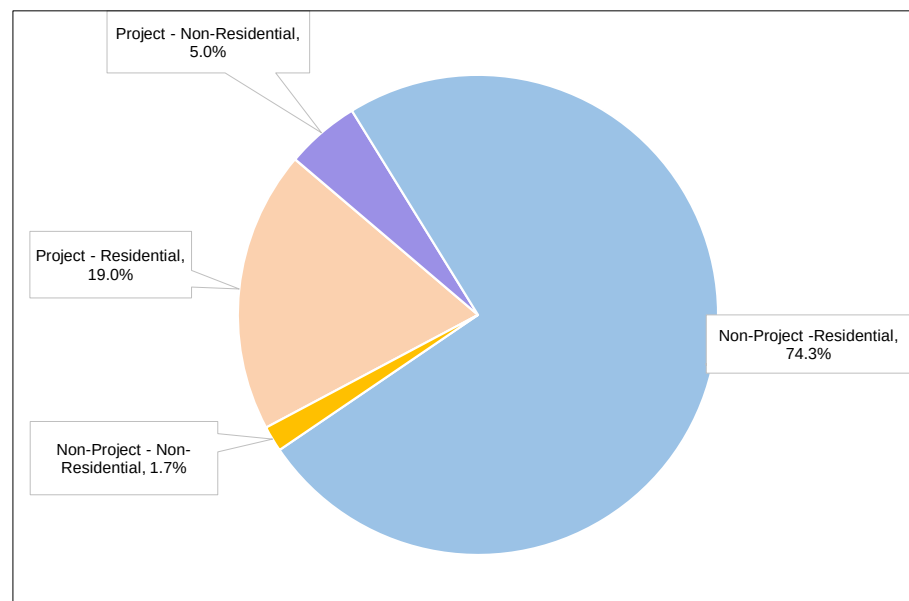
DK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.8%	11.3%	19.3%	18.7%	3.9%	19.4%	4.8%	74.1%	1.7%
100%					24.2%		75.8%	

DK - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
DK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.8%
	Wholesalers / Merchants
	80.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.8%	3.5%	5.2%	10.0%	4.5%	19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.3%		15.2%		23.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.7%	46.0%	0.5%	1.0%	5.9%
Installers				
59.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	1.8%	6.0%	12.9%	17.6%	49.2%	0.0%	0.5%	0.8%	1.3%	0.0%	9.9%			
	Residential						Non-Residential								
	87.5%						12.5%								
New Build				Residential RMI				New Build				Non-Residential RMI			
15.1%				72.5%				8.7%				3.7%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
12.8%		2.3%		6.5%		66.0%		6.8%		1.9%		2.4%		1.3%	

2.7.6 Route to Market: Plastic Cisterns
DK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.4%
	Wholesalers / Merchants
	79.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.0%	3.3%	5.5%	10.0%	4.9%	18.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.3%		15.5%		23.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	45.5%	0.6%	1.0%	5.9%
Installers				
53.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
	5.2%	1.4%	6.8%	13.2%	17.8%	41.7%	0.0%	0.4%	0.9%	1.3%	0.0%	11.3%	
	Residential						Non-Residential						
	86.1%						13.9%						
	New Build			Residential RMI				New Build			Non-Residential RMI		
	17.1%			69.0%				9.8%			4.2%		
	Project	Non-Project		Project	Non-Project			Project	Non-Project		Project	Non-Project	
	14.5%	2.6%		6.2%	62.8%			7.6%	2.1%		2.7%	1.5%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

DK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

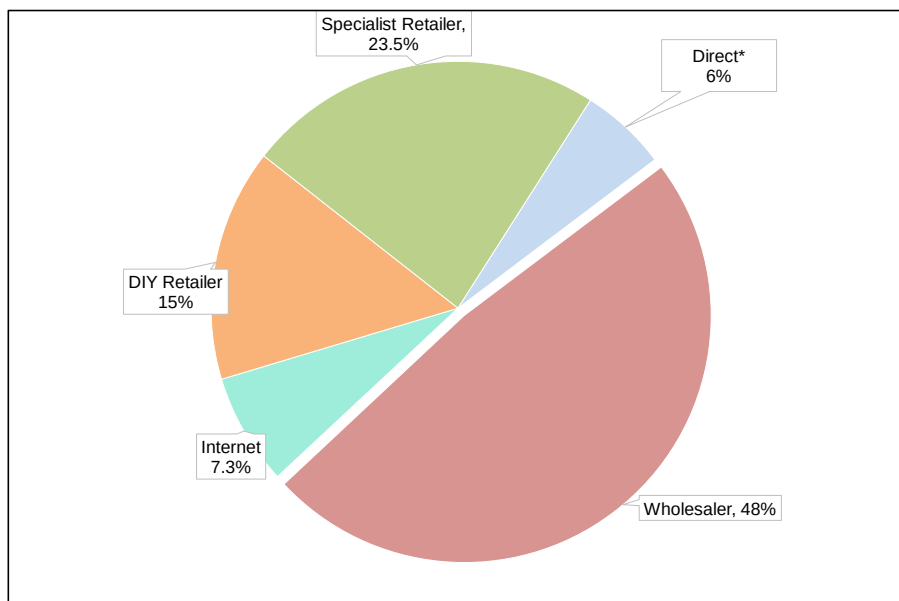
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.3%	7.3%	15.2%	23.5%	5.7%	19.3%	9.2%	68.2%	3.2%
100%					28.6%		71.4%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

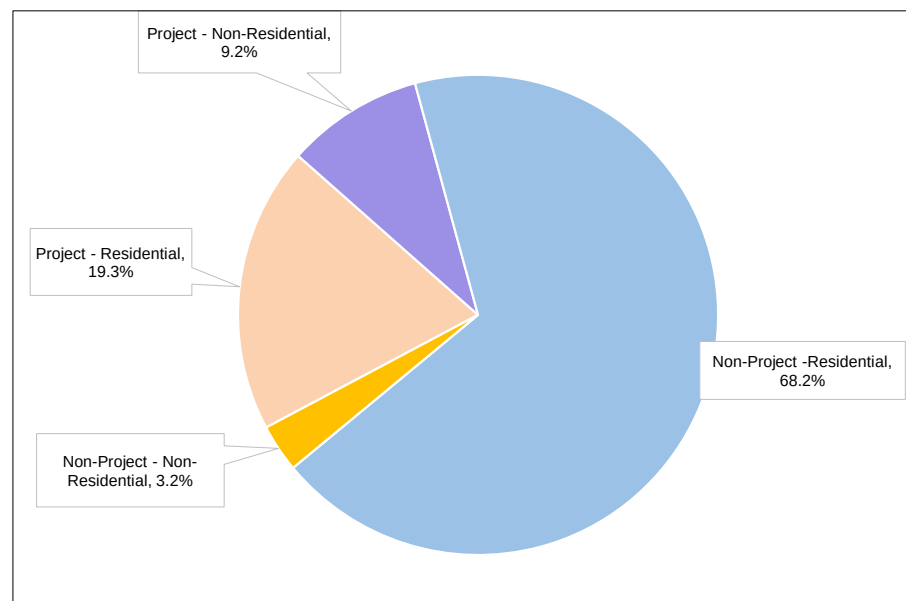
DK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.3%	8.3%	15.5%	23.7%	5.2%	20.7%	10.3%	65.3%	3.6%
100%					31.0%		69.0%	

DK - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



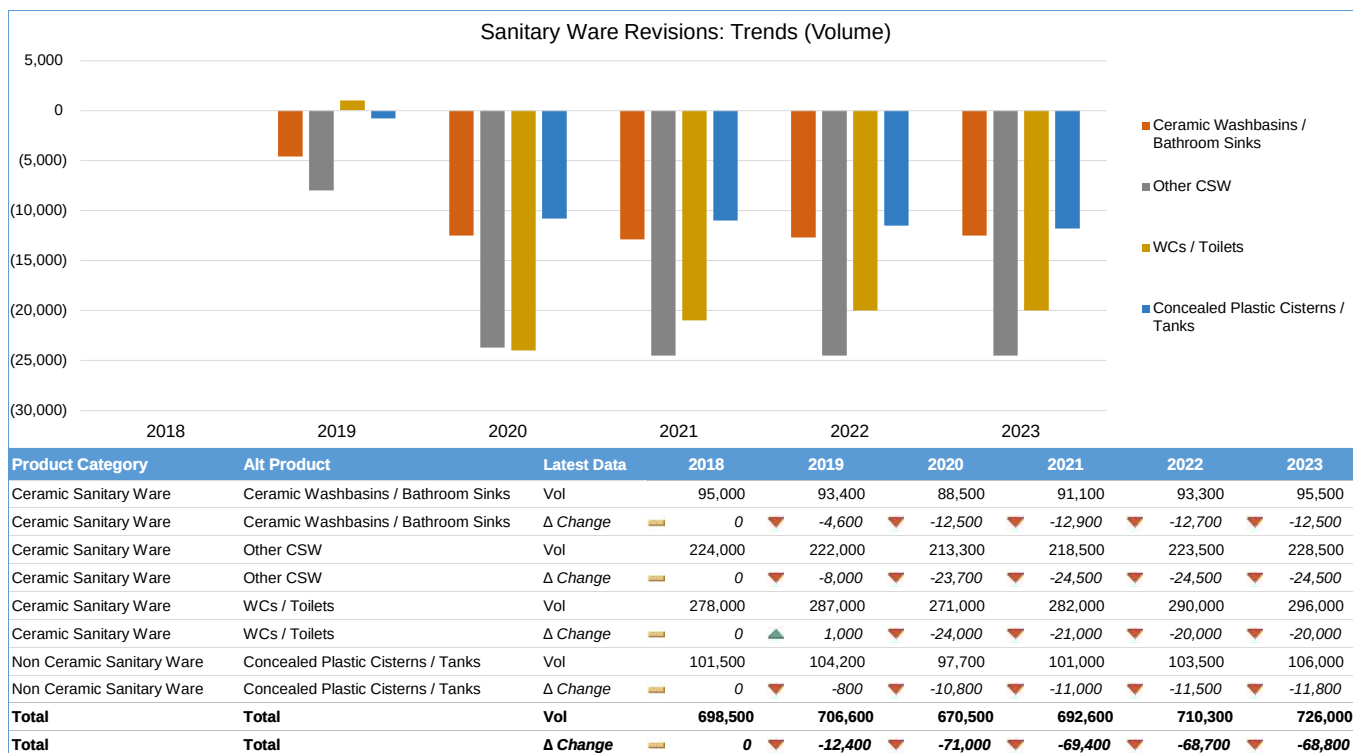
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Danish Sanitary Ware Market (July 2020)

DK - REVISIONS IN THE DANISH SANITARY WARE MARKET

Data Comparison: July 2019



Market sizes for ceramic washbasins, other CSW, WCs, and concealed plastic cisterns were adjusted slightly down in 2019, due to industry feedback showing an overestimation of sales in 2019 stemming largely from weaker housing RMI demand than previously expected.

DENMARK

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Danish taps and mixers market has long been dominated by one head mixers, although thermostatic mixers has gained substantial market share in recent years. Still small in comparison to the former, the electronic models are developing quite well. Basins have historically been the most popular installation point, with showers and kitchens sharing strong importance also. Other categories such as bidets and baths remain relatively marginal, as bidets and baths are historically unpopular in Denmark. In the past, almost all taps were exposed installations, although concealed taps have been growing in popularity over the last few years.

The popularity of showers has meant that thermostatic taps have a higher share in Denmark's product mix than in most European markets, and are set to continue increasing in popularity, along with concealed models.

The traditional market drivers of taps and mixers are consumer expenditure and sustained increases in levels of discretionary replacements, as well as non-housing and new housing construction levels. Consumer preference for new technologies has led to the rapid integration of new products, such as electronic mixers, which have seen rapid growth over the last few years. Electronic taps have gained a larger market share in recent years, and the outbreak of COVID-19 is predicted to affect the market positively over the forecast period.

In terms of distribution, wholesalers are by far the largest distribution channel, although the taps market has the highest share of internet and DIY sales of all Danish bathroom products, due to the popularity of the low-cost segment and the push from many main manufacturers to enter these channels.

Recent Market Trends

The taps and mixers market continued its positive trend in 2019. The overall market was once again driven by the increase in sales of one head washbasin mixers and thermostatic shower mixers. Distress replacement sales contributed significantly, yet again, to the growth of the overall taps and mixers market. A stable economy along with good consumer consumption proved to be additional drivers for the overall market as well as the good performance of apartment construction and hotel renovations. The kitchen taps and mixers market saw organic growth in 2019, after a small decrease in 2018. The kitchen taps and mixers market proved to be a key driver for the overall taps and mixers market, despite being considerably smaller than the sanitaryware market. Electronic tap sales continued to increase in 2019 with the uptake on the residential side continuing to be very minimal; however, consumers are becoming more interested in this product solely due to hygienic reasons. As the technology for this product evolves the market will continue to grow also.

As mentioned previously, sales of electronic mixers to the residential sector remain marginal but are expected to gradually increase over the forecast period, due to the effect of the COVID-19 crisis and a shift in consumer trends, towards a contactless tap for example.

Unlike other bathroom products, the tax deduction scheme on home improvements, *Boligjobordningenen*, has limited effect on the taps and mixers market as these products are considered too low-cost for it to be worth the time and effort necessary to apply for this funding. Taps and mixers are also more suited to private DIY, reflected in the relatively large share of sales stemming from DIY retailers when compared to other bathroom products. Nevertheless, Danish consumers tend to choose well-known brands and quality over low-cost products when replacing old taps and mixers. Sales of taps and mixers to the professional market have been positively influenced by very strong demand from housing RMI and the new construction sectors. The economic crisis has had an impact on product preference in Denmark, as restricted incomes over the course of the global recession have led consumers to be less interested in, and even sometimes frown upon, fashion-oriented discretionary replacements. With the economy stabilising it has become a common trend for consumers to purchase taps and mixers towards the higher end of the market, such as those from design brands like VOLA which specialise in luxury taps. The proportion of concealed taps on the Danish market continued to grow in 2019, particularly in relation to showers, reflecting a more aesthetically conscious market which prefers to spend more on a minimalist look for their bathroom when undertaking distress replacements.

Prices and Market Values

Average MSPs remained relatively stable across all taps and mixers product segments in 2019, as consumer preference continued to shift towards more quality high-end products, and with a lot of the sales coming from the internet and DIY channels in 2019, these in turn put pressure on prices on products. The lower and middle price segments continued to represent the bulk of sales for the vast majority of the applications; however, taps and mixers sold in the upper segment have been growing in popularity in the last few years which has been aided with the internet channel being very good in selling high-end products which has benefited some manufacturers.

The share of sales distributed via DIY and internet retailers saw an increase in 2019 with wholesalers being extremely flat due to the Internet setting new low prices in all product segments and the DIY channel pressuring the wholesaler, subsequently leading to the wholesaler's margin decreasing. In line with the growing volume sales, the total market value continued to increase in both EUR and DKK; however, with the two head mixers in both bathrooms and kitchens declining, as well as self-closing, subsequently the value for these segments decreased in 2019.

New Housing

The volume sales of taps and mixers within the new housing segment recorded good growth in 2019 for both sanitary and kitchen, with the surge in dwelling completions being the key driver for growth. Despite the positive development seen in 2019, the new housing market still only accounts for a minority share of the total market for taps and mixers. Sales of one head mixers continued to dominate total sales into the new housing sector, as the total sales of washbasins and kitchen sinks continued to experience good growth in 2019. Thermostatic mixers recorded strong growth in 2019 into this sector which was largely down to the strong performance of new apartment completions where showers are more common. The share of two head mixers and self-closing taps remained negligible in the new housing segment in 2019; however, electronic continued to see good growth, following on from the positive performance attributed in 2018. It is also worth noting that electronic automated mixers are gaining ground in one- and two-family dwellings, where they are advertised as water-efficient and hygienic, two elements that appeal to family households in particular.

Housing RMI

Sales of taps and mixers within the housing RMI sector continued their positive trend in 2019. The main drivers for the growth were the heightened number of distress replacement sales. This led to an increase in the number of taps and mixers sold with washbasins and kitchen sinks. Due to the persisting dominance of pure replacement sales, compared to full renovation sales, a significant percentage of the housing RMI market is made up of sales going directly to end customers, through DIY, specialist or internet retailers. Housing RMI demand for taps and mixers is expected to consist of steady growth throughout the forecast period, with the exception of 2020, with demand stemming from like-for-like replacement sales (taps and mixers sold without a washbasin/shower). The decrease in 2020 is due to the overall negative market trend mainly negatively affected by the outbreak of COVID-19. In terms of product mix, one head mixers continued their dominance on the market, followed by thermostatic mixers which saw their growth increase, following the consumer preference for these products in shower installations. Two head mixers declined in this sector, in line with its overall declining trend and are expected to continue losing share over the forecast period.

Non-Housing

Sales of taps and mixers in the non-housing sector contribute to a significant share of the overall taps and mixers market. Historically, sales of taps and mixers to this end-use segment have remained relatively stable because of the large share of demand stemming from replacement or maintenance sales. As for the residential market, this is a major stabiliser and helps to preserve the large volumes sold each year.

Demand for taps and mixers in the non-housing segment increased in 2019, thanks to a lot of renovations of hotels and construction of these also. Most sales of taps and mixers in this end-use sector continued to be used together with washbasins, kitchen sinks and bidets. As in the residential market, one head mixers are the most common type of mixer sold, but sales of self-closing and electronic taps and mixers have gradually increased over the last decade. However, sales of self-closing taps are expected to continue declining as they become incredibly unfavourable. The penetration of thermostatic mixers, which are used with showers and baths, is rather low in the non-residential sector, and such models can be mostly found in hospitality, health and sports buildings.

Supply Structure

Despite a strong brand tradition and a preference for high quality products, private labels have increased their presence in the Danish mixer market in the past decade. The majority of the supply is imported, with very little self-production left in the country except VOLA.

FM MATTSSON MORA GROUP acquired DAMIXA in 2014 and this made them the market leader for most Scandinavian markets, across almost all price segments.

GROHE is present in Denmark through its commercial subsidiary and Nordic headquarters GROHE A/S. The company sells mainly through wholesalers. KLUDI is also present and sells through specialist retailers.

IDEAL STANDARD's BØRMA brand is targeted at the higher price segment, while IDEAL STANDARD targets the more standard price range; the company sells only through wholesalers.

VOLA is a smaller player, consisting mainly of designer products. The company is a supplier of concealed and self-closing electronic mixers. It sells mainly outside the wholesale distribution channel, to the non-housing segment. Despite being a smaller player and a niche, VOLA has had good development and with the economy in market being quite high, there is high demand for design brands such as VOLA.

The significant share of 'Other' suppliers is largely comprised of the supply through the DIY sector, as well as a large number of brands sourced directly from manufacturers or agents/importers and sold directly via the Internet and specialist distributors. The category of 'Others' also includes suppliers of full bathroom product ranges that sell small quantities of mixers; examples include SVEDBERGS, HAFA and NORO. IKEA is also present on the market and included under the category 'Others'.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Demand for taps and mixers in Denmark is expected to be negative in 2020 due to the overall effect that COVID-19 crisis is predicted to have on both the residential and commercial market. The main driver for this decline is housing RMI and this end use category is expected to experience a significant decrease in 2020. The uncertainty of the market is expected to negatively affect the consumers' willingness to renovate their house, which will make the RMI sales decline.

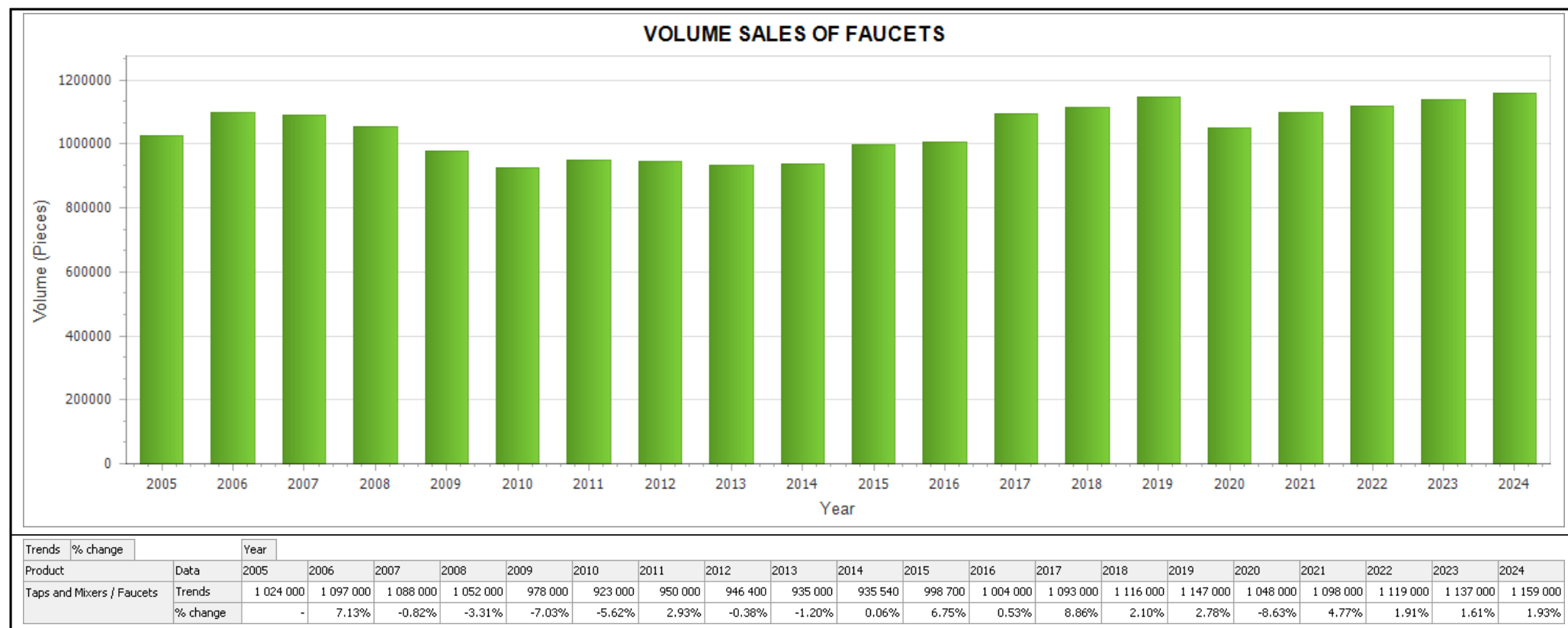
The outlook on 2021 onwards are more positive the market should benefit from the performance of housing RMI as consumer consumption looks set to remain largely positive over the forecast period, whilst the non-housing segment is expected to be relatively flat as construction is expected to wane a bit.

Projected growth in private consumption and consumer confidence should further stimulate the market. With expected increasing sales of washbasins, sales of one head mixers are expected to continue to take up a larger share of the market in 2021. The increasing consumer preference towards showers in the country should also result in heightened volume sales of thermostatic mixers.

Sales of both sanitary and kitchen taps and mixers are expected to remain positive over the forecast period with an increase in total sales each year from 2021 onwards. The outlook at new housing completions are positive, which will make sales to this end use sector increase from 2021 onwards, albeit at a slower pace than prior to 2020. This in turn will lead the market to become dependent on renovation, making the housing RMI segment a significant key driver for growth and determining influencer which direction the market goes in. In terms of product mix, electronic taps are expected to grow, pushed by changing attitudes towards water conservation and new technologies. Thermostatic mixers should continue their upward trend over the forecast period, due to the national preference towards showering. The internet channel for this market is likely to be the fastest growing distribution channel, allowing for a greater variety of products to be sold, and it is likely to bring new marketing opportunities to take advantage of the greater consumer focus on water conservation.

3.2 Historical Trends and Forecasts : Taps and Mixers

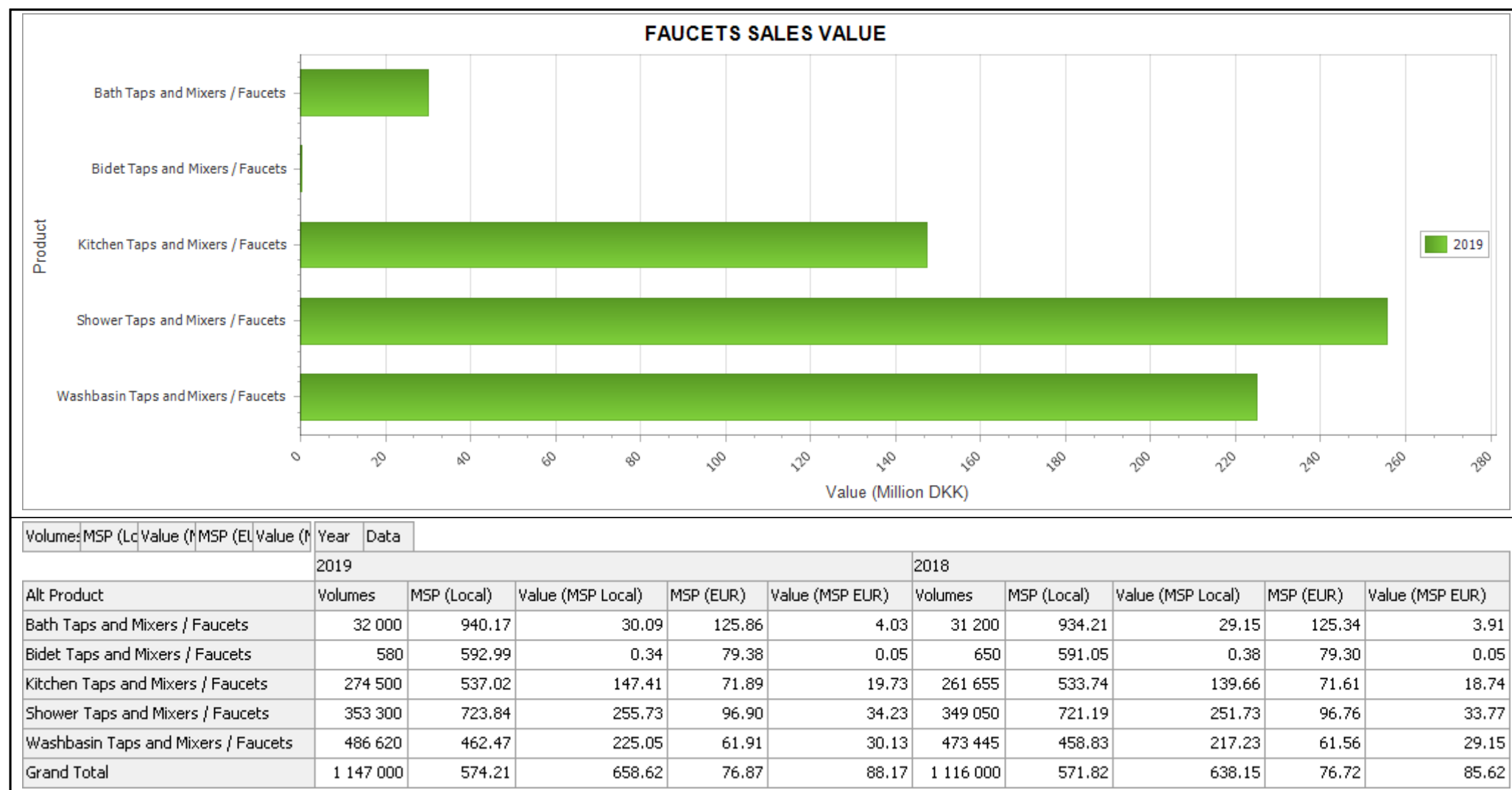
DK - SUMMARY OF TRENDS IN THE FAUCETS MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

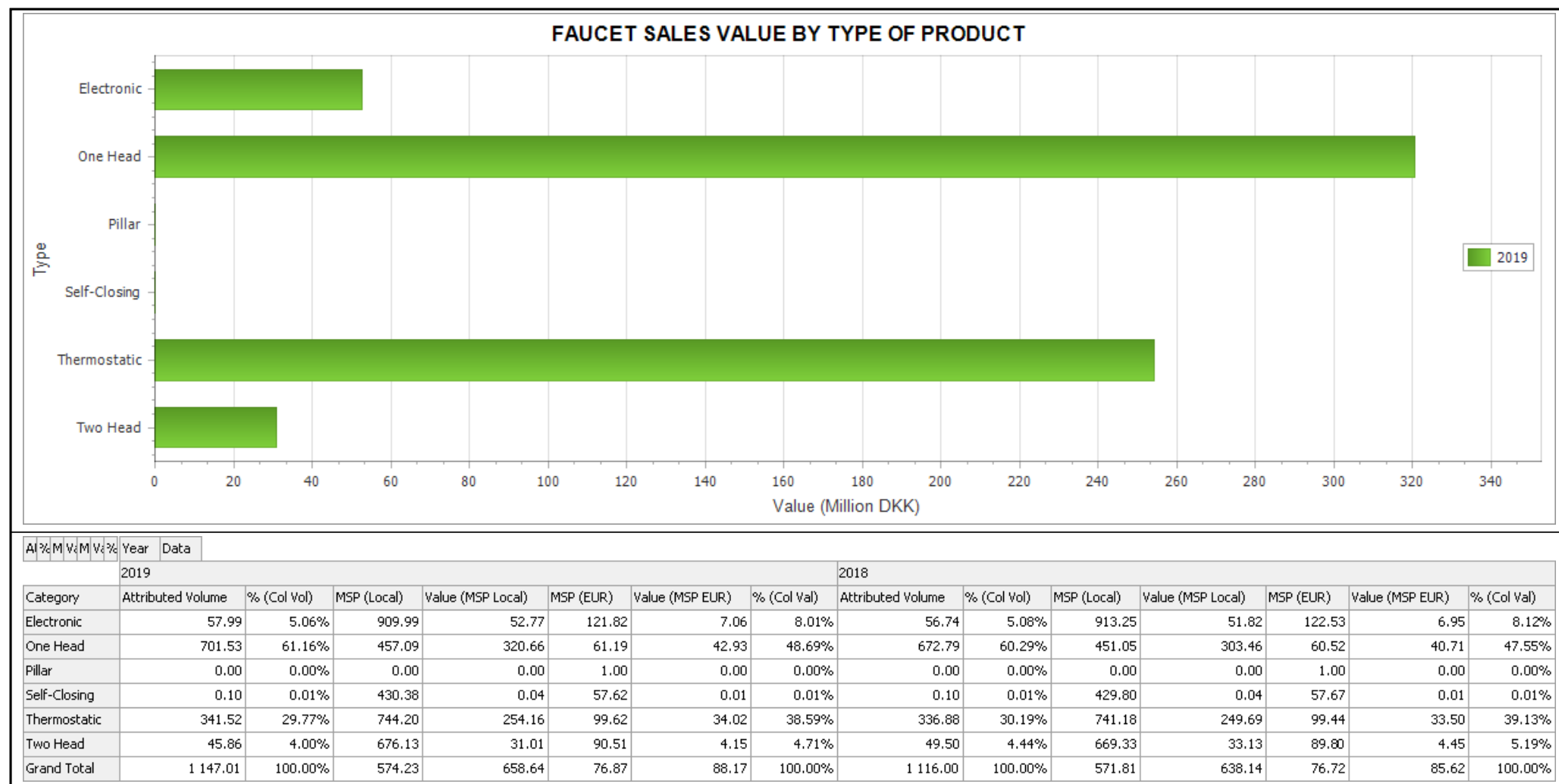
DK - ESTIMATED VALUES OF THE FAUCETS MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps and Mixers

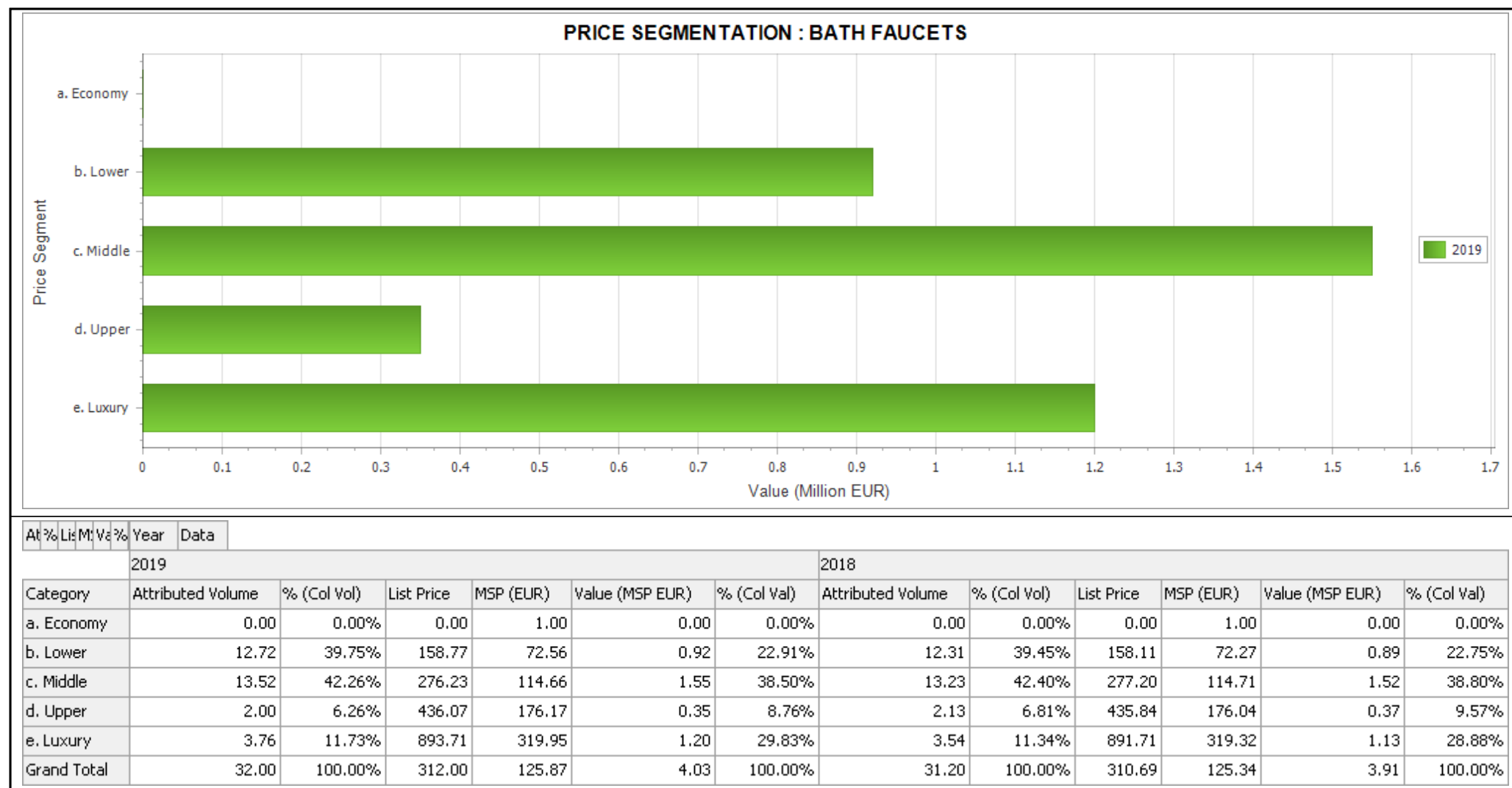
DK - ESTIMATED VALUES OF THE FAUCET MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in DKK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

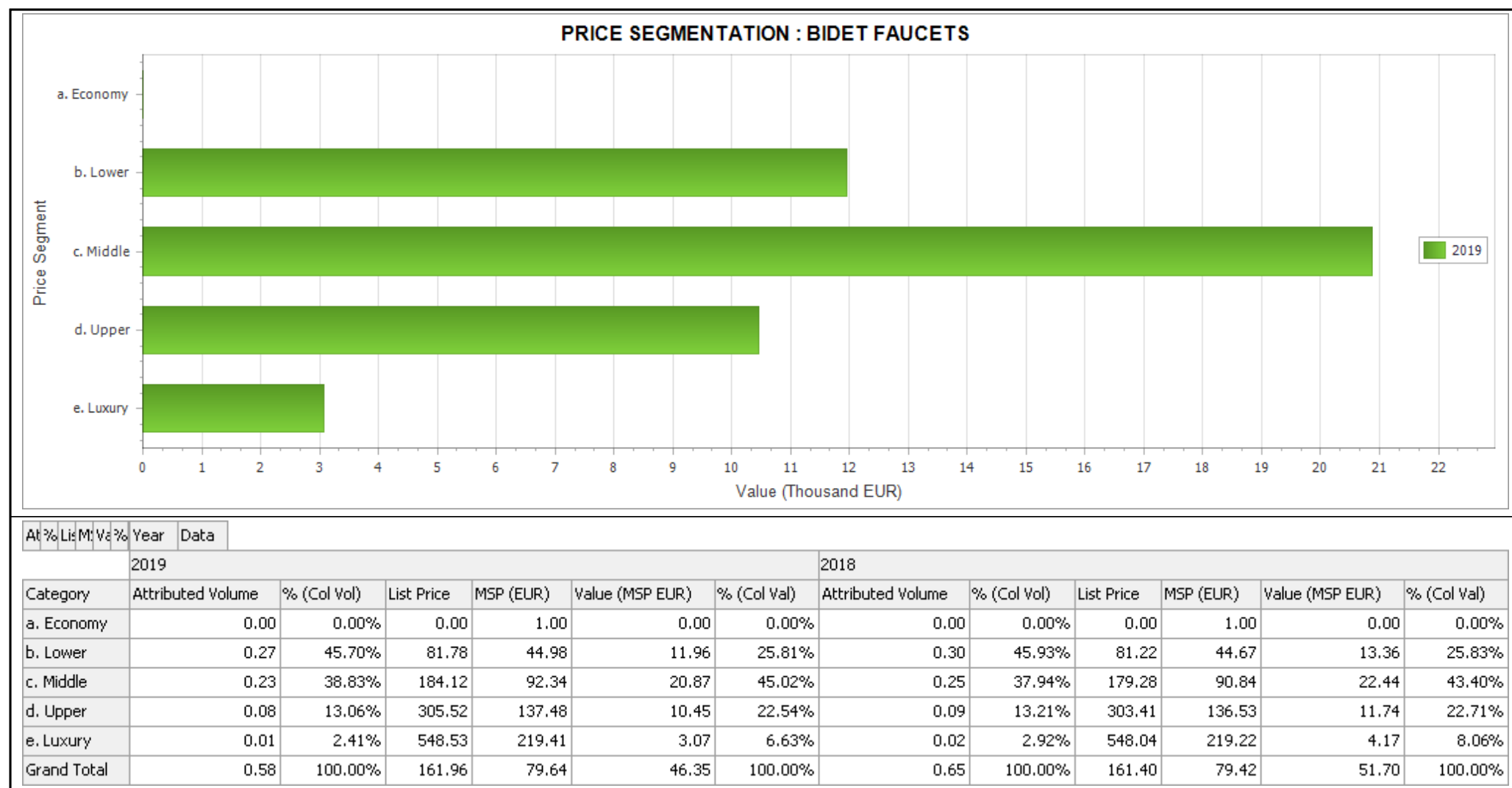
DK - ESTIMATED PRICE SEGMENTATION FOR BATH FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€50, Lower €50-€80, Middle €80-€120, Upper €120-€200 and Luxury >€200

3.3.4 Price Segmentation : Bidet Taps and Mixers

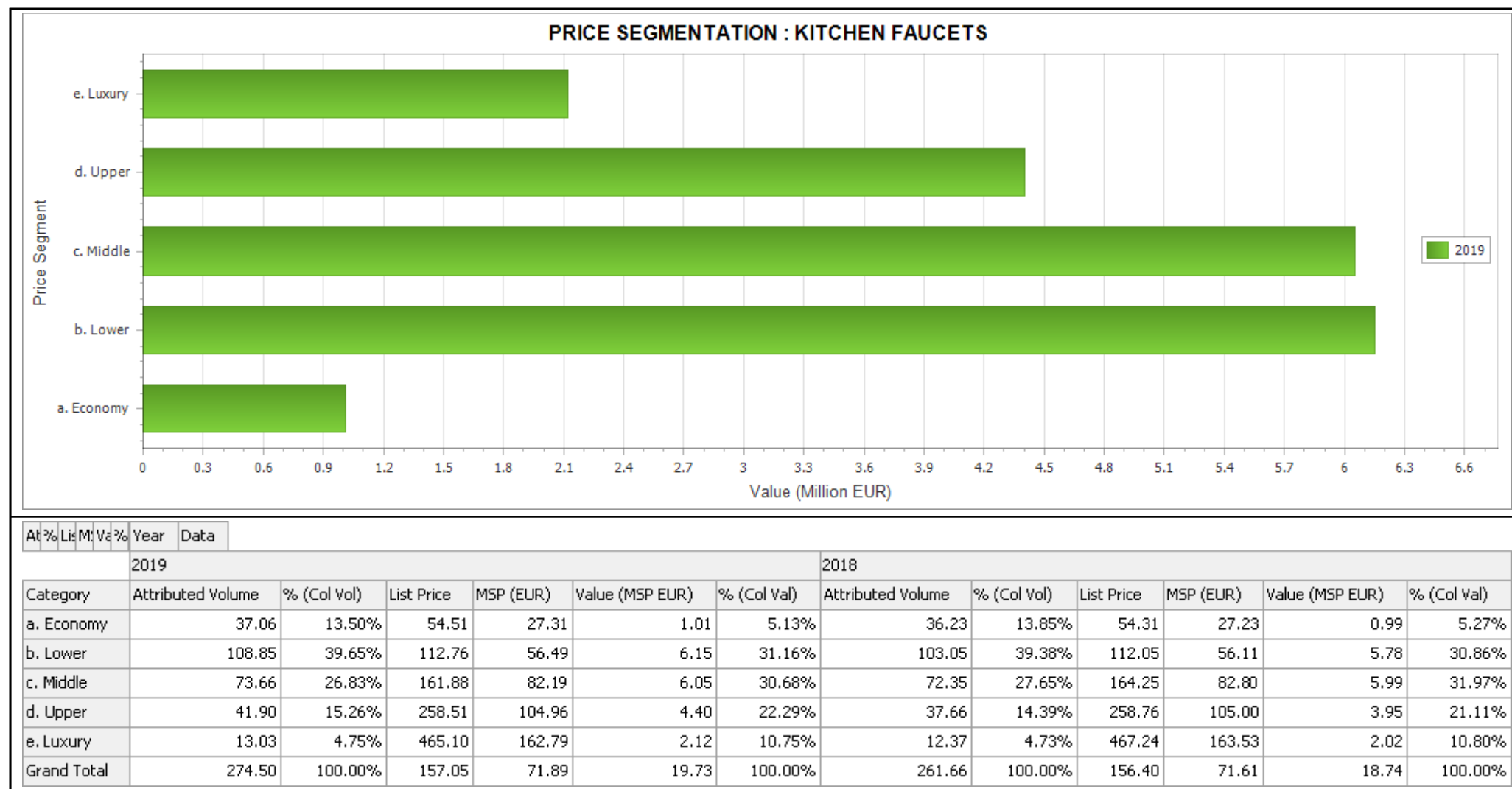
DK - ESTIMATED PRICE SEGMENTATION FOR BIDET FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€50, Lower €50-€100, Middle €100-€150, Upper €150-€200 and Luxury >€200

3.3.5 Price Segmentation : Kitchen Faucets

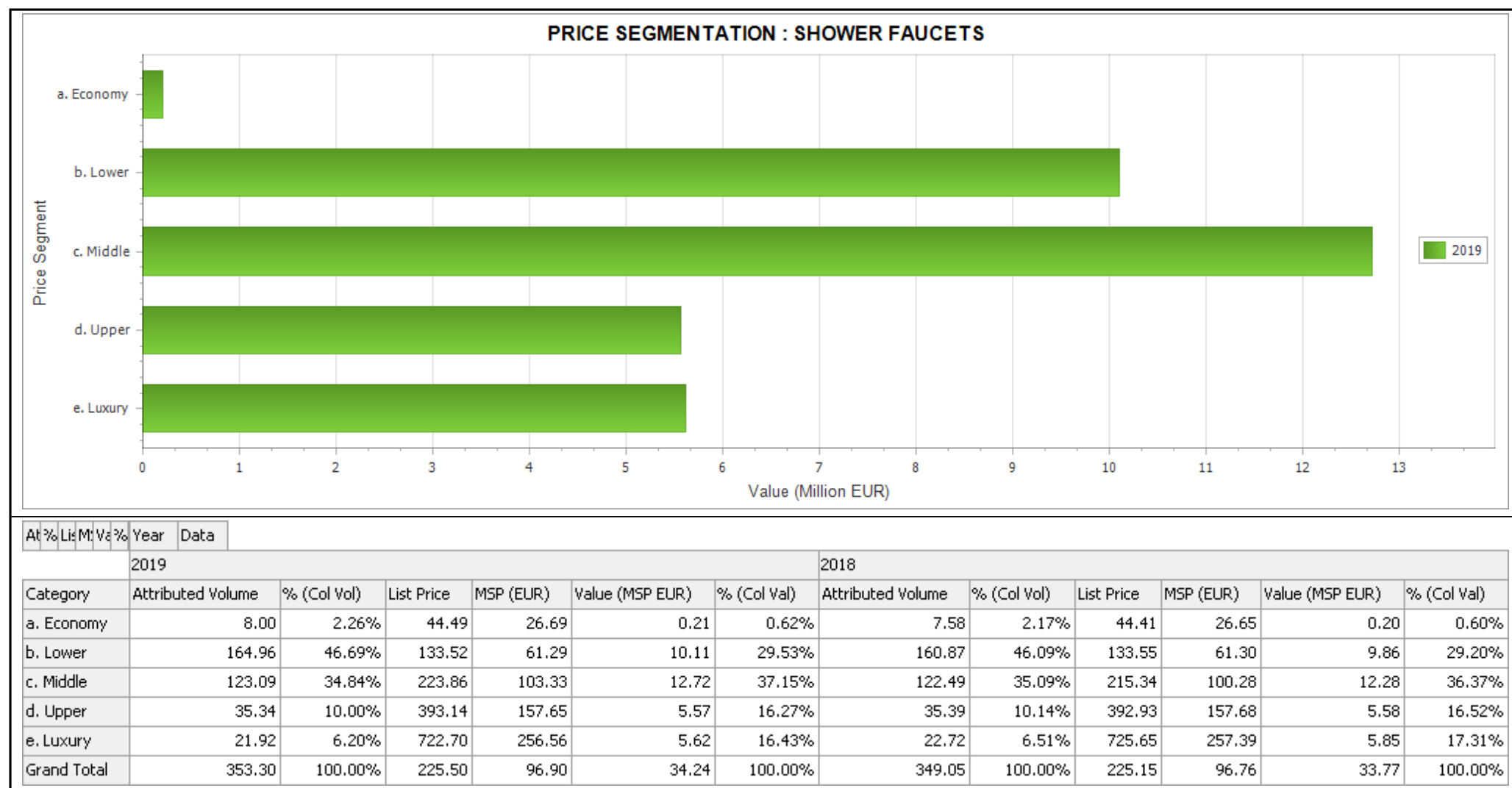
DK - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.6 Price Segmentation : Shower Taps and Mixers

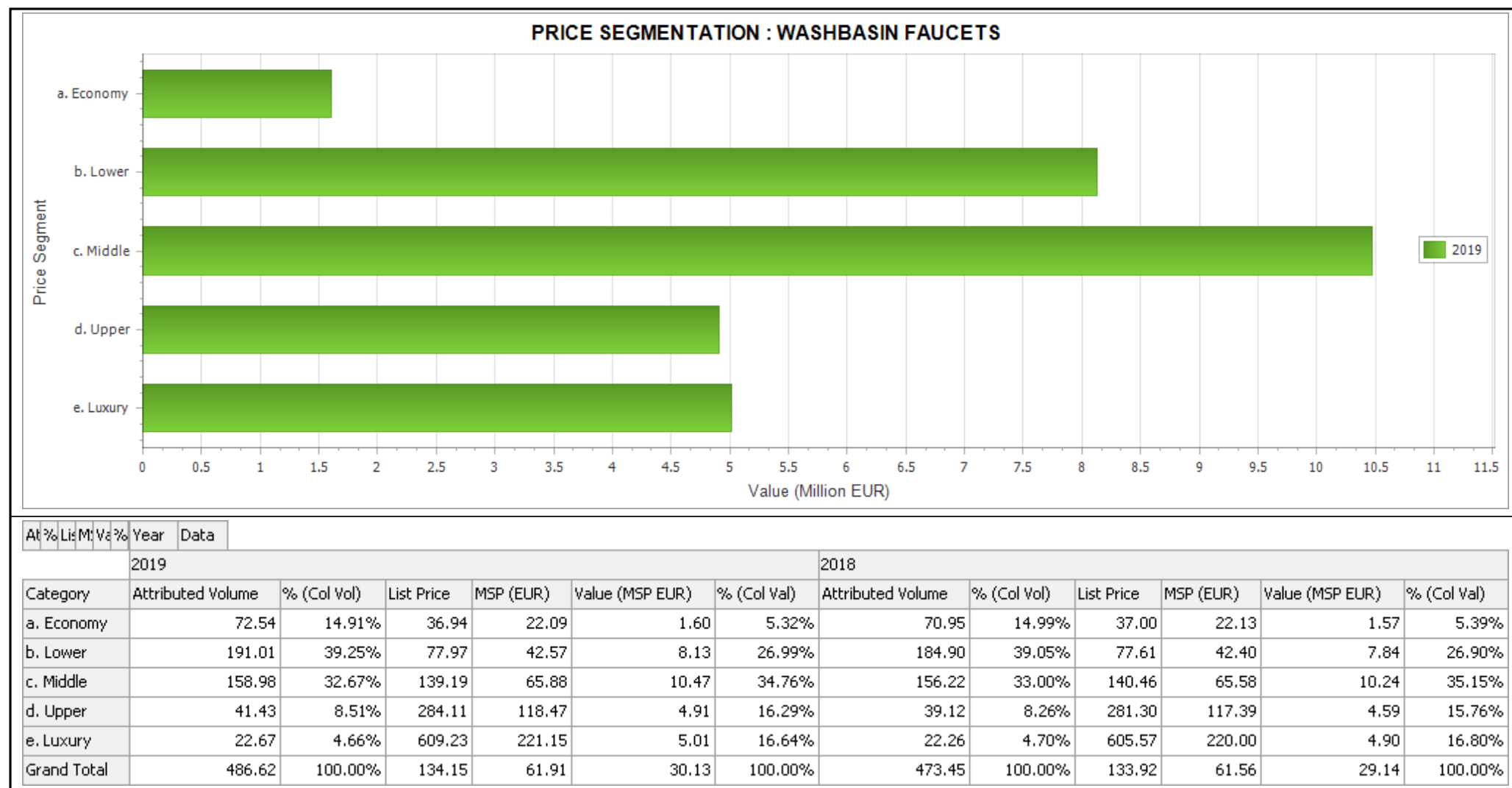
DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€70, Middle €70-€100, Upper €100-€180 and Luxury >€180

3.3.7 Price Segmentation : Washbasin Taps and Mixers

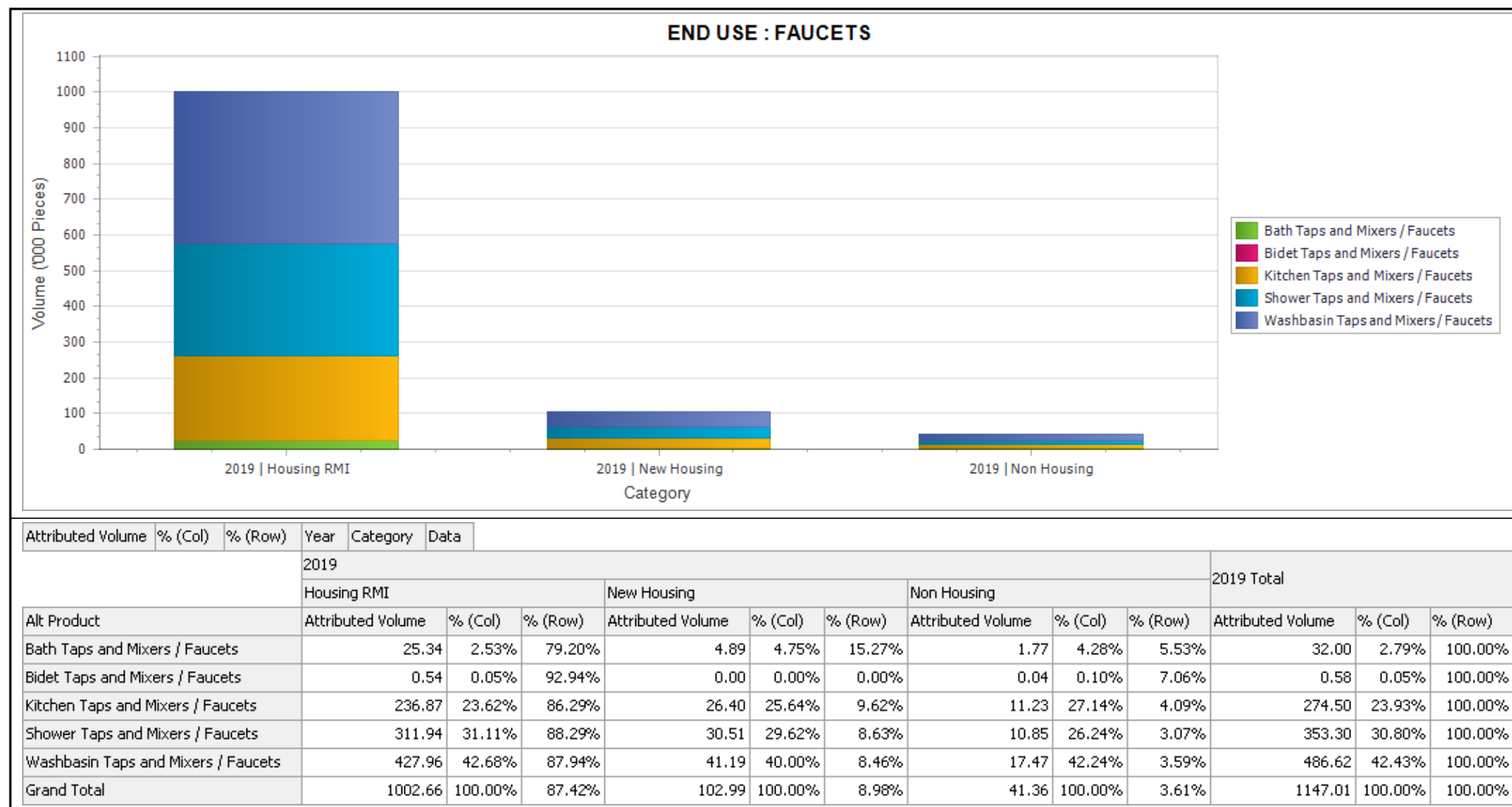
DK - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€130 and Luxury >€130

3.4.1 End Use : Base Year

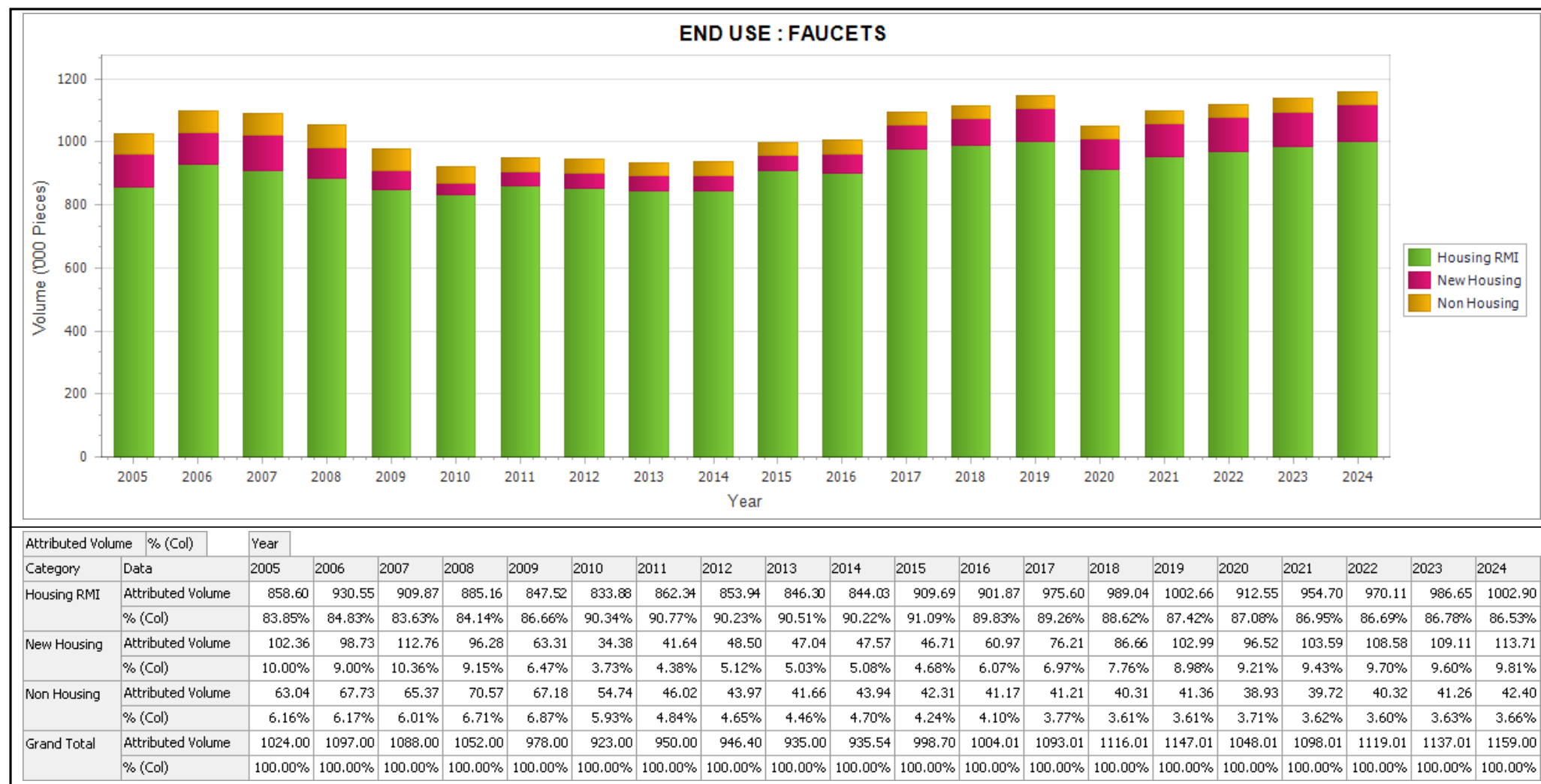
DK - SALES OF FAUCETS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

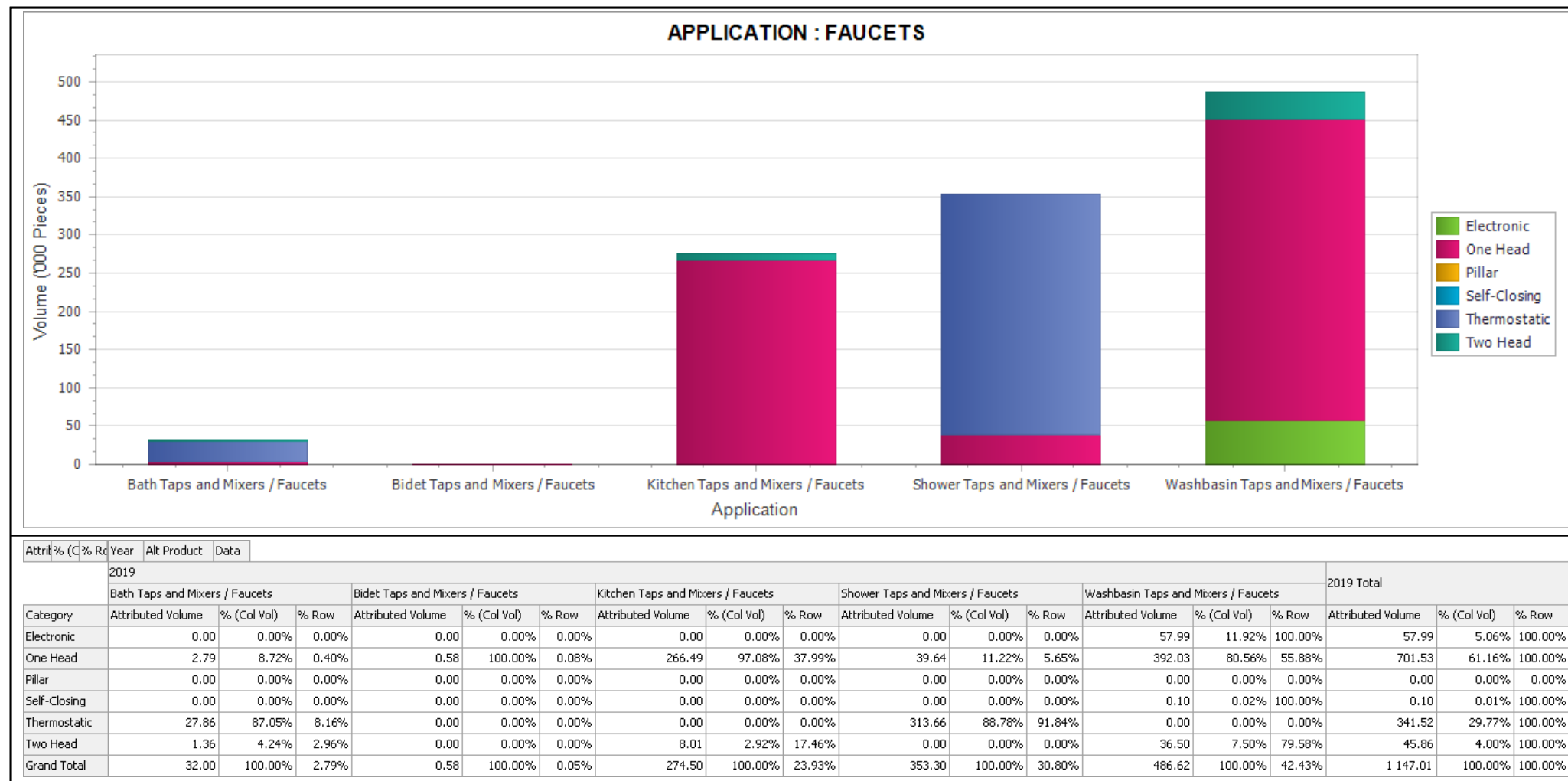
DK - SALES OF FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

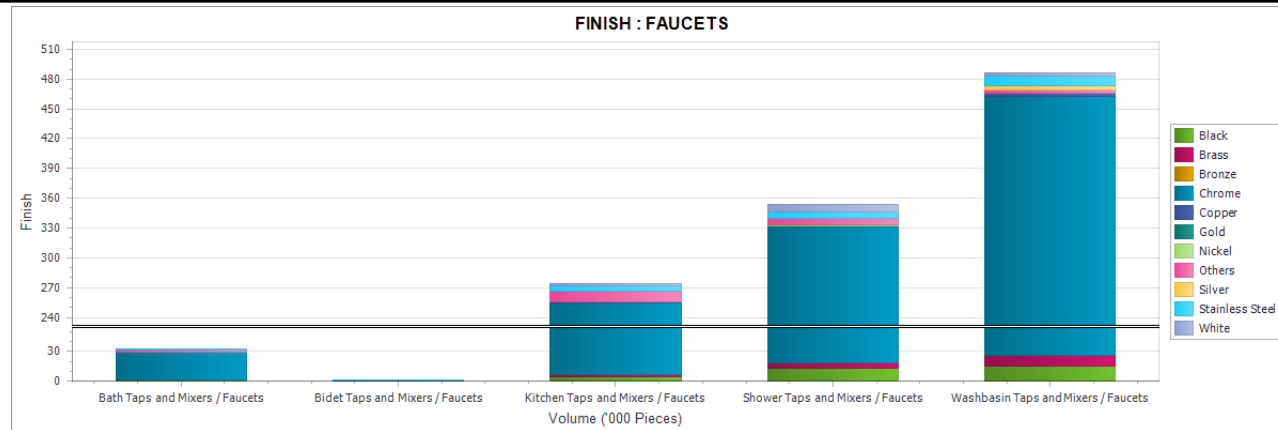
DK - FAUCETS SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

DK - FAUCETS SALES BY FINISH TYPE AND APPLICATION ('000 PIECES)

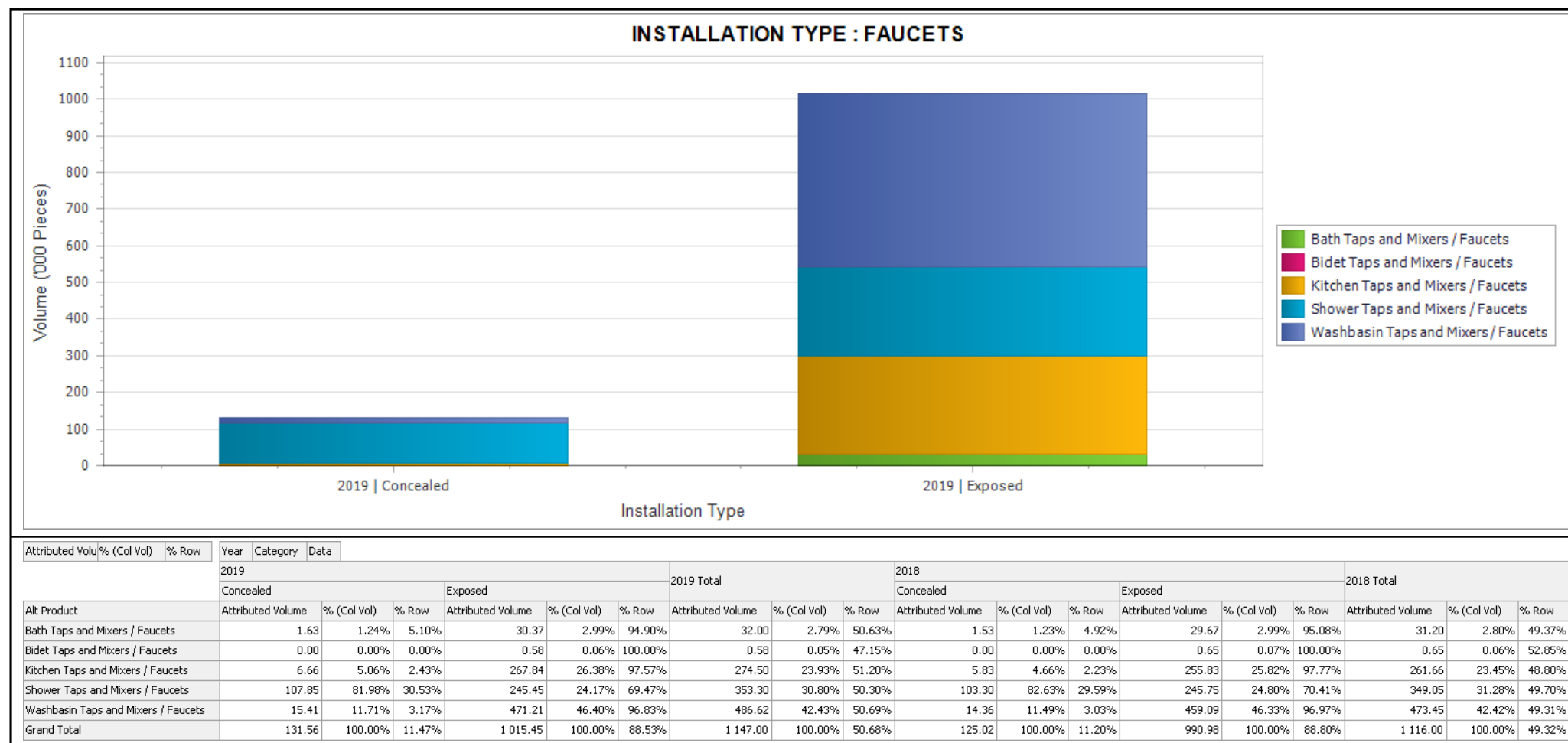


Attribut%(Col VYear Alt Product Data														2019 Total	
2019															
Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			
Category	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	Attributed Volume	%(Col Vol)	
Black	0.96	3.00%	0.00	0.00%	4.12	1.50%	12.72	3.60%	15.09	3.10%	32.88	2.87%			
Brass	0.00	0.00%	0.00	0.34%	2.75	1.00%	5.30	1.50%	10.71	2.20%	18.75	1.63%			
Bronze	0.13	0.40%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.13	0.01%			
Chrome	28.42	88.80%	0.57	97.08%	247.33	90.10%	313.38	88.70%	436.50	89.70%	1 026.18	89.47%			
Copper	0.00	0.00%	0.00	0.00%	1.37	0.50%	0.00	0.00%	3.89	0.80%	5.27	0.46%			
Gold	0.13	0.40%	0.00	0.00%	0.00	0.00%	1.06	0.30%	0.00	0.00%	1.19	0.10%			
Nickel	0.00	0.00%	0.00	0.34%	0.00	0.00%	0.71	0.20%	0.00	0.00%	0.71	0.06%			
Others	1.34	4.20%	0.01	0.86%	11.26	4.10%	6.36	1.80%	2.92	0.60%	21.88	1.91%			
Silver	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	3.89	0.80%	3.89	0.34%			
Stainless Steel	1.02	3.20%	0.01	1.37%	5.49	2.00%	7.07	2.00%	9.73	2.00%	23.32	2.03%			
White	0.00	0.00%	0.00	0.00%	2.20	0.80%	6.71	1.90%	3.89	0.80%	12.80	1.12%			
Grand Total	32.00	100.00%	0.58	100.00%	274.50	100.00%	353.30	100.00%	486.62	100.00%	1 147.01	100.00%			

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

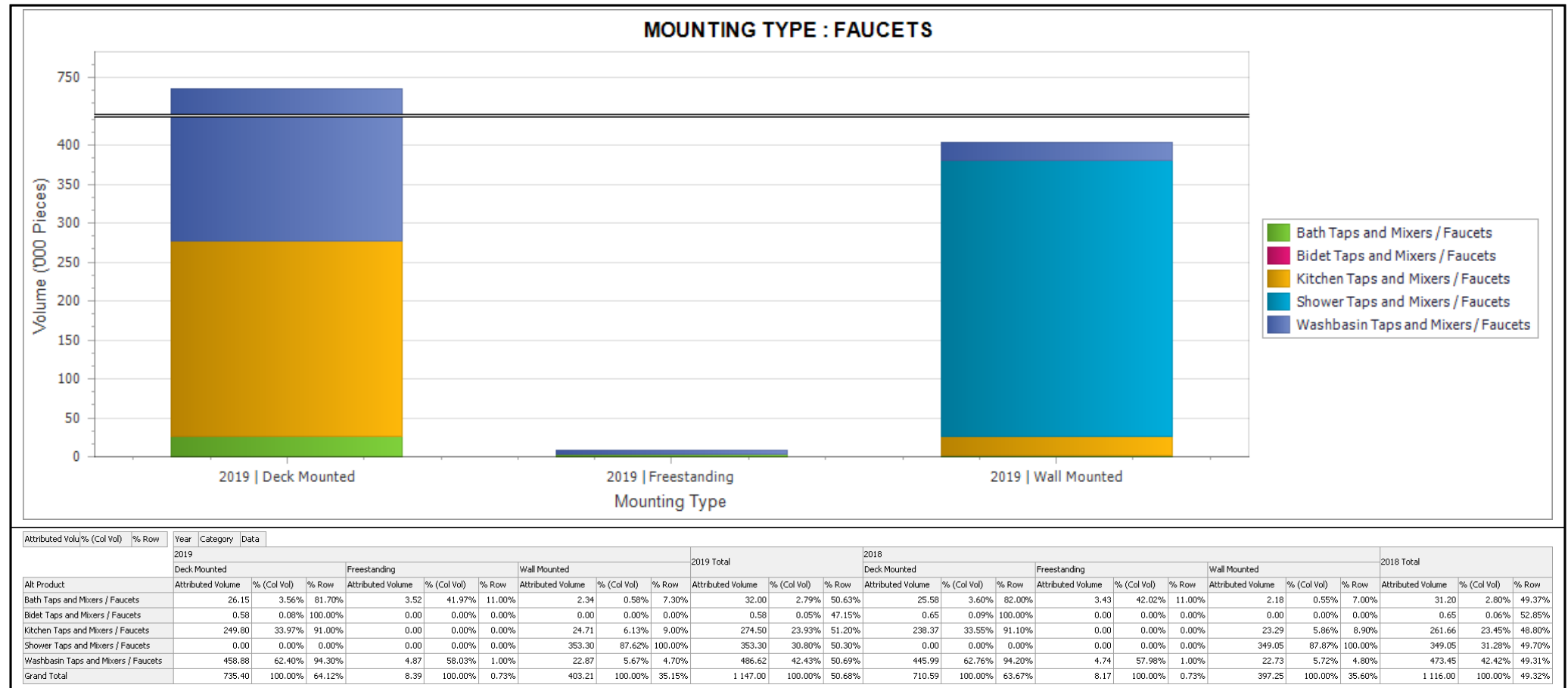
DK - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

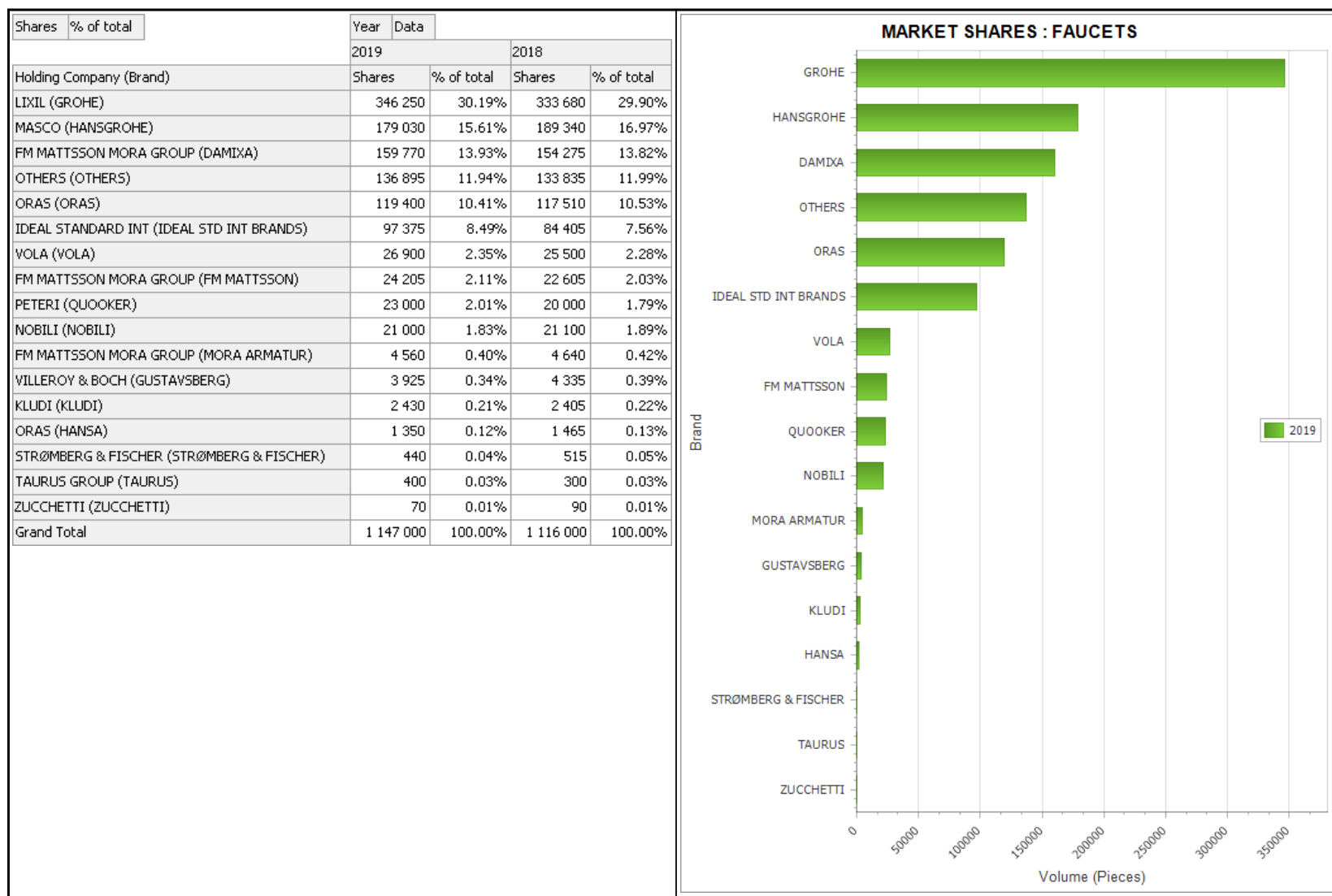
DK - FAUCETS SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

DK - ESTIMATED MARKET SHARES FOR FAUCETS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 DK - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 128	40.4%	30 504	48.4%	0	0.0%	30 360	46.4%
China	628	22.5%	7 424	11.8%	0	0.0%	12 520	19.1%
Sweden	363	13.0%	10 077	16.0%	0	0.0%	9 886	15.1%
Italy	354	12.7%	7 580	12.0%	0	0.0%	7 426	11.3%
Czech Republic	82	2.9%	228	0.4%	0	0.0%	89	0.1%
Poland	57	2.1%	1 374	2.2%	0	0.0%	373	0.6%
United States of America	34	1.2%	971	1.5%	0	0.0%	370	0.6%
Finland	31	1.1%	896	1.4%	0	0.0%	1 249	1.9%
OTHERS	116	4.1%	3 977	6.3%	0	0.0%	3 157	4.8%
Total	2 794	100.0%	63 031	100.0%	0	0.0%	65 430	100.0%

Source : Trademap

3.6.2 DK - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	313	15.4%	13 288	16.9%	0	0.0%	11 824	14.2%
Sweden	293	14.4%	8 888	11.3%	0	0.0%	9 801	11.7%
Norway	291	14.3%	8 977	11.4%	0	0.0%	10 886	13.0%
Netherlands	134	6.6%	5 455	7.0%	0	0.0%	5 892	7.1%
Finland	129	6.3%	4 089	5.2%	0	0.0%	3 994	4.8%
United Kingdom	99	4.9%	4 759	6.1%	0	0.0%	4 791	5.7%
Korea, Republic of	78	3.8%	2 077	2.6%	0	0.0%	1 135	1.4%
Greenland	68	3.3%	866	1.1%	0	0.0%	695	0.8%
Belgium	66	3.2%	4 658	5.9%	0	0.0%	4 655	5.6%
Iceland	54	2.6%	1 293	1.6%	0	0.0%	1 907	2.3%
United States of America	51	2.5%	3 318	4.2%	0	0.0%	2 881	3.5%
OTHERS	459	22.6%	20 820	26.5%	0	0.0%	25 024	30.0%
Total	2 035	100.0%	78 488	100.0%	0	0.0%	83 485	100.0%

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.4%
	Wholesalers / Merchants
	67.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.8%	6.0%	11.9%	14.8%	8.9%	30.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.8%		26.7%		38.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	15.0%	2.1%	5.3%	13.3%
Installers				
39.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.1%	11.6%	21.2%	25.3%	36.8%	0.0%	0.5%	0.1%	0.2%	0.3%	3.0%
	Residential						Non-Residential					
	95.9%						4.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.6%			86.3%			2.9%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.2%		1.4%	7.8%		78.5%	2.2%		0.6%	0.8%		0.4%

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.4%
	Wholesalers / Merchants
	65.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.0%	6.3%	12.6%	14.9%	9.3%	30.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		27.5%		39.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	13.0%	2.0%	5.5%	13.6%
Installers				
38.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.7%	0.5%	11.1%	21.9%	25.7%	35.0%	0.0%	0.4%	0.2%	0.1%	0.3%	3.1%
	Residential						Non-Residential					
	95.9%						4.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.7%			85.2%			2.9%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.1%		1.6%	7.7%		77.5%	2.2%		0.6%	0.8%		0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

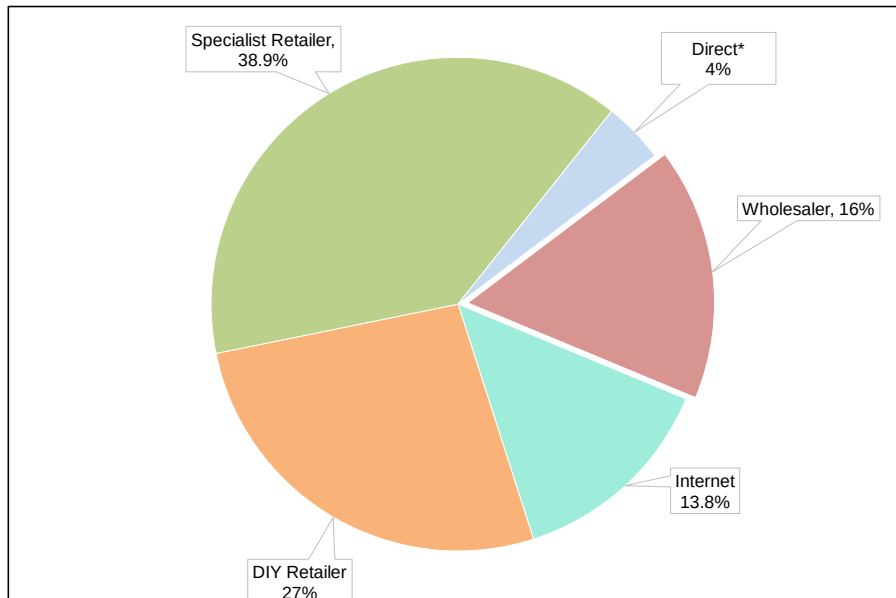
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.6%	13.8%	26.7%	38.9%	4.0%	15.9%	3.0%	80.0%	1.1%
100%					19.0%		81.0%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

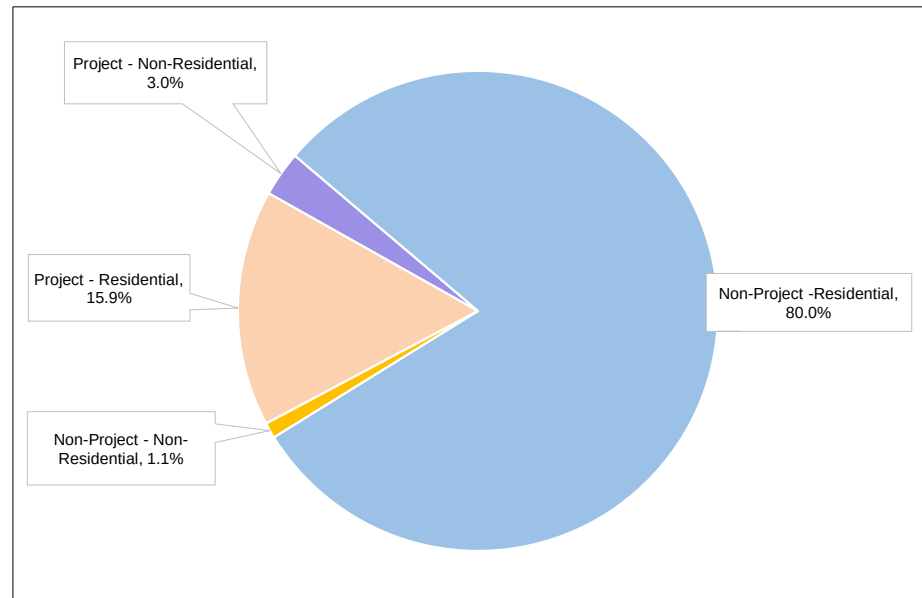
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.2%	13.5%	27.8%	39.8%	5.7%	16.8%	3.0%	79.1%	1.1%
100%					19.8%		80.2%	

DK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	90.4%
	Wholesalers / Merchants
	90.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.1%	9.6%	6.5%	17.0%	1.7%	26.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.7%		23.5%		27.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.3%	30.0%	1.6%	4.7%	9.3%
Installers				
45.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	7.5%	9.1%	18.6%	18.0%	44.1%	0.0%	0.3%	0.0%	0.2%	0.4%	1.8%
	Residential						Non-Residential					
	97.3%						2.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.8%			88.5%			1.9%			0.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	7.5%		1.3%	8.0%		80.5%	1.5%		0.4%	0.5%		0.3%

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	89.4%
	Wholesalers / Merchants
	89.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.1%	11.6%	6.5%	16.0%	1.7%	26.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.7%		22.5%		27.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.3%	29.5%	2.1%	4.5%	9.3%
Installers				
45.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	6.1%	11.6%	17.8%	18.0%	43.6%	0.0%	0.2%	0.0%	0.2%	0.4%	2.0%
	Residential						Non-Residential					
	97.2%						2.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.5%			87.6%			2.0%			0.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.1%		1.4%	7.9%		79.7%	1.5%		0.4%	0.5%		0.3%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

DK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

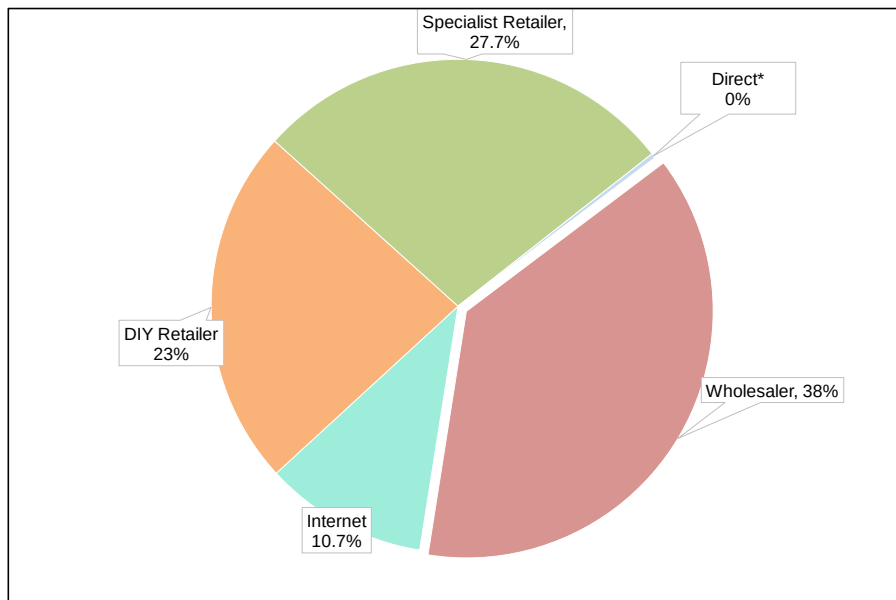
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.8%	10.7%	23.5%	27.7%	0.3%	15.4%	2.0%	81.9%	0.7%
100%					17.4%		82.6%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

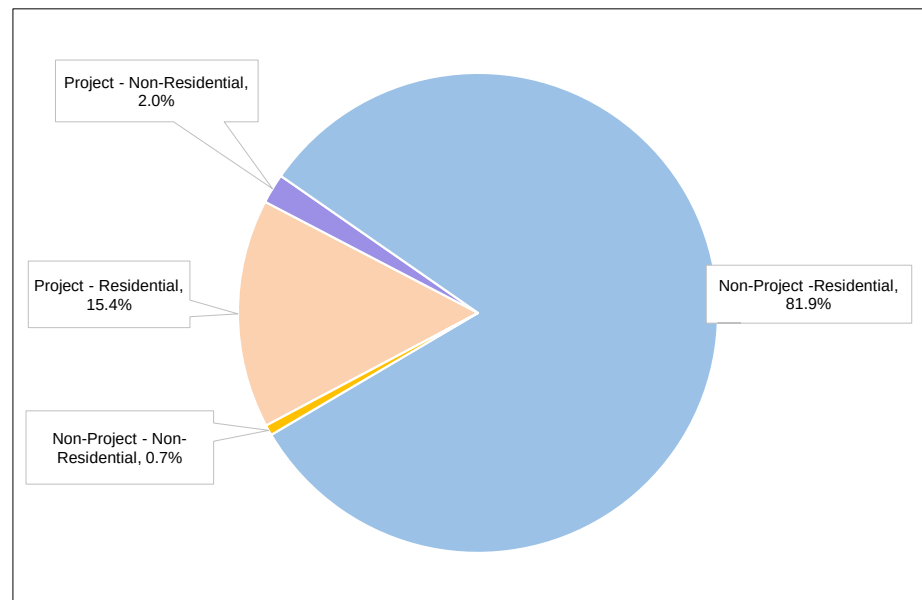
DK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.8%	13.7%	22.5%	27.7%	0.3%	16.0%	2.1%	81.2%	0.7%
100%					18.1%		81.9%	

DK - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



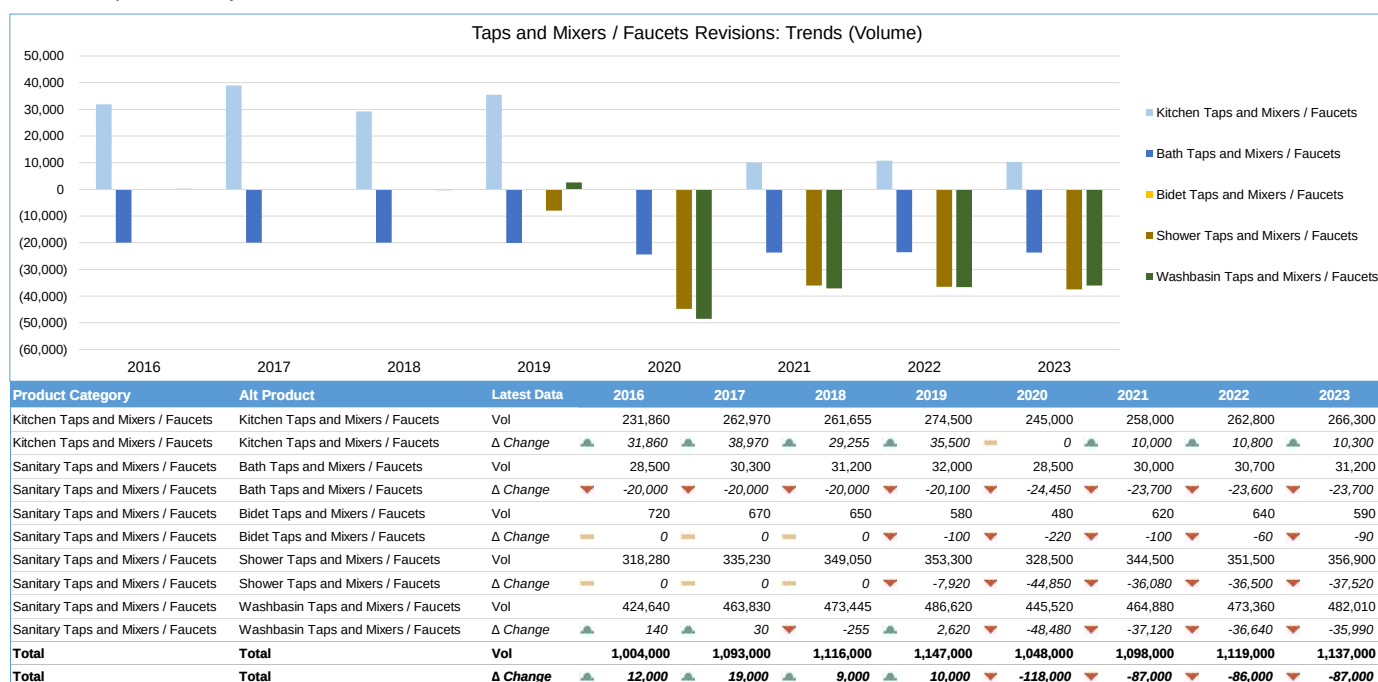
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Danish Taps and Mixers / Faucets Market (July 2020)

DK - REVISIONS IN THE DANISH TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



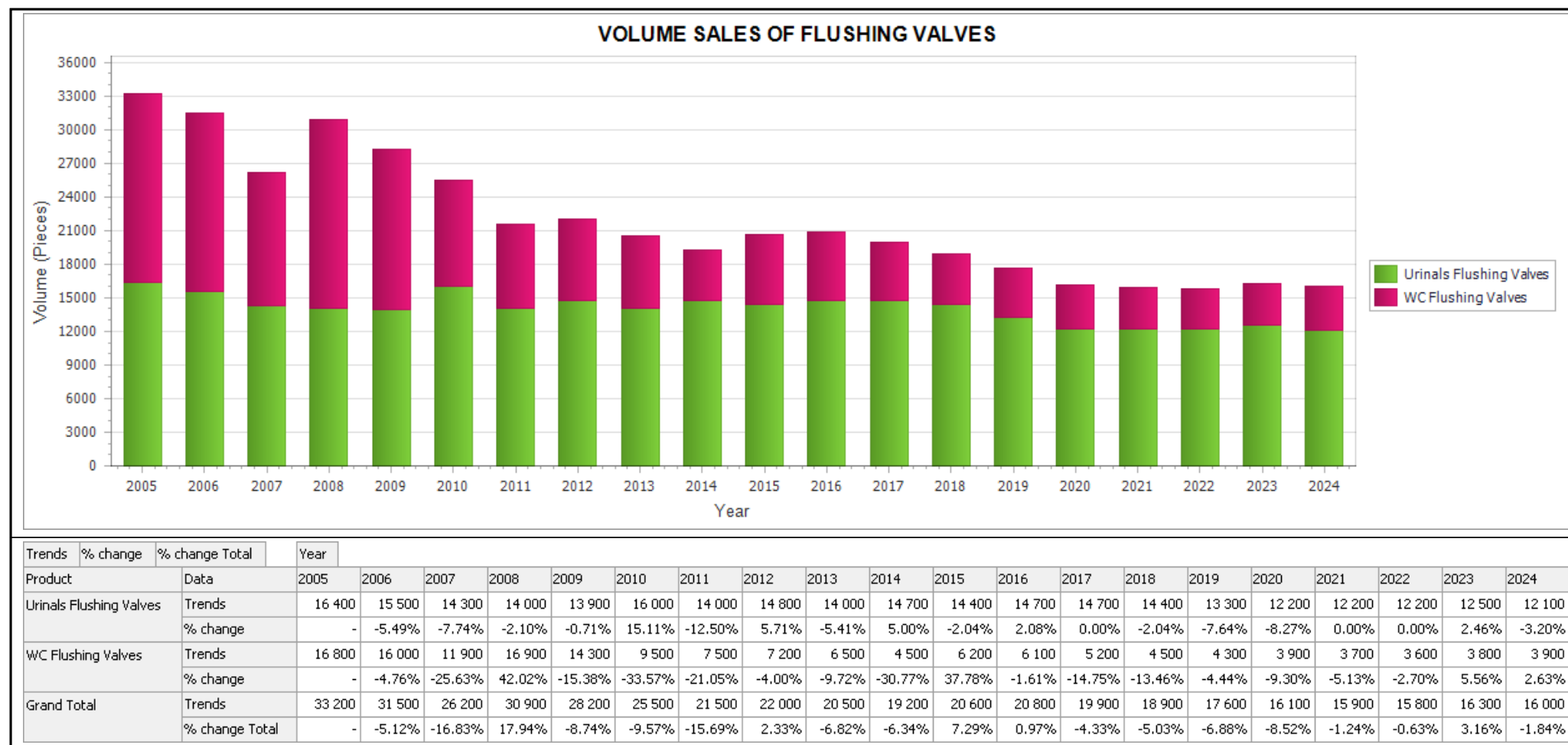
Sales of kitchen taps and mixer was adjusted up from 2016-2023 due to industry feedback showing an underestimation of sales of like-like replacement.

Sales of bath, bidet, and shower taps and mixer was revised down, due to further industry feedback showing an overestimation of sales in 2019. Furthermore bath taps and mixers were also revised historically as replacement rate of these products in residential renovation sector was previously overstated.

Sales of washbasins taps and mixer was revised slightly up in 2019, due to increased sales towards new housing segment that BRG had previously underestimated.

3.9 Historical Trends and Forecasts : Flushing Valves

DK - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

DENMARK

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, Danish bathrooms were constructed with tiled shower areas, without the requirement for shower wall products. Due to the particularity of Copenhagen-style bathrooms, shower curtains continue to be a common product, especially in apartments. In Copenhagen, there are still apartments without a separate bathroom; these are usually equipped with a shower cubicle in the bedroom.

Shower enclosures and bath screens only became popular in one- and two-family houses (both new build and renovation) in the 1990s, and over the following decade in all new dwellings. This development was driven by growing disposable household income and a growing focus on design in bathrooms. The biggest competitors to shower walls remain curtains and half-open shower alcoves with a dividing masonry wall.

Within the shower wall market, shower enclosures are by far the largest product segment; however, this segment is still developing as these products become a more sought-after alternative to the majority of 'wet bathrooms' in Denmark. The market has benefited from a growing awareness, following the increasing presence of key international suppliers. Glass is the standard material in Denmark; in fact, shower enclosures have experienced competition from glass and fittings suppliers, which offer DIY packages to create their own shower enclosures.

The shower cubicle market has always been only a fraction of the enclosure market, and has fluctuated considerably over the years, driven primarily by construction of small apartments. Shower cubicles are now only sold when a bathroom is missing or when a wet room cannot be installed, e.g. in some apartments in Copenhagen, in non-housing or as a second shower. As in other Nordic countries, most shower cubicles sold in Denmark are already equipped with mixers and shower accessories. Some cheap products are still made of plastic, but the majority are made of glass.

There is no significant market for bath screens in Denmark, as most dwellings are either equipped with a shower or with both a shower and a bath. Dwellings that only have a bath typically have a shower curtain fitted instead of a bath screen.

Recent Market Trends

The overall shower wall market continued its positive trend in 2019 with shower enclosures leading volume sales due to its large market size with the main driver being the new build segment, with apartment completions leading the way. Sales of conventional shower cubicles, which can be considered a niche market in Denmark, increased marginally in 2019, driven by new housing sales; however, sales of hydrotherapy cubicles continued to decline in 2019.

For shower enclosures, the product mix has continued to shift in favour of straight and round doors, as well as fixed sidewall installations. Fixed sidewall installations with no door are popular in apartments and in public housing where many large-scale projects take place, although more aesthetically appealing models, such as round enclosures, are still gaining popularity. With the Danish economy remaining quite positive consumers were willing to purchase high-end quality enclosures which in turn saw an increase in sales into the upper/luxury segment and this is a trend expected to continue over the coming years.

Prices and Market Values

The average manufacturer's selling price (MSP) for shower wall products in Danish krone saw marginal increases in 2019. As shower enclosures account for the clear majority of the total sales of shower wall products, the average MSP for shower wall products is mainly determined by the fluctuations in the prices seen in the shower enclosure segment. Shower enclosures registered an increase in the average MSP, due to the continuing increase of sales into the middle and upper/luxury segment in 2019. The value of the market also increased, both in DKK and in EUR, as exchange rates between currencies remained relatively stable.

New Housing

As mentioned, shower enclosures have a high reliance on demand from the new housing segment compared to other bathroom products (aside from baths), and 2019 saw continued growth in this segment, due to the surge of completions seen in dwelling completions. Showers are increasingly installed in new apartments for space-saving purposes, which has additionally reduced demand for bath screens in this segment. The penetration of shower enclosures has been increasing significantly in recent years at the expense of shower curtains. Danish consumers typically consider conventional shower cubicles to be somewhat old-fashioned, and they have thus become less common in new housing installations. The new housing market sector is expected to decrease in 2020, due to the COVID-19 crisis, this will have a negative effect on this segment. Overall, new housing construction is expected to remain positive from 2021 onwards. The penetration of shower enclosures in new housing, is still expected to continue to increase further over the forecast period.

Housing RMI

The shower enclosure market has become increasingly dependent on housing RMI activity over the last decade, owing to Denmark's subdued construction sector. Following the financial crisis, RMI sales of shower enclosures struggled to gain momentum as consumers tended to opt for shower curtains rather than shower enclosures in order to save money. Shower cubicles were often preferred in houses without waterproof insulation, due to the lower costs of such bathroom renovations.

Housing RMI demand stayed flat in 2019. With new housing sales increasing again in 2019, housing RMI was not the key driver for the shower wall market in 2019. As the discretionary replacement of shower enclosures is typically considered to be an expensive form of home remodelling, the market tends to be driven by factors such as levels of household disposable income and private consumption. Conspicuous consumption and fashion-driven replacements have remained at a low level in recent years, effecting the RMI market negatively.

Non-Housing

Sales of shower wall products to the non-housing segment are marginal and mainly consist of sales to the hospitality industry or holiday homes. Sales of conventional shower cubicles are driven by sales to holiday homes that lack the presence of a wet room. Sales of conventional shower cubicles have faced increased competition in this end-use segment from hydrotherapy cubicles in recent years. The hospitality sector remains the largest destination for shower enclosures, although the popularity of showers in office buildings is increasing. Non-housing demand for shower wall products grew slightly in 2019 but at a higher rate than what was seen in 2018; however, demand is projected to be relatively stable over the forecast period.

Supply Structure

Supply in the shower wall products market is fragmented, especially as several small glass manufacturers supply the market. There are a few key domestic producers, and many remaining sales come from other Nordic suppliers. Shower enclosures are supplied by both specialised glass product manufacturers and full bathroom range suppliers.

The Swedish brand INR continues to lead the market in Denmark. INR was acquired by DANSANI in March 2020. The Swedish supplier IFÖ SANITÄR (GEBERIT) manufactures its products in Sweden, while the Danish supplier DANSANI sources some of its products from Italian PDP. The share of 'Other' suppliers includes, among others, NORO, which is sold via the BAUHAUS chain in Denmark. 'Others' also includes a significant number of domestic glass manufacturers that sell through specialist retailers. The share also includes a range from higher specialist imports from Southern European producers to economy products from East Asian producers, many of which are sold by retailers or wholesalers under private labels and this number of imports are expected to continue increasing. CASSØE are performing well in the market and they are also doing well on the kitchen side of the market, as are DUSCHOLUX who are operating in a niche as they operate on the higher end of the market with expensive quality products.

For conventional shower cubicles, IFÖ SANITÄR remains the market leader in this niche segment. VILLEROY & BOCH (GUSTAVSBERG) recorded sales of shower cubicles to the Danish market in 2016 only. The significant 'Others' share is also made up of a similar range of Southern European and East Asian producers. The

market for hydrotherapy cubicles is dominated by the HAFA BATHROOM GROUP with the HAFA and WESTERBERGS brands, sold via its Swedish subsidiary to DIY retailers.

The distribution of shower wall products is dominated by the wholesale channel, with wholesalers then supplying DIY and specialist retailers, as well as installers and internet channels. The INR brand is the market leader in the wholesaler channel. The most recent data concerning the number of these stores shows only 65 specialist retailer outlets, as opposed to kitchen outlets, the number for which is in the hundreds. Specialist retailers should also suffer, as wholesalers begin to sell more and more through DIY and internet channels.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

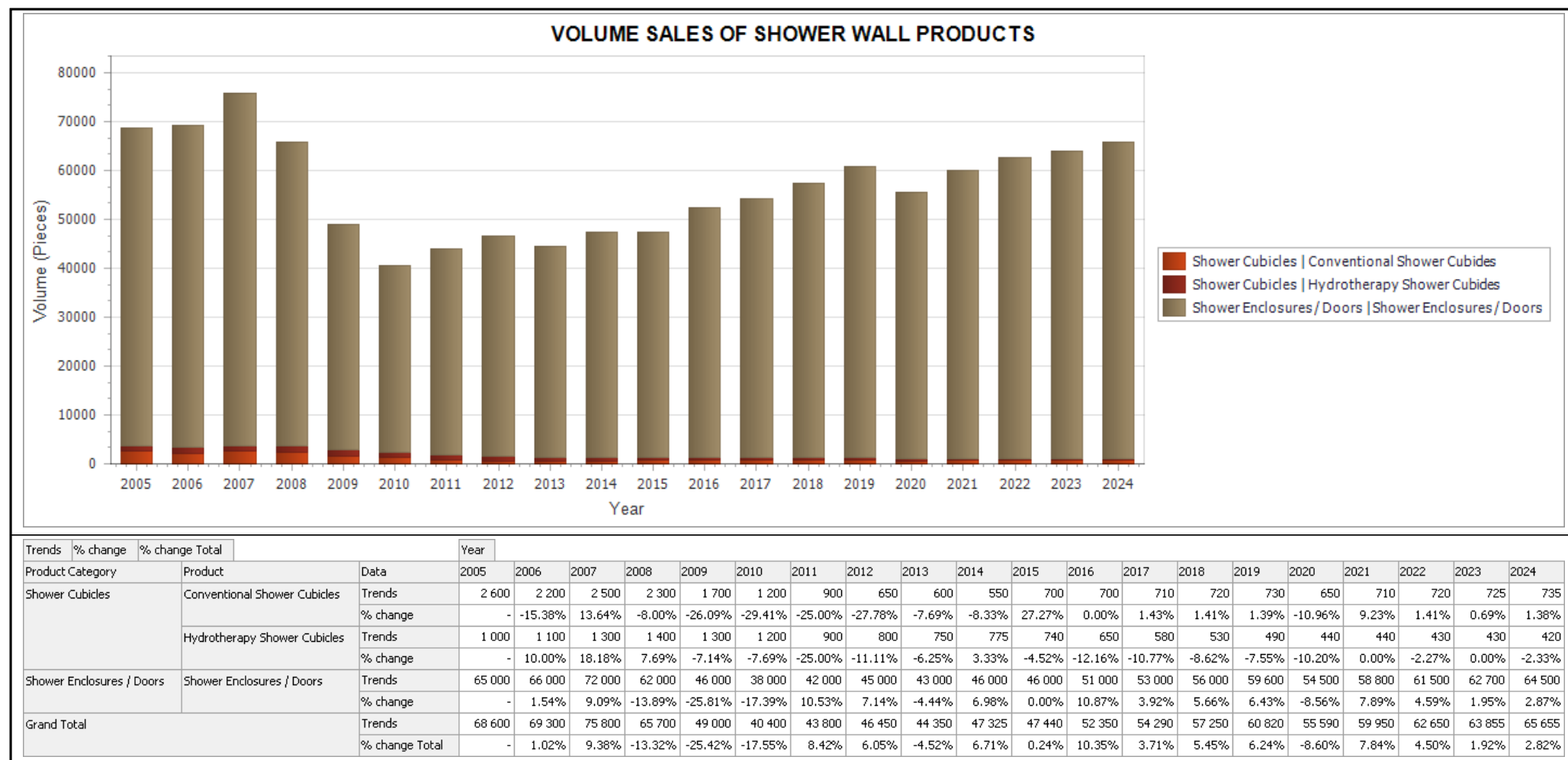
The outlook for 2020 is negative for the shower wall market, due to the effect of the COVID-19 crisis. The market is expected to decline in 2020 in terms of all end use sectors, due to the uncertainty in the market and postponement of building projects, both new and renovation. The market is expected to pick up in 2021 mainly driven by sales towards the new housing end use.

The vast majority of the growth should come from sales of shower enclosures, while conventional shower cubicles are projected to remain stable. The still low popularity of shower wall products in the market, when compared to shower curtains and open showers, and the relatively small size of Danish bathrooms, is likely to prevent extensive market growth. Sales for hydrotherapy cubicles are expected to decline at a slow rate but, as the demand for these products should be almost entirely made up of distress replacement sales, there is a chance they could become relatively stable.

In overall terms, steady growth is expected for the overall shower wall market over the forecast period, although the market development is still heavily dependent on the new housing market. RMI growth is projected to remain moderate over the forecast period but is expected to increase each year from 2021 onwards, in line with the recovering housing prices. Higher turnover in the housing market should also positively influence the RMI market. The biggest potential for growth is expected to come from one- and two-family dwellings, where bathrooms in general are larger than in apartments.

4.2 Historical Trends and Forecasts : Shower Wall

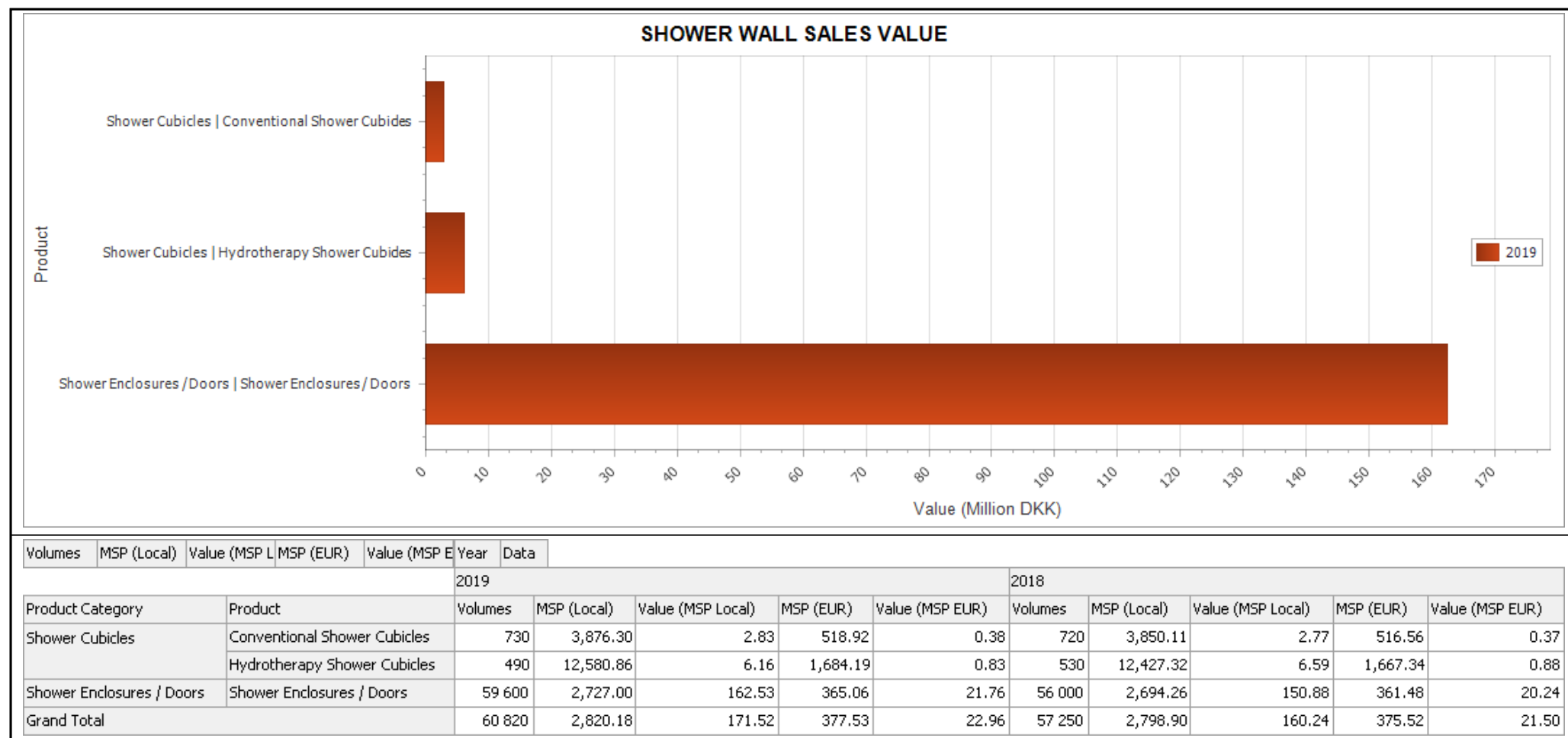
DK - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

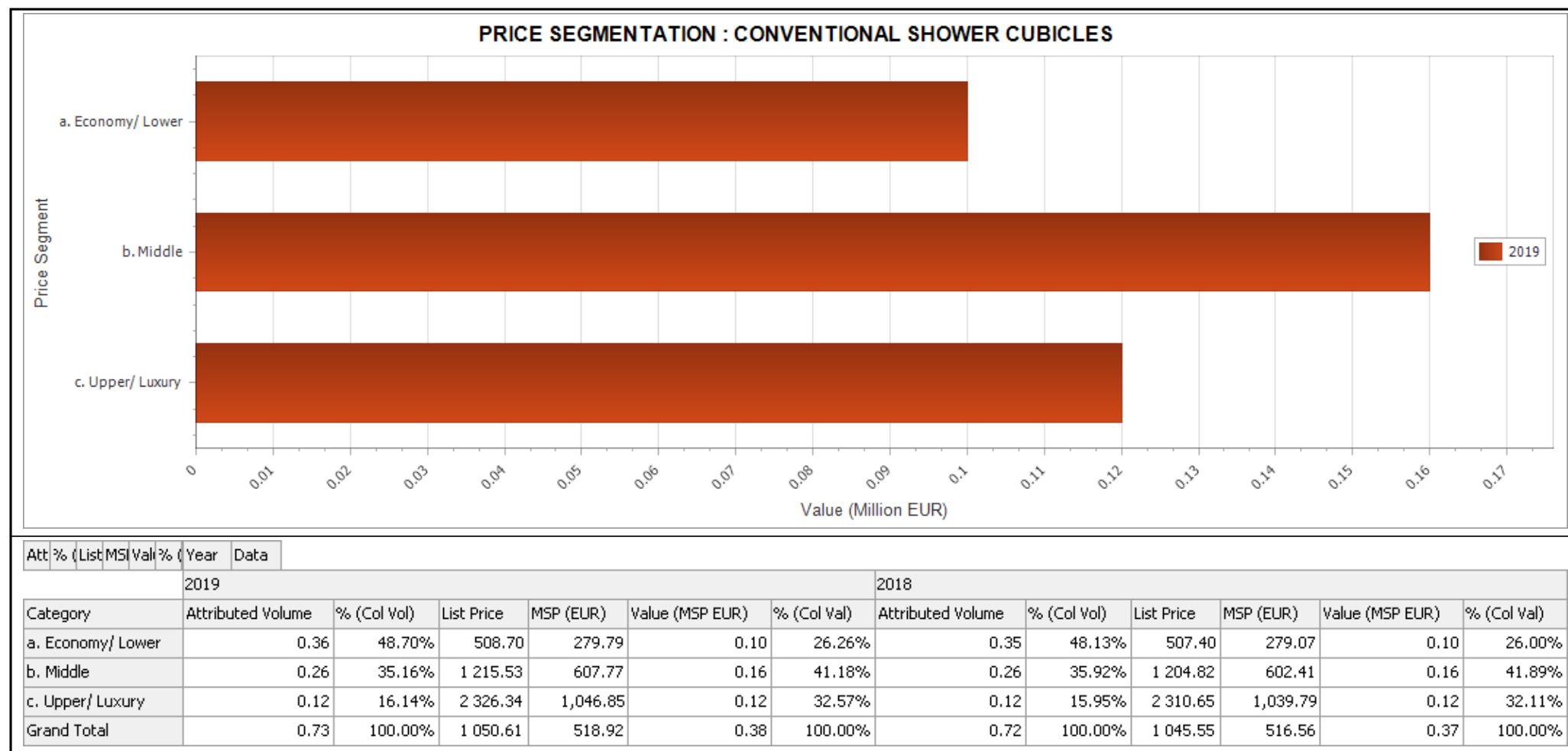
DK - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Conventional Shower Cubicles

DK - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

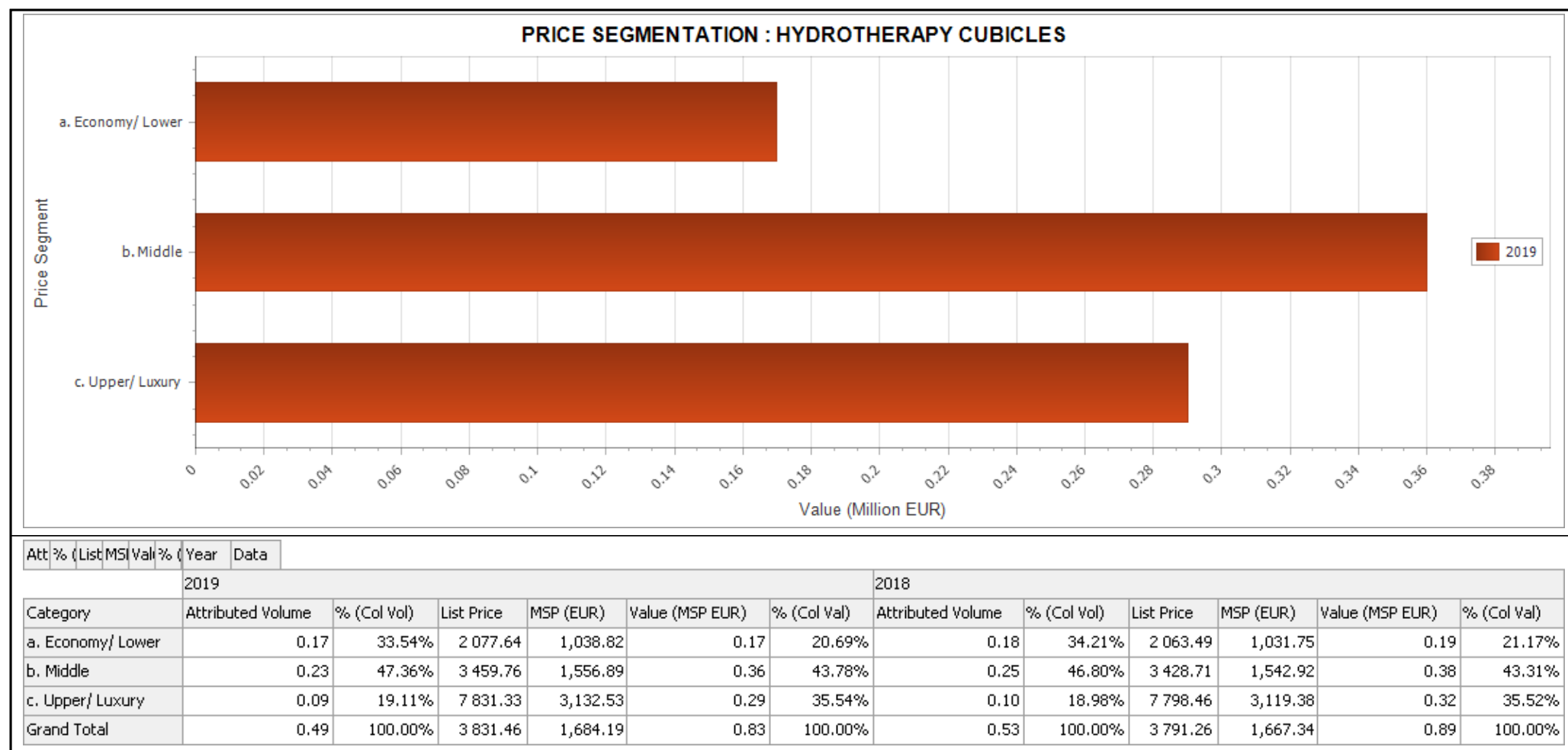


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€700, Upper/ Luxury >€700

4.3.3 Price Segmentation : Hydrotherapy Shower Cubicles

DK - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

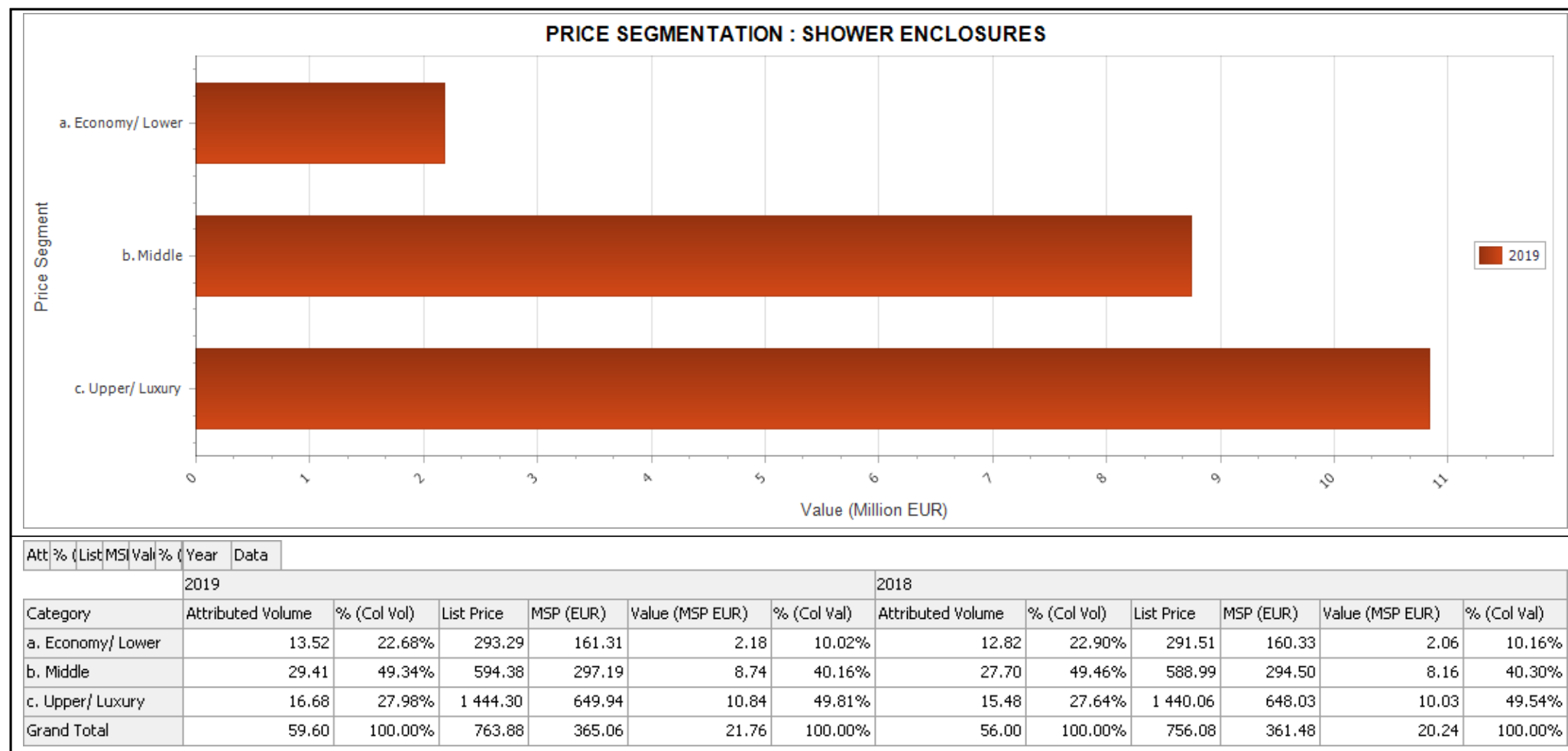


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1,200, Middle €1,200-€1,800, Upper/ Luxury >€1,800

4.3.4 Price Segmentation : Shower Enclosures

DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

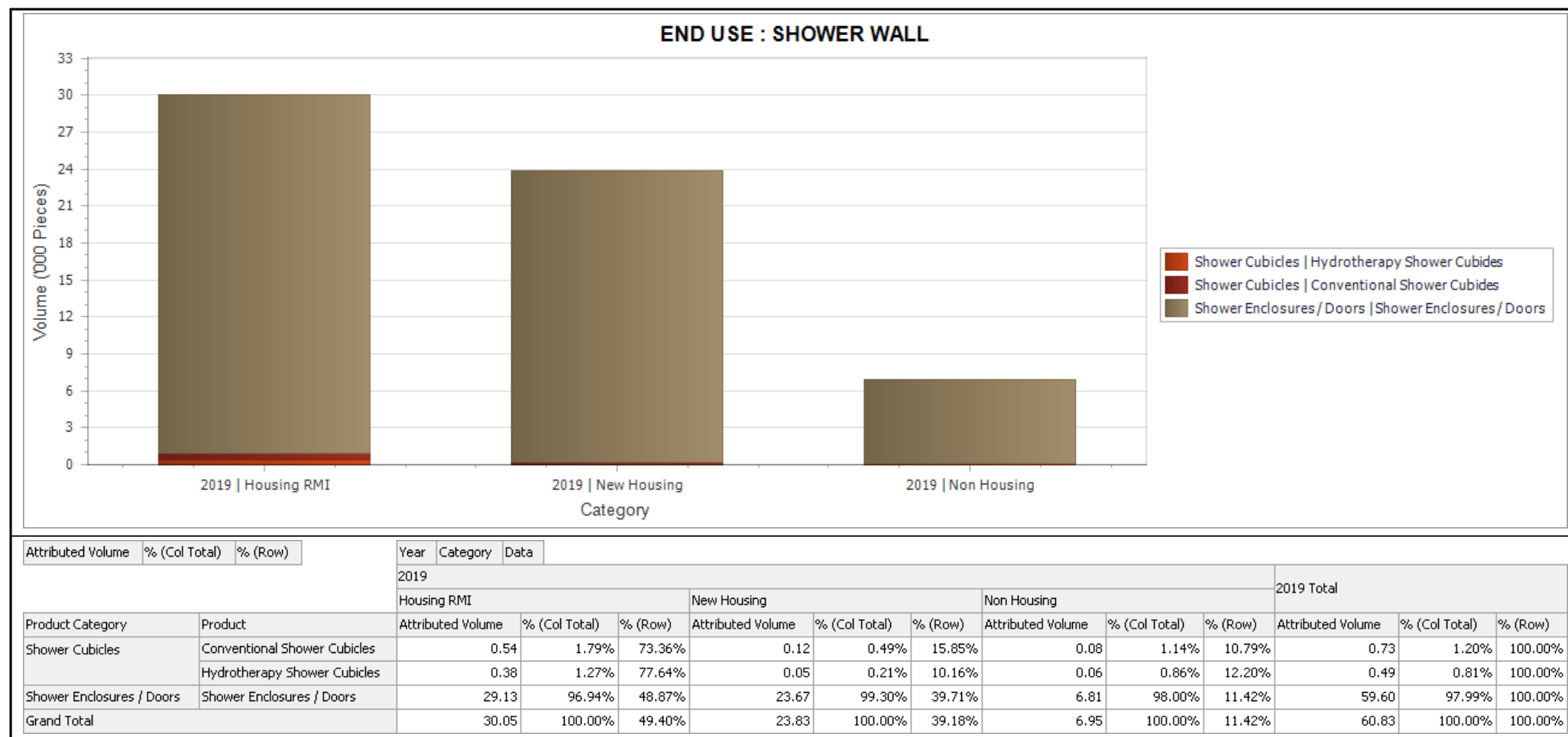


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.4.1 End Use : Base Year

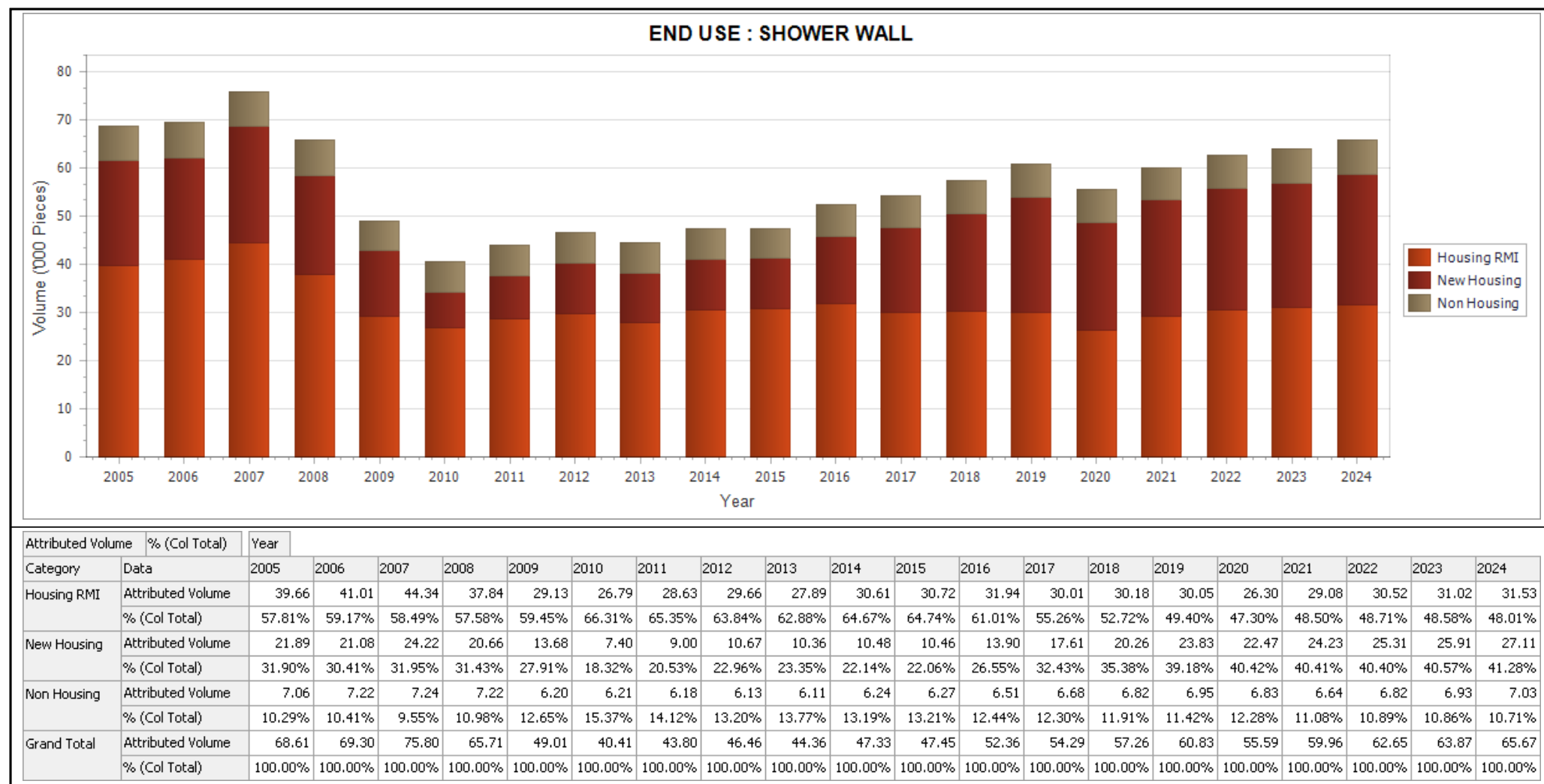
DK - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

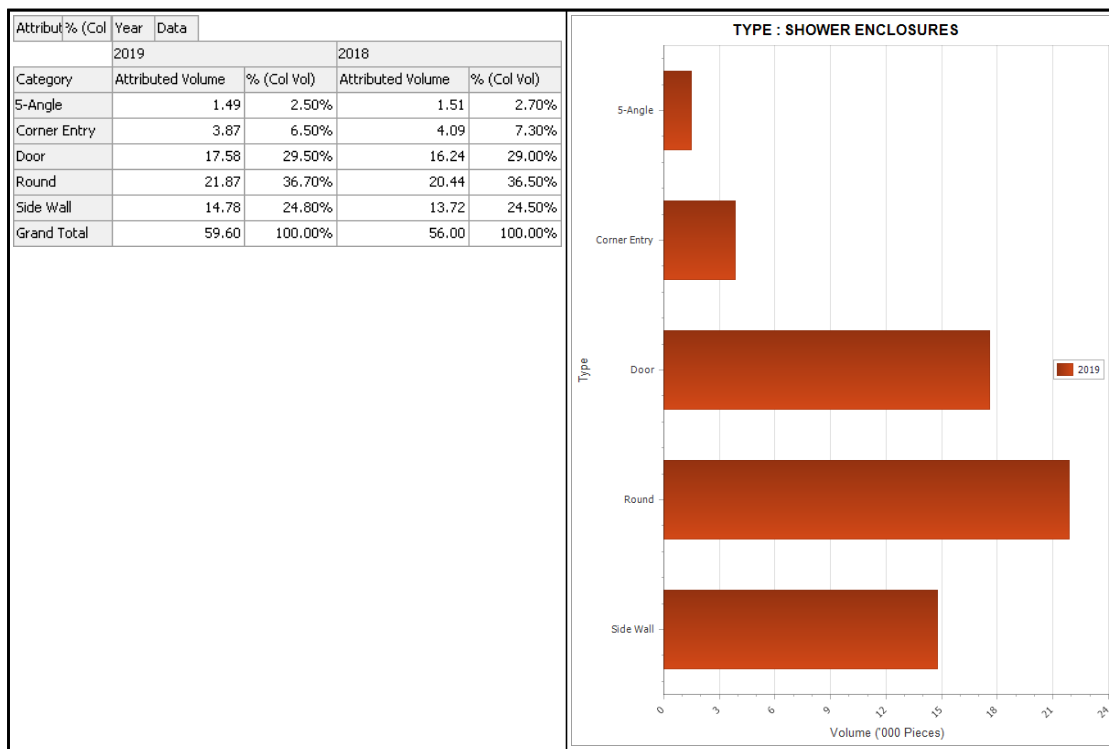
DK - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Shower Enclosures

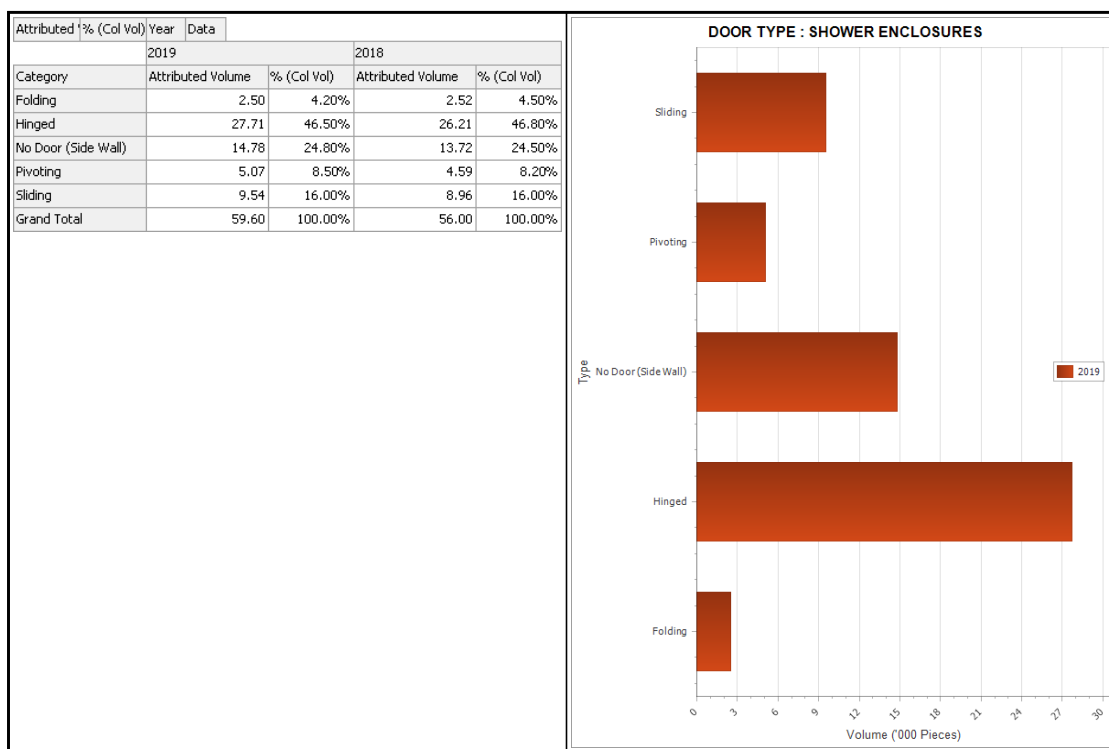
DK - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.4 Sales by Type of Door : Shower Enclosures

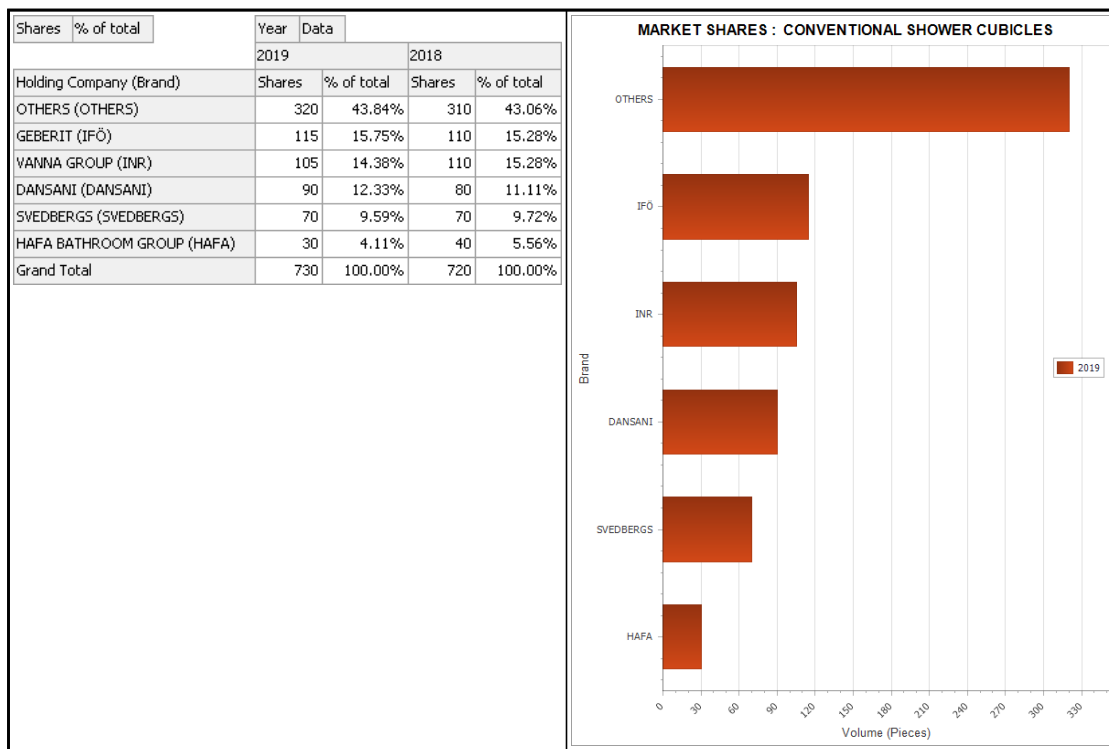
DK - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Conventional Shower Cubicles

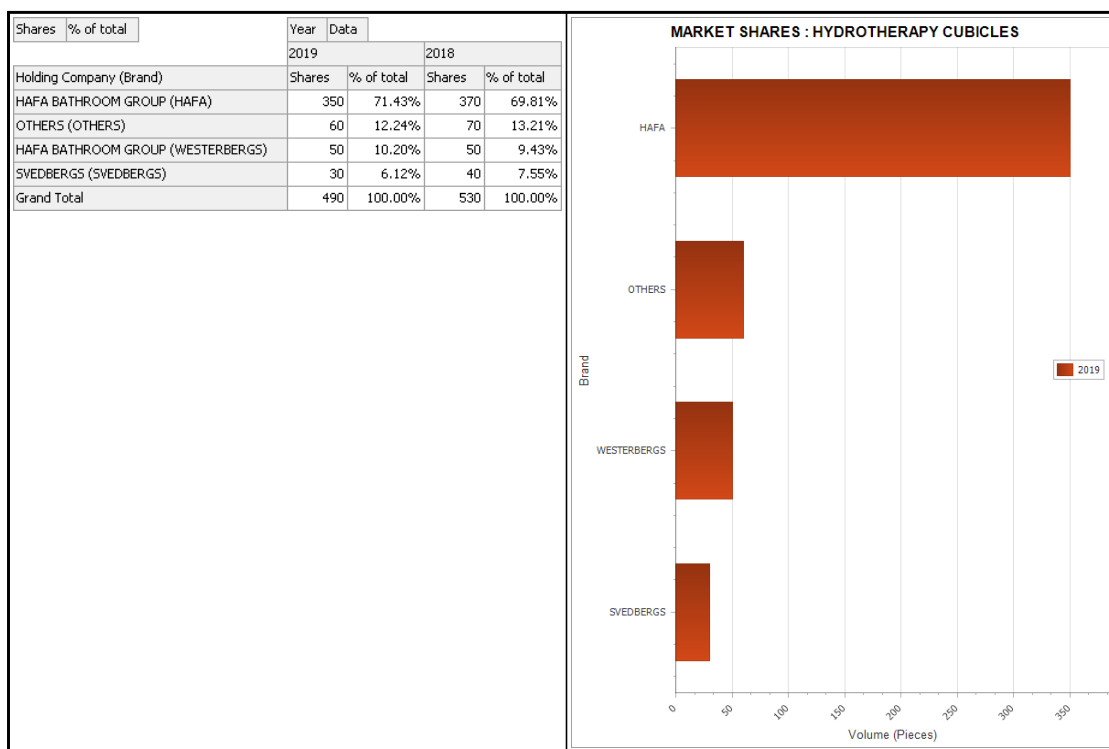
DK - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

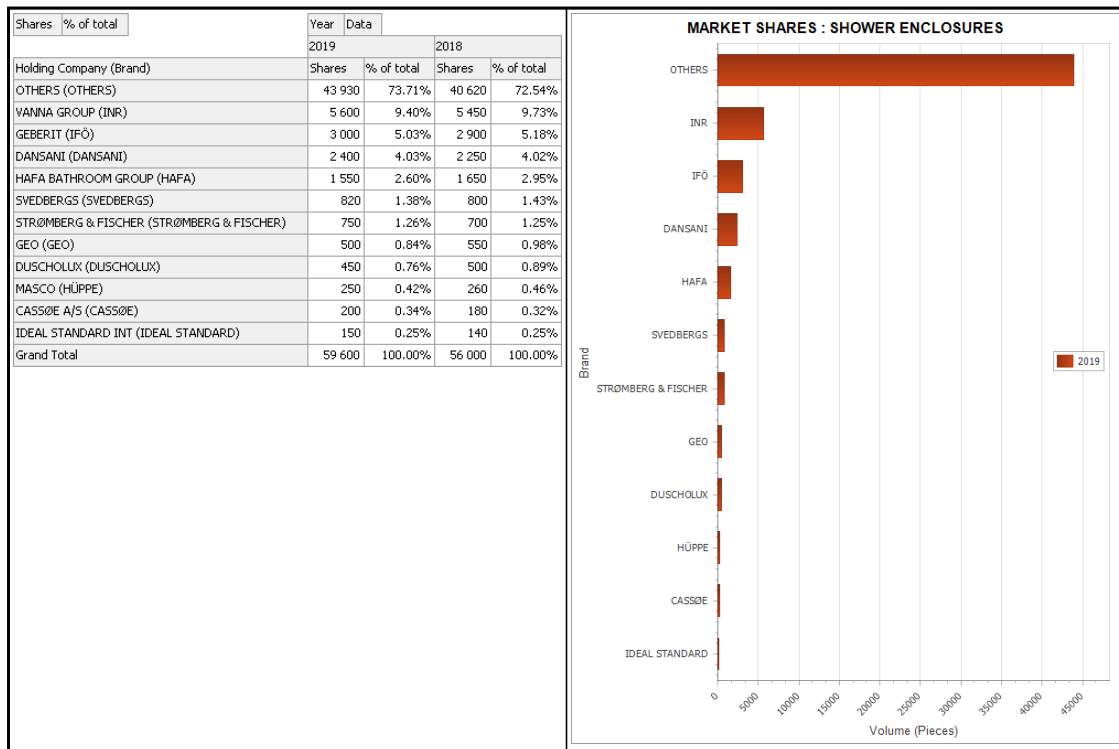
DK - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

DK - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
DK - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.3%
	Wholesalers / Merchants
	59.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.9%	2.1%	16.5%	6.0%	16.3%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.0%		22.5%		34.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.1%	3.7%	0.3%	3.0%	21.4%
Installers				
32.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	28.5%	5.0%	17.0%	10.8%	27.3%	0.0%	1.0%	0.7%	2.5%	2.1%	5.1%
	Residential						Non-Residential					
	88.6%						11.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	39.2%			49.4%			0.2%			11.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	33.3%		5.9%	4.4%		44.9%	0.2%		0.0%	7.3%		3.9%

4.6.2 Route to Market: Shower Wall
DK - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.0%
	Wholesalers / Merchants
	59.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.9%	3.1%	17.2%	8.0%	15.2%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		25.2%		33.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.7%	3.5%	0.5%	3.3%	21.4%
Installers				
32.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	25.9%	6.5%	18.2%	10.3%	28.4%	0.0%	0.5%	1.0%	3.7%	1.5%	4.0%
	Residential						Non-Residential					
	89.3%						10.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	41.3%			48.0%			7.5%			3.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	35.1%		6.2%	4.3%		43.7%	4.9%		2.6%	2.1%		1.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

DK - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

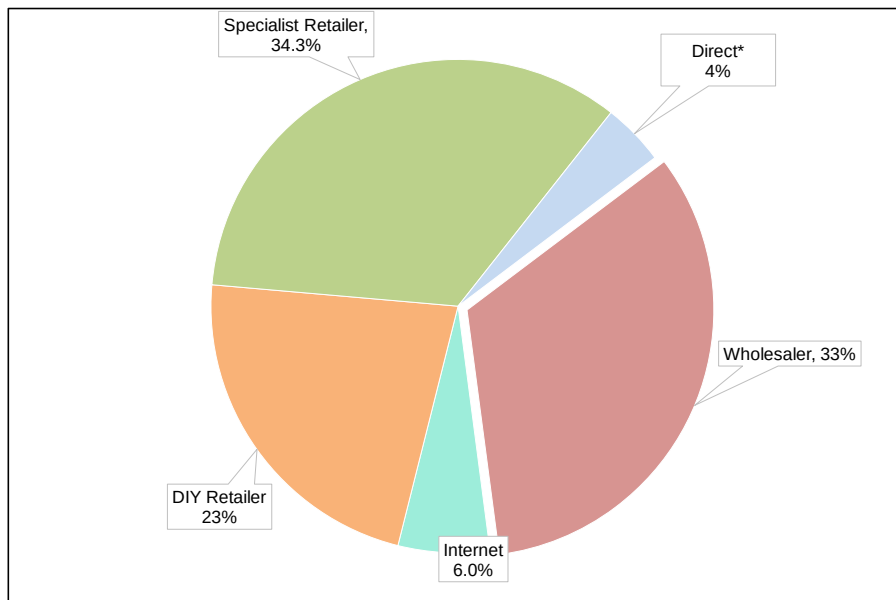
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.2%	6.0%	22.5%	34.3%	4.1%	38.7%	0.3%	60.9%	0.1%
100%					39.0%		61.0%	

4.6.4 Route to Market - Consolidated View : Shower Wall

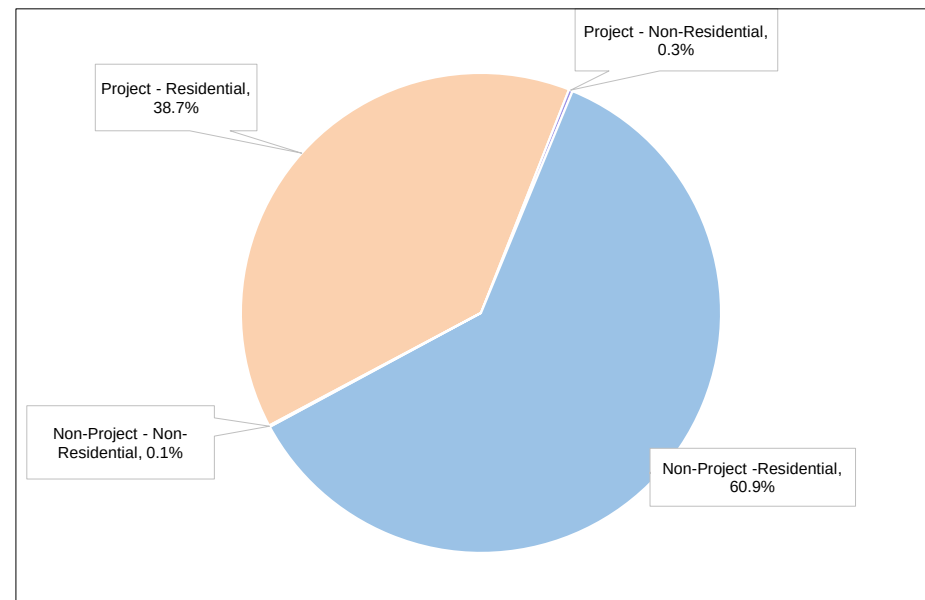
DK - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.9%	8.0%	25.2%	33.2%	3.7%	40.3%	0.2%	59.3%	0.1%
100%					40.6%		59.4%	

DK - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



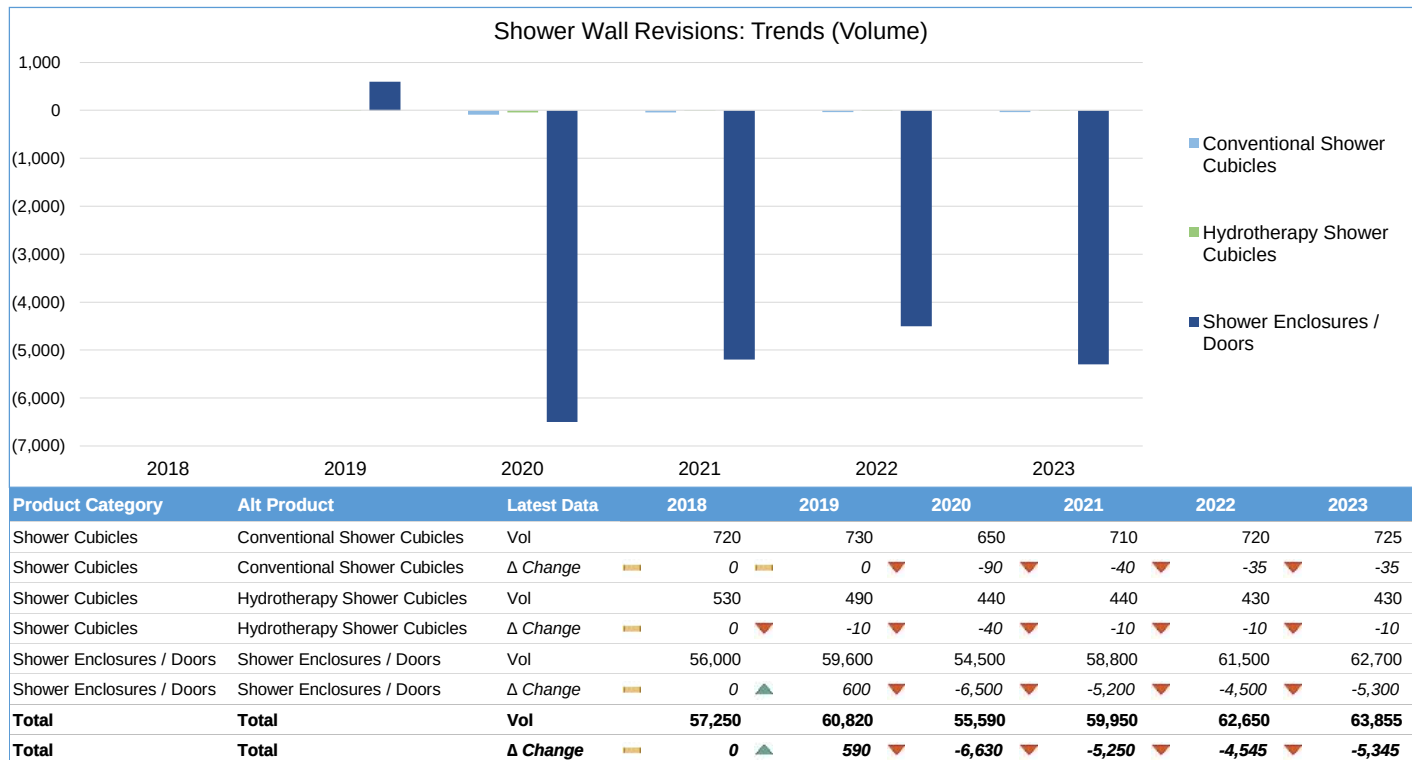
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Danish Shower Wall Market (July 2020)

DK - REVISIONS IN THE DANISH SHOWER WALL MARKET

Data Comparison: July 2019



The market size for shower enclosures was revised slightly up in 2019, due to higher sales towards the new housing market than BRG expected.

Sales of hydrotherapy showers was adjusted slightly downwards in 2019, due to a faster decreasing trend than BRG expected.

DENMARK

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Danish bathroom furniture market is characterised by a relatively even spread of sales between the three main product categories of base units, mirror and mirror cabinets, and separate cupboard units, with the last historically accounting for the highest level of sales. Danish bathrooms generally have enough space to fit both a base unit and separate cupboards, with consumers with smaller bathrooms in apartments substituting these products for mirror cabinets for space-saving reasons. The overall market has long been strongly tied to residential construction activity, although since the economic crisis the market has been carried by the replacement market, which in turn is driven by consumer confidence and propensity to spend.

In terms of material product mix, base units tend to be made mostly of either low-cost MDF or costlier solid wood with ceramic and synthetic countertops. The type of basin fitted is typically monobloc, with monobloc units tending to cost less than countertop units. Separate cupboards and mirror cabinets are also predominantly made of MDF, with cupboards being mostly wall hung models, again to maximise the space of the bathroom.

The majority of bathroom furniture is sold through specialist retailers, which distribute products either directly to consumers or through installers. The specialist retail market in Denmark is very fragmented and characterised by a large number of local independent stores; however, a share of specialist retail stores is made up of franchised stores of kitchen manufacturers, which also sell their bathroom furniture via the same stores.

In Denmark, the DIY channel has gained a larger penetration in the bathroom products market than in other Nordic countries. This is, in part, due to the smaller geographical scope of distribution in Denmark, but also due to the greater influence of German manufacturers. The role of DIY stores in the distribution of bathroom products has been growing over the past decade, and it is expected to continue to expand further in the future. There is a strong trend towards lower margins for DIY goods in Denmark, led by JEM & FIX, BAUHAUS and SILVAN.

The four major VVS wholesalers are believed to be the dominant suppliers of the DIY market, selling to DIY retail chains and builders merchants. However, the recent growth of the major DIY players (XL-BYG, STARK GROUP and BAUHAUS) has given rise to some speculation that they may increase their activity outside the traditional wholesaler distribution chain. IKEA (classed as a manufacturer) is among the largest furniture retailers to supply bathroom furniture through its own furniture stores.

The internet, as a distribution channel, has gained significant importance in recent years in the whole of the bathroom product market, including for the sales of bathroom furniture. This development has been driven largely by the price

competitiveness of the Internet as a distribution channel; a trend that is expected to continue over the forecast period. The growing share of internet sales is believed to have negatively affected sales via specialist retailers in particular.

Recent Market Trends

The overall market for bathroom furniture continued to develop positively in 2019 with the vast majority of players in the market having another great year. The main driver for the growth of bathroom furniture sales proved to be the surge in completions, from both new housing and apartments increased in 2019. Sales of washbasins are closely tied to demand for bathroom furniture, therefore given the positive performance of base units/vanities the sales of washbasins also increased. The bathroom furniture market was not affected much by the tax deduction scheme *Boligjobordningen*, partly because of the large share of sales via DIY and specialist retailers, such as IKEA, in the market. Mineral cast continue to account for the vast majority of washbasin material types for the base unit with ceramic in second with a very minute share. Also, the likes of glass steel and acrylic are available but still represent quite a minority.

Prices and Market Values

The average manufacturer's selling price (MSP) for bathroom furniture, in Danish krone, increased in 2019. This was mainly driven by a growing consumer preference for using expensive materials, such as solid wood, for the casing of bathroom furniture. Such changes in the material product mix, along with growing volumes sales, resulted in a significant growth in market value.

New Housing

The popularity of bathroom furniture has increased significantly in this end-use sector in recent years, with the biggest changes created by changes in the balance between house and apartment construction. In apartments, where available space is more limited than houses, the total number of bathroom furniture products installed tends to be significantly lower than in new houses. The sales of bathroom furniture to new housing is also linked to the number of washbasins sold, where a large majority is sold as part of bathroom furniture packages, including a washbasin, but excluding taps and mixers. Nevertheless, the penetration of bathroom furniture within the new housing sector is relatively high, especially in new houses, where most washbasins are countertops. The penetration of base units in new housing appears to be increasing, as washbasins with pedestals become increasingly unpopular, although the penetration of mirrors, mirror cabinets and separate cupboards seems to be declining as bathrooms strive to appear less cluttered and more minimalist. Overall, sales of bathroom furniture showed a good increase again in 2019, largely in apartments in line with the rise in completions. Sales to this end use are expected to decline, due to decreasing new housing completions, mainly negatively affected by the COVID-19 crisis.

Housing RMI

The overall bathroom furniture market is heavily dependent on housing RMI sales. As a mature market, a considerable share of sales consists of like-for-like replacements. Because of the dominance of pure replacement sales compared to full renovation sales, a significant percentage of the housing RMI market is made up of sales to end-customers, through either DIY, specialist or internet retailers. Products sold to the professional segment are mainly large-scale renovation projects, such as housing cooperatives or full bathroom renovation projects subject to tax benefits for the installer service. The replacements of washbasin countertops and base units tend to be closely linked, as many base units are fitted underneath a washbasin. Because of concerns with fittings, it is thus often necessary to replace both units. Growth in housing RMI demand can, therefore, often be explained by factors such as greater instances of full bathroom renovations, the increasing popularity of washbasin countertops, upgrades, and a general increase in the number of bathroom furniture packages sold. Sales of bathroom furniture into housing RMI continued to decrease in 2019 across all product segments, except separate cabinets that experienced a small increase. The negative developments are mainly driven by decline in like-like replacement for base units and mirrors/medicine cabinets.

The market is as the new housing end use expected to experience a decline in 2020, due to the effect of the COVID-19 crisis. The uncertainty is expected to keep some homeowners from renovating their bathroom, and therefore impact this end use sector negatively. A positive outlook should be maintained within the housing RMI segment for the remainder of the forecast period, as BRG expects growing popularity of bathroom furniture in this end-use sector – where consumers are increasingly demanding better designs and aesthetics.

Non-Housing

Sales to the non-housing segment are marginal, and mainly consist of sales to the hospitality industry or holiday homes. The volume sales of bathroom furniture in this end-use sector increased marginally in 2019 compared to 2018. The market is expected to experience a decline in sales in 2020 due to the postponements and cancelations of new build and renovations due to the COVID-19 crisis. The remaining years of the forecast period are expected to stay relatively flat for this end use category.

Supply Structure

The Danish bathroom furniture market is very fragmented, although dominated by a mixture of domestic and other Scandinavian brands. Since bathroom furniture products are often sold as part of a complete range, the same manufacturers who hold very similar market positions across the different product segments dominate the different product segments. The overall market is believed to be dominated by the domestic supplier DANSANI. Other important brands include INVITA, BALLINGSLÖV, IKEA, DURAVIT, IFÖ (now part of GEBERIT) and HAFA. IKEA in

particular has been seen to make significant strides, both as a manufacturer and a distributor of bathroom furniture, and is expected to continue to see success during the forecast period. SVEDBERGS stopped producing in Denmark in 2017, they can still sell through wholesalers/internet but to be active with their sales is no longer an option in Denmark.

A large share of 'Others' comprises kitchen furniture manufacturers that also supply bathroom furniture. Examples of such companies include KVIK (Denmark), HTH (Denmark), JKE DESIGN (Denmark) and UNIFORM (Denmark). A further share of 'Others' comprises imports, the majority being sold via wholesalers and DIY retail chains under own labels or as unbranded products. An example of own label brands includes BRØDRENE DAHL's ALTERNA brand of base units, separate cupboards, mirrors and mirror cabinets.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outlook for the bathroom furniture market is negative for 2020, due to the expected decrease in volume sales for all end use segments, due to the uncertainty of the market, mainly driven by the COVID-19 crisis. Many new housing and construction sites have been postponed, prolonged or cancelled due to the COVID-19 pandemic. This has put a damper on sales for bathroom furniture to these two end uses. The market for RMI sales is also forecast to decline in 2020, due to the uncertainty on the market driven by the crisis, this is expected to hinder any growth to this end use.

2021 onwards are expected to see an increase for all products segments each year. Housing RMI and positive new housing completions with family homes expected to return to good growth where bathroom furniture has a much higher penetration rate.

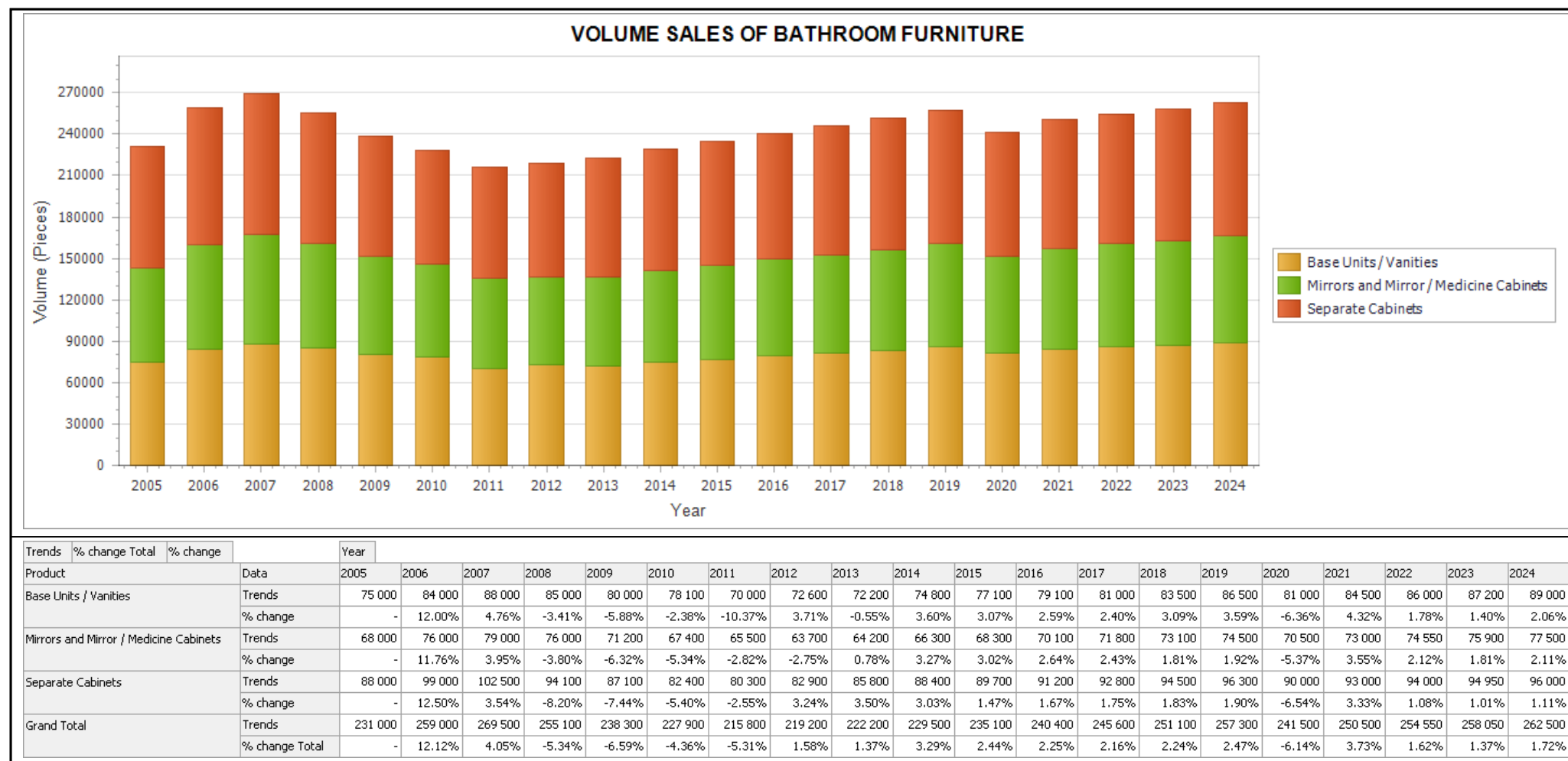
Rising private consumption and low interest rates, are predicted in 2021 onwards and should also contribute to sustained levels of renovation and replacement sales. Housing RMI demand is projected to increase, following the growth in washbasin countertop sales in 2021. Growth in the market for mirrors and mirror cabinets is also expected to expand further, with the share of mirrors set to increase at the expense of mirror cabinets. Growth in new housing output should also continue to remain positive in 2021, stimulating somewhat the growth potential of the bathroom furniture market.

In line with the expected recovery of washbasin sales in housing RMI and the growing popularity of bathroom furniture, demand is expected to remain positive over the forecast period. The growing in new housing completions from 2021

onwards are also expected to affect the market positively over the forecast period. The product mix is likely to continue to favour base units to coincide with increasing ceramic washbasin sales, and a movement towards more quality materials is likely to result in a higher share for solid wood casings. This, together with a higher disposable income for the average consumer, is likely to increase the share of medium- and luxury-priced products, resulting in a significant increase in the value of the market. The functionality of bathroom furniture has also been improving in recent years, which should benefit the market and lead to a higher share of basins with furniture over the next couple of years, especially in smaller bathrooms.

5.2 Historical Trends & Forecasts : Bathroom Furniture

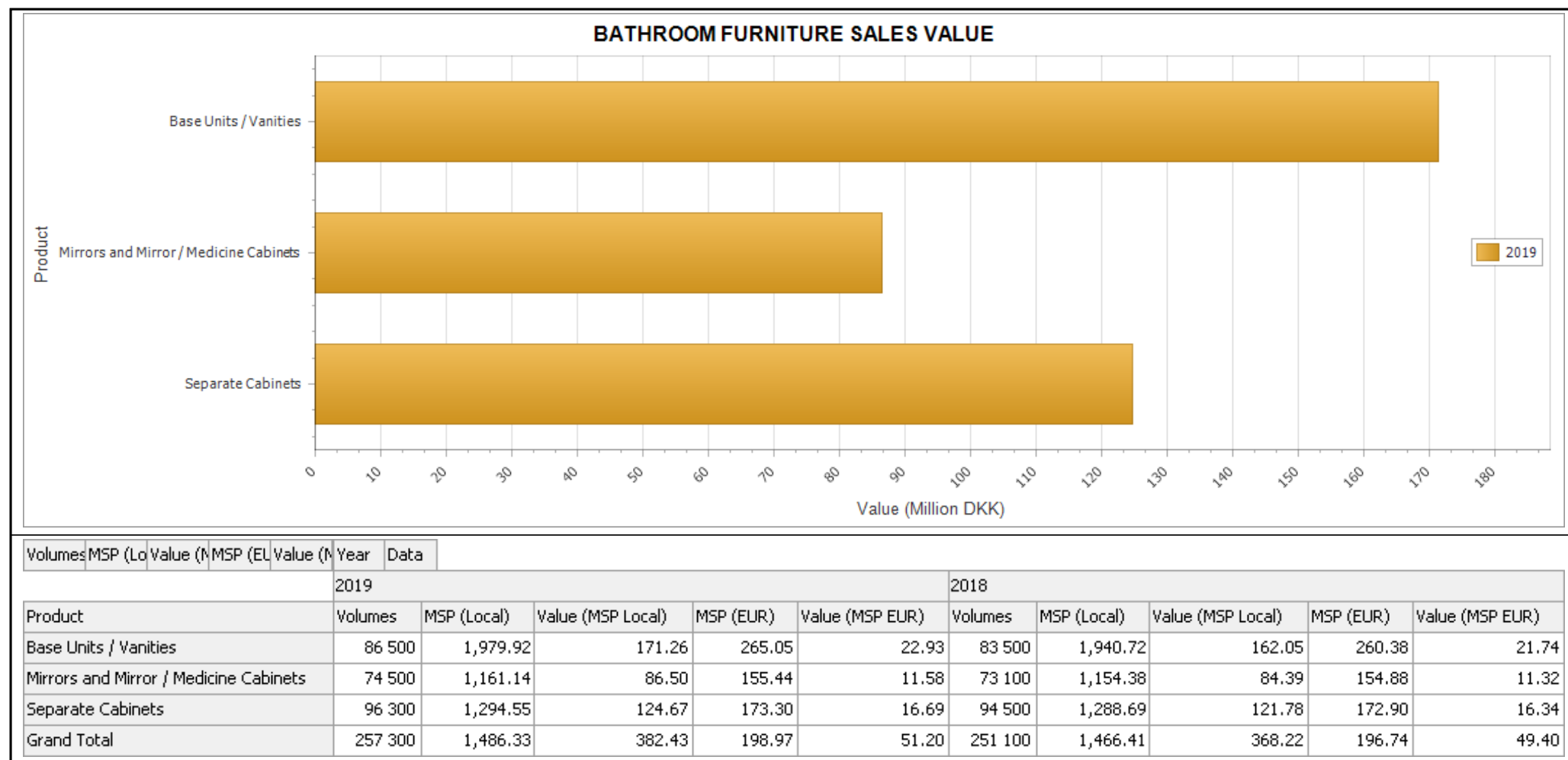
DK - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

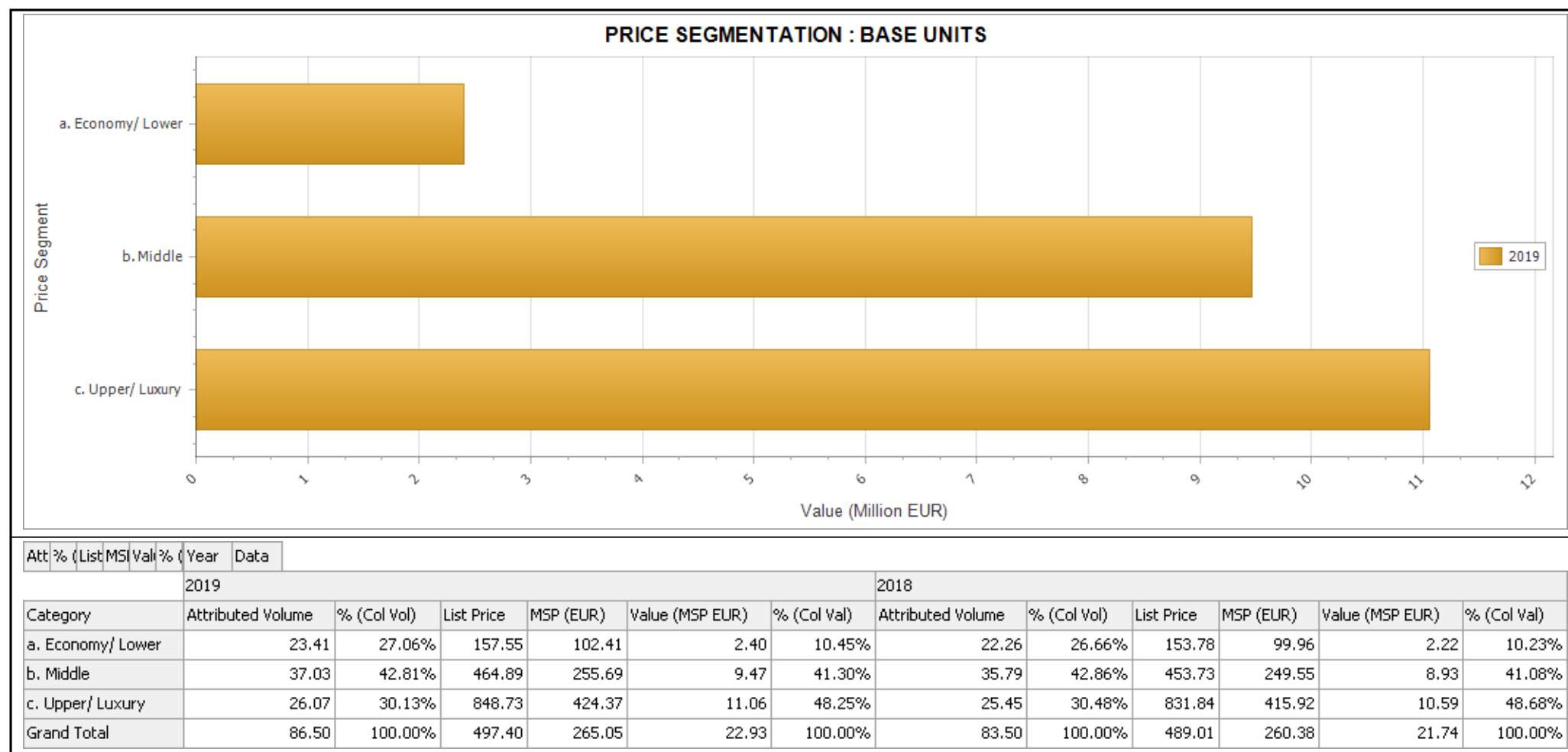
DK - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

5.3.2 Price Segmentation : Base Units

DK - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

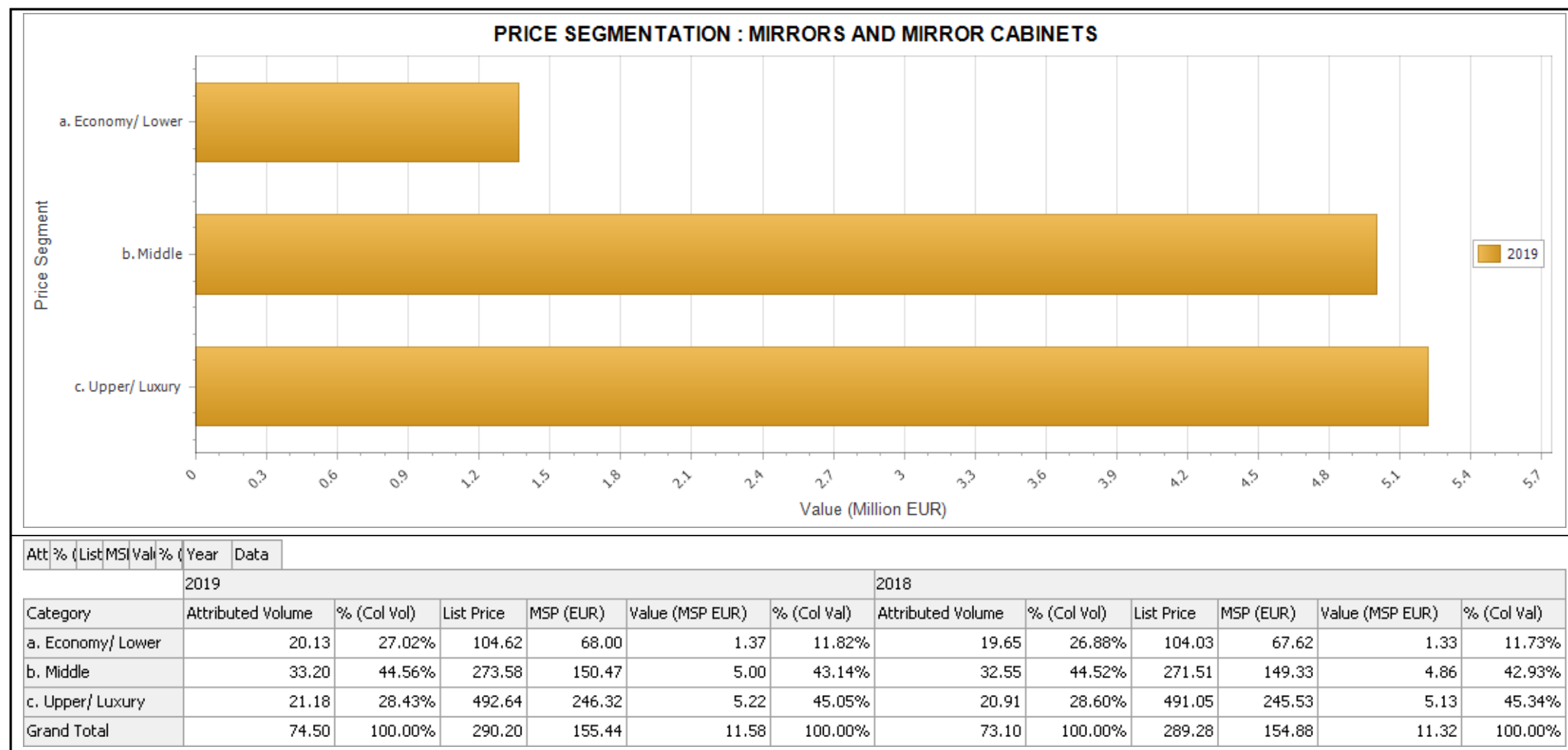


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

DK - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

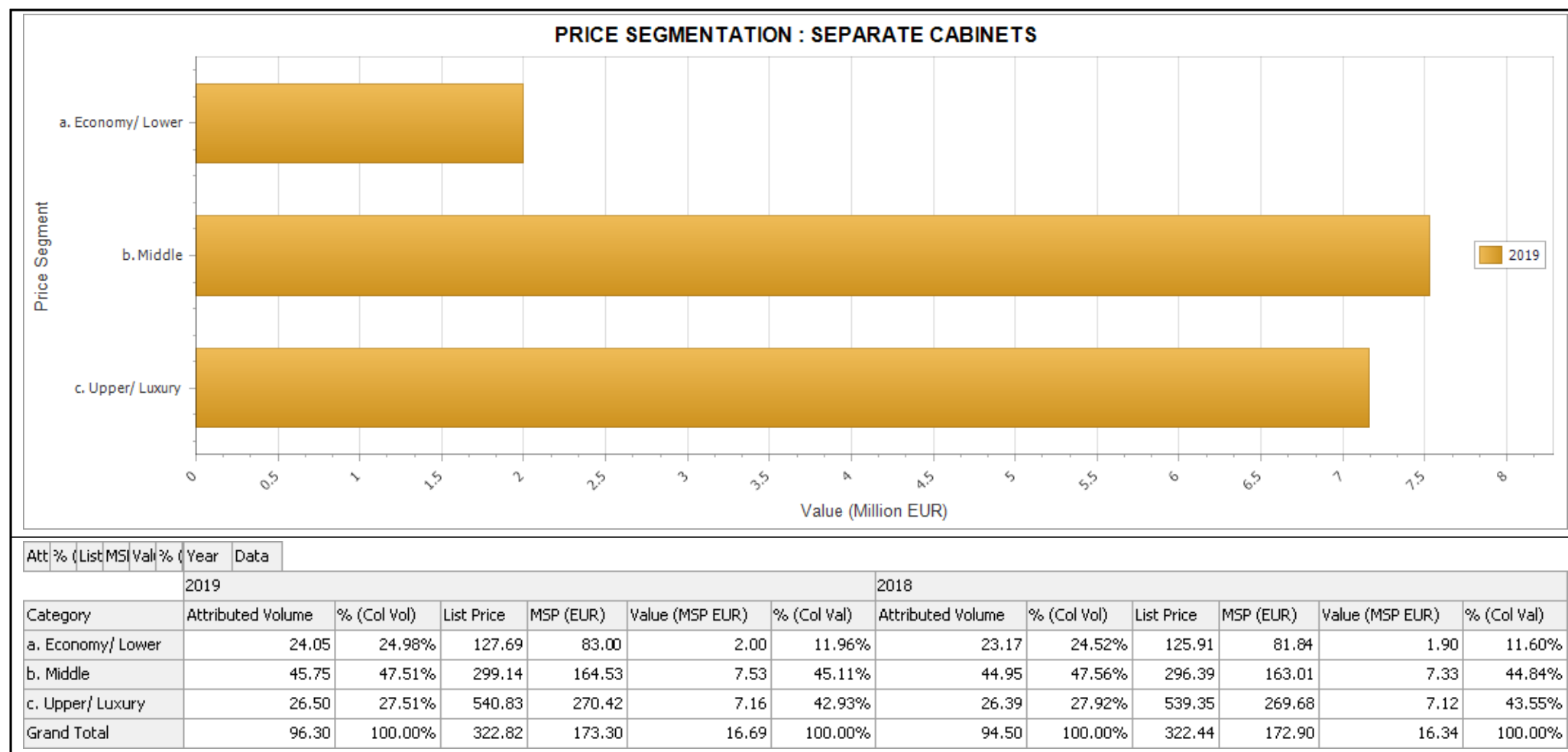


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€180, Upper/ Luxury >€180

5.3.4 Price Segmentation : Separate Cabinets

DK - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

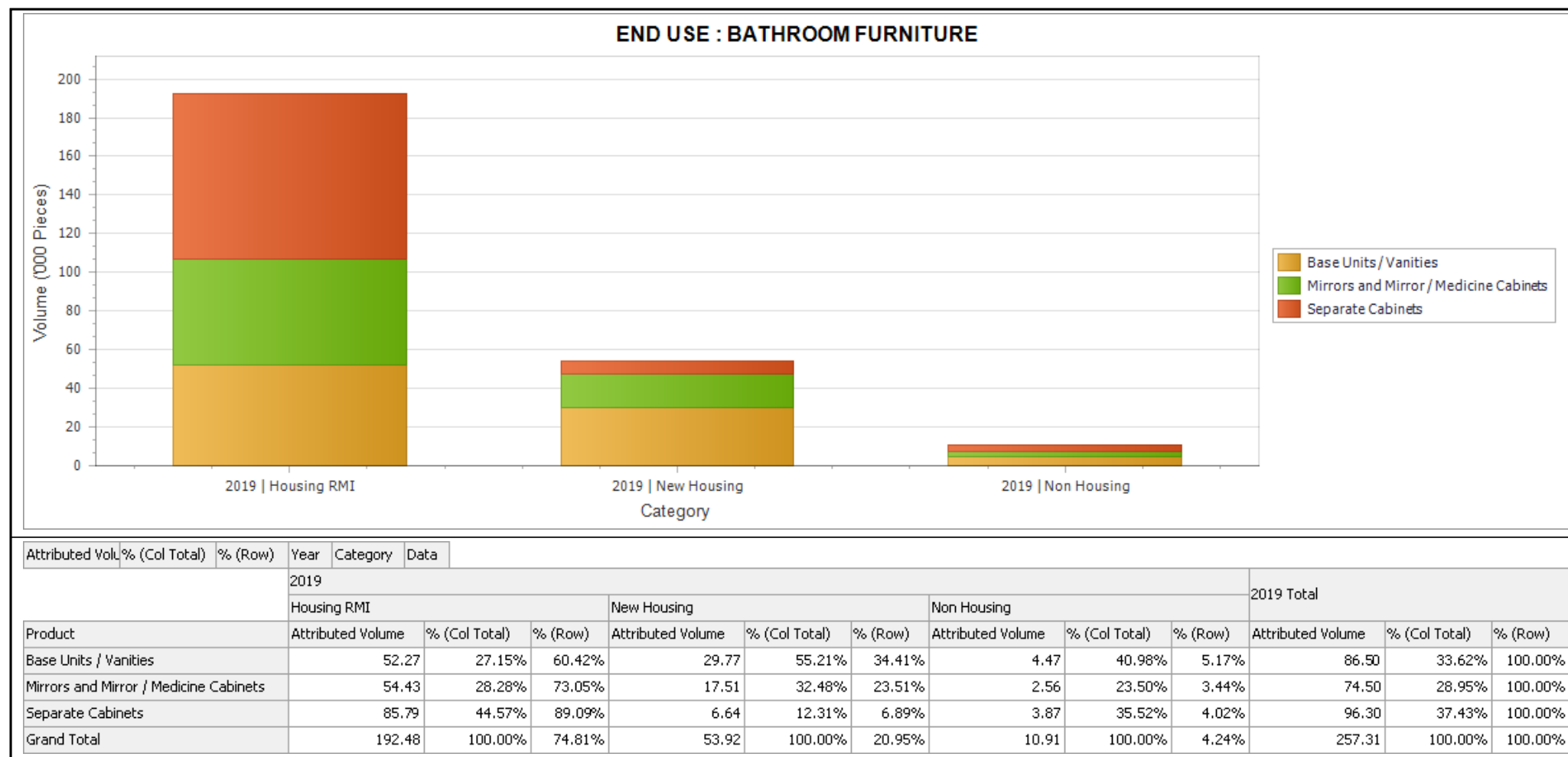


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€180, Upper/ Luxury >€180

5.4.1 End Use : Base Year

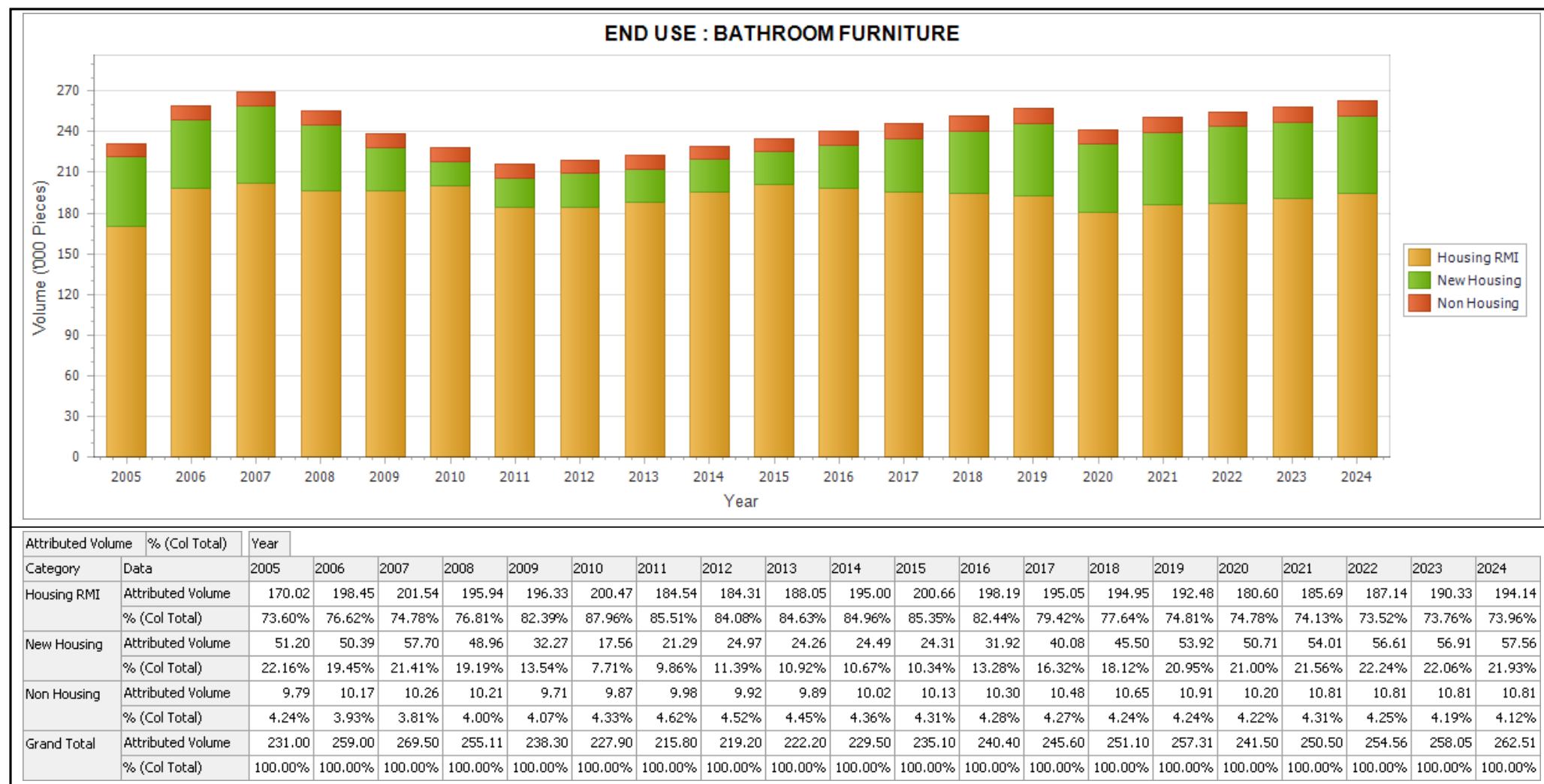
DK - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

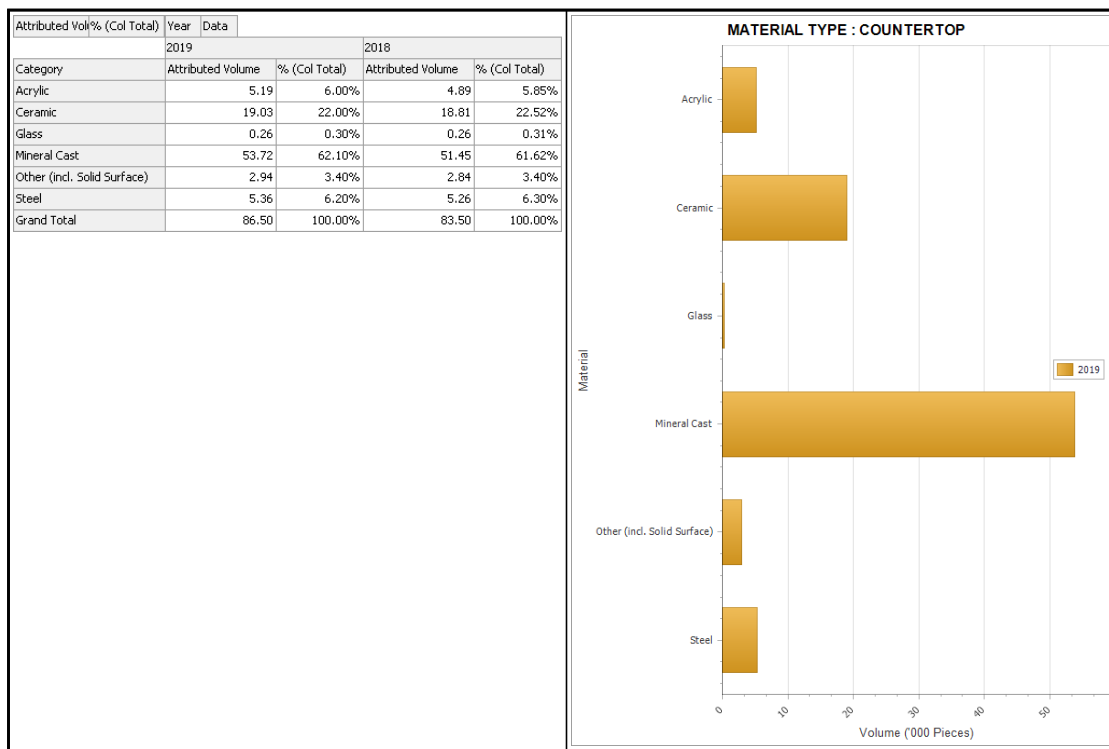
DK - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

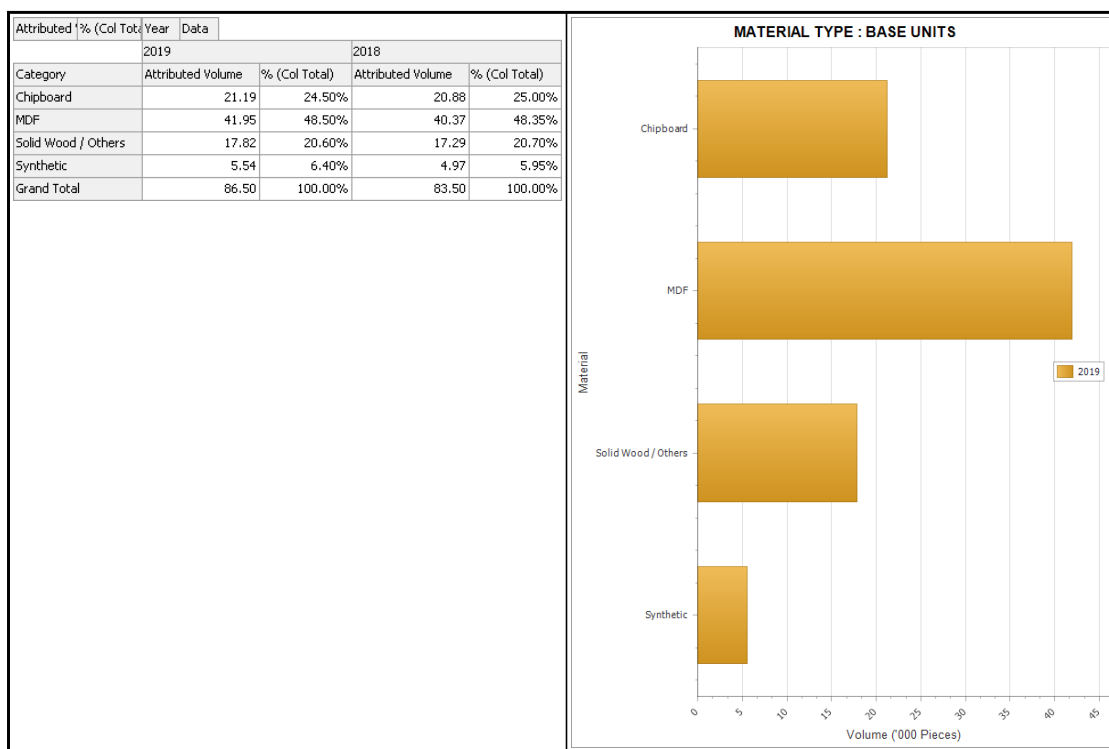
DK - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

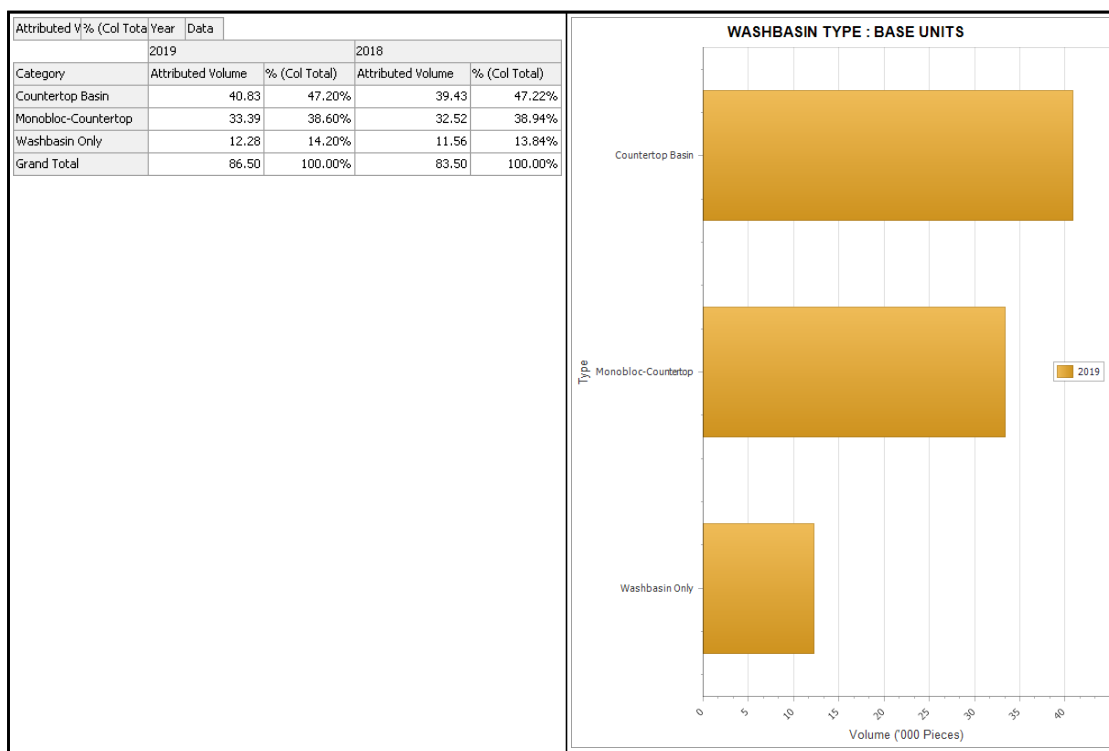
DK - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

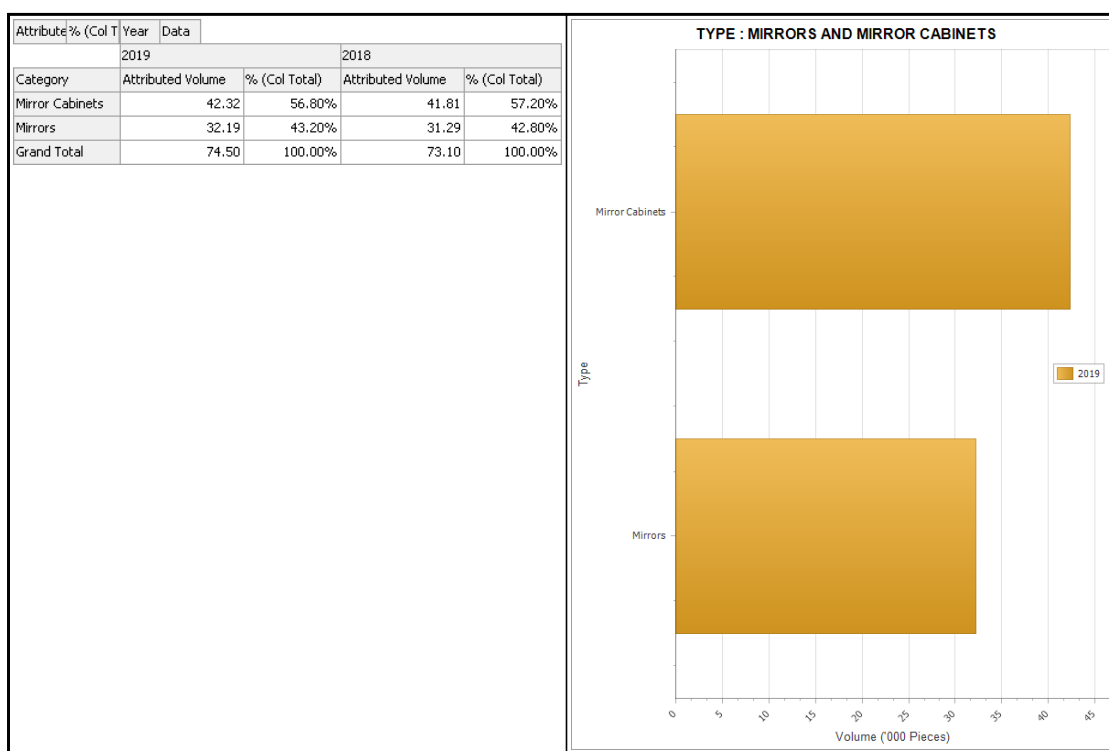
DK - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type : Mirror and Mirror Cabinets

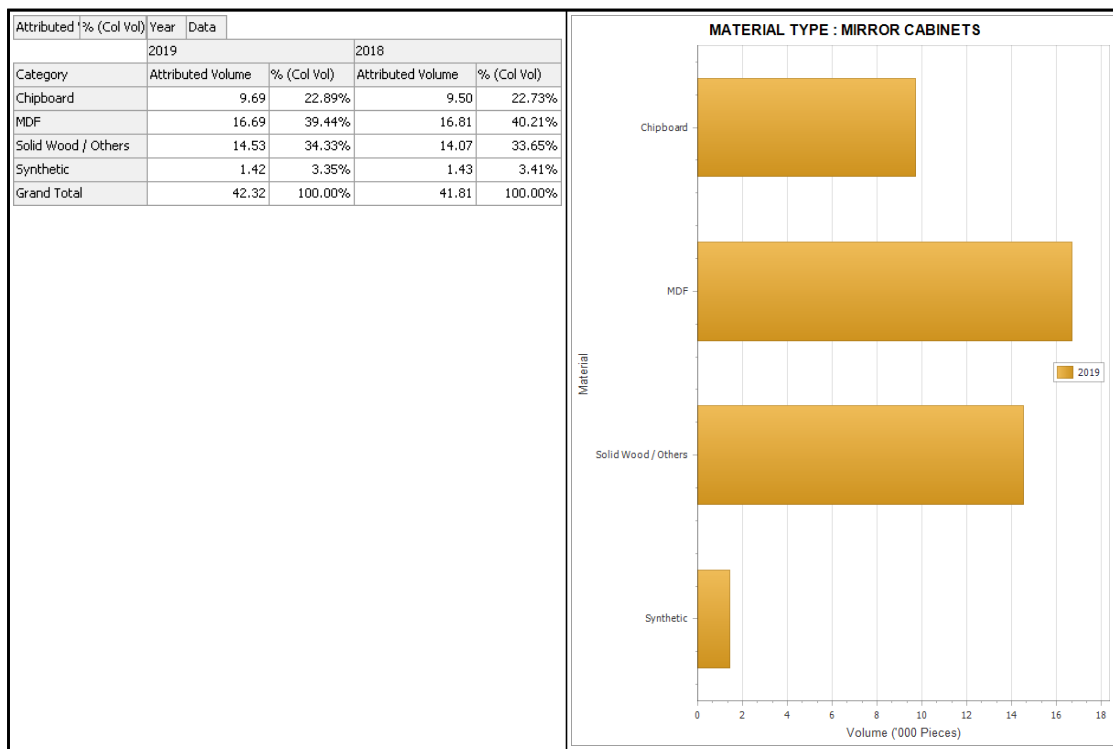
DK - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Type of Material : Mirror Cabinets

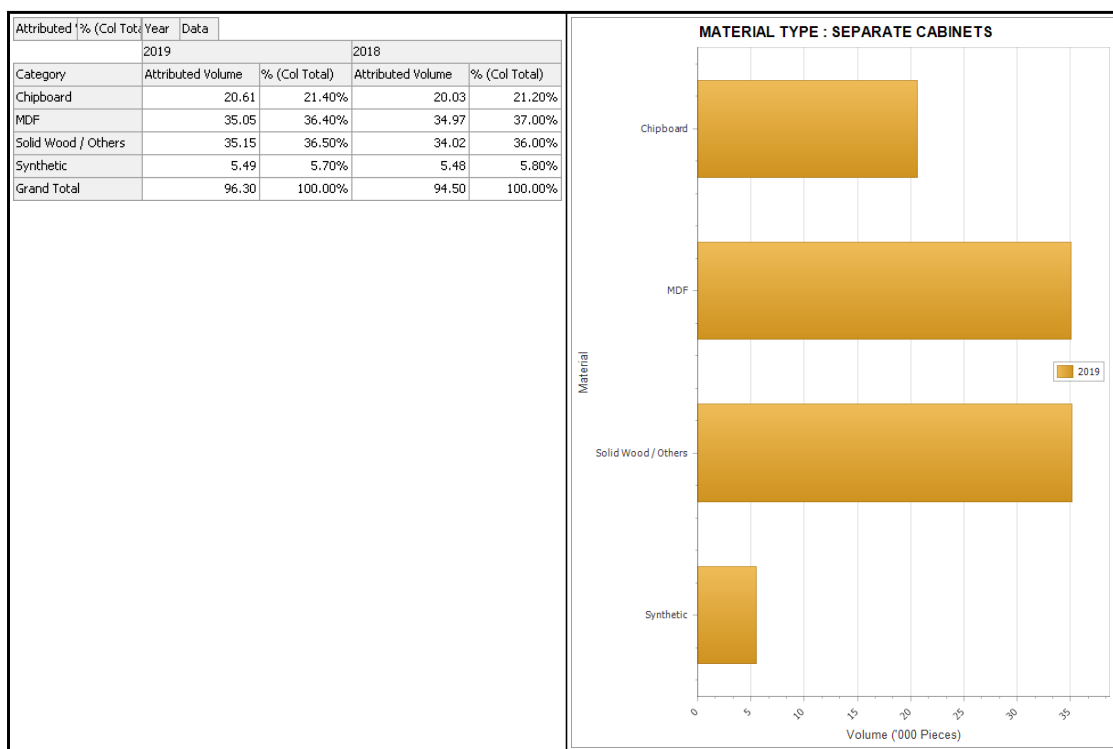
DK - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type of Material : Separate Cabinets

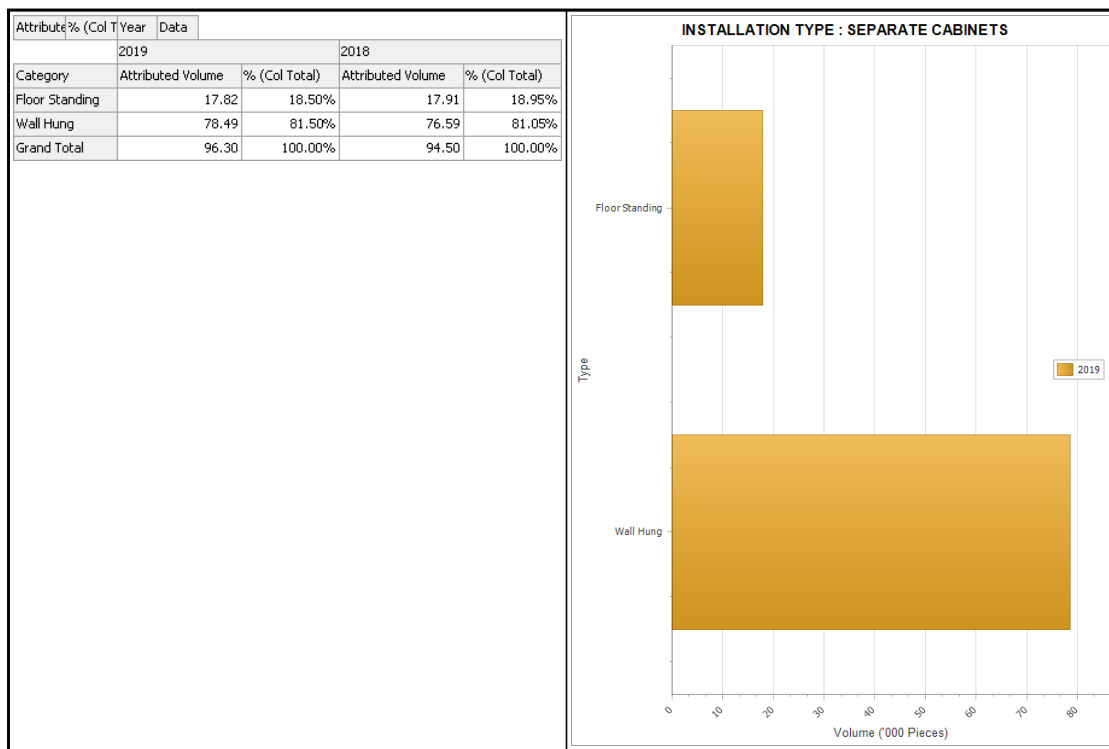
DK - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Installation : Separate Cabinets

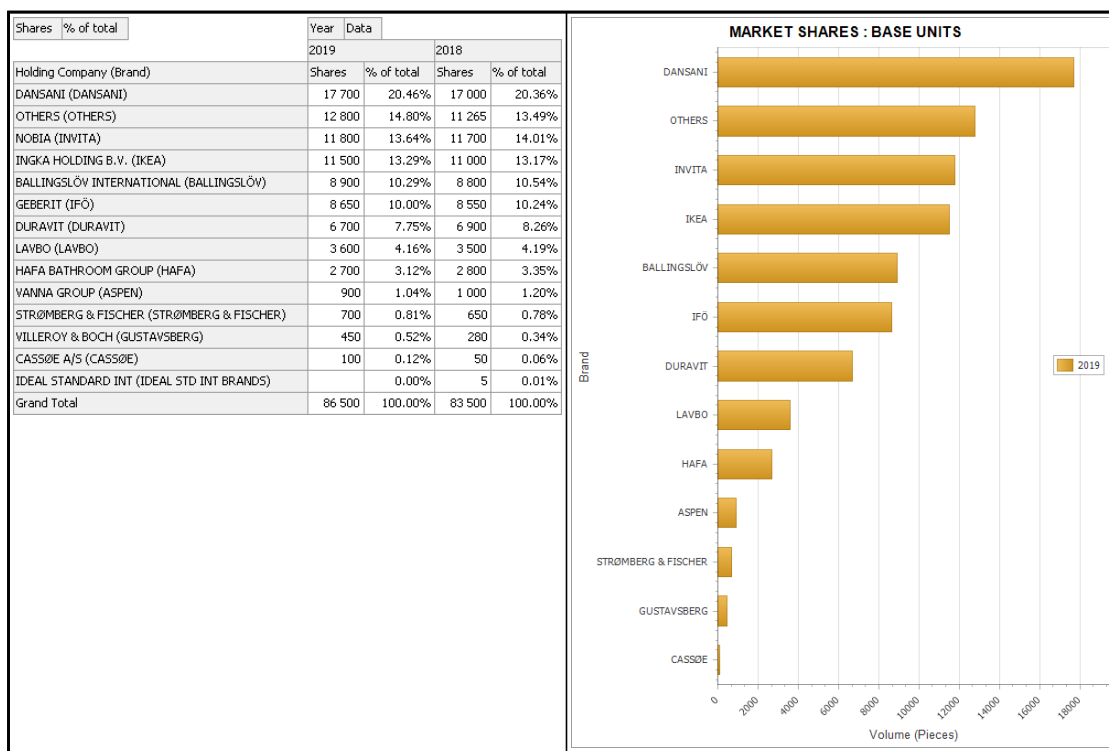
DK - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.5.1 Market Shares : Base Units

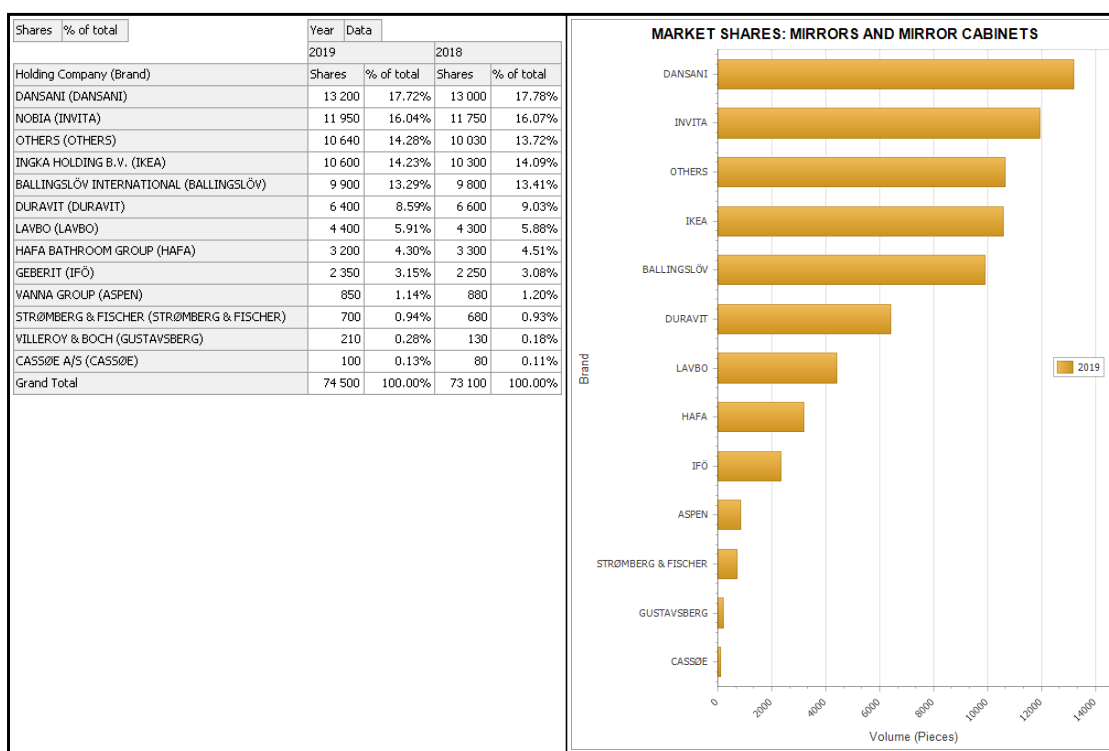
DK - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

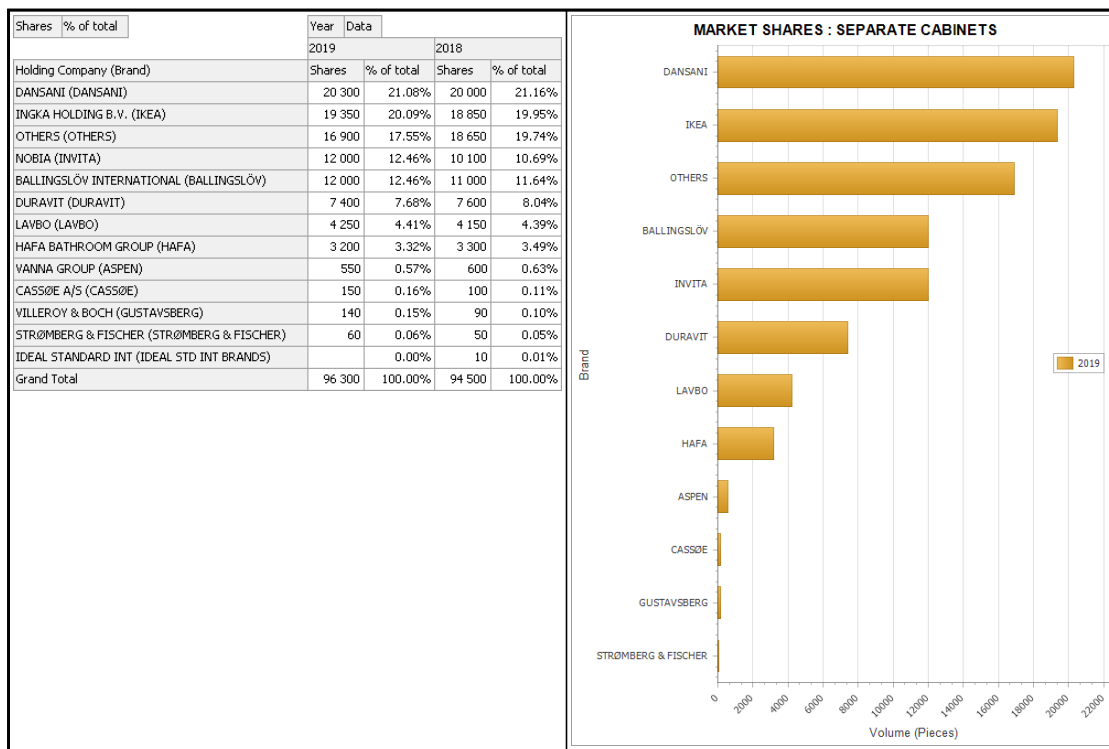
DK - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

DK - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
DK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.4%
	Wholesalers / Merchants
	28.4%

Retail Level	Manufacturer 4.6%	Wholesaler 4.5%	Manufacturer 21.7%	Wholesaler 3.0%	Manufacturer 41.7%	Wholesaler 5.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.1%		24.7%		47.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.5%	15.0%	1.4%	4.9%	16.1%
Installers				
41.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 0.1%	Internet 7.8%	DIY 19.6%	Specialist 30.9%	Installer 37.4%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.2%	Specialist 0.5%	Installer 3.5%
	Residential						Non-Residential					
	95.8%						4.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	21.0%			74.8%			3.0%			1.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	17.8%		3.1%	6.7%		68.1%	2.3%		0.7%	0.8%		0.4%

5.6.2 Route to Market: Bathroom Furniture
DK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	27.4%
	Wholesalers / Merchants
	27.4%

Retail Level	Manufacturer 5.4%	Wholesaler 4.9%	Manufacturer 22.5%	Wholesaler 4.0%	Manufacturer 41.0%	Wholesaler 5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.3%		26.5%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	13.5%	1.5%	5.3%	15.5%
Installers				
38.8%				

End Use Level	Manufacturer 0.7%	Wholesaler 0.0%	Internet 8.8%	DIY 21.1%	Specialist 29.9%	Installer 35.4%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.1%	Specialist 0.6%	Installer 3.4%
	Residential						Non-Residential					
	95.9%						4.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	21.9%			74.0%			2.9%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	18.6%		3.3%	6.7%		67.3%	2.2%		0.6%	0.8%		0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

DK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

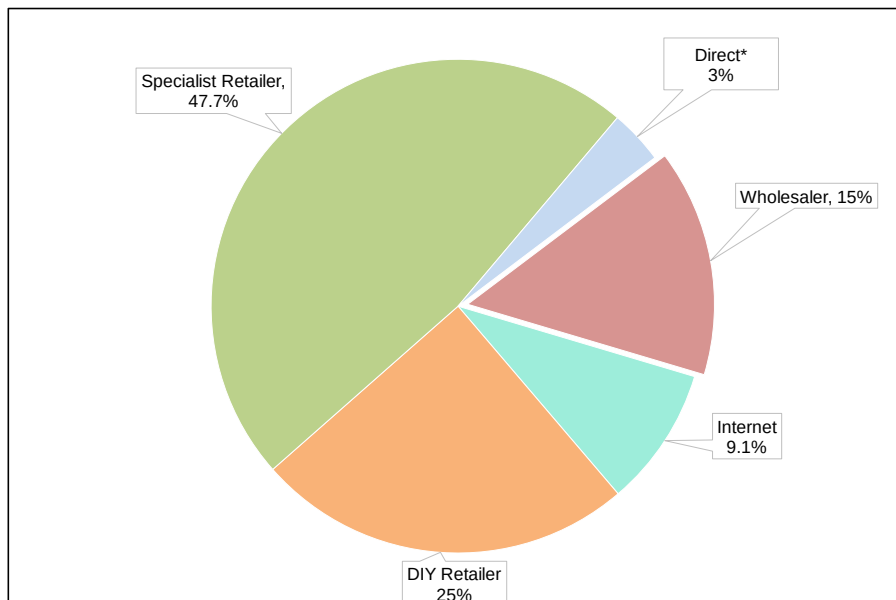
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.9%	9.1%	24.7%	47.7%	3.5%	24.5%	3.1%	71.2%	1.1%
100%					27.7%		72.3%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

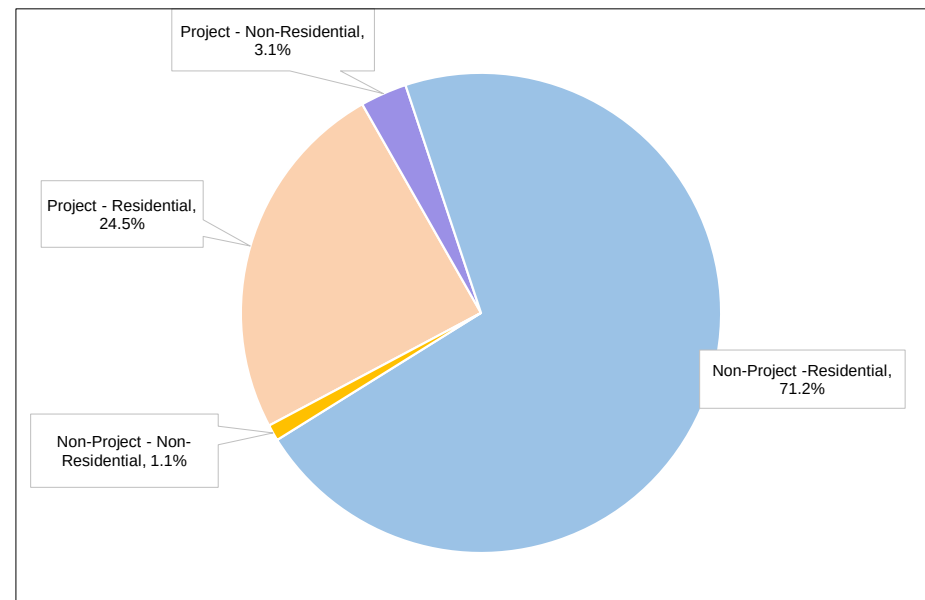
DK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.5%	10.3%	26.5%	46.0%	3.7%	25.3%	3.1%	70.6%	1.1%
100%					28.3%		71.7%	

DK - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



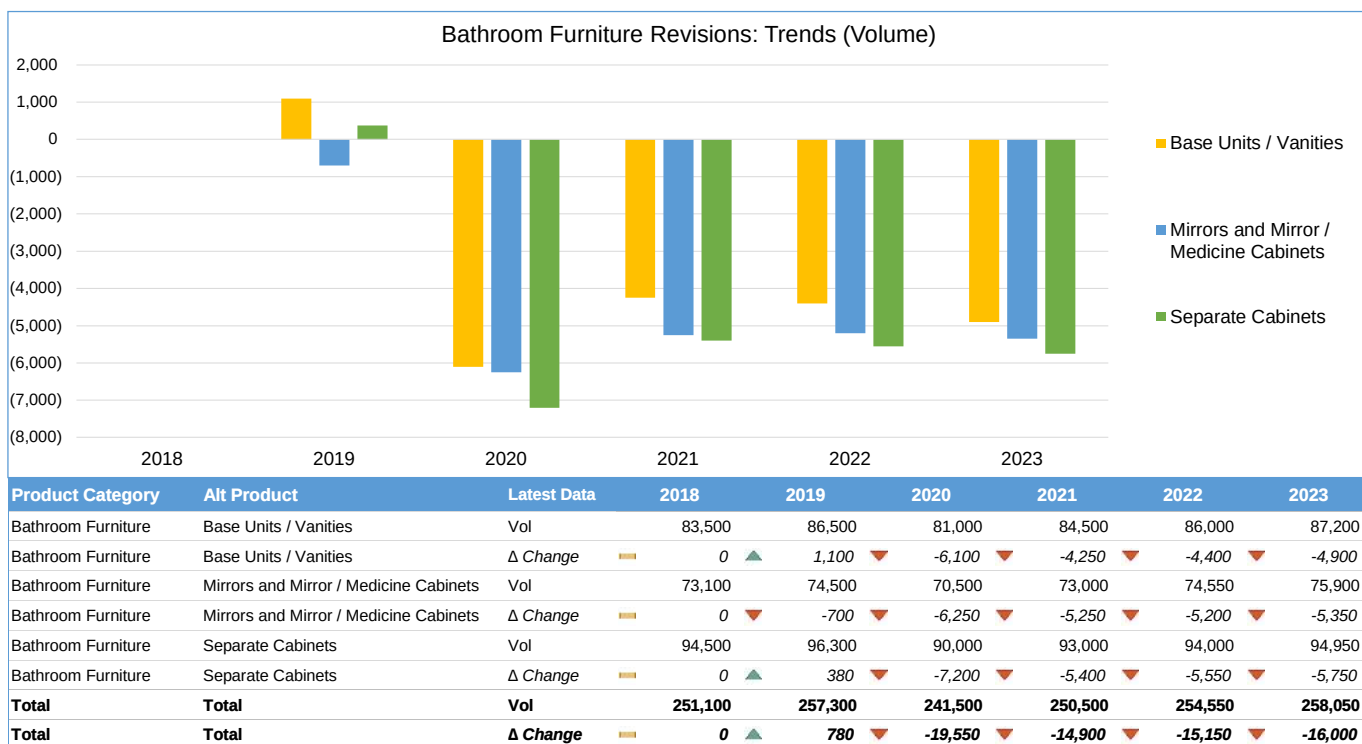
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Danish Bathroom Furniture Market (July 2020)

DK - REVISIONS IN THE DANISH BATHROOM FURNITURE MARKET

Data Comparison: July 2019



Sales of mirrors and mirror cabinets was revised slightly down in 2019, due to an overestimation of sales towards the housing RMI end use.

Sales of base units and separate cabinets was adjusted up in 2019, due to further industry feedback showing an underestimation of sales towards the new housing segment.

DENMARK

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The bathroom accessories market is unique in the Danish bathroom segment, as its product mix is entirely comprised of non-essential items, rendering almost all purchases discretionary. Because of this, the market is highly driven by both consumer spending levels and distribution trends that render it easier for consumers to purchase these products.

Historically, the most popular products are those that are considered to be more essential to the bathroom space, such as toilet brushes, towel holders, toilet paper holders and waste paper bins. The 'Others' category is mostly comprised of shower curtains, due to the popularity of wet rooms with a shower curtain rather than a shower enclosure.

It has become increasingly common in recent years to substitute certain bathroom accessories with everyday household alternatives, such as kitchen cups for toothbrush holders and kitchen waste paper bins rather than those specifically made for bathrooms. This is not only a reflection of the consumer's willingness to spend less, but also representative of the lack of bathroom-specific retailers in the Danish market compared to kitchen retailers.

Concerning the material used, metal has historically been the dominant material in the bathroom accessories market, with stainless steel and chrome being the most common types of metal sold. Traditionally, metal bathroom accessories have been sold in the medium to upper price segment, but in recent years have increased in number in the low-price range, which is a trend that is anticipated to continue.

Synthetic materials have the second highest market value. Compared to metal, synthetic materials come in different colours, are typically incorporated into more innovative designs, and products of this type are usually also characterised by lower prices. Crystal and glass are not usually used on their own, but with plastic or metal (especially in the production of soap holders and tumblers). The share of ceramics and wood bathroom accessories remains negligible.

The most popular ceramic accessories are soap holders, while wood is used primarily combined with glass (as the support of wall hung tumblers or soap holders).

Recent Market Trends

The bathroom accessories market experienced good growth in 2019, following on from the positive trend attributed in 2018. The housing turnover for the Danish market remained quite positive which aided in the growth of the bathroom accessories market. This had a positive effect on the bathroom accessories market, as more houses changed hands and the number of first-time buyers also reportedly increased. Private consumption also improved, driving the market value

upwards. The product mix in 2019 continued to reflect consumer preferences, gravitating towards fundamental accessories such as toilet brushes, towel holders and toilet paper holders.

Prices and Market Values

The average MSP for the overall market increased in 2019. Sales in the lower price, upper, and luxury ranges increased in 2019, stealing shares from the economy and middle price segments. Thanks to general economic conditions improving in the country, more expensive products are being sold in the bathroom accessories market, resulting in strong growth from premium product suppliers.

New Housing

New housing units in Denmark rarely come furnished with bathroom accessories, and as such the market is not directly linked to the number of housing completions. Consumers, however, do tend to increase their spending on bathroom accessories when moving into a new house or apartment. The new housing market experienced a strong increase in terms of completions of apartments and family houses in 2019, which led to a positive performance for the overall sales of bathroom accessories into this sector. The prospects of the new housing segment are expected to wane in 2020, due to the COVID-19 crisis, which is negatively affecting the new housing completions, hampering sales towards this end use.

Housing RMI

Replacement of bathroom accessories tends to be more discretionary than the replacement of other bathroom products, due to the low cost of the product, meaning that the consumer is free to replace without large investment. As previously stated, replacement or renovation might commonly be carried out during housing transfers. The increase in the housing turnover contributed to an increase in RMI sales in 2019. 2020 on the other hand is expected to decline due to the uncertainty of the market driven by the COVID-19 crisis, hindering sales to this end use.

Non-Housing

The non-housing segment represents a relatively negligible portion of sales in the bathroom accessories market, and the sales growth in 2019 saw slight growth in line with the increase in the number of hotels and renovations here also. Increased hospital renovation also aided bathroom accessory sales, particularly hygiene products such as toilet brushes and products commonly associated with disabled toilets, such as support bars. This end use is as the other end uses negative affected by the COVID-19 crisis, and a decline is expected for 2020.

Supply Structure

The Danish market for bathroom accessories was historically very fragmented but has become less so since the growth of importing brand VVS TRADING, the DIY division of AHLSELL, and Swedish specialist retailer IKEA, which together make up more than half of the value of the total market. Other important foreign companies are HANSGROHE (MASCO), KEUCO and IDEAL STANDARD, all of which are present in other bathroom markets and have a wide range of product offerings.

The three most important local manufacturers in Denmark are SANISCAN (formerly ZONE DESIGN) and VIPP. SANISCAN merged with PRESSALIT in 2008 and provides consumers with products in the low/middle price ranges. The Danish manufacturer BOVICTUS sold their ZONE DENMARK brand in August 2018 to F&H OF SCANDINAVIA, to focus on their other brands, but BOVICTUS went bankrupt in late 2018.

Other smaller domestic manufacturers include EVA TRIO and COOL LINE. The appeal of the Danish bathroom accessories market, with relatively small domestic production, has attracted foreign investment in the past decade.

A substantial part of the bathroom accessories market in Denmark is distributed through DIY wholesalers and hypermarkets. In recent years, pressure from sales made direct from manufacturers to DIY markets has increased considerably, stimulated by the increasing presence of foreign companies and importers from China. A factor negatively influencing the market, especially for the established manufacturers, is the presence of private label products. Wholesalers are increasing their stocks of private label (sourced both from established brands and from cheap imports); this is a response to the increasing pressure from DIY and direct sales. However, DIY stores themselves are reportedly increasingly looking at an alternative supply to wholesalers, in part to supply their own private labels. Overall, the increase in the use of private labels is set to put pressure on the sales of key manufacturers.

Products sold via specialist retailers have traditionally been sold in the medium to upper price segments, but consumers are increasingly choosing to source their products from internet retailers given the wide scope of products in different price segments. It is anticipated that sales via specialist retailers may continue to decline in favour of e-sales in the forthcoming few years.

Bathroom accessories manufacturers usually do not directly supply either installers or building contractors. Because of the nature of the bathroom accessories market, even when the contractors have to undertake large development projects they do not usually provide bathroom accessories to the clients.

Forecasts

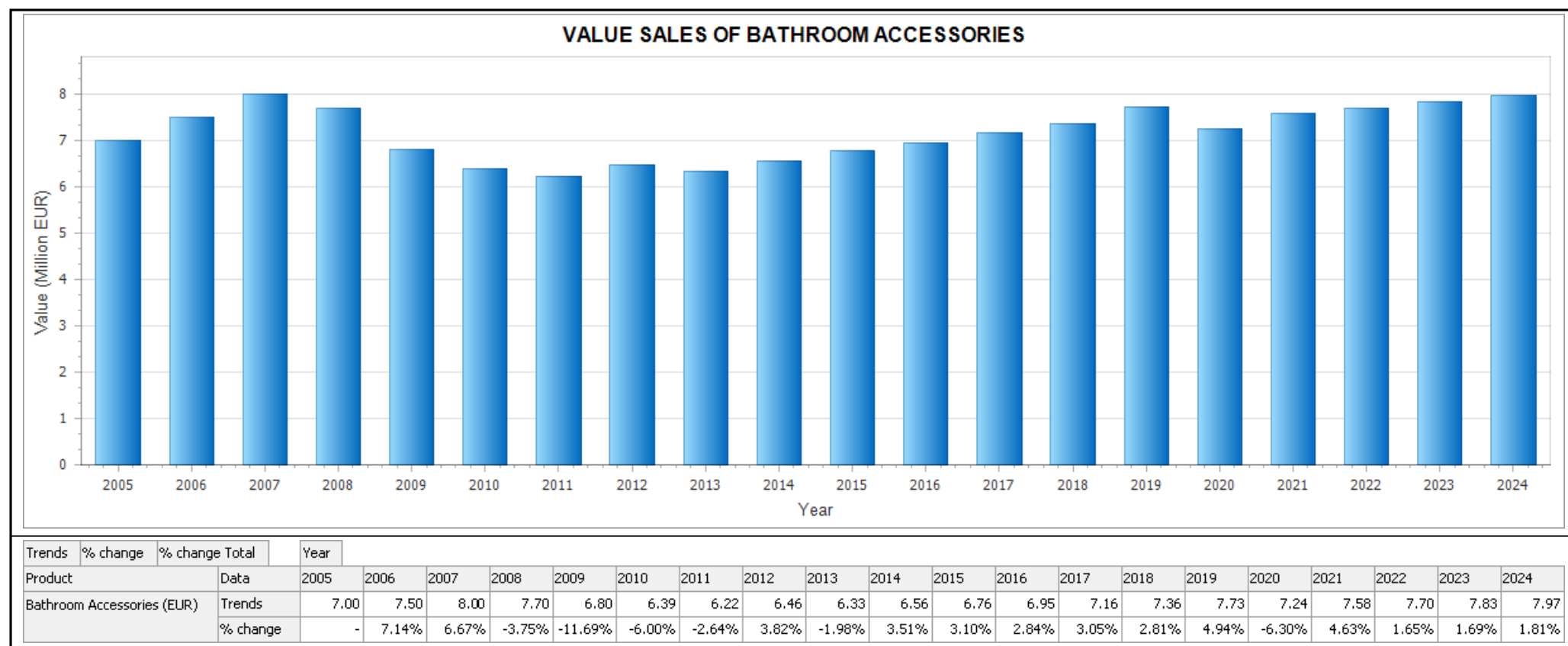
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The bathroom accessories market is forecast to decline significantly in 2020 in line with the negative state/uncertainty the Danish economy is in, due to the COVID-19 crisis. Many new housing and construction sites have been postponed, prolonged, or cancelled due to the pandemic. With the number of new housing completions significantly decreasing sales towards new housing end use is expected to decline as well. The end use for non-housing and RMI are also expected to decrease due to the uncertainty of the market, mainly driven by the COVID-19 crisis.

Over the rest of the forecast period the bathroom accessories market is expected to be positive, as construction activity is expected to recover, and consumer confidence grows. This allows for regular discretionary purchases and an increased focus on higher quality products in higher price segments. It is unlikely that the actual volume of sales for bathroom accessories will dramatically grow during the forecast period; therefore, growth should primarily come from an increasing average MSP through the consumer preference for the middle/high/luxury price segments. The housing turnover is projected to stabilise over the forecast period, while the small improvements in the new construction market should have a limited effect on the market.

6.2 Historical Trends and Forecasts

DK - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

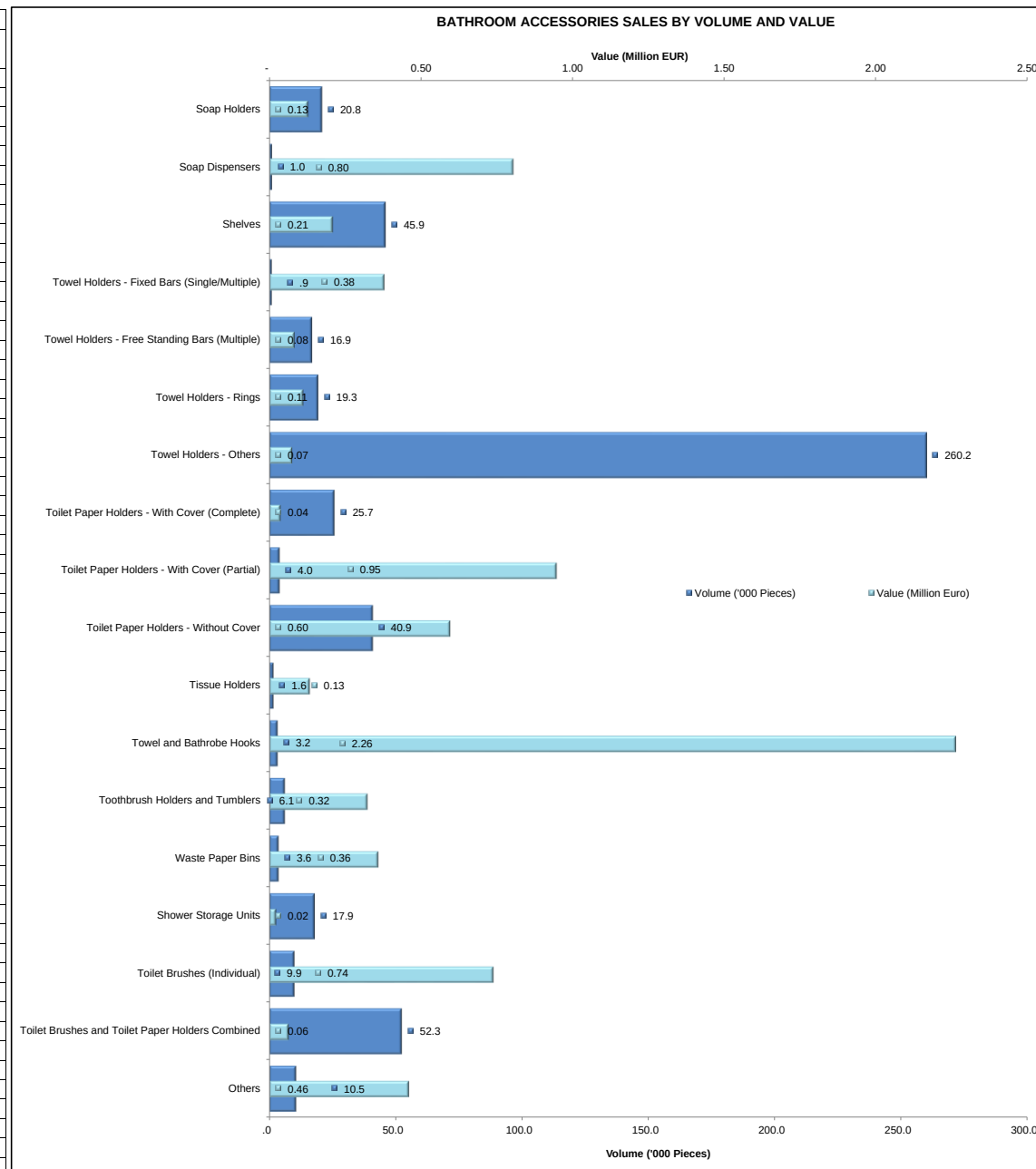
6.3 Prices and Market Values : Bathroom Accessories

DK - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2019		
		Volume ('000 Pieces)	Value (Million DKK)	Value (Million EUR)
Soap Holders	Volume / Value	10.5	1.0	0.1
	Share	1.9%	1.7%	1.7%
	Average Price (DKK/EUR)		90.5	12.1
Soap Dispensers	Volume / Value	52.3	6.0	0.8
	Share	9.7%	10.4%	10.4%
	Average Price (DKK/EUR)		114.7	15.4
Shelves	Volume / Value	9.9	1.6	0.2
	Share	1.8%	2.7%	2.7%
	Average Price (DKK/EUR)		158.0	21.2
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	17.9	2.8	0.4
	Share	3.3%	4.9%	4.9%
	Average Price (DKK/EUR)		158.0	21.2
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	3.6	0.6	0.1
	Share	0.7%	1.1%	1.1%
	Average Price (DKK/EUR)		171.5	23.0
Towel Holders: Rings	Volume / Value	6.1	0.8	0.1
	Share	1.1%	1.4%	1.4%
	Average Price (DKK/EUR)		137.0	18.3
Towel Holders: Others	Volume / Value	3.2	0.6	0.1
	Share	0.6%	1.0%	1.0%
	Average Price (DKK/EUR)		174.0	23.3
Toilet Paper Holders: With Cover (Complete)	Volume / Value	1.6	0.3	0.0
	Share	0.3%	0.5%	0.5%
	Average Price (DKK/EUR)		174.0	23.3
Toilet Paper Holders: With Cover (Partial)	Volume / Value	40.9	7.1	0.9
	Share	7.6%	12.3%	12.3%
	Average Price (DKK/EUR)		173.0	23.2
Toilet Paper Holders: Without Cover	Volume / Value	4.0	4.5	0.6
	Share	0.7%	7.7%	7.7%
	Average Price (DKK/EUR)		1110.0	148.6
Tissue Holders	Volume / Value	25.7	1.0	0.1
	Share	4.8%	1.7%	1.7%
	Average Price (DKK/EUR)		38.6	5.2
Towel and Bathrobe Hooks	Volume / Value	260.2	16.9	2.3
	Share	48.1%	29.3%	29.3%
	Average Price (DKK/EUR)		65.0	8.7
Toothbrush Holders and Tumblers	Volume / Value	19.3	2.4	0.3
	Share	3.6%	4.2%	4.2%
	Average Price (DKK/EUR)		125.0	16.7
Waste Paper Bins	Volume / Value	16.9	2.7	0.4
	Share	3.1%	4.6%	4.6%
	Average Price (DKK/EUR)		158.8	21.3
Shower Storage Units	Volume / Value	.9	0.2	0.0
	Share	0.2%	0.3%	0.3%
	Average Price (DKK/EUR)		183.0	24.5
Toilet Brushes (Individual)	Volume / Value	45.9	5.5	0.7
	Share	8.5%	9.6%	9.6%
	Average Price (DKK/EUR)		120.0	16.1
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	1.0	0.5	0.1
	Share	0.2%	0.8%	0.8%
	Average Price (DKK/EUR)		481.3	64.4
Others	Volume / Value	20.8	3.4	0.5
	Share	3.8%	6.0%	6.0%
	Average Price (DKK/EUR)		165.0	22.1
TOTAL	Volume in '000/Value in Million	540.6	57.7	7.7
	Share	100.0%	100.0%	100.0%
	Average Price (DKK/EUR)		106.8	14.3

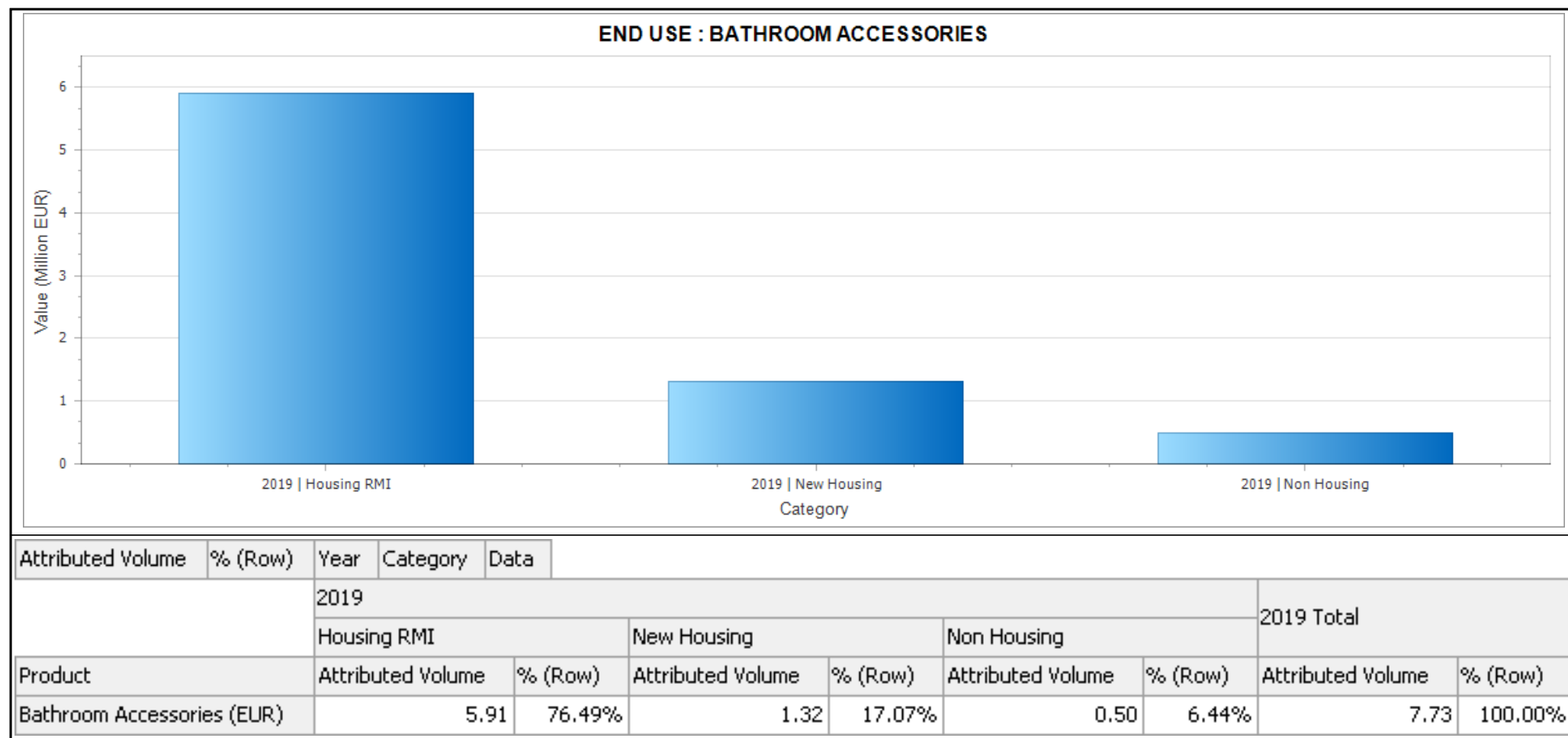
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

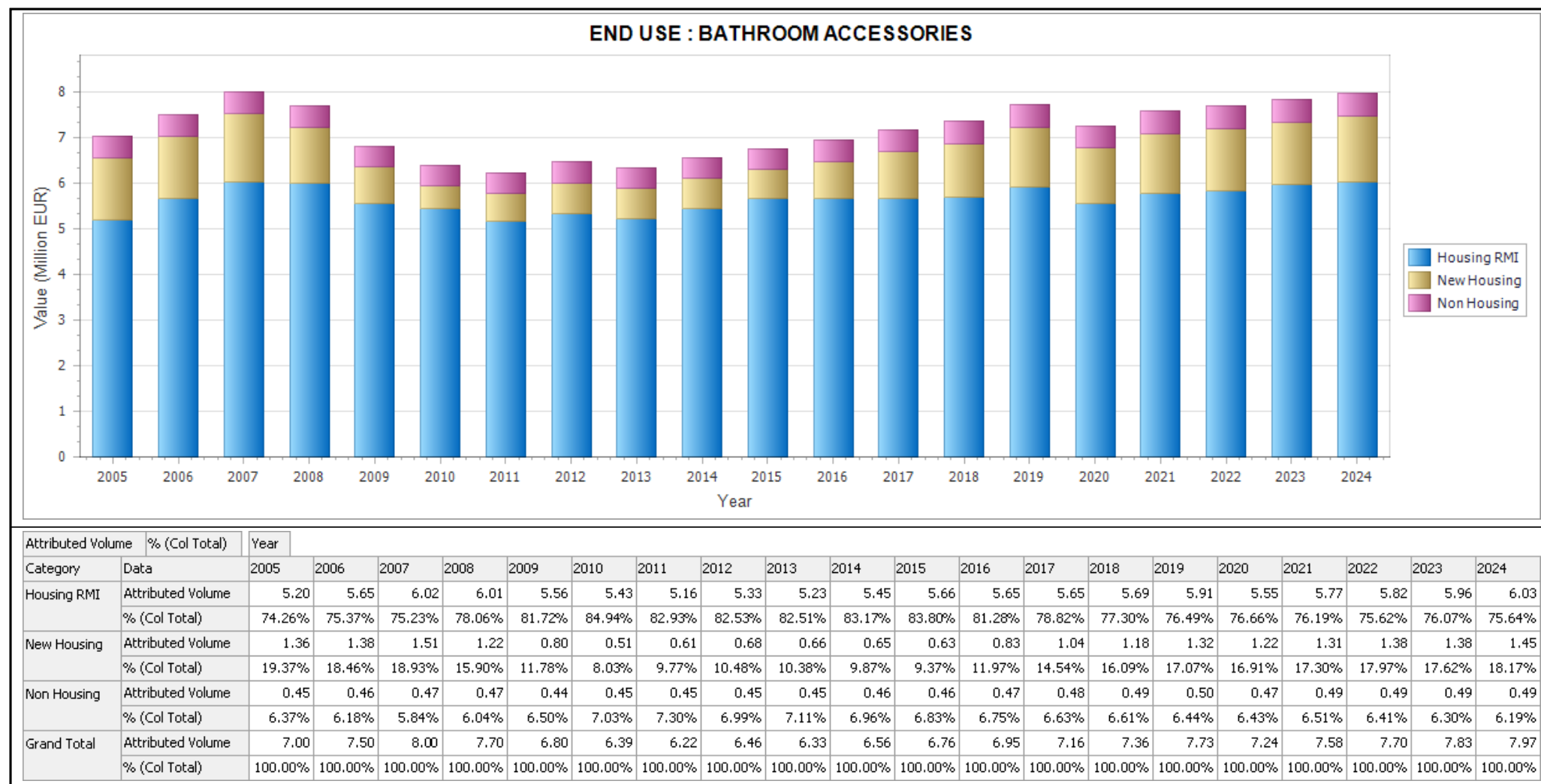
DK - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

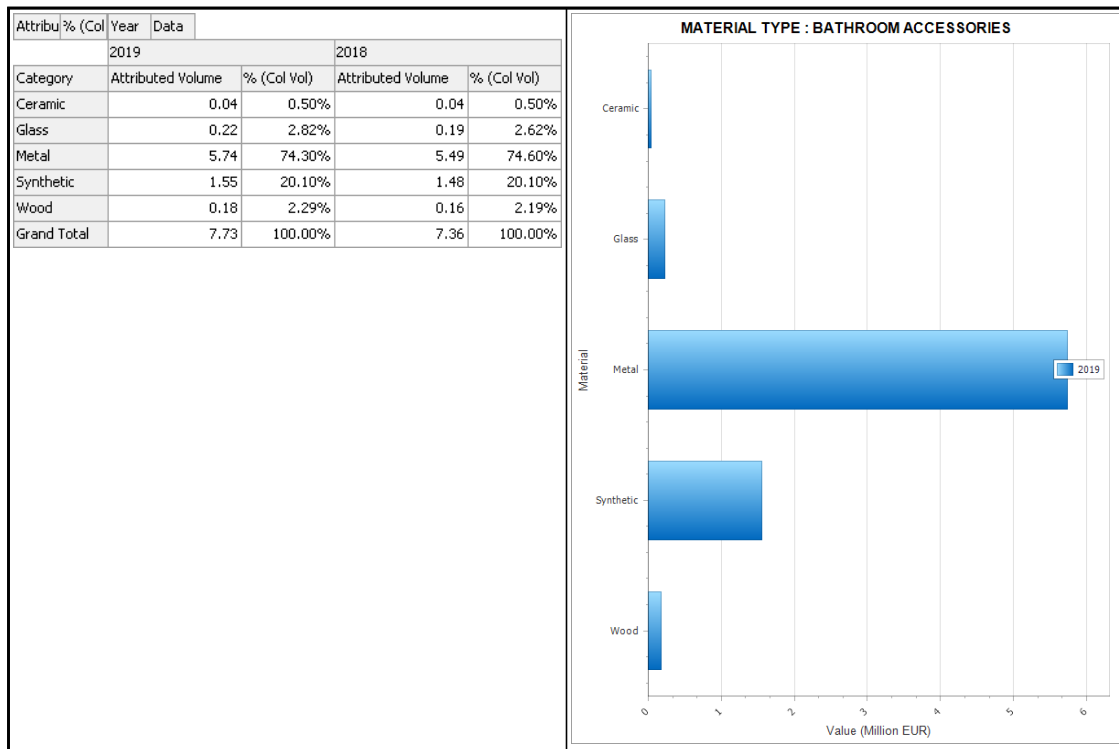
DK - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

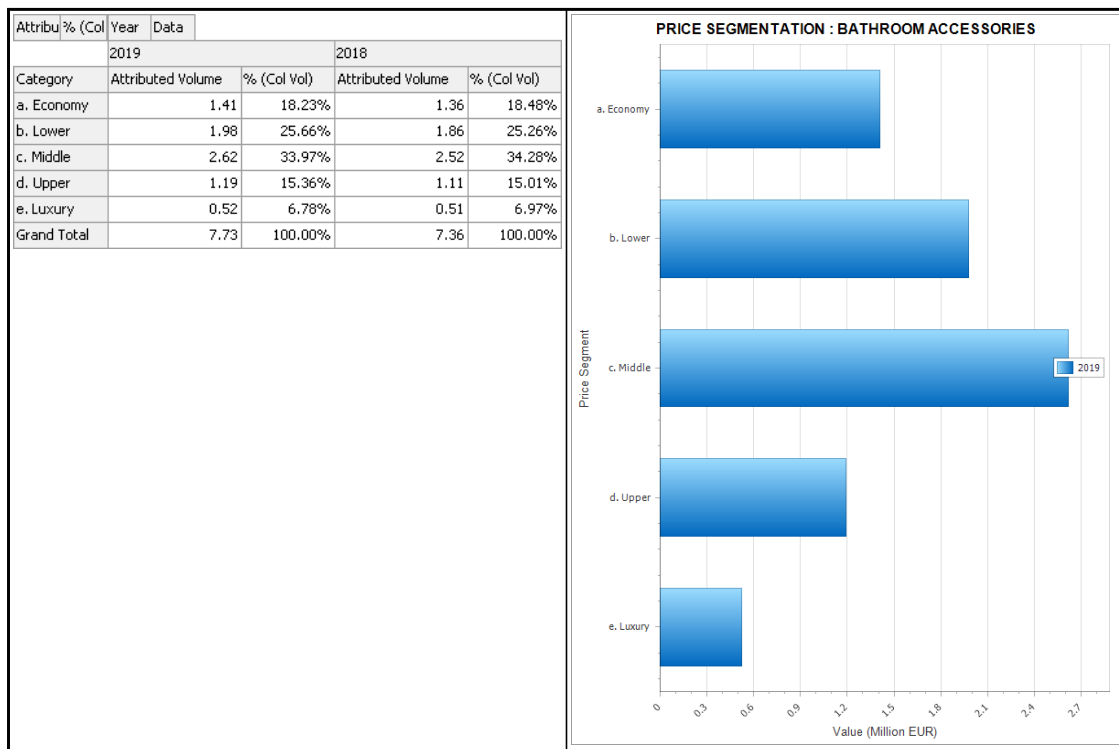
DK - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

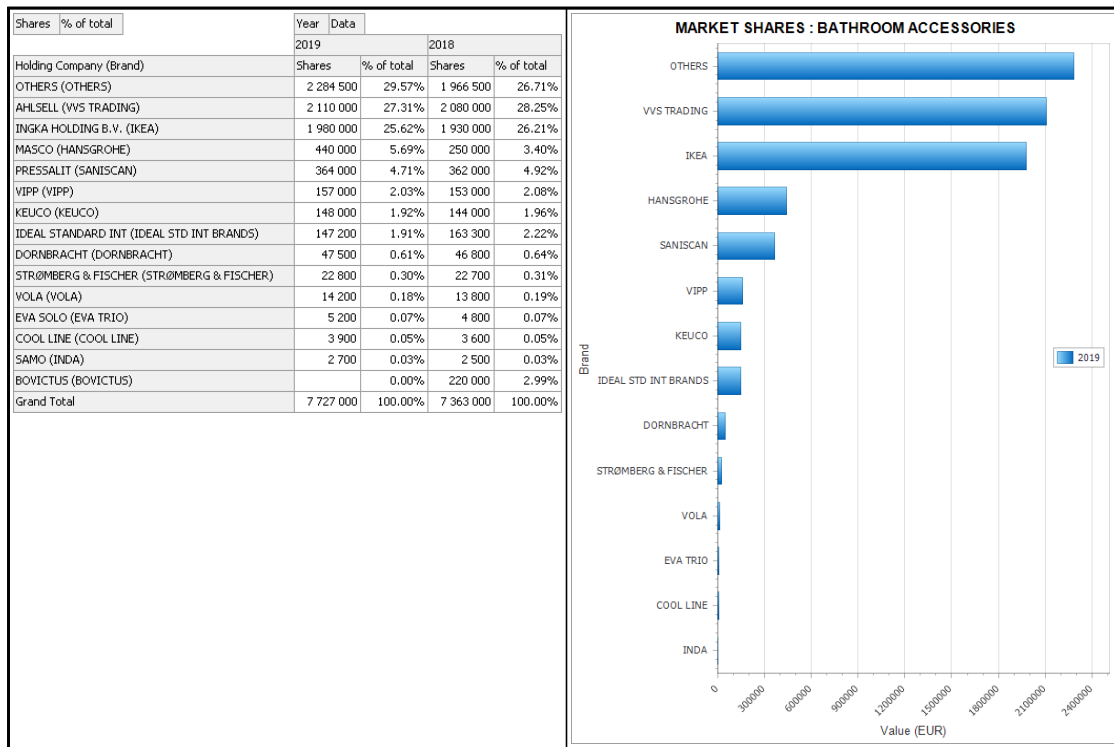
DK - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

DK - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
DK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	40.4%
	Wholesalers / Merchants
	40.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.7%	2.6%	27.3%	16.0%	25.6%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.3%		43.3%		40.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.0%	0.7%	6.9%	11.9%
Installers				
24.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.9%	8.4%	36.2%	28.4%	19.6%
	Residential					
	93.6%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.9%	0.1%	0.2%	0.3%	4.9%
Non-Residential					
6.4%					

New Build		Residential RMI	
17.1%		76.5%	
Project	Non-Project	Project	Non-Project
3.4%	13.7%	5.4%	71.1%

New Build		Non-Residential RMI	
4.5%		1.9%	
Project	Non-Project	Project	Non-Project
1.1%	3.4%	0.3%	1.6%

6.6.2 Route to Market: Bathroom Accessories (EUR)
DK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	38.0%
	Wholesalers / Merchants
	38.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.2%	2.6%	27.8%	16.0%	24.6%	14.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.8%		43.8%		38.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	1.0%	7.2%	11.4%
Installers				
22.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	2.4%	1.6%	8.6%	36.4%	27.2%	17.7%
	Residential					
	93.8%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.6%	0.2%	0.2%	0.2%	5.0%
Non-Residential					
6.2%					

New Build		Residential RMI	
18.2%		75.6%	
Project	Non-Project	Project	Non-Project
3.6%	14.5%	5.3%	70.3%

New Build		Non-Residential RMI	
4.3%		1.9%	
Project	Non-Project	Project	Non-Project
1.1%	3.2%	0.3%	1.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

DK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

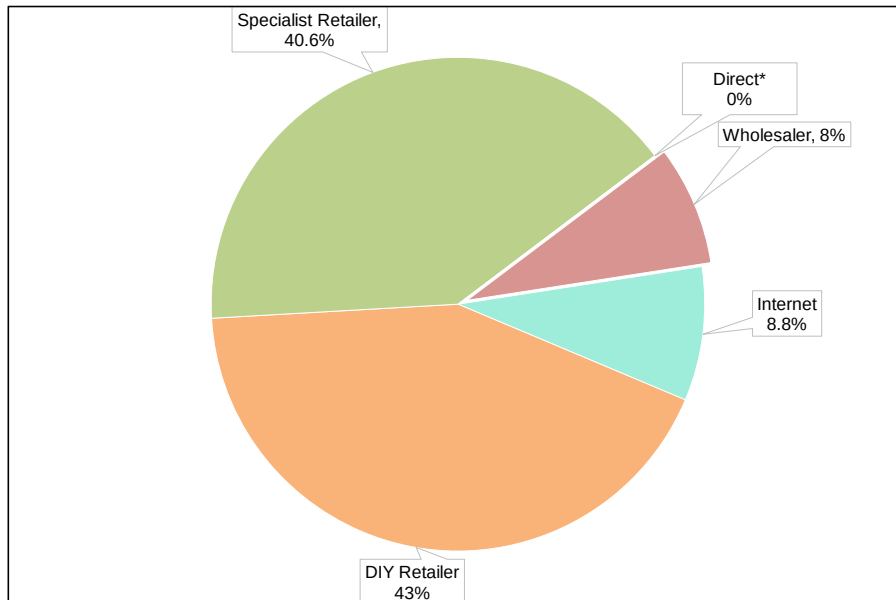
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.8%	8.8%	42.8%	40.6%	0.0%	8.8%	1.4%	84.8%	5.0%
100%					10.2%		89.8%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

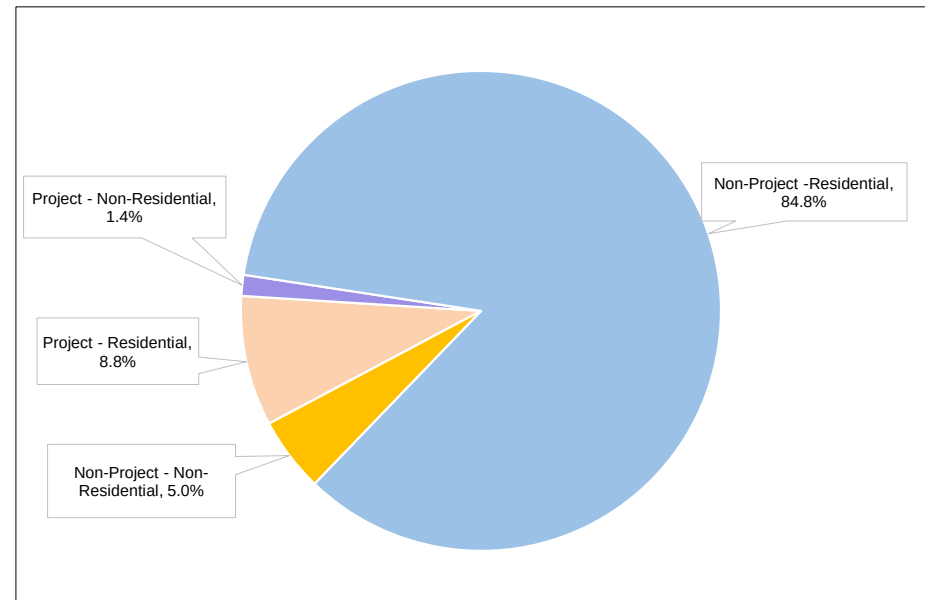
DK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
5.2%	9.8%	43.8%	38.8%	2.4%	8.9%	1.4%	84.9%	4.8%
100%					10.3%		89.7%	

DK - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



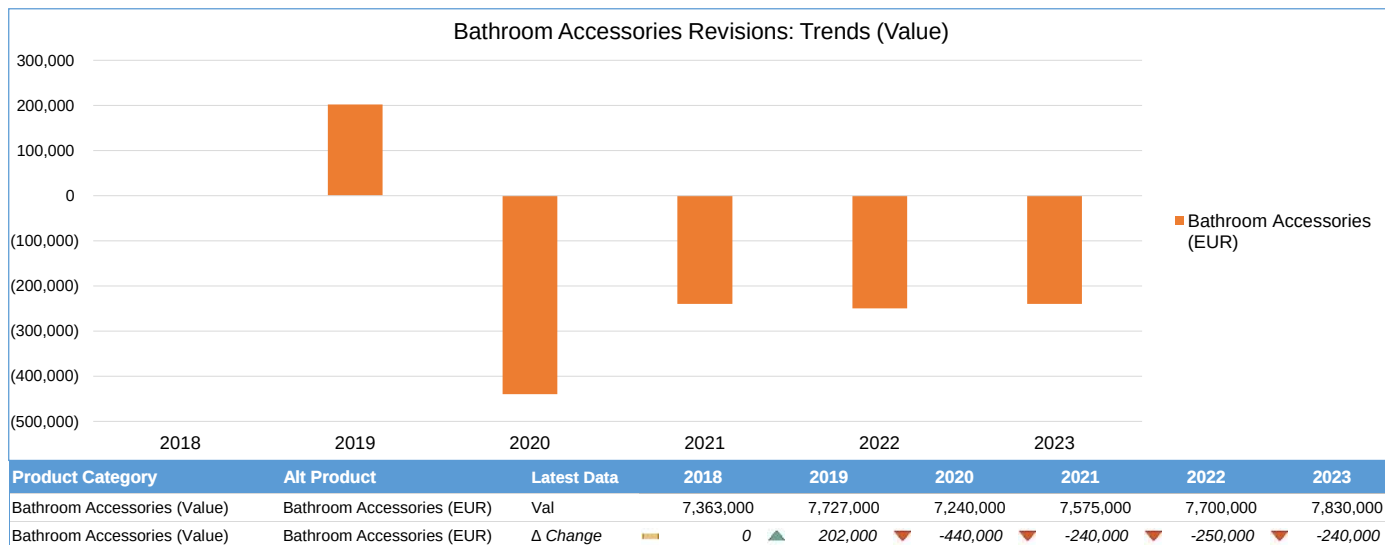
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Danish Bathroom Accessories Market (July 2020)

DK - REVISIONS IN THE DANISH BATHROOM ACCESSORIES MARKET

Data Comparison: July 2019



Trend for bathroom accessories was revised slightly up in 2019, due to an underestimation of sales towards the new dwelling segment. Indeed, the number of residential completions that year was higher than previously thought, boosting the sales bathroom accessories higher.

DENMARK

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market has historically been highly reliant on the replacement segment, due to the hardness of Denmark's water, which limits the durability of products such as shower accessories and taps and mixers. As a result, the product that generates the most sales in the market is flexible hoses, which experience more wear and tear than shower heads or bars and supports. The preferred material for flexible hoses has historically been metal, although a shift towards plastic has been noted over the past few years due to greater demand for economy product segments. The market is not as reliant on the sales of shower sets as many other European countries, and within the sets market sales of traditional sets such as head, hose and bar have faced strong competition from shower systems such as shower pipes.

Recent Market Trends

Following on from the positive trend attributed in 2018, the overall shower accessories market experienced growth in 2019, albeit at a lesser rate. The continued overall improvement of the Danish economy led to consumer spending and confidence continuing to improve considerably. The market benefited from the surge in dwelling completions and, again, was not as dependant on distress replacement sales in 2019.

It is also worth mentioning that there is growing trend in the Danish market towards overhead and rain showers, which often have two shower heads, resulting in increased sales of shower heads. As showers are the main product installed in new housing and the construction of apartments and family houses in this segment has increased, so have the sales of shower accessories into the new housing segment. In terms of product mix, flexible hoses, shower supports, shower pipes, and shower heads all recorded increases in volume sales in 2019. Shower panel sales continued their declining trend in 2018 as they continued to face increasing competition from shower pipes, sales of which have grown significantly over the last few years.

Prices and Market Values

The average manufacturer's selling price (MSP) in Danish krone increased marginally in 2019. Consumer demand for high quality and high-end products continued to be an important determinant of developments in the average MSP. Danish consumers are demanding more from shower accessories, as these are the most affordable products and one can choose from a luxury range – although the low-cost DIY products remain popular choices. Shower accessories prices are increasingly more competitive on the market, as many manufacturers have lowered their prices to make their products more attractive to new customers. This is particularly true in the medium and upper price segments.

Shower panels was the only product segment that experienced a declining MSP in 2019, due to a decreasing market size mainly affected by a decrease in the middle and luxury price segment.

New Housing

Despite a significant penetration rate in new housing, this segment remains the smallest portion of the residential market, partly due to relatively low new housing construction and partly because of the size of the replacement market. More sophisticated systems, such as rain showers and speciality shower heads, are commonly installed in new housing for a modern, more luxurious showering experience. New housing completions grew significantly in 2019, which positively affected sales to the new housing segment. 2020 is expected to be negatively affected by the drop in new housing completions, driven by the uncertainty of the COVID-19 crisis.

Housing RMI

The shower accessories replacement market is by far the largest bathroom segment in Denmark, owing to the large existing park and the frequency of replacement due to rusting and physical damage caused by limescale. Flexible hoses are typically the most replaced product, as it has the lowest lifespan, while shower heads are more commonly discretionary replacements made for aesthetic and comfort reasons. The overall RMI market experienced a small increase in 2019, mainly driven by sales of flexible hoses. 2020 is on the other hand expected to experience a significant decline due to the uncertainty in the market, driven by the COVID-19 crisis.

Non-Housing

Sales in non-housing have been negligible and have mostly been replacements in hotels. Shower pipes are expected to gain popularity in this segment, particularly in high-end hotels looking to provide a more luxury design. Non housing market experienced an insignificant increase in 2019 driven by sales of shower pipes. 2020 are as the other end uses expected to decrease in 2020, due to the postponements and the uncertainty of the market, driven by the COVID-19 crisis.

Supply Structure

The Danish shower head market is characterised by a strong presence of foreign imports. The only significant domestic manufacturers present are DAMIXA and VOLA. The Swedish FM MATTSSON MORA GROUP, a market leader in Scandinavia for the taps and mixers market that also supplies the shower accessories market, recently acquired the DAMIXA brand.

The German supplier HANSGROHE continues to dominate the Danish shower accessories market, while other brands present include ORAS (Finland), GROHE

(Germany) and IDEAL STANDARD (Belgium).

The great majority of imported shower heads included in the category of 'Others' are believed to be sourced mainly from Italy and China. Italian imports include BOSSINI and FLEXTON, both of them supplying mainly DIY stores.

Other brands of shower heads present and included under the category 'Others' include TONI ARMATUR (Denmark), GUSTAVSBERG (Sweden), and ALTERNA (Sweden), which is the private label of the wholesale chain BRØDRENE DAHL.

Recently, the lower cost brands such as DAMIXA, ORAS and IDEAL STANDARD have been losing share to medium/high price range brands such as GROHE and HANSGROHE, due to changing consumer demand for higher quality products.

Shower panels have traditionally been supplied by taps and mixers producers. The upper price segment of the shower panel market is supplied by brand names such as HANSGROHE, ORAS, WESTERBERGS and FM MATTSSON. The share of 'Others' mainly consists of imports.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outlook for the shower accessories market for 2020 is negative, impacted by the COVID-19 crisis. New housing and non-housing completions are expected to decrease in 2020, negatively affecting these end use sectors. The decline in new construction is driven by the fact that many new housing and construction sites has been postponed, prolonged, or cancelled due to the pandemic. The RMI end use is also expected to be negatively affected by the COVID-19 crisis, albeit not as much as the other two end uses.

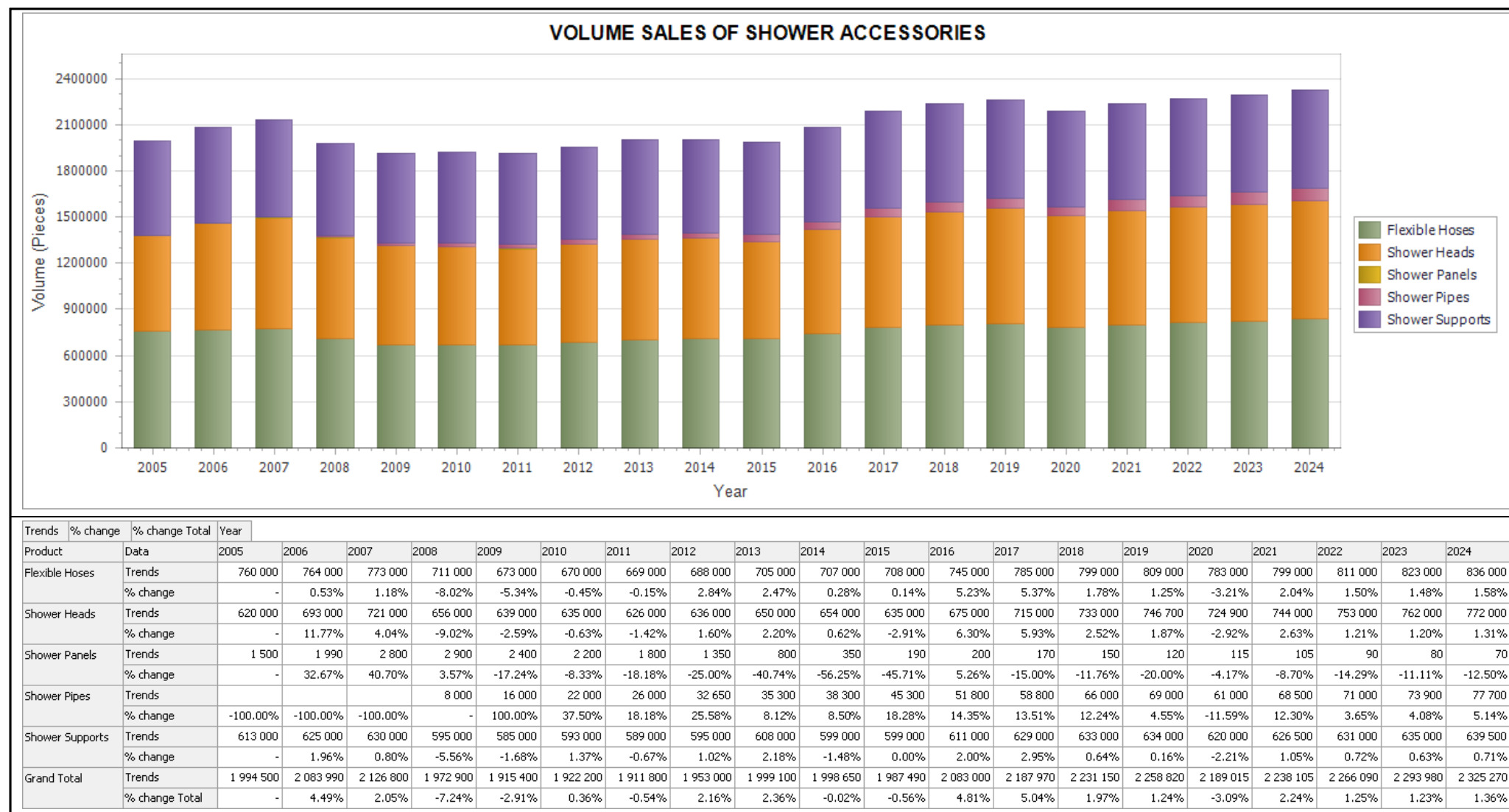
Renovation investment among Danish consumers is predicted to pick up from 2021 onwards as increased consumer spending should ensure stable growth. This should lead to another boost in the sales of shower pipe sets and more premium price products, which are highly dependent on this market. Sales of shower accessories to new housing should experience growth again in 2021, due to family house completions returning to good growth, whilst growth in the non-housing segment is predicted to be modest. However, the main driver for the shower accessories market in Denmark will remain the housing RMI sector. The evolution of shower panel sales is hampered by competition from rain showers and shower systems, and stagnation is projected for this segment.

The overall sales of shower accessories are expected to experience good growth from 2021 onwards, stimulated by the resurgence in new housing construction,

whilst housing RMI should remain the key driver for this market. Due to the growing preference for higher quality products among consumers, sales of fixed shower heads in particular are likely to see renewed growth, while shower hoses and supports are expected to remain dependent on distress replacement sales.

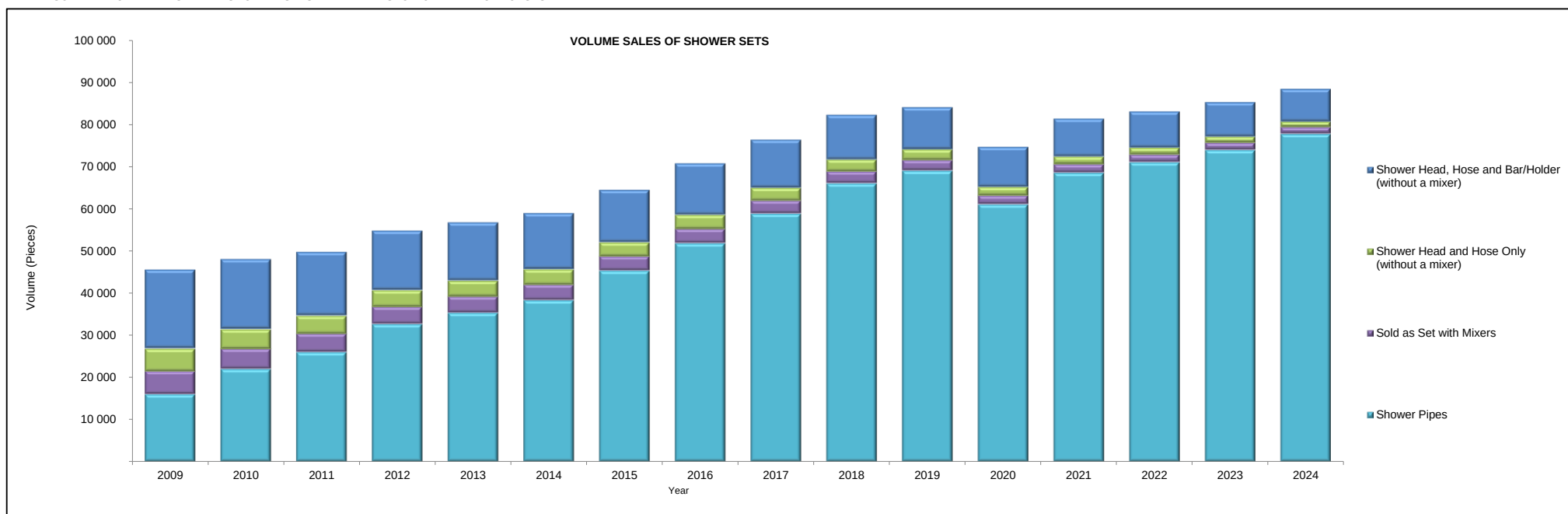
7.2.1 Historical Trends & Forecasts : Shower Accessories

DK - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets
DK - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

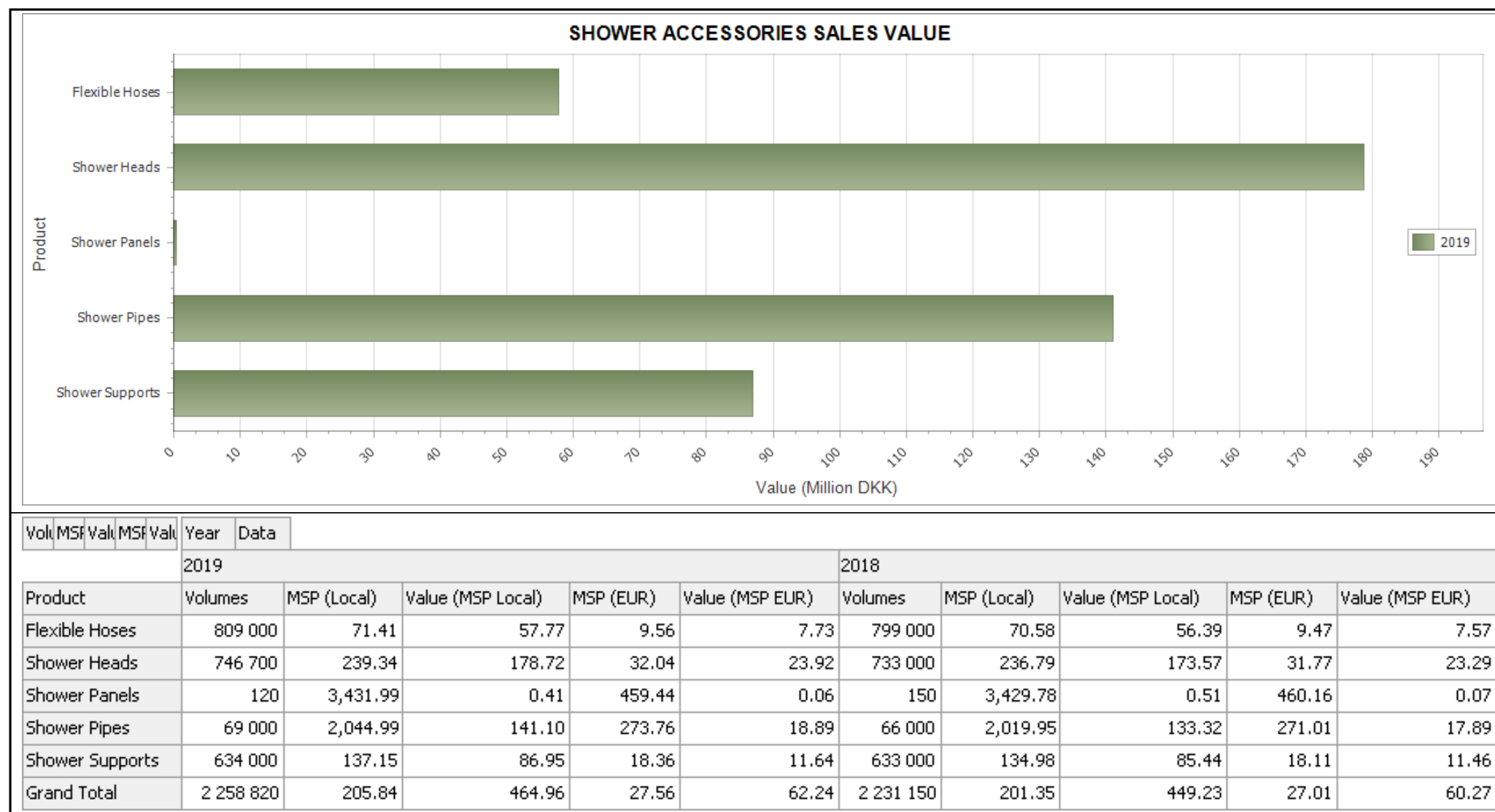


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	18 700	16 600	15 100	14 100	13 800	13 300	12 400	12 200	11 400	10 600	10 000	9 500	9 000	8 600	8 200	7 800
	% Change	-	-11.23%	-9.04%	-6.62%	-2.13%	-3.62%	-6.77%	-1.61%	-6.56%	-7.02%	-5.66%	-5.00%	-5.26%	-4.44%	-4.65%	-4.88%
	Shower Head and Hose Only (without a mixer)	5 400	4 700	4 300	4 000	3 800	3 700	3 400	3 400	3 100	2 900	2 600	2 100	1 900	1 700	1 500	1 350
	% Change	-	-12.96%	-8.51%	-6.98%	-5.00%	-2.63%	-8.11%	0.00%	-8.82%	-6.45%	-10.34%	-19.23%	-9.52%	-10.53%	-11.76%	-10.00%
	Sold as Set with Mixers	5 500	4 800	4 400	4 100	3 900	3 700	3 400	3 400	3 100	2 800	2 500	2 100	2 000	1 800	1 700	1 600
	% Change	-	-12.73%	-8.33%	-6.82%	-4.88%	-5.13%	-8.11%	0.00%	-8.82%	-9.68%	-10.71%	-16.00%	-4.76%	-10.00%	-5.56%	-5.88%
	Shower Pipes	16 000	22 000	26 000	32 650	35 300	38 300	45 300	51 800	58 800	66 000	69 000	61 000	68 500	71 000	73 900	77 700
	% Change	-	37.50%	18.18%	25.58%	8.12%	8.50%	18.28%	14.35%	13.51%	12.24%	4.55%	-11.59%	12.30%	3.65%	4.08%	5.14%
Grand Total		45 600	48 100	49 800	54 850	56 800	59 000	64 500	70 800	76 400	82 300	84 100	74 700	81 400	83 100	85 300	88 450
% Change Total		-	5.48%	3.53%	10.14%	3.56%	3.87%	9.32%	9.77%	7.91%	7.72%	2.19%	-11.18%	8.97%	2.09%	2.65%	3.69%

Source: BRG based on Industry Interviews.

7.3.1 Prices and Market Values : Shower Accessories

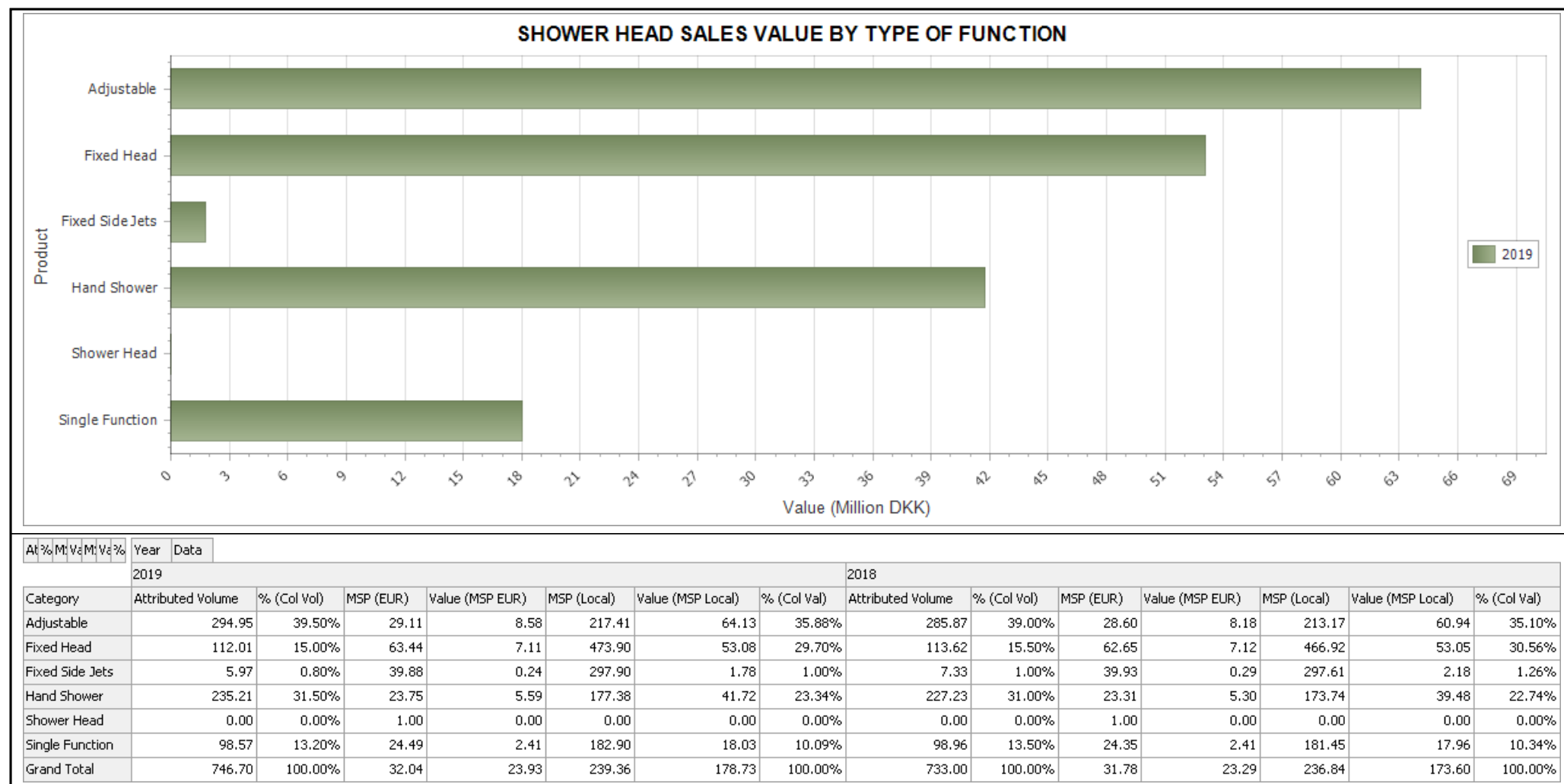
DK - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

7.3.2 Prices and Market Values by Type : Shower Heads

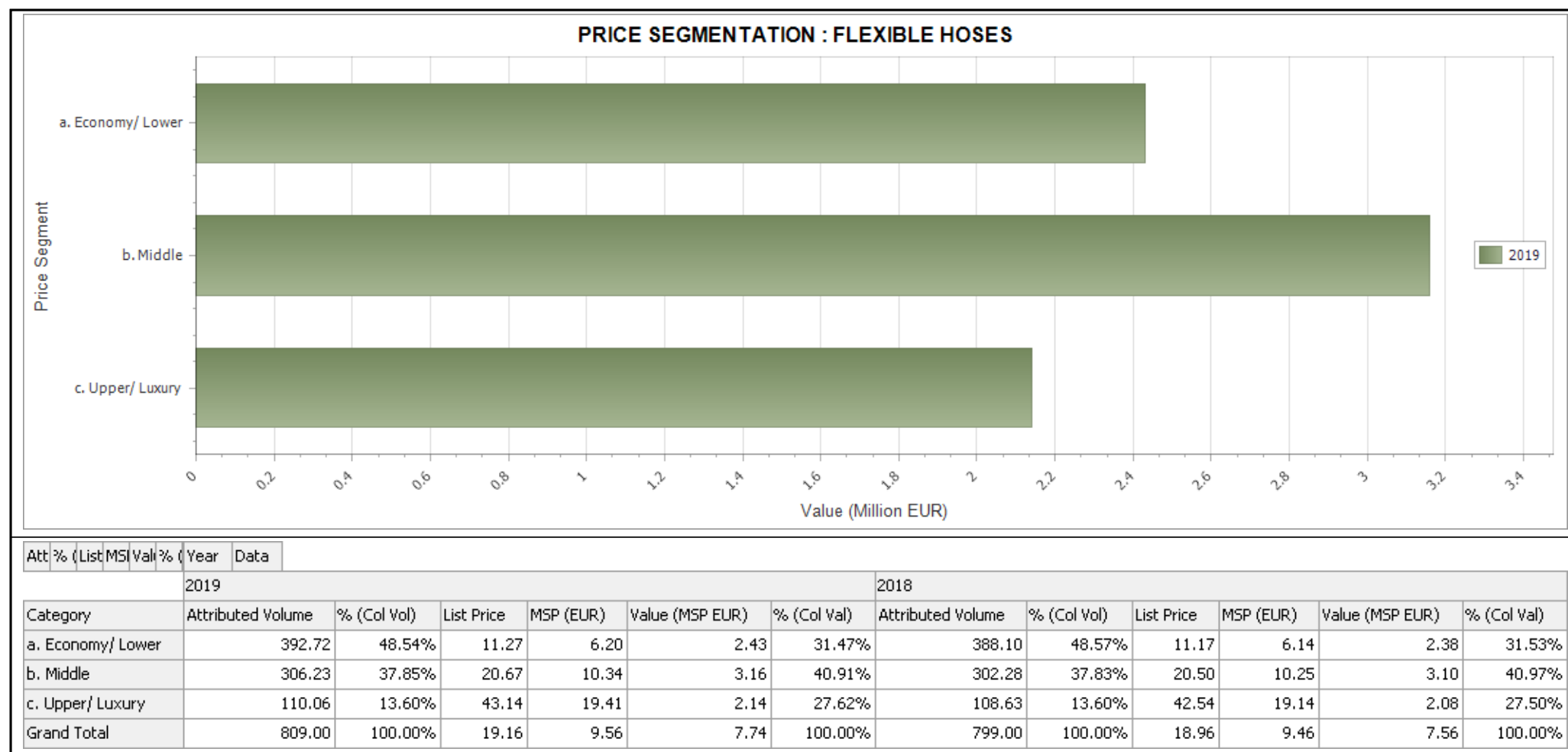
DK - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in DKK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

7.3.3 Price Segmentation : Flexible Hoses

DK - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

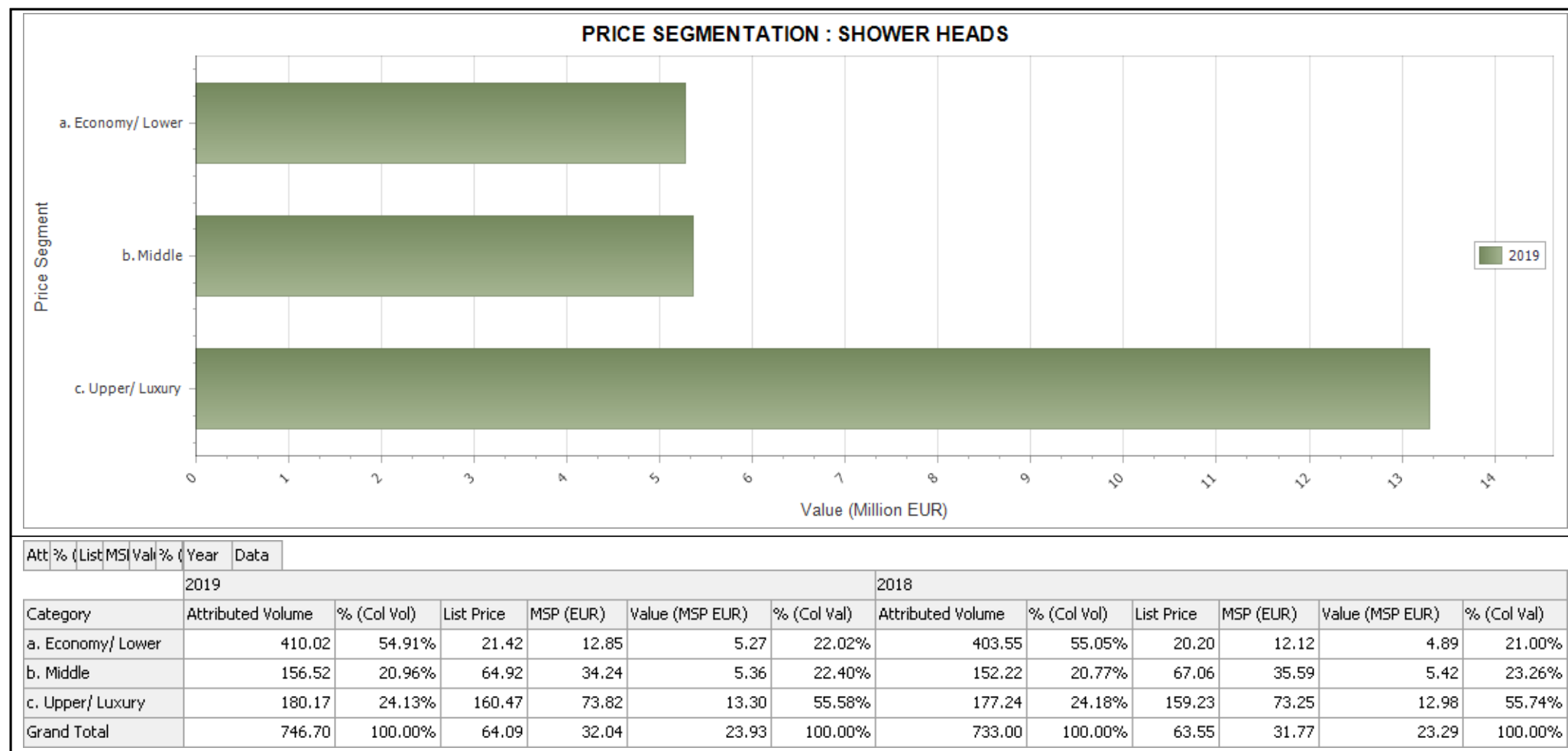


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.3.4 Price Segmentation : Shower Heads

DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

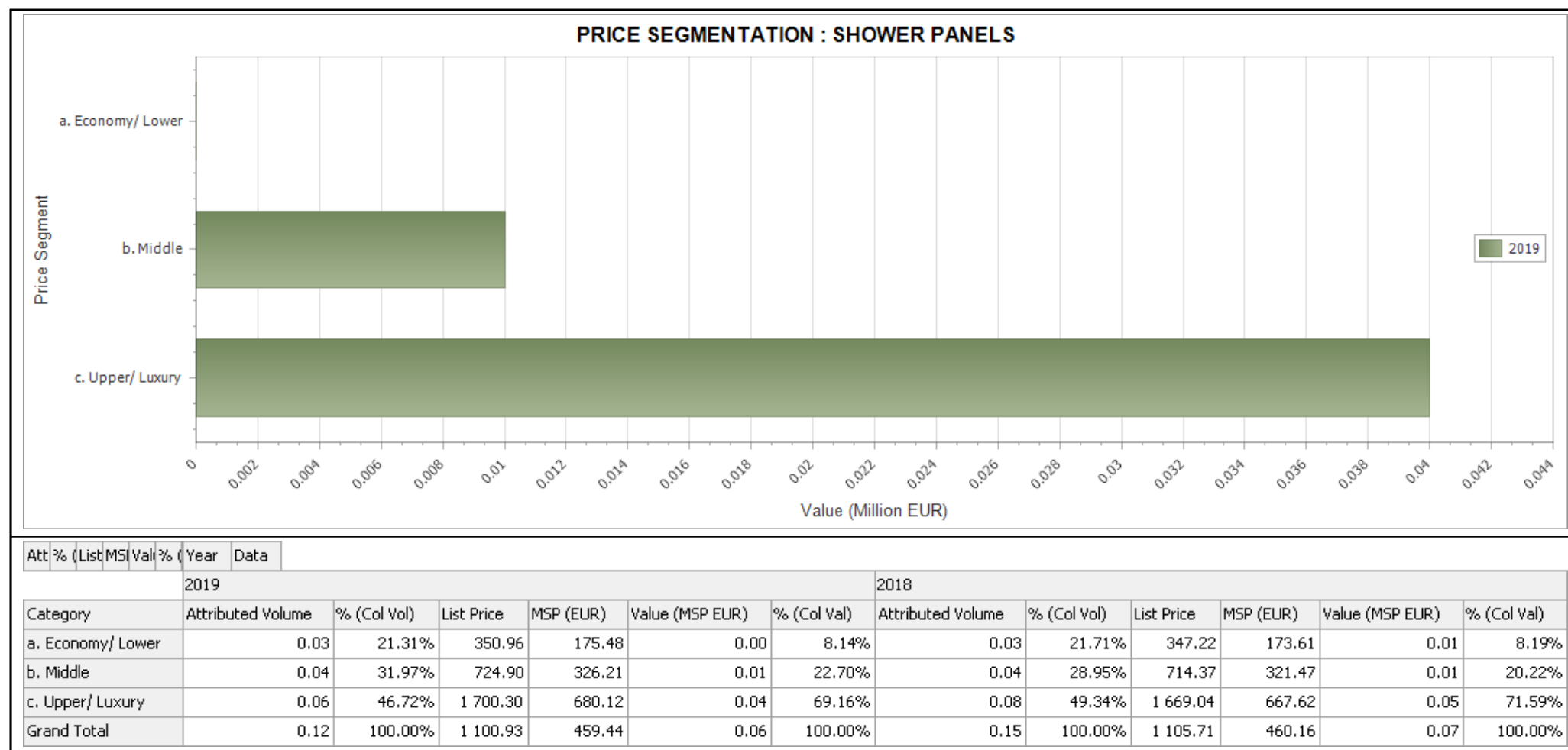


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€20, Middle €20-€50, Upper/ Luxury >€50

7.3.5 Price Segmentation : Shower Panels

DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

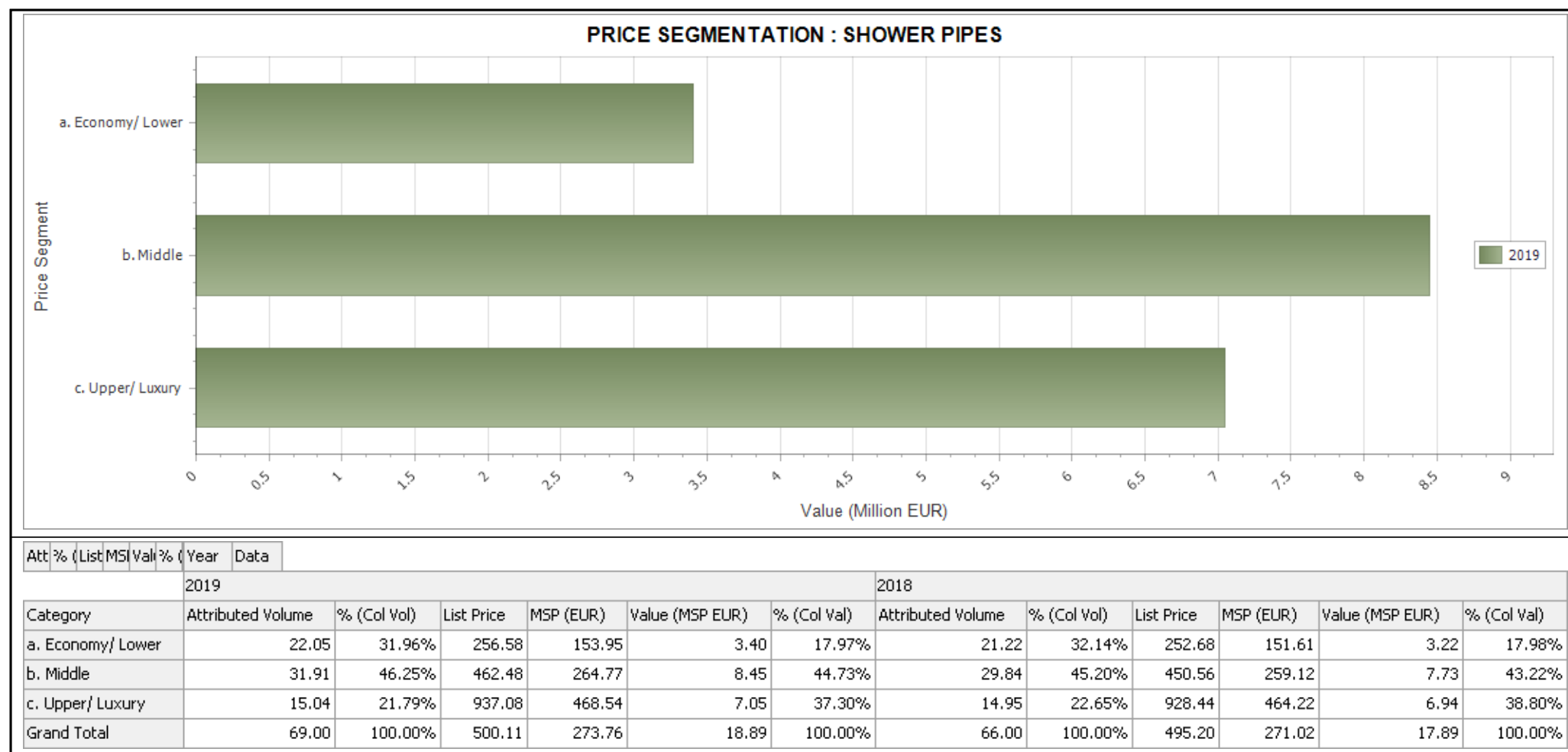


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€350, Upper/ Luxury >€350

7.3.6 Price Segmentation : Shower Pipes

DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

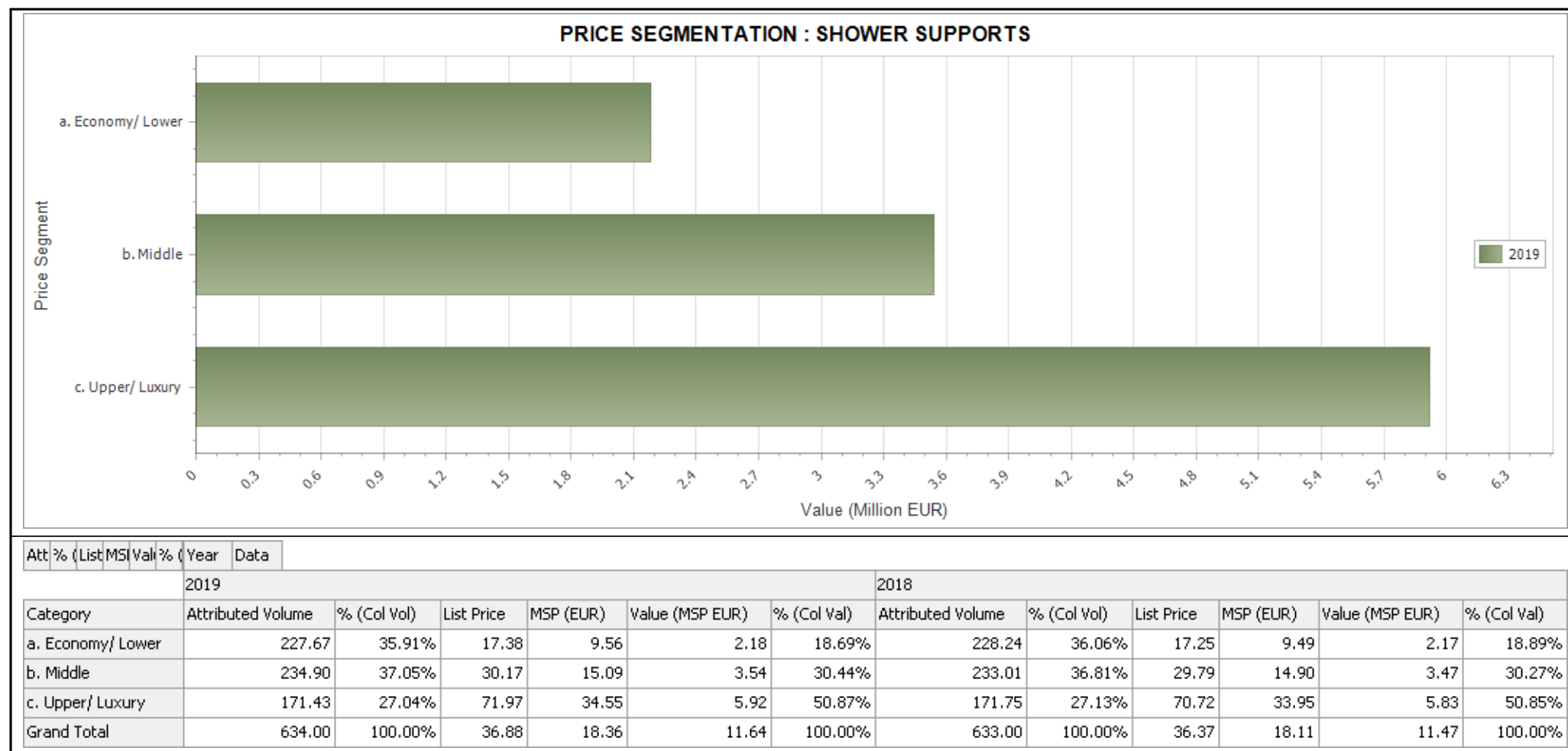


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.7 Price Segmentation : Shower Supports

DK - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

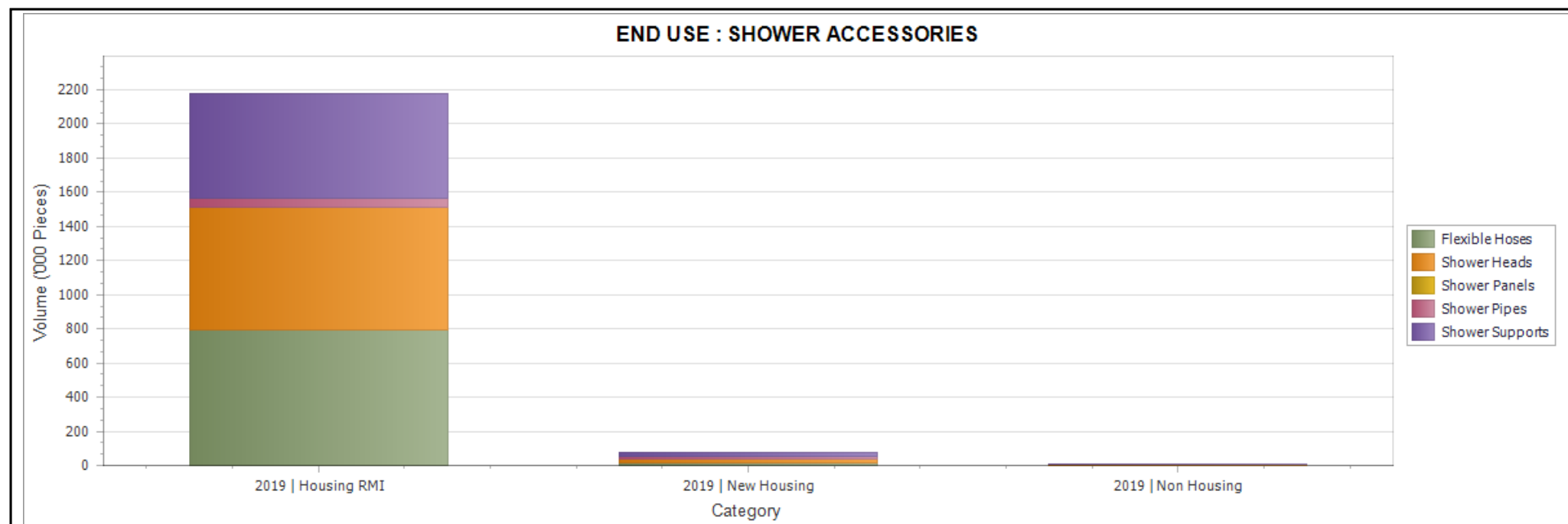


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.4.1 End Use : Base Year

DK - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

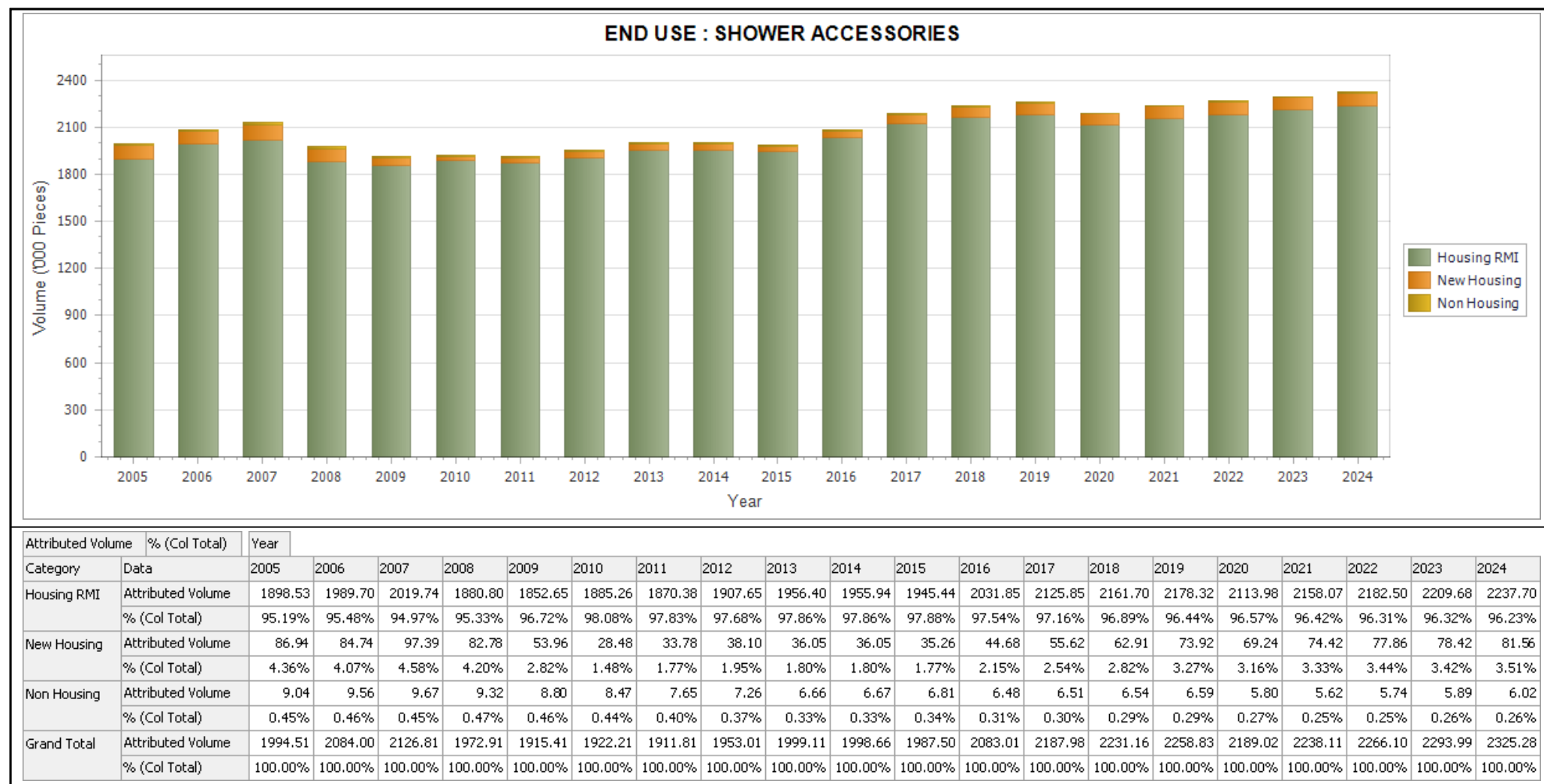


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										2019 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	795.80	36.53%	98.37%	11.50	15.55%	1.42%	1.71	25.95%	0.21%	809.00	35.82%	100.00%
Shower Heads	714.36	32.79%	95.67%	29.38	39.74%	3.93%	2.97	45.03%	0.40%	746.70	33.06%	100.00%
Shower Panels	0.07	0.00%	54.10%	0.03	0.05%	27.87%	0.02	0.33%	18.03%	0.12	0.01%	100.00%
Shower Pipes	54.77	2.51%	79.38%	13.84	18.72%	20.06%	0.39	5.92%	0.57%	69.00	3.05%	100.00%
Shower Supports	613.34	28.16%	96.74%	19.17	25.93%	3.02%	1.50	22.77%	0.24%	634.00	28.07%	100.00%
Grand Total	2178.32	100.00%	96.44%	73.92	100.00%	3.27%	6.59	100.00%	0.29%	2258.83	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

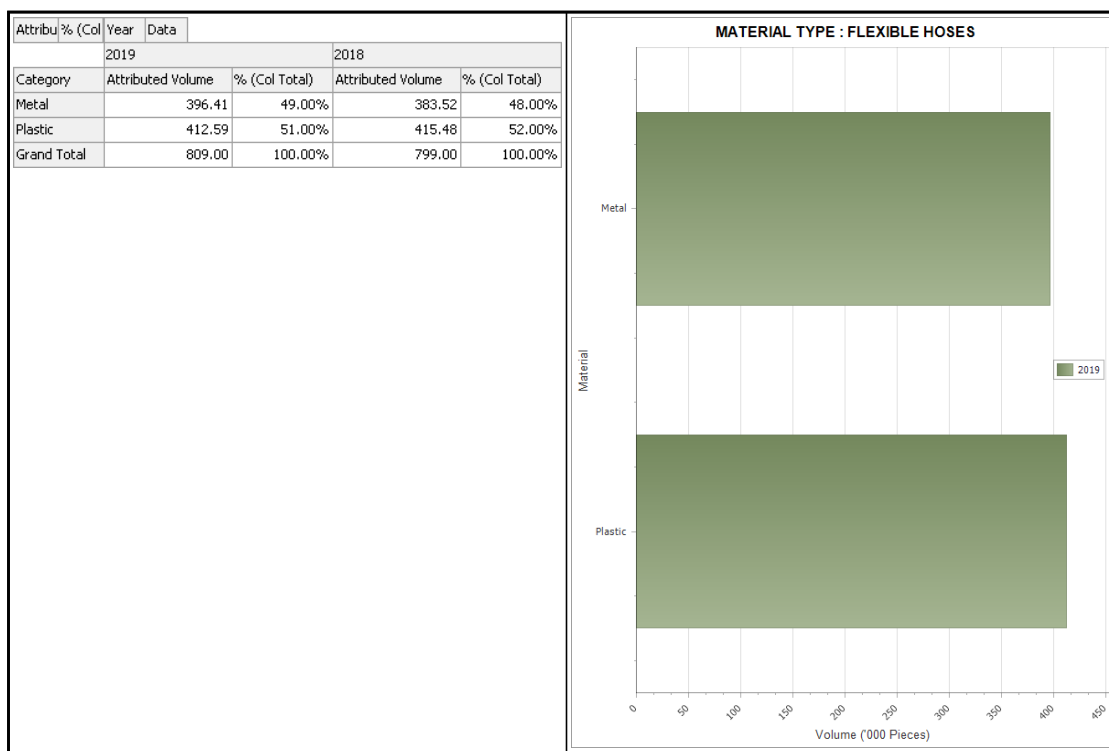
DK - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

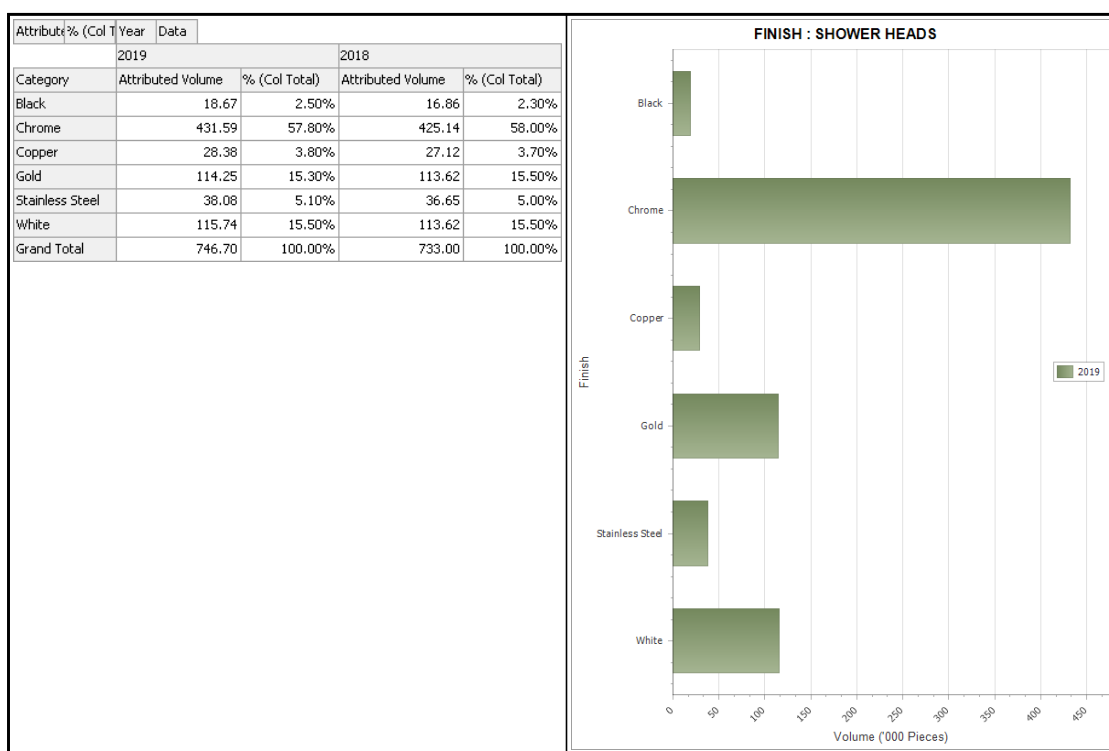
DK - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

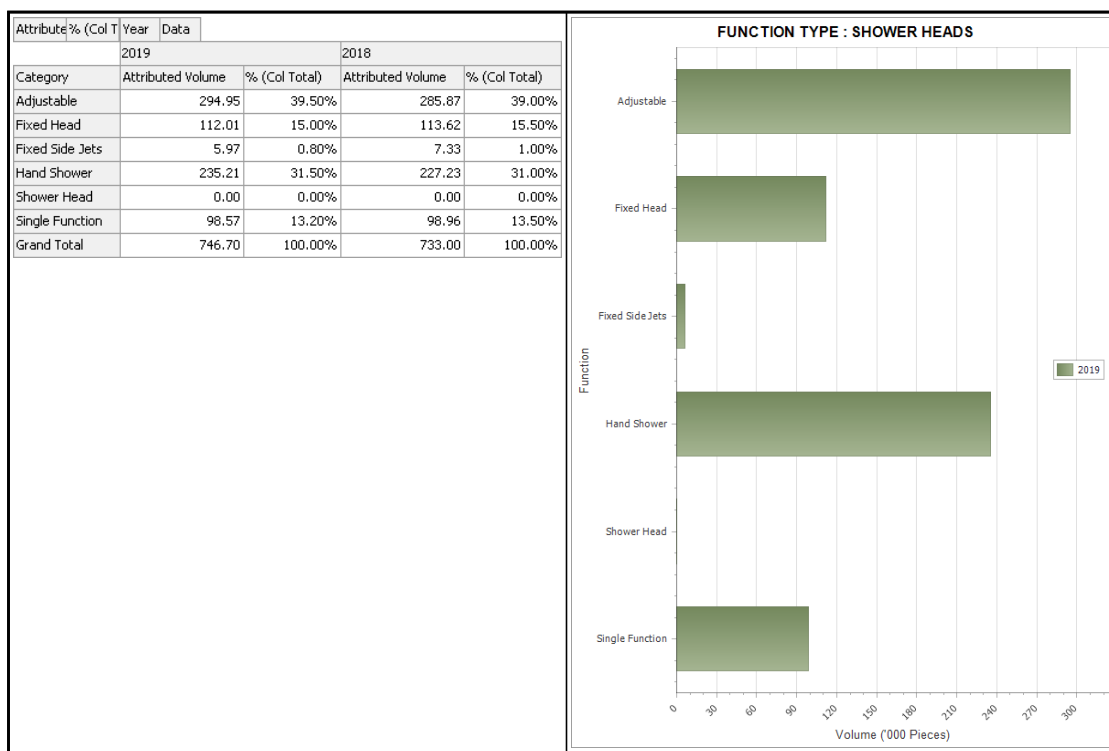
DK - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

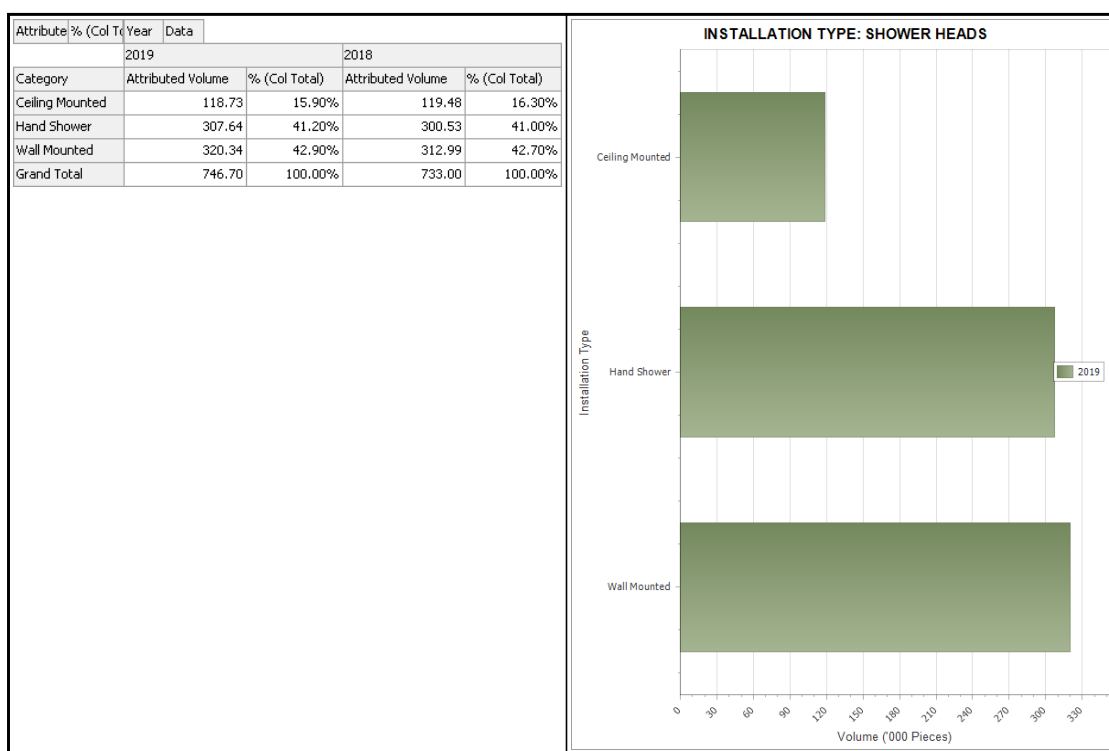
DK - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

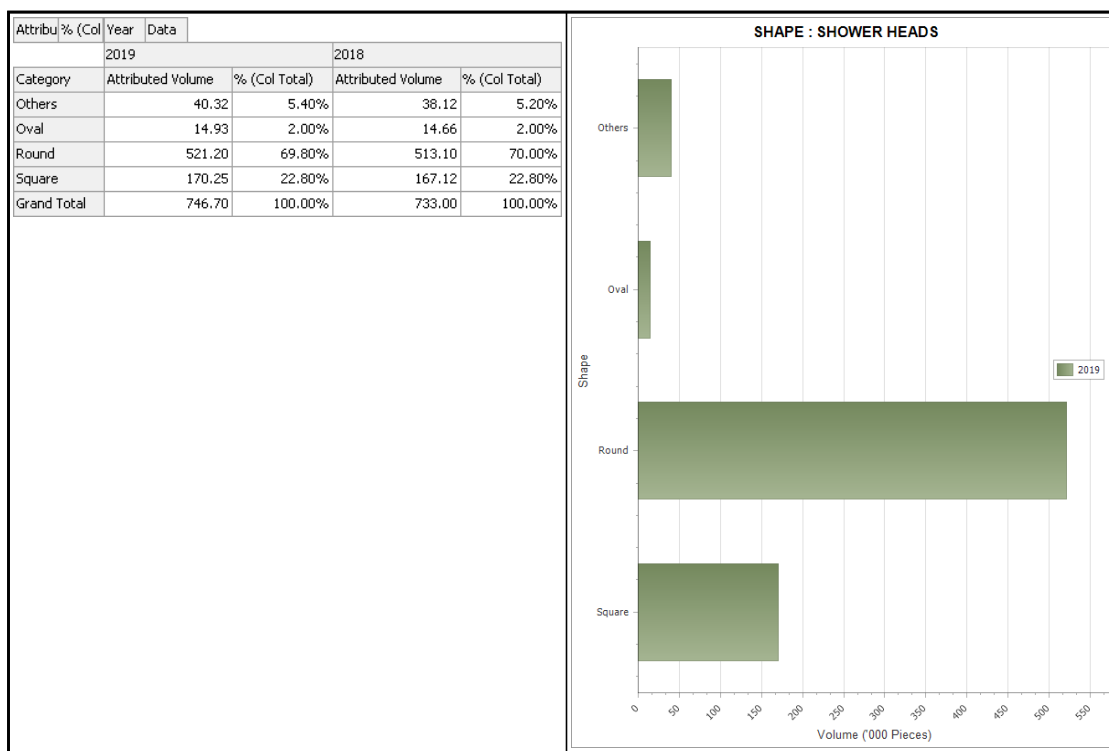
DK - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

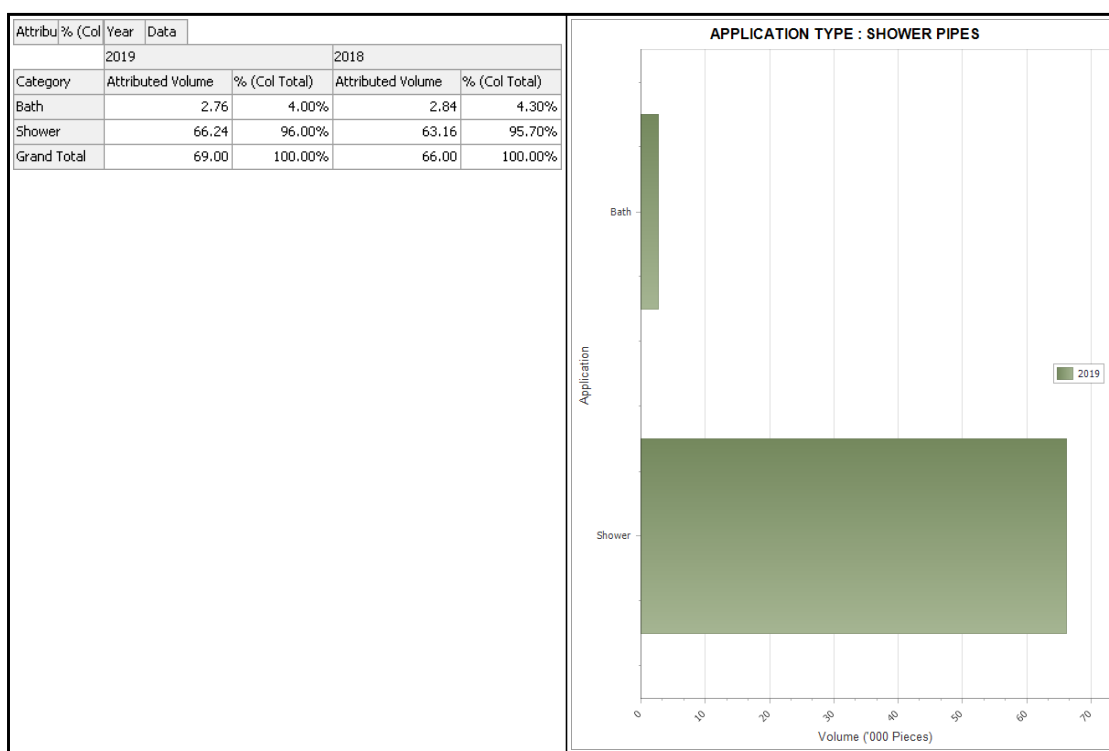
DK - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

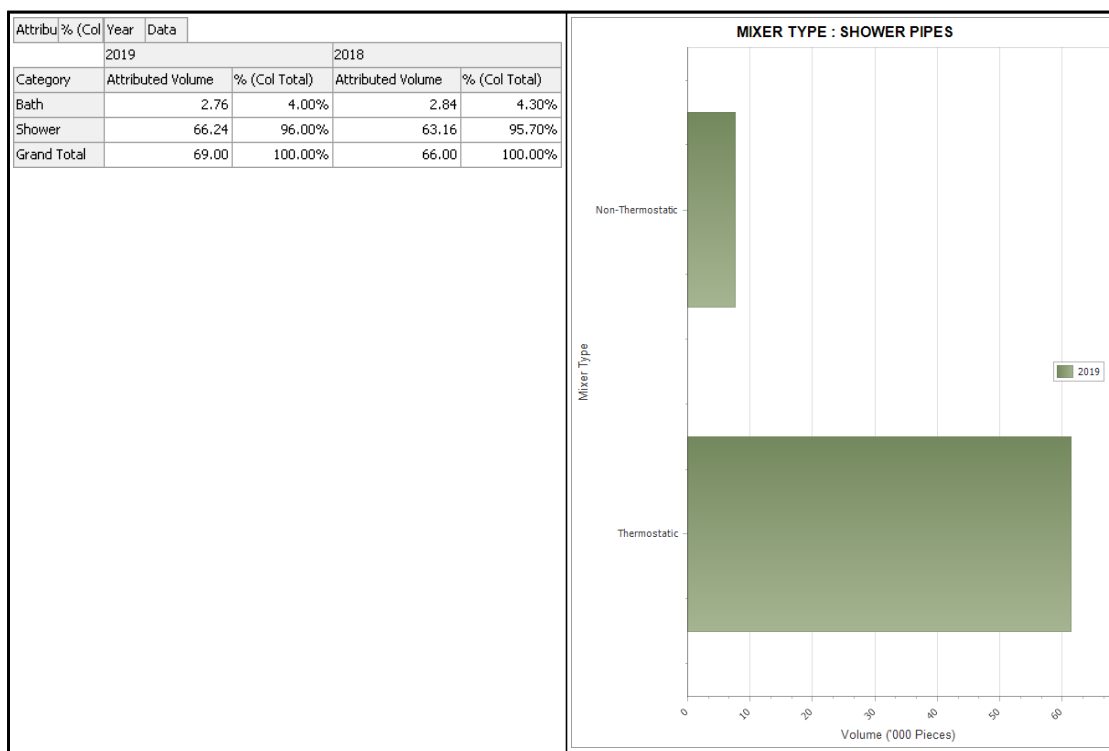
DK - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

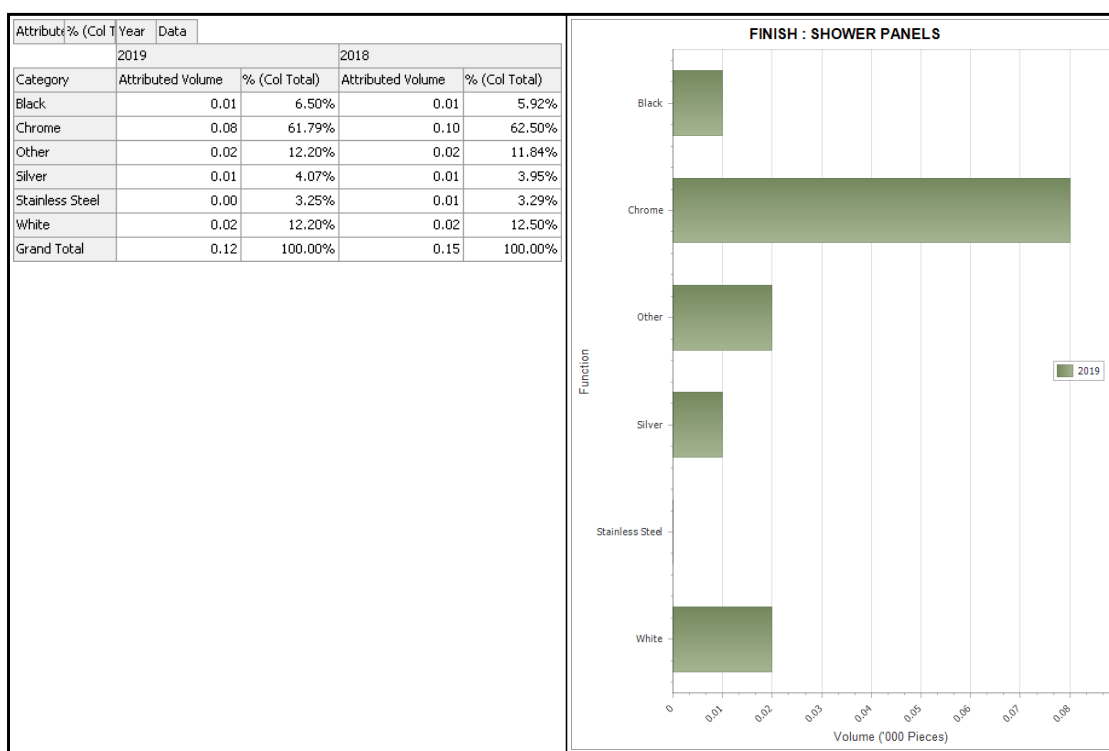
DK - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

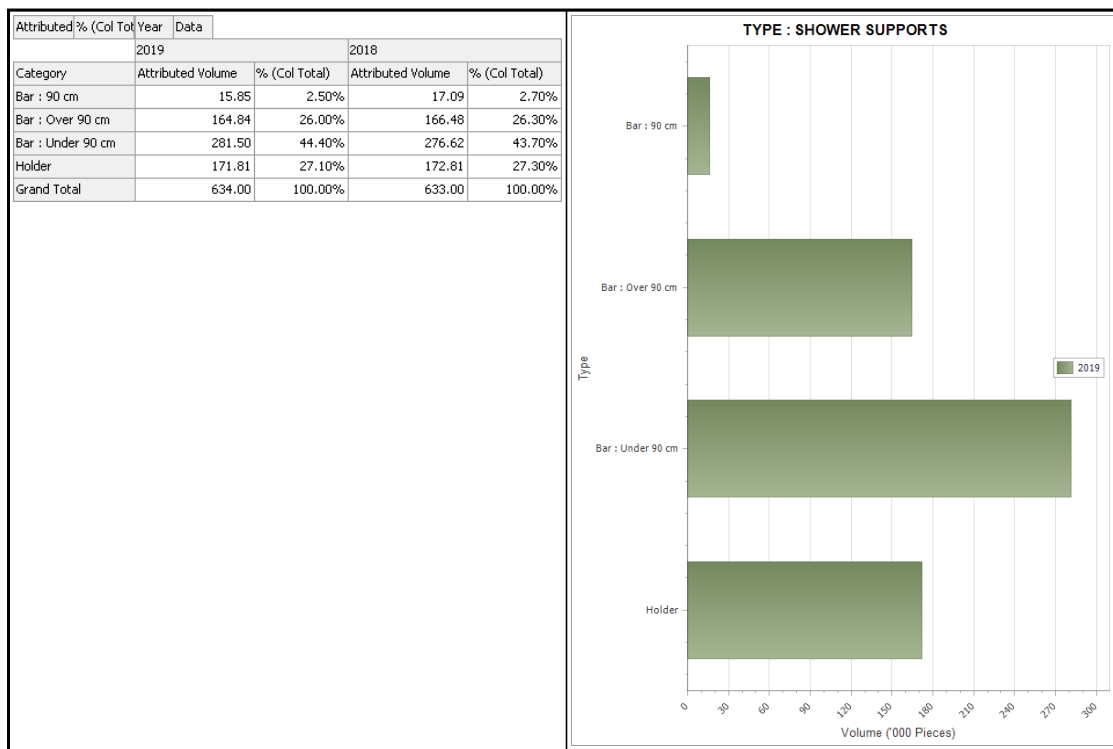
DK - SHOWER PANELS SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

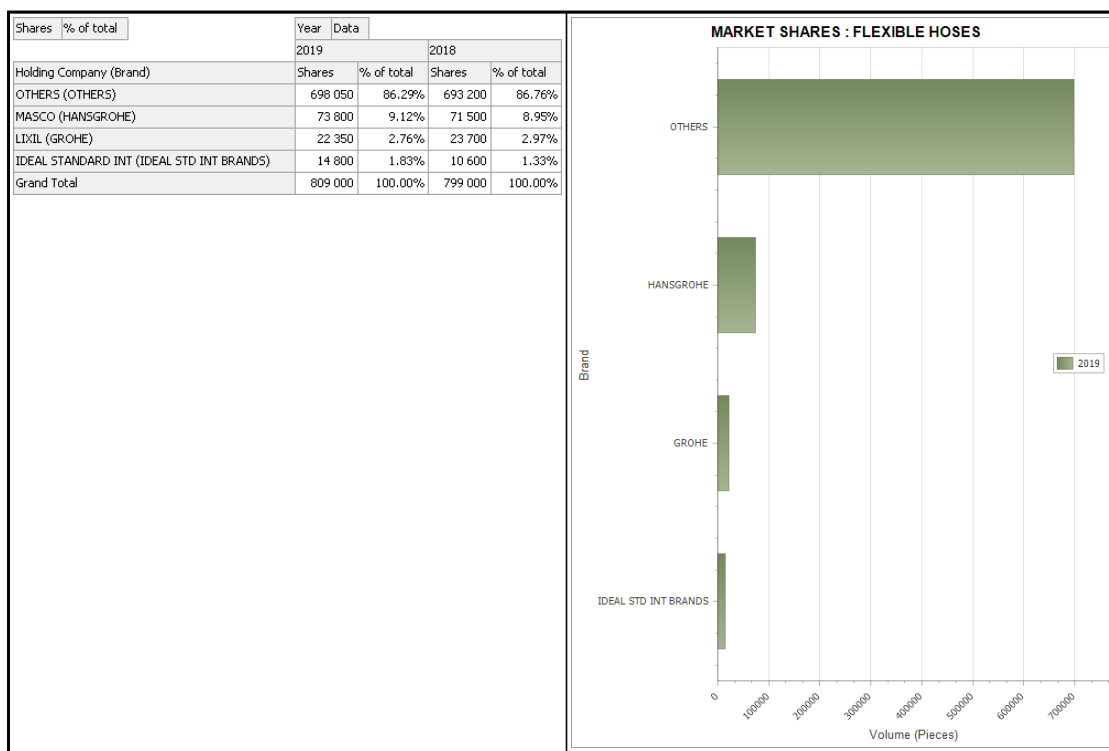
DK - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

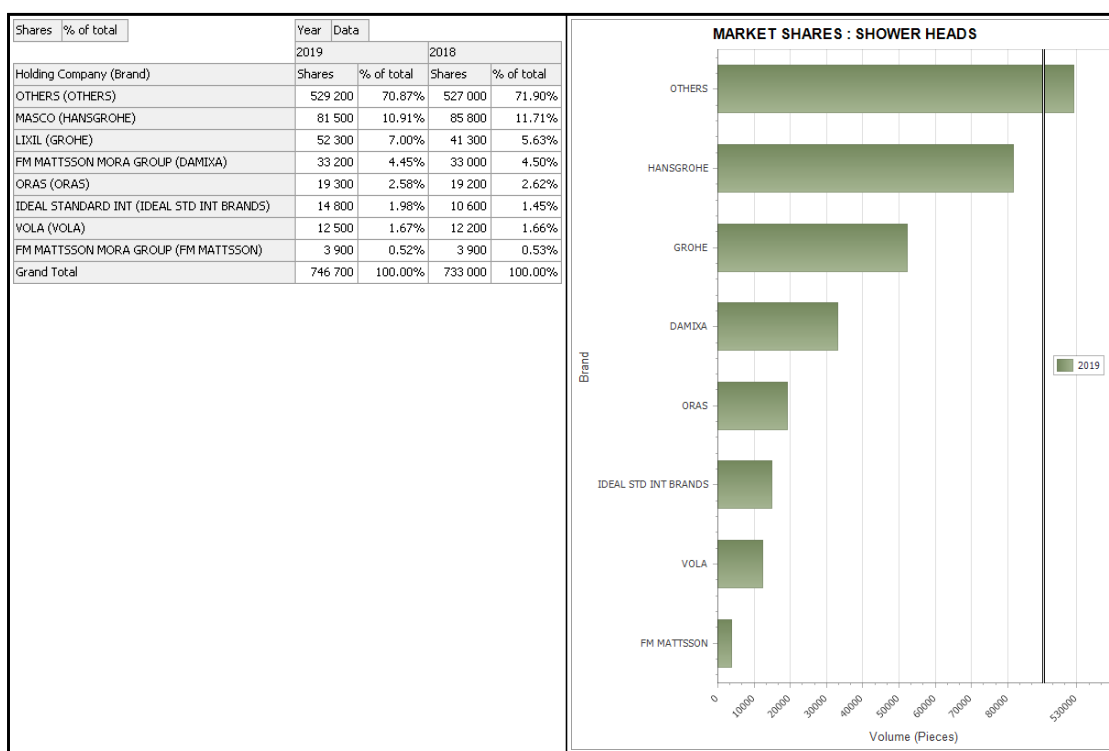
DK - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

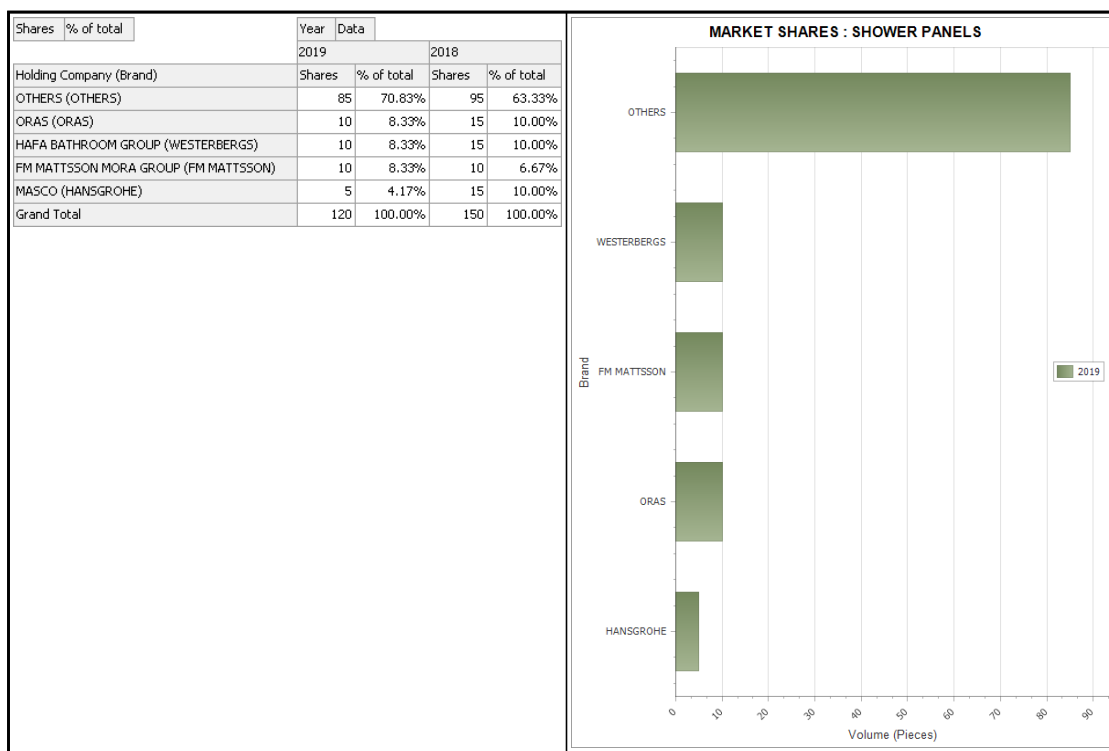
DK - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

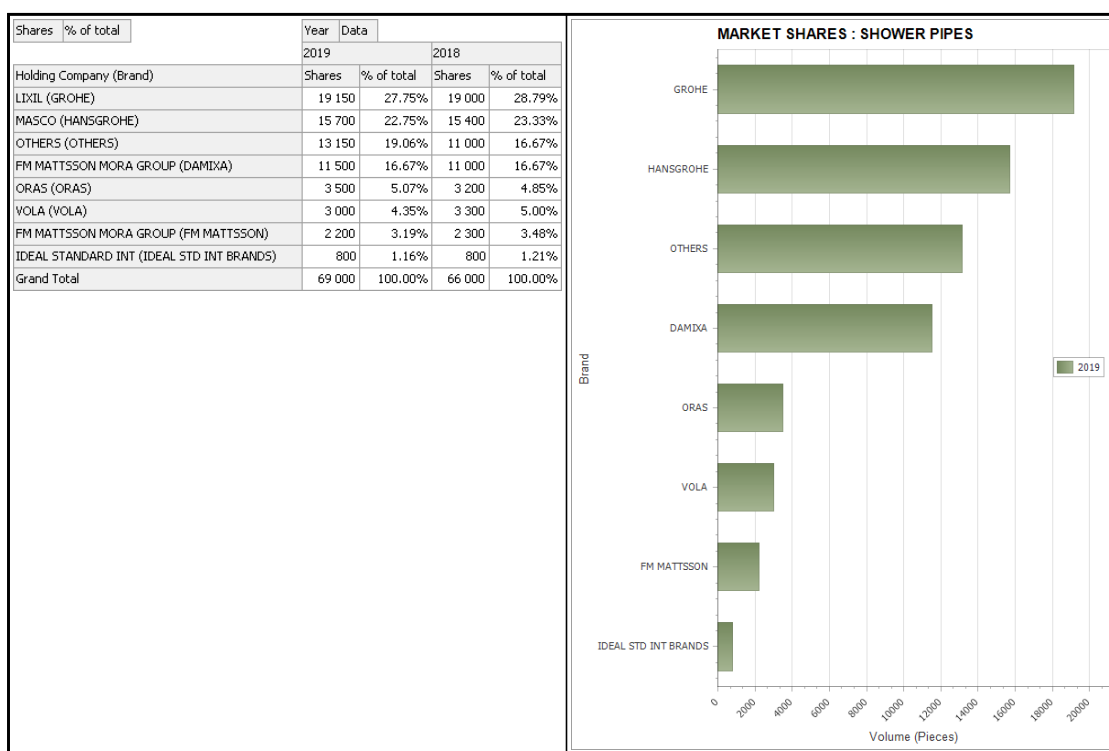
DK - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

DK - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
DK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	44.3%
	Wholesalers / Merchants
	44.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.9%	2.0%	32.1%	12.0%	17.6%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.9%		44.1%		27.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.5%	1.0%	8.0%	11.0%
Installers				
23.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	16.8%	6.9%	36.0%	16.5%	23.5%	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%
	Residential						Non-Residential					
	99.7%						0.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	3.3%			96.4%			0.2%			0.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.8%		0.5%	8.7%		87.8%	0.2%		0.0%	0.1%		0.0%

7.6.2

Route to Market: Shower Accessories
DK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	35.0%
	Wholesalers / Merchants
	35.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.9%	3.0%	34.0%	13.0%	17.6%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.9%		47.0%		25.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.3%	1.1%	7.5%	10.1%
Installers				
22.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	5.5%	7.7%	9.8%	39.4%	15.4%	22.0%	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%
	Residential						Non-Residential					
	99.7%						0.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	3.5%			96.2%			0.2%			0.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	3.0%		0.5%	8.7%		87.6%	0.1%		0.0%	0.1%		0.0%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

DK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

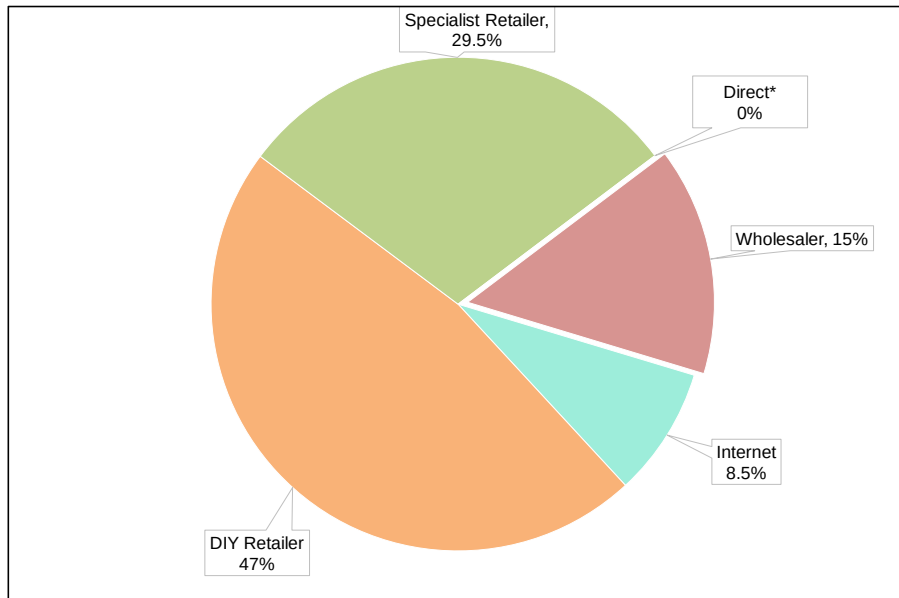
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.9%	8.5%	47.1%	29.5%	0.0%	11.5%	0.2%	88.2%	0.1%
100%					11.7%		88.3%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

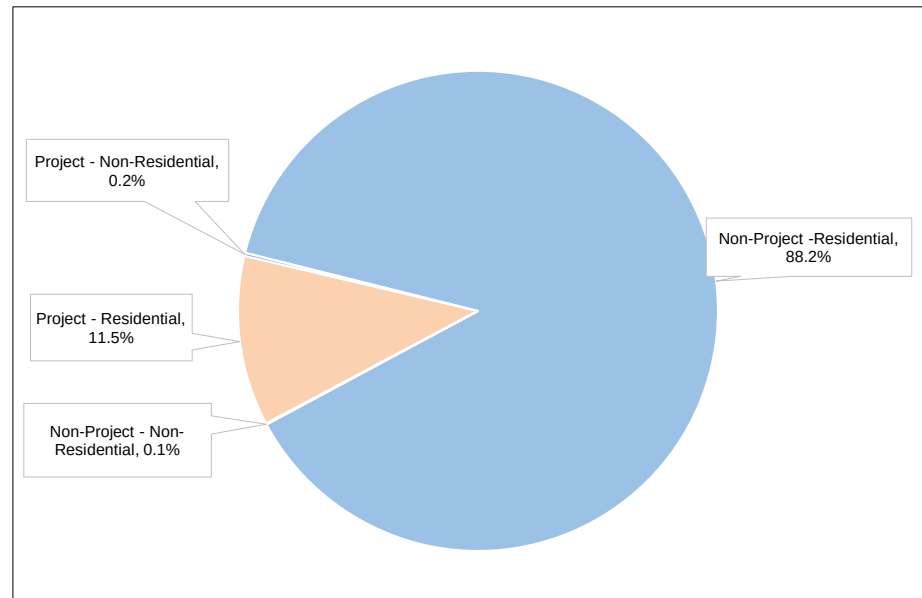
DK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.0%	10.9%	47.0%	25.6%	5.5%	11.6%	0.2%	88.1%	0.1%
100%					11.8%		88.2%	

DK - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



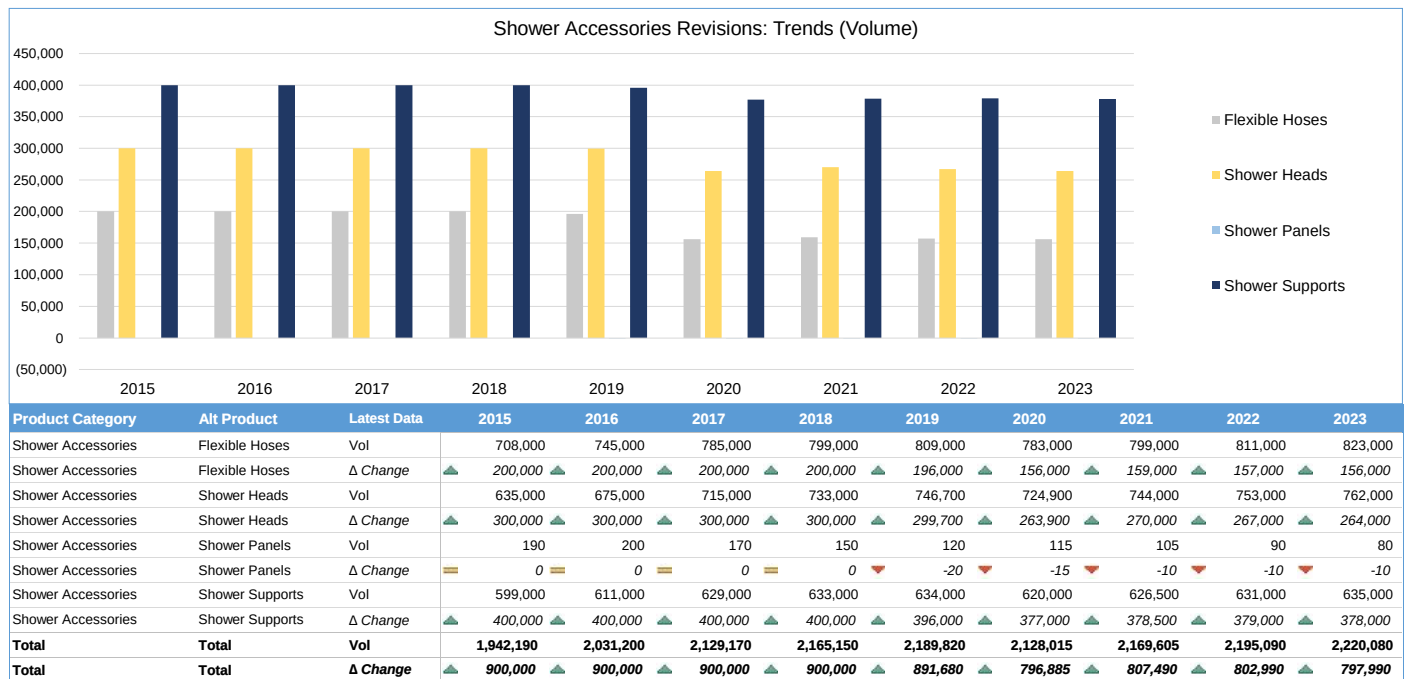
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Danish Shower Accessories Market (July 2020)

DK - REVISIONS IN THE DANISH SHOWER ACCESSORIES MARKET

Data Comparison: July 2019



All market sizes were adjusted slightly down in 2019, due to further industry feedback showing an overestimation of sales in 2019.

DENMARK

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

As is the case in most other European countries, demand for kitchen sinks in Denmark is largely driven by the construction market and growing replacement market. Growth was very organic right up until 2007 due to the construction boom, but the new construction market declined quite sharply in 2008 because of the economic crisis. The housing completion level continued to decline and reached its lowest in 2010, before it began its slow recovery in 2011. The decline in new construction had a negative effect on the kitchen sinks market, as it significantly reduced demand for kitchen sinks between 2008 and 2013.

With regards to the product mix, since the early 1990s, the Danish market has been largely dominated by stainless steel sinks due to the product's cheap offering, resistance and availability in a variety of models due to the simplicity and speed of the manufacturing process, allowing lower production costs. The product mix has not gone through too many changes over the years, as Danish consumers have stuck with what they know in purchasing a single bowl kitchen sink (stainless steel) – which is very small and sold for a low price. This has been the trend for many years.

After the introduction of new materials such as granite, synthetic sinks have achieved a new standard for aesthetics, durability and ease of maintenance. They have become more popular in recent years, especially in the residential housing environment, as consumers are looking for more colour in their homes and matching taps are very helpful with this. The availability of synthetic sinks to come in as many colours as desired has been influential in the uptake seen as of 2014-2015, and this trend is expected to continue for another few years. As well as this trait, synthetics have seen success due to their versatility, aesthetics and the considerable investment in design and quality.

Ceramic sinks have not seen a take-off in the market at all and occupy a very minute share of the overall Danish kitchen sink market. This is largely due to the type of ceramic sinks being sold, being country-style Belfast sinks, which are niche with limited sales and not so popular. Belfast sinks developed their name as they were originally designed in Belfast, and the key difference between this sink amongst others is the introduction of an overflow weir – which is said to have been conceived to prevent overspill, allowing water to drain away without the risk of flooding. Also, the inset models for these sinks are not being sold at all and the models suitable for 'underglue' are not available. This type of installation is unique as the sink is glued onto of the countertop, and this is the installation type for nearly all sinks. This type of installation has also limited the markets for cast iron and enamelled sinks.

Recent Market Trends

The year 2019 saw the kitchen sinks market experience good growth. The increase in new dwelling completions was the key contributor to the market seeing growth, as well as the good performance of housing RMI. Synthetic (granite) sinks experienced the largest amount of growth and led to the growth of the overall market due to the increase in favourability of coloured sinks. Their lightness compared to steel or ceramic sinks, as well as the versatility they offer was another factor for their growth. Ceramics continue to remain not so popular in the Danish market and were decreasing slightly in 2019 as this type of sink is only sold where people have a country style kitchen and they are very niche. Sales of stainless steel sinks recovered from the decrease in 2018 and experience an increase in 2019 due to good growth in the new housing end use. With the large amount of open kitchens, (also known as *køkken alrum*) which connect to the living room, Danish consumers are looking for colours to match the look of their living room to give more of an aesthetic look and this is where the synthetic kitchen sink market profited the most and took share from stainless steel.

The colour black proved to be the most popular for consumers as it is a neutral colour and matches a lot of other colours and the durability and ease of cleaning the granite sink is what makes this the choice of preference. One of the big tendencies is also matching items such as waste fittings for the sink and handles on cabinets, making matching more important to the consumer. There is also a trend away from drainer models (1.5 and 2 bowl sinks) and towards one bowl due to fashion largely with kitchens becoming more integrated as part of your dining room.

Tectonite sinks still represent a relatively small share of the market and have been around since 2008, but began to develop quite well in recent years. The base material is SMC (sheet moulding compound) which is a polyester based material. A PIMC (powder in-mould coating) is applied which chemically bonds to the SMC material under high pressure and temperature. It is strong, light, scratch-, heat- and UV resistant. A strong increase is expected over the years for this particular product.

The increase in completions was the key contributor to the market growth, as well as the good performance of the housing RMI sector. Stainless steel sinks benefited greatly from the increase of sales into the new build sector, due to their durability and rapidly decreasing price point, making them an attractive option for housing contractors. Synthetic sinks experienced good growth as a result of their lightness compared to steel or ceramic sinks, as well as the great versatility they offer. The market has seen a boost over the last three or four years, and this is down to the range of colours the sinks offer. Danish consumers want more colour in their kitchens, so they turn to synthetic sinks as opposed to stainless steel or ceramic.

Prices and Market Values

The average manufacturer's selling price (MSP) for kitchen sinks increased slightly for stainless steel and synthetic kitchen sinks in 2019 due to a lot of price pressure on the market, courtesy of the large amount of Chinese imports, despite the increase in prices of commodities such as steel. Internet sales also give a transparent price view and in turn also put automatic pressure on prices. Also, the Danish currency situation is very stable, so there is no real reason for major price increases. The value of the overall market also increased strongly, both in DKK and EUR, as exchange rates between currencies remained relatively stable, as well as continued growth in volume sales attributing to the growth in market value.

Ceramic kitchen sinks were the only product segment that experienced a declined MSP in 2019, due to a decreasing market size, mainly affected by a decrease in the middle and luxury price segment.

New Housing

The new housing segment is a key segment for the kitchen sink market, as every household requires at least one kitchen. The new housing market for kitchen sinks experienced organic growth in 2019, and this was in line with the increase seen in dwelling completions. This segment heavily favours stainless steel sinks due to their durability and low price point; however, as mentioned previously, synthetic sinks have seen good growth on the residential side of the market due to their varied colour offering. The overall new dwelling completions are expected to decrease in 2020, negatively affecting sales towards this end use sector.

Housing RMI

Housing RMI represents the vast majority of overall sales of kitchen sinks in Denmark. The year 2019 saw a small growth, and this was largely driven by the increasing disposable income of Danish consumers and their preference for high-quality products. Stainless steel kitchen sinks have dominated this end-use segment for a long period of time; however, consumers took to replacing their stainless steel sink for a synthetic one as it was a better looking option when renovating their kitchen and this trend in the end-use looks set to continue as the development of synthetic sinks over the years looks very bright. The housing RMI end use is the only end use that are expected to increase in 2020, due to an increase in sales for both stainless steel and synthetic kitchen sinks.

Non-Housing

Commercial sales of kitchen sinks continue to remain low when compared to residential, and this is down to it not being a necessity for every commercial building to require a kitchen, unlike with bathrooms. The majority of kitchen sinks going into the non-housing segment are stainless steel, as most non-housing sales are usually into office kitchens, hotels, restaurants and schools where ease of use,

durability and ease of cleaning advantages are favoured over the design. Synthetic models have experienced growth in this segment, although sales of these products remain very marginal when compared to the uptake in the residential sector, as price, simple functionality and ease of installation are far more important than colour in non-residential installations. The outlook for 2020 in terms of non-housing is quite similar to that for new housing, which a decline anticipated. The main reason for this is the postponements, cancellations, and slowdowns in the new residential and commercial construction, driven by the COVID-19 crisis.

Supply Structure

The majority of kitchen sinks in Denmark are sold by specialist kitchen retailers, whereby the full kitchen is sourced along with the sink from the kitchen manufacturer. An example of a specialist kitchen retailer would be NOBIA, which owns five kitchen stores in Denmark. IKEA is another national player that offers the planning and installation of kitchens.

The supply of stainless steel and ceramics is led by Swedish manufacturer IKEA. It holds the largest share in the kitchen sink market, including a 30%+ share in the stainless steel market, and this is largely due to its good-quality products and price ratios. Having a local market presence has proved to be beneficial, along with the easy installation and having the possibility to have the installation done by IKEA itself, making things convenient for customers. The second-largest is Swiss manufacturer FRANKE, which targets its products mainly at the higher end of the market and has had success in Denmark largely due to its wide range of quality products. German manufacturer BLANCO is the leader in the synthetic kitchen sink market; however, it occupies less than 10% of the market for stainless steel. Norwegian manufacturer INTRA follows FRANKE in terms of share in the stainless steel market. Last is LAVABO, which is a Danish company that imports from Italy but mainly from China; white labelling the product and building a brand. It came onto the market just before the crisis, and has developed well over the years, predominately selling stainless steel sinks. LAVABO is growing slowly, but still relatively in terms of market share – and in terms of value it is not so high due to the cheap sinks being imported from China, so it represents the lower end of the market.

The ceramic kitchen sinks market is led by IKEA, followed by FRANKE, VILLEROY & BOCH and BLANCO. However, this market remains marginal in comparison to other product segments due to the Belfast sinks being sold in Denmark – which are a niche with limited sales. Belfast sinks are not appealing for the Danish market as the Danish community are more interested in contemporary/modern styles, as opposed to country kitchen-style kitchens, where these Belfast sinks are being used. Along with this, inset models are not being sold at all and models suitable for undermount are not available, making this market largely unpopular.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

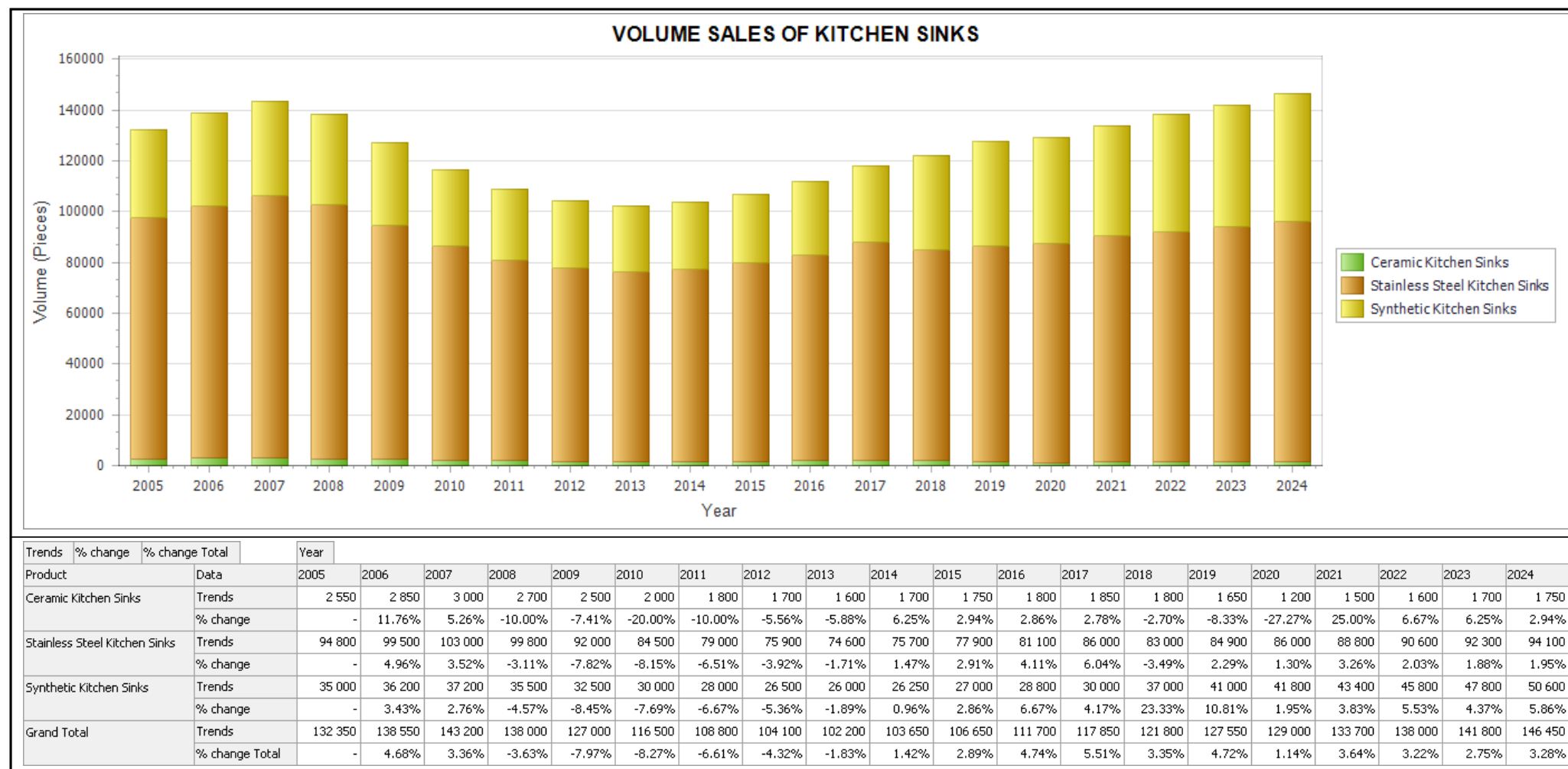
In 2020, the Danish kitchen sink market is anticipated to develop quite positively compared to other product segments. The main driver for the increase is expected to be linked to increase in sales of stainless steel kitchen sinks to the RMI end use. Sales of synthetic kitchen sinks are also expected to increase in 2020, albeit at a slower rate than stainless steel. Sales through the DIY retailers are expected to affect the market positively in 2020, in particular. New dwelling completions and the non-housing market are expected to be greatly affected by the outbreak of the COVID-19 crisis, due to postponements, slowdowns, and cancellations of construction activity.

The market is expected to pick up in 2021 and keep increasing yearly for the rest of the forecast period. This development is driven by the expected increase in the new dwelling completions, which will affect the kitchen sink market positively. The RMI segment is still expected to be an important factor in the overall growth of the market during the forecast period.

In terms of product mix, stainless steel sinks are expected to return to growth over the forecast period and continue to represent the bulk of the market. Other materials will experience growth also but will be quite restricted, as there are not many kitchen sink manufacturers and there are few players that have wide distribution centres – such as the likes of FRANKE – and since FRANKE is a specialist in stainless steel, this subsequently limits the amount of growth the other materials can achieve.

8.2 Historical Trends and Forecasts : Kitchen Sinks

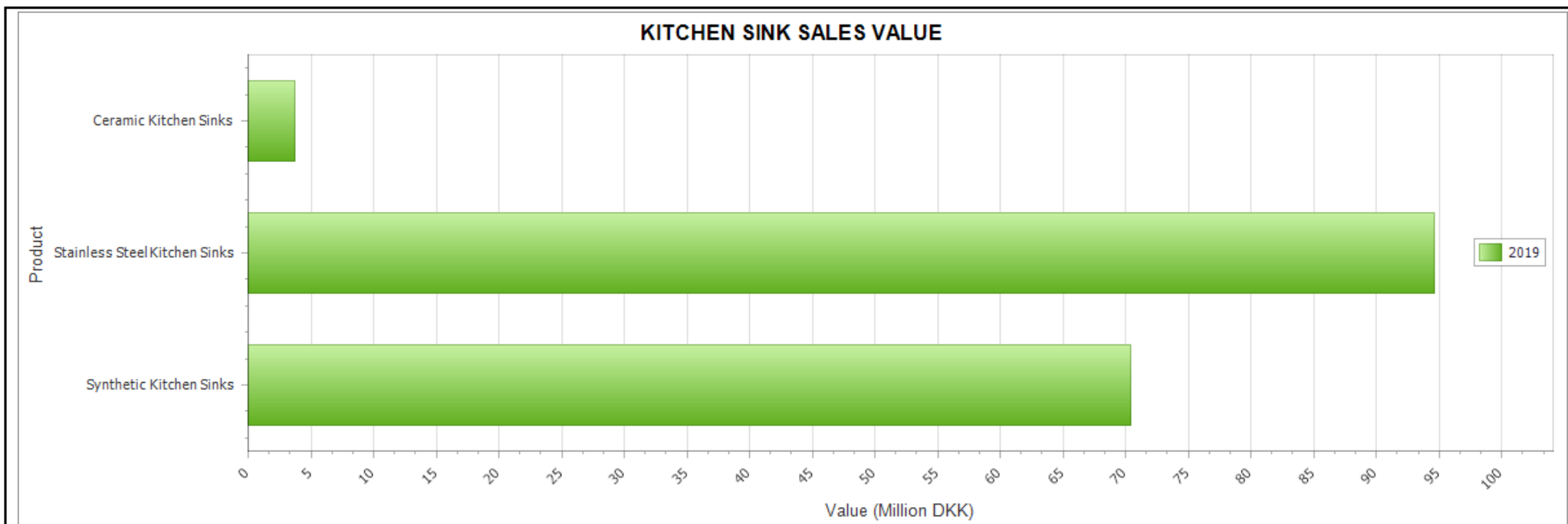
DK - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

DK - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

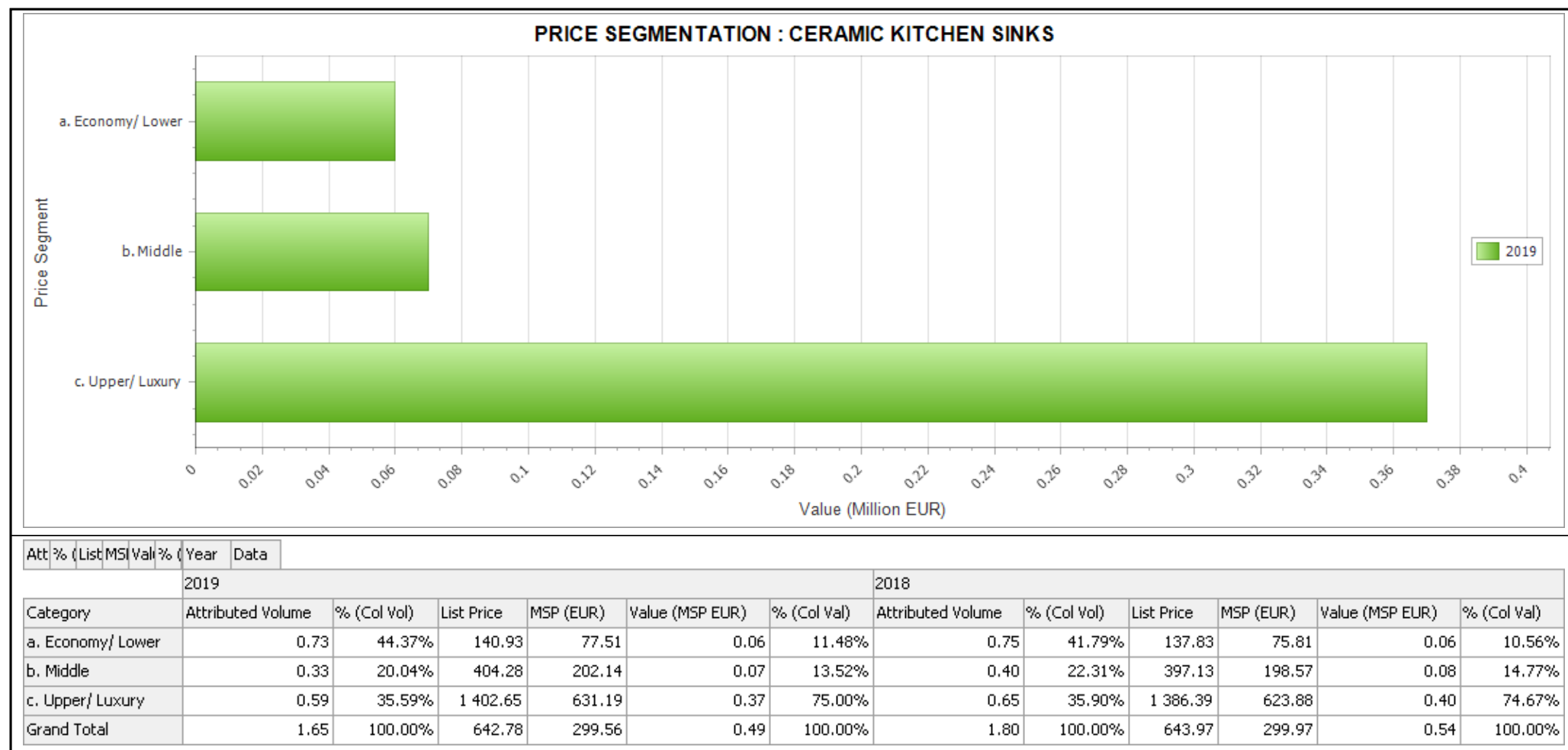


Volum	MSP (	Value	MSP (	Value	Year	Data					
2019						2018					
Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	
Ceramic Kitchen Sinks	1 650	2,237.68	3.69	299.56	0.49	1 800	2,235.83	4.02	299.97	0.54	
Stainless Steel Kitchen Sinks	84 900	1,114.75	94.64	149.23	12.67	83 000	1,097.36	91.08	147.23	12.22	
Synthetic Kitchen Sinks	41 000	1,716.53	70.38	229.79	9.42	37 000	1,693.86	62.67	227.26	8.41	
Grand Total	127 550	1,322.71	168.71	177.07	22.59	121 800	1,295.39	157.78	173.80	21.17	

Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

DK - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

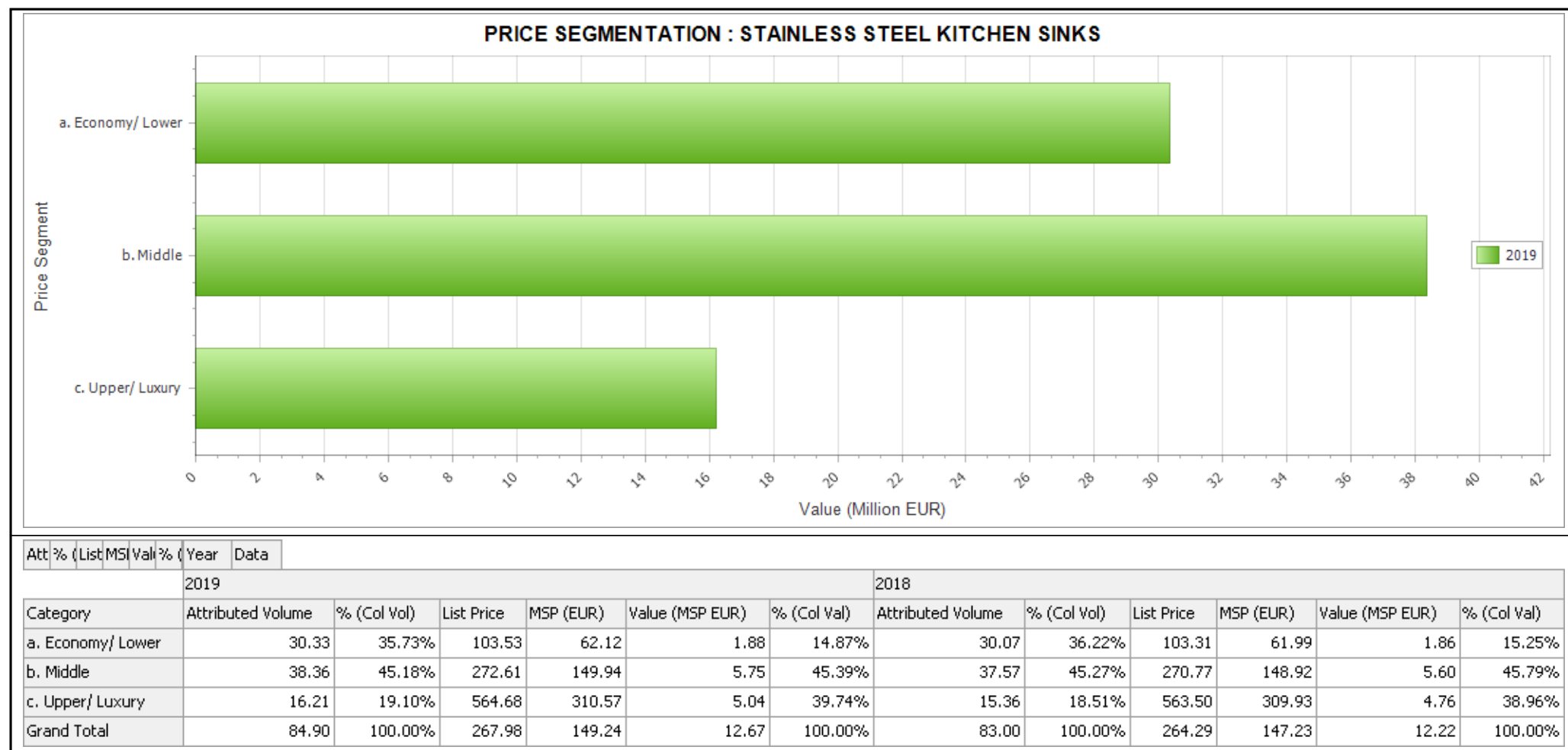


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€220, Upper/ Luxury >€220

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

DK - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

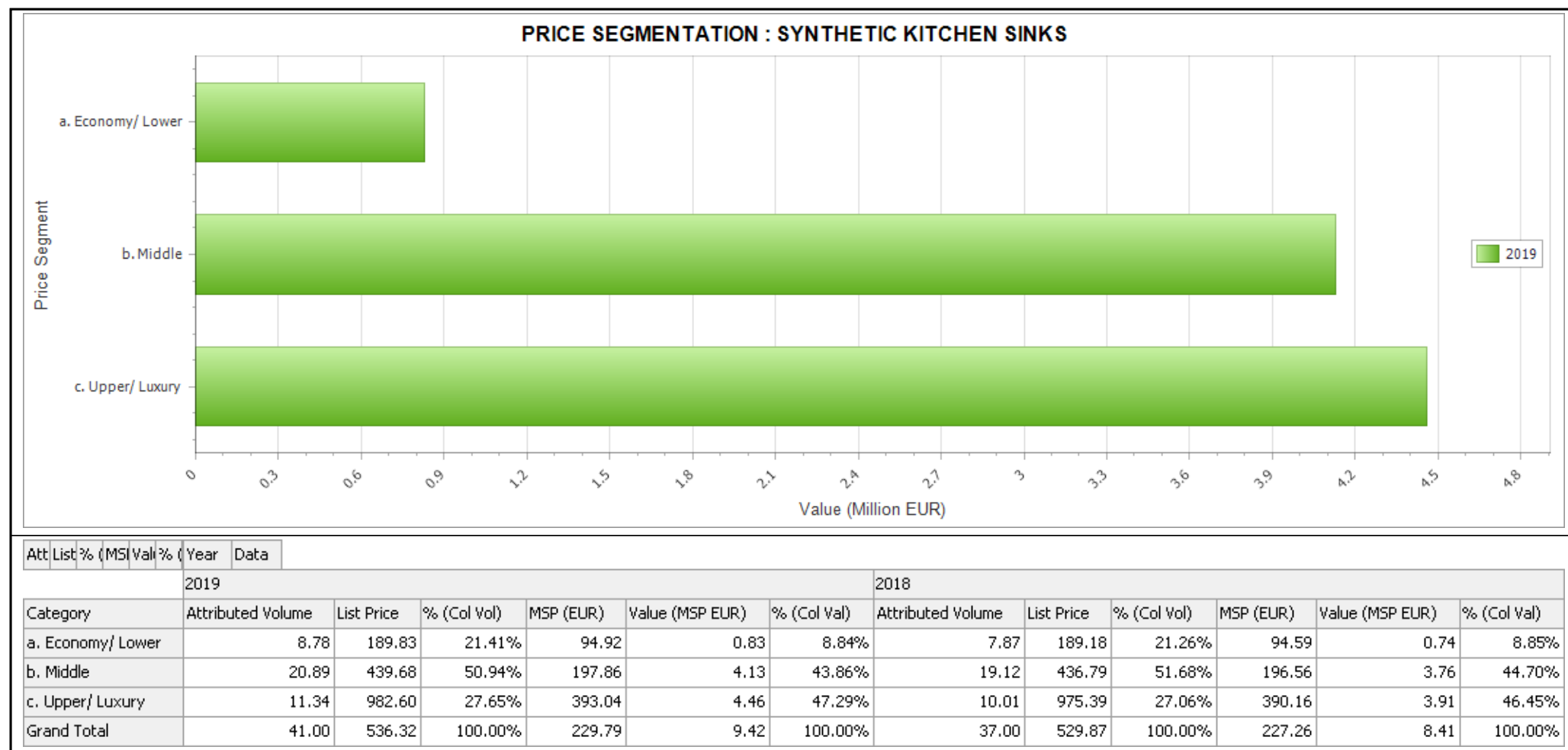


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

DK - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

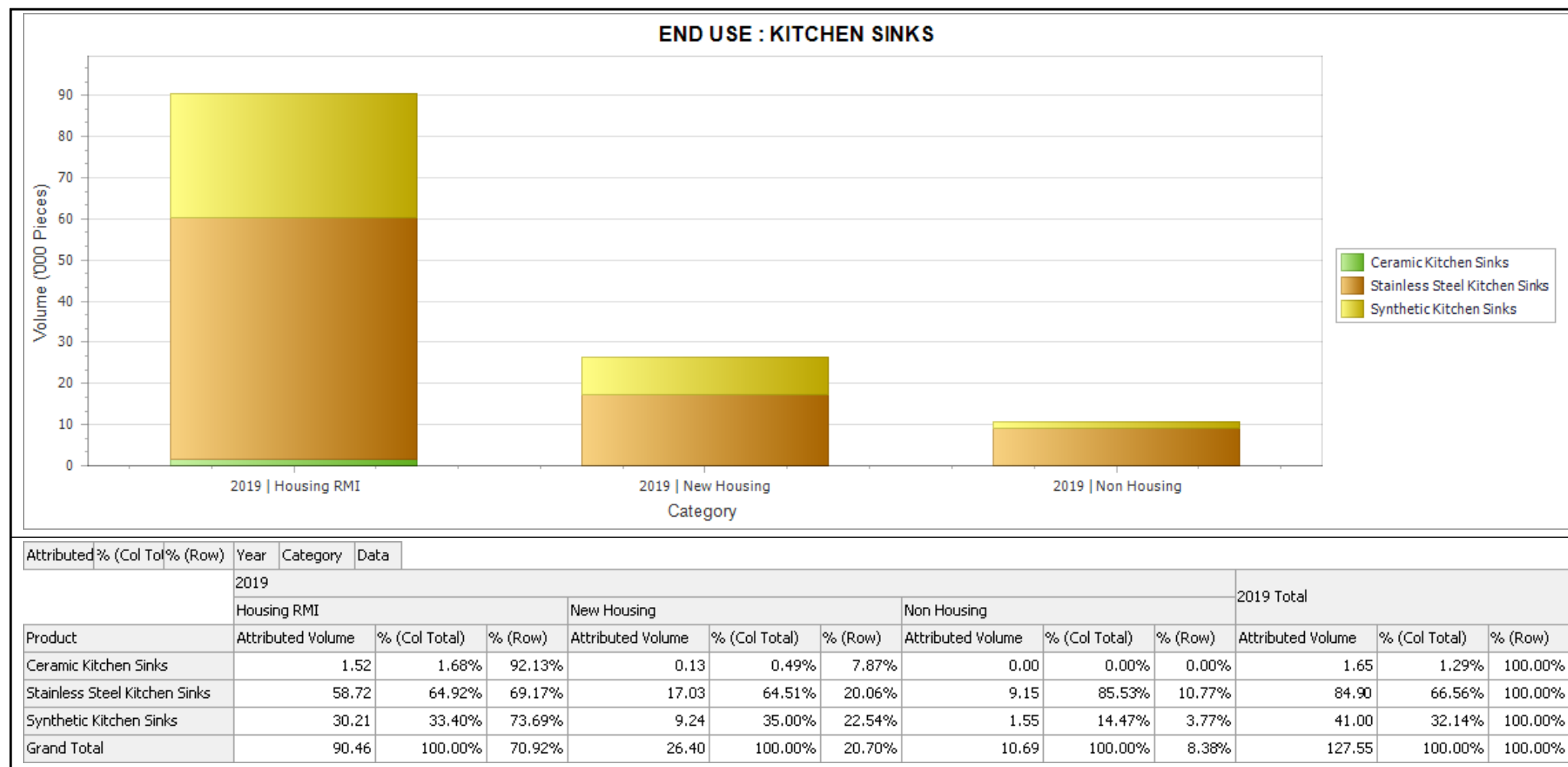


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€250, Upper/ Luxury >€250

8.4.1 End Use : Base Year

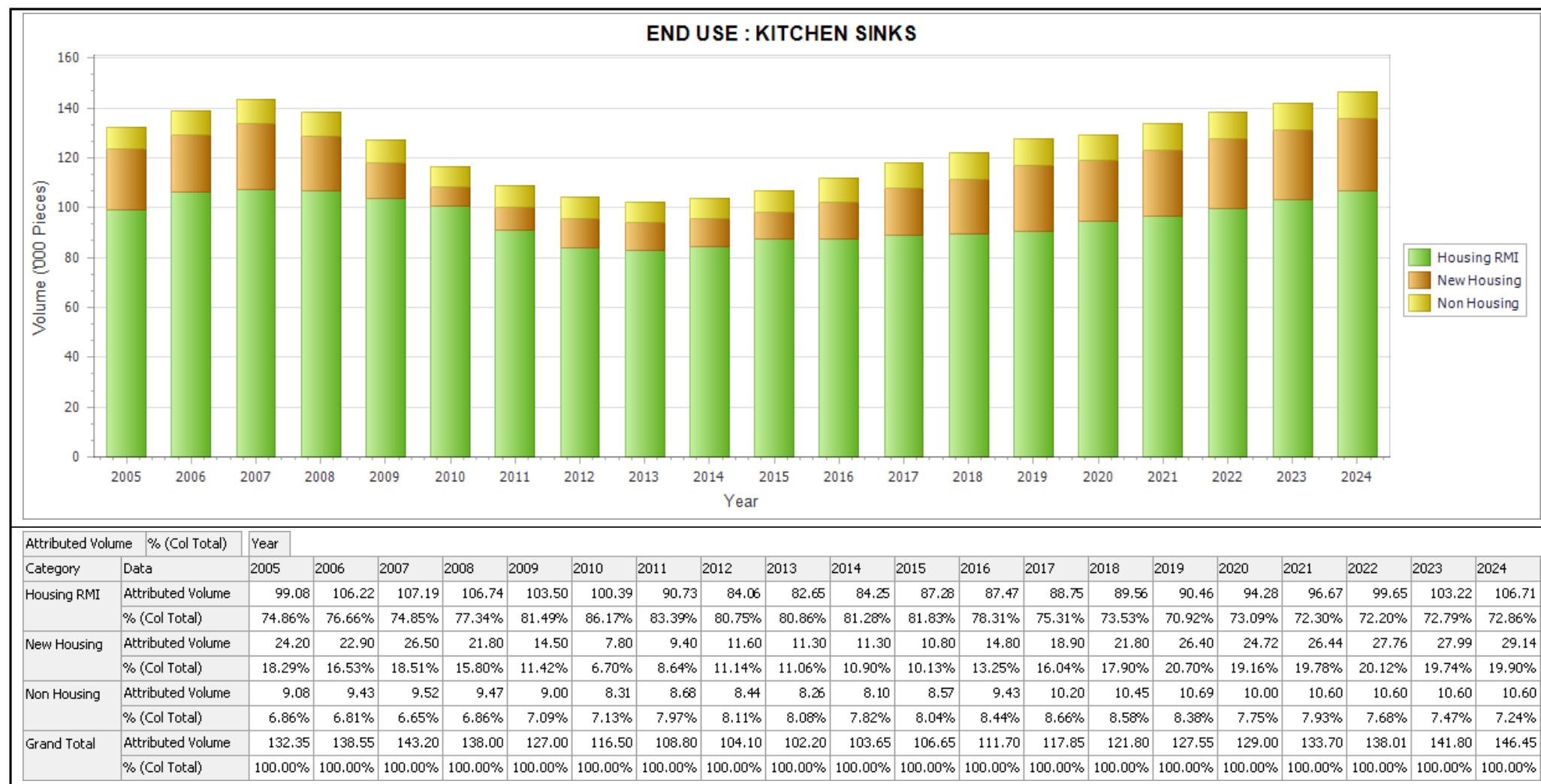
DK - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

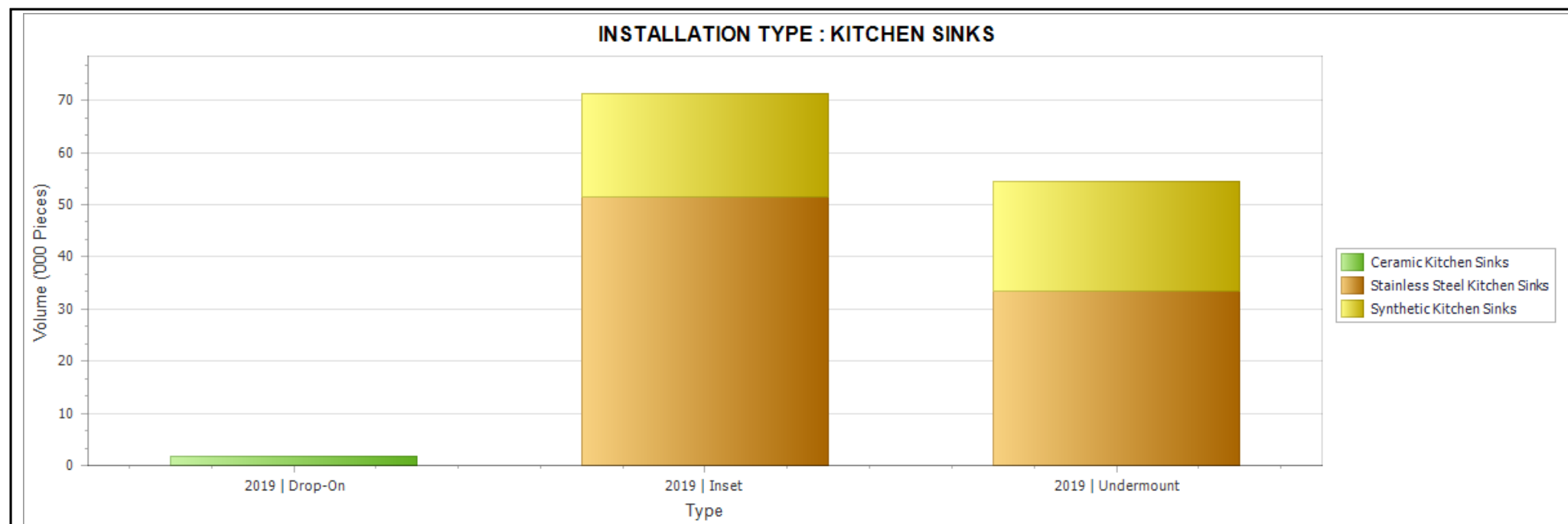
DK - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

DK - SALES OF KITCHEN SINKS BY INSTALLATION TYPE ('000 PIECES)

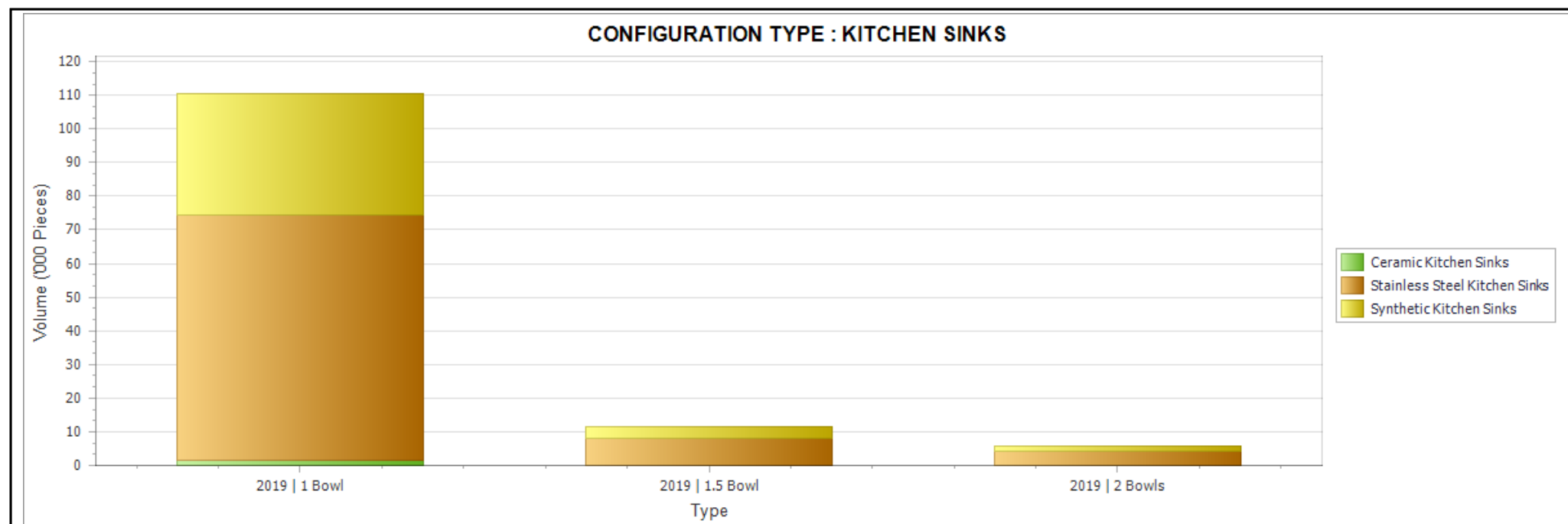


Attributed	% (Col Vol)	% Row	Year	Category	Data															
			2019							2019 Total										
			Drop-On			Inset			Undermount											
Product	Attributed Volume			% (Col Vol)	% Row	Attributed Volume			% (Col Vol)	% Row	Attributed Volume			% (Col Vol)	% Row					
Ceramic Kitchen Sinks	1.65			100.00%	100.00%	0.00			0.00%	0.00%	0.00			0.00%	0.00%	1.65			1.29%	100.00%
Stainless Steel Kitchen Sinks	0.00			0.00%	0.00%	51.45			72.12%	60.60%	33.45			61.30%	39.40%	84.90			66.56%	100.00%
Synthetic Kitchen Sinks	0.00			0.00%	0.00%	19.89			27.88%	48.50%	21.12			38.70%	51.50%	41.00			32.14%	100.00%
Grand Total	1.65			100.00%	1.29%	71.34			100.00%	55.93%	54.57			100.00%	42.78%	127.55			100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

DK - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)

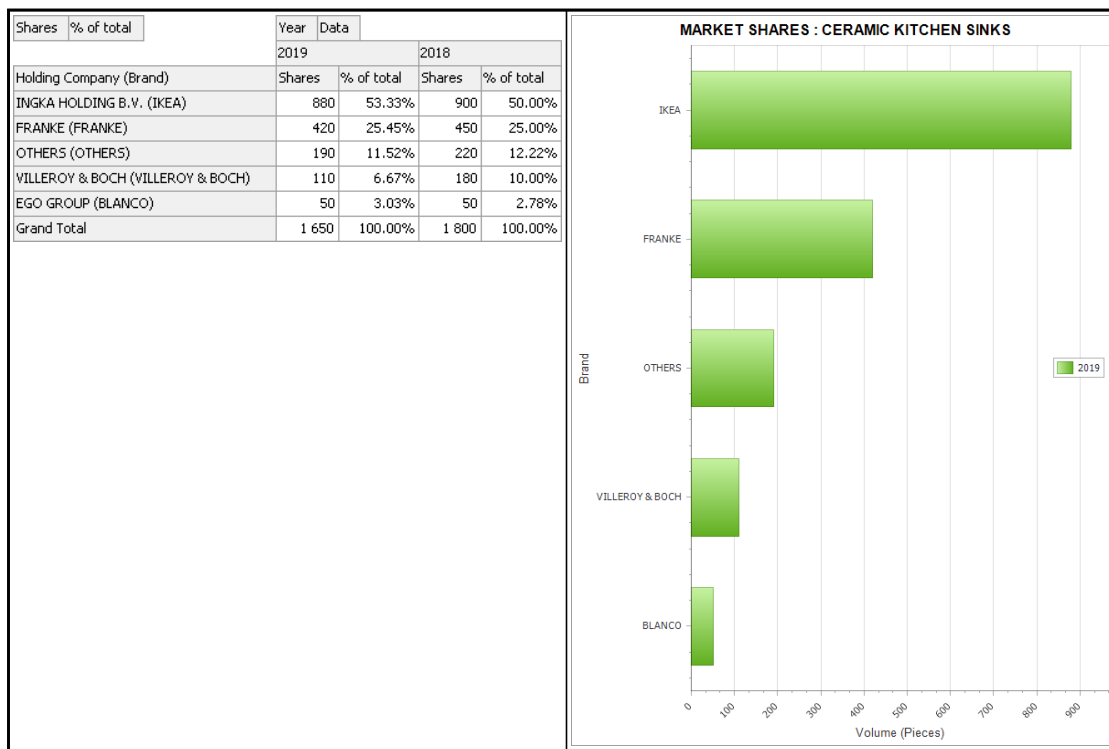


Attributed	% (Col Vol)	% Row	Year	Category	Data							
			2019							2019 Total		
			1 Bowl			1.5 Bowl			2 Bowls			
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Ceramic Kitchen Sinks	1.65	1.49%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.65	1.29%	100.00%
Stainless Steel Kitchen Sinks	72.59	65.68%	85.50%	8.15	71.31%	9.60%	4.16	74.34%	4.90%	84.90	66.56%	100.00%
Synthetic Kitchen Sinks	36.29	32.83%	88.50%	3.28	28.69%	8.00%	1.44	25.66%	3.50%	41.00	32.14%	100.00%
Grand Total	110.53	100.00%	86.65%	11.43	100.00%	8.96%	5.60	100.00%	4.39%	127.55	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

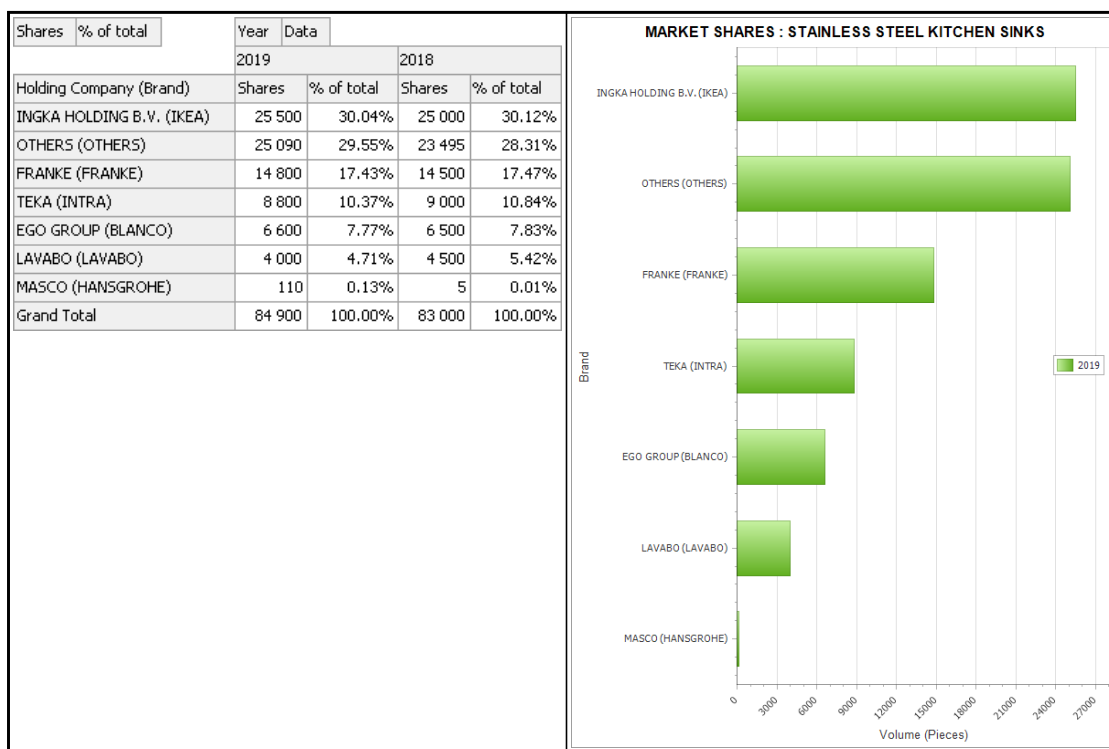
DK - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

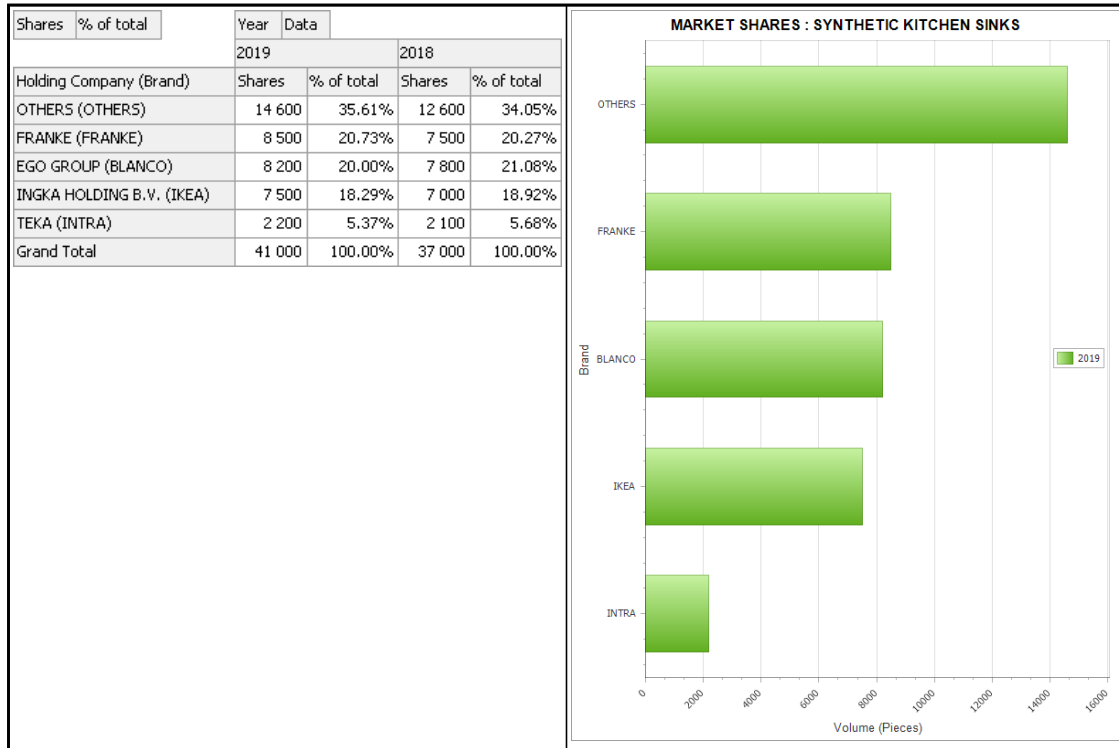
DK - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

DK - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
DK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

47.0%
Worktop Manufacturers
47.0%

Wholesale Level

Manufacturers	Worktop Manufacturer
13.9%	9.5%
Wholesalers / Merchants	
23.4%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
1.9%	0.0%	1.1%
Internet Retailers		
3.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
6.2%	0.0%	2.1%
DIY Retailers		
8.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
29.5%	28.8%	4.2%
Specialist Retailers		
62.5%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	7.2%	15.0%	1.0%	1.0%	15.0%
Installers					
40.8%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.5%	0.6%	2.0%	7.3%	46.9%	33.4%
Residential						
91.6%						

New Build			Residential RMI		
20.7%			70.9%		
Project	Non-Project		Project	Non-Project	
17.6%	3.1%		7.8%	63.1%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.4%	0.0%	0.0%	0.6%	7.4%
Non-Residential						
8.4%						

New Build			Non-Residential RMI		
5.9%			2.5%		
Project	Non-Project		Project	Non-Project	
4.6%	1.3%		1.6%	0.9%	

8.6.2

Route to Market: Kitchen Sinks
DK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

46.8%
Worktop Manufacturers
46.8%

Wholesale Level

Manufacturers	Worktop Manufacturer
13.6%	9.3%
Wholesalers / Merchants	
22.9%	

Manufacturer	Worktop Manufacturer	Wholesaler
2.0%	0.0%	1.2%
Internet Retailers		
3.2%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.3%	0.0%	2.0%
DIY Retailers		
7.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
30.0%	29.0%	4.0%
Specialist Retailers		
63.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.3%	0.0%	0.0%	15.1%
Installers					
15.4%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.3%	8.5%	15.1%	3.2%	7.3%	47.3%	9.1%
Residential						
92.8%						

New Build			Residential RMI		
19.9%			72.9%		
Project	Non-Project		Project	Non-Project	
16.9%	3.0%		8.0%	64.8%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.7%	6.2%
Non-Residential						
7.2%						

New Build			Non-Residential RMI		
5.1%			2.2%		
Project	Non-Project		Project	Non-Project	
4.0%	1.1%		1.4%	0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

DK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

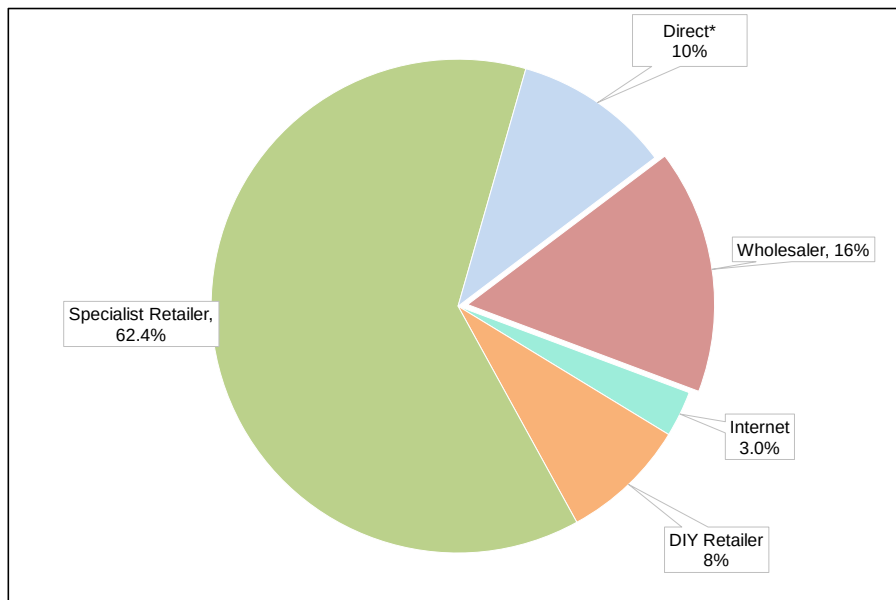
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.0%	3.0%	8.3%	62.4%	10.3%	25.4%	6.2%	66.2%	2.2%
100%					31.6%		68.4%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

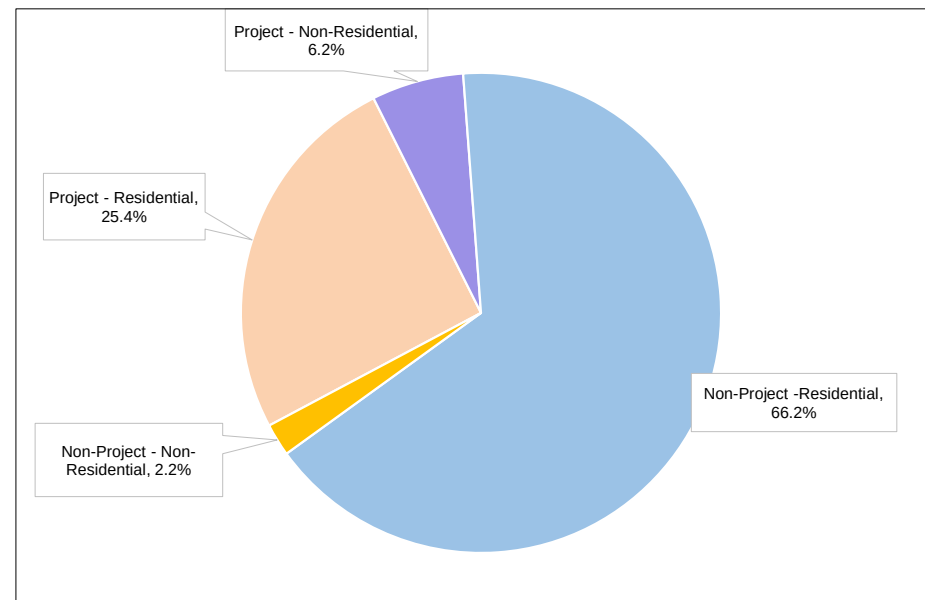
DK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.7%	3.2%	7.3%	63.0%	10.8%	24.9%	5.4%	67.8%	1.9%
100%					30.3%		69.7%	

DK - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



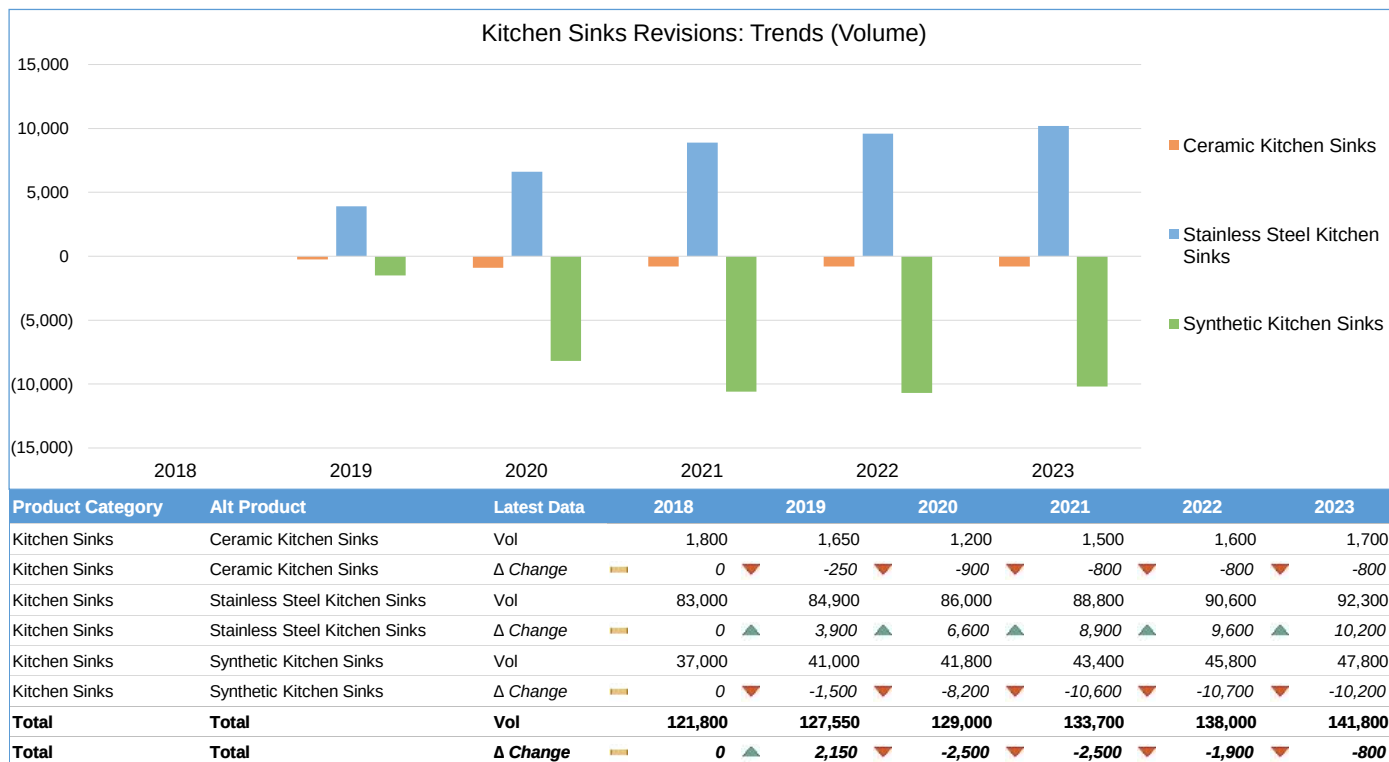
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Danish Kitchen Sinks Market (July 2020)

DK - REVISIONS IN THE DANISH KITCHEN SINKS MARKET

Data Comparison: July 2019



Sales of ceramic and synthetic kitchen sinks have been revised slight down in 2019, due to an overestimation of the housing RMI segment.

Sales of stainless-steel kitchen sinks have been revised slightly up in 2019, due to an underestimation of sales towards the new housing segment. Sales has also been revised up for the whole forecast period due to and underestimation of the volume of stainless-steel sinks that are expected to be replaced over the coming years.

DENMARK

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The market for kitchen taps and mixers is greatly dominated by distress replacement sales. However, this does not change the fact that new housing and non-housing are slowly gaining some share. Another notable fact is that the kitchen taps and mixers market is also of primarily functional importance and is more than likely to be replaced quickly if its performance diminishes.

For a number of years, the product mix has been represented by the continued dominance of one head kitchen mixers and has proved to be the popular choice in both new housing and housing RMI. Kitchen two head mixers have long occupied a very small percentage of this market as they have always remained second favourite and have gradually lost share year-on-year. Despite its constant decline and lack of favouring, there is a niche market for the authentic style of mixers which will always remain on offer.

Danish consumers have always tended to prefer mixers on the higher end of the market and with the economy stabilising since the economic crisis, consumers have been confident in spending money on expensive taps, keeping the two head mixer market alive. New innovations such as instant boiling water taps have witnessed good growth despite the lack in number of players operating in the market. It is quite difficult to produce a system that produces both water for normal use and hot water, as well as being expensive. Overall, the market has been recovering well since the economic downturn, with new innovations and niche markets with authentic style mixers, the market looks set to continue growing.

Recent Market Trends

The overall kitchen taps and mixers market developed quite well in 2019 after the decline in 2018. The increase was driven by the surge in sales for one head kitchen mixers which occupy the vast majority share of the kitchen taps and mixers market, with two head on a continuous downward slope. The positive developments were driven from the surge in new dwelling completions. Growth was also strong within the replacement segment which came from an increase in levels of consumer spending as the economy has become more stabilised and consumers are happy to spend their earnings. Danish consumers prefer to spend money on quality and well-known brands when remodelling their homes and the kitchen taps and mixers market has seen increased levels of consumer interest in boiling hot water taps, despite QUOOKER, GROHE RED and TAURUS being the only players left in the market. The growth in coloured sinks has led to consumers looking for matching coloured taps and this theme was prevalent in 2019 with colours such as brass, black and stainless steel seeing uptake for their dark and shiny appealing look.

Prices and Market Values

The average manufacturer's selling price (MSP) for kitchen taps and mixers remained relatively stable with very small increases in 2019 as consumer preference continued to shift towards more quality high-end products and, with the economy becoming very stable, it has led to a price premium with products. The lower and middle-priced segments continued to represent the bulk of sales for one head mixers, whereas the upper priced segment represented the bulk of sales in the declining two head mixer market. Despite the kitchen two head mixers market declining, the total market value for kitchen taps and mixers continued to increase in both EUR and DKK, in line with the overall growing volume sales. With the two head mixers market declining, subsequently the value for this segment decreased in 2019.

New Housing

Sales into the new housing segment for the overall kitchen taps and mixers experienced growth again in 2019, at a higher rate than that in 2018. This fell in line with the increase seen in completions in dwelling completions. Despite the good growth seen again in this segment, the new housing market still only accounts for a minority share of the total kitchen taps and mixers. With sales of kitchen sinks increasing in 2019, naturally the sales of one head mixers increased as they are generally installed together, continuing to dominate total sales into the new housing sector. Two head mixers experienced an increase into this segment in 2019 however one head mixers continued to be preferred due to their aesthetics. The outlook on 2020 is rather negative for the new housing market, due to fewer dwelling completions, driven by the COVID-19 crisis.

Housing RMI

The RMI segment accounts for over four-fifths of the market and had the largest increase in volume, making it the most important segment in 2019. New housing had the fastest growth but that alone was not enough to make it the main segment, more so the more dynamic segment. The RMI segment attributes strong growth, following on from its negative performance seen in 2018. Consumers are willing to spend more on their kitchen taps and mixers than kitchen sinks, with the style and fashion playing a key role. With consumers refurbishing their kitchen they took the opportunity to replace their old sink with a synthetic sink and a matching tap for the aesthetic appeal it gives, and this was the driver for the RMI segment. RMI was at a high for one head mixers due to the higher consumer spending, whereas two head mixer sales into this segment were at a decline largely due the clear majority of consumers opting to replace their mixers with a one head. Overall, the RMI segment had a positive performance in 2019; however 2020 is expected to experience a decline, due to the uncertainty of the overall market, mainly driven by the COVID-19 crisis.

Non-Housing

Demand for kitchen taps and mixers in this segment was positive in 2019, albeit at a lesser rate than what was seen in 2018 with growth mainly coming from the increase seen in hotel completions but largely hotel renovations as most sales of kitchen taps and mixers continued to be used along with kitchen sinks. One head mixers are the common type of mixer sold, as it is in the residential sector, and it experienced strong growth yet again in 2019. As for the other end uses, sales to non-housing are expected to decline in 2020, due to the postponements or cancellations of construction, stemming from the COVID-19 crisis.

Supply Structure

The kitchen taps and mixers market is fairly fragmented with the majority of products being imported from the likes of China, Germany and Italy, with China being the largest importer increasingly growing year-on-year. It is also worth noting that the supply structure for kitchens is very similar to that of sanitary taps and mixers.

The DAMIXA brand was acquired by OSTNOR (now renamed as the FM MATTSSON MORA GROUP), which is additionally present in the Danish taps and mixers market through the FM MATTSSON and MORA ARMATUR brands. This acquisition was a significant development, as it has made the FM MATTSSON MORA GROUP the market leader for most Scandinavian markets, across almost all price segments. GROHE is present in Denmark through its commercial subsidiary and Nordic headquarters GROHE A/S. The company sells mainly through wholesalers. KLUDI is also present and sells through specialist retailers.

IDEAL STANDARD's BØRMA brand is targeted at the higher price segment, while IDEAL STANDARD targets the more standard price range; the company sells only through wholesalers. VOLA is a smaller player, consisting mainly of designer products. The company is a supplier of concealed and self-closing electronic mixers. It sells mainly outside the wholesale distribution channel, to the non-housing segment. Despite being a smaller player and a niche brand, VOLA has had good development and with the economy in the market being quite high, there is high demand for design brands such as VOLA.

QUOOKER, GROHE RED and AKVATAUR'S TAURUS are the only players left in the instant boiler water taps, with GROHE selling mainly through wholesalers. QUOOKER sells mainly through specialists and wholesalers. AKVATAUR has been in the market since 2015 and is relatively small, purchasing from Italy and importing into Denmark, subsequently falling into the lower end of the price segment.

The significant share of 'Others' suppliers is largely comprised of the supply through the DIY sector, as well as a large number of brands sourced directly from manufacturers or agents/importers and sold directly via the Internet and specialist distributors. The category of 'Others' also includes suppliers of full bathroom product ranges that sell small quantities of mixers; examples include SVEDBERGS, HAFA and NORO. IKEA is also present on the market and included

under the category 'Others'.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

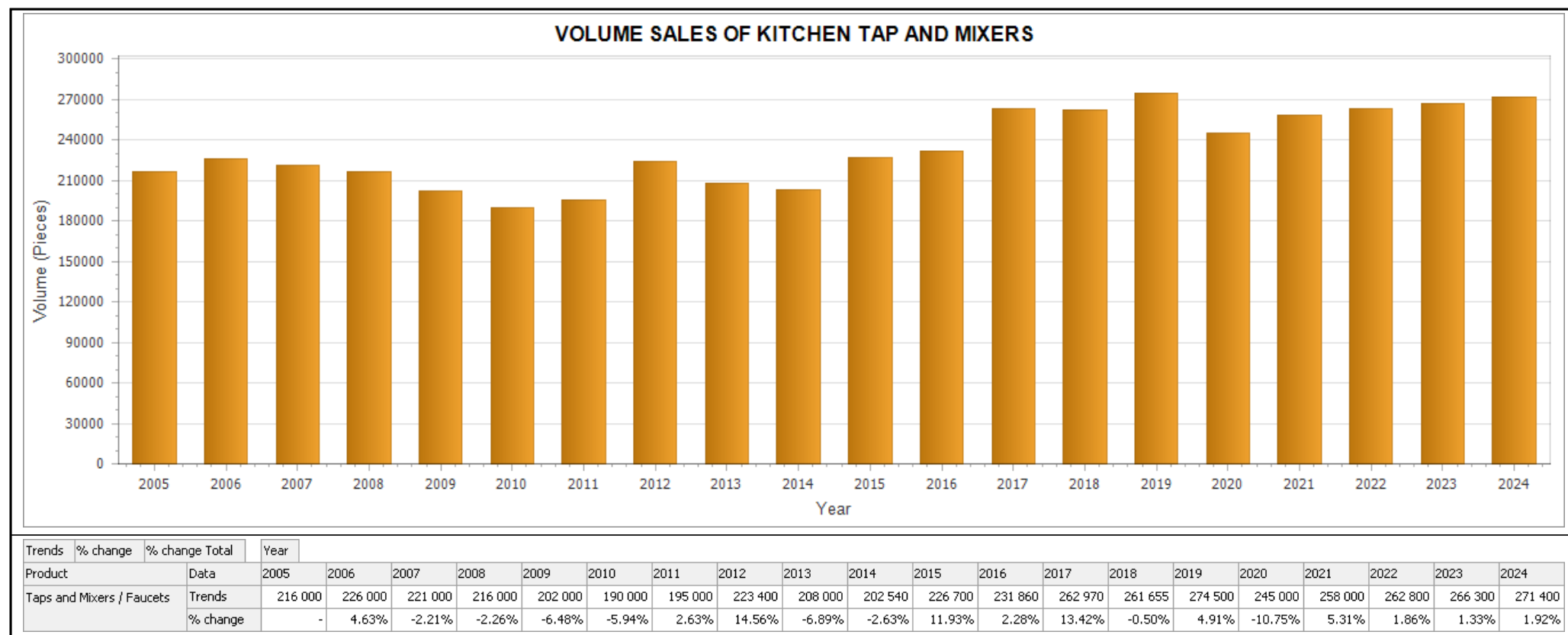
The outlook for the kitchen taps and mixers market for 2020 is negative, with a decrease expected across all end use segments. The decline in the market is mainly driven by the uncertainty in the market and the economy due to the outbreak of the COVID-19 crisis. Many constructions have been postponed, cancelled, or slowed down, hindering further sales.

The outlook for the rest of the forecast period is on the other hand positive, with growth expected each year. Coloured taps are expected to continue to gaining popularity and drive the sales for the overall kitchen taps and mixers. Growth is anticipated to be coming largely from the residential sector. The RMI segment will be a driver for the market as the Danish economy continues to improve and consumers are more willing to spend, especially on the look and feel of their home.

One head mixer sales are expected to grow over the forecast period whereas two head mixer sales are expected to continue declining. The uptake of luxury and innovative products is expected to continue increasing as more consumers are willing to spend on luxurious taps and are becoming more interested in new products such as boiling hot water taps. Over the forecast period, sales of kitchen taps and mixers are expected to remain positive with an increase each year from 2021, a slowly increase new dwelling market are hindering any significant growth from year-year.

This in turn will cause the replacement segment to become a key driver for growth of the overall market. In terms of product mix, one head mixer sales are expected to continue growing and dominating the kitchen taps and mixers market, continuously gaining share whereas two head mixers are expected to continue their declining trend. The internet channel is expected to continue growing at a fast pace, as sales through this channel continue to heat up as consumers find this channel easier and can get good quality taps for a cheaper price.

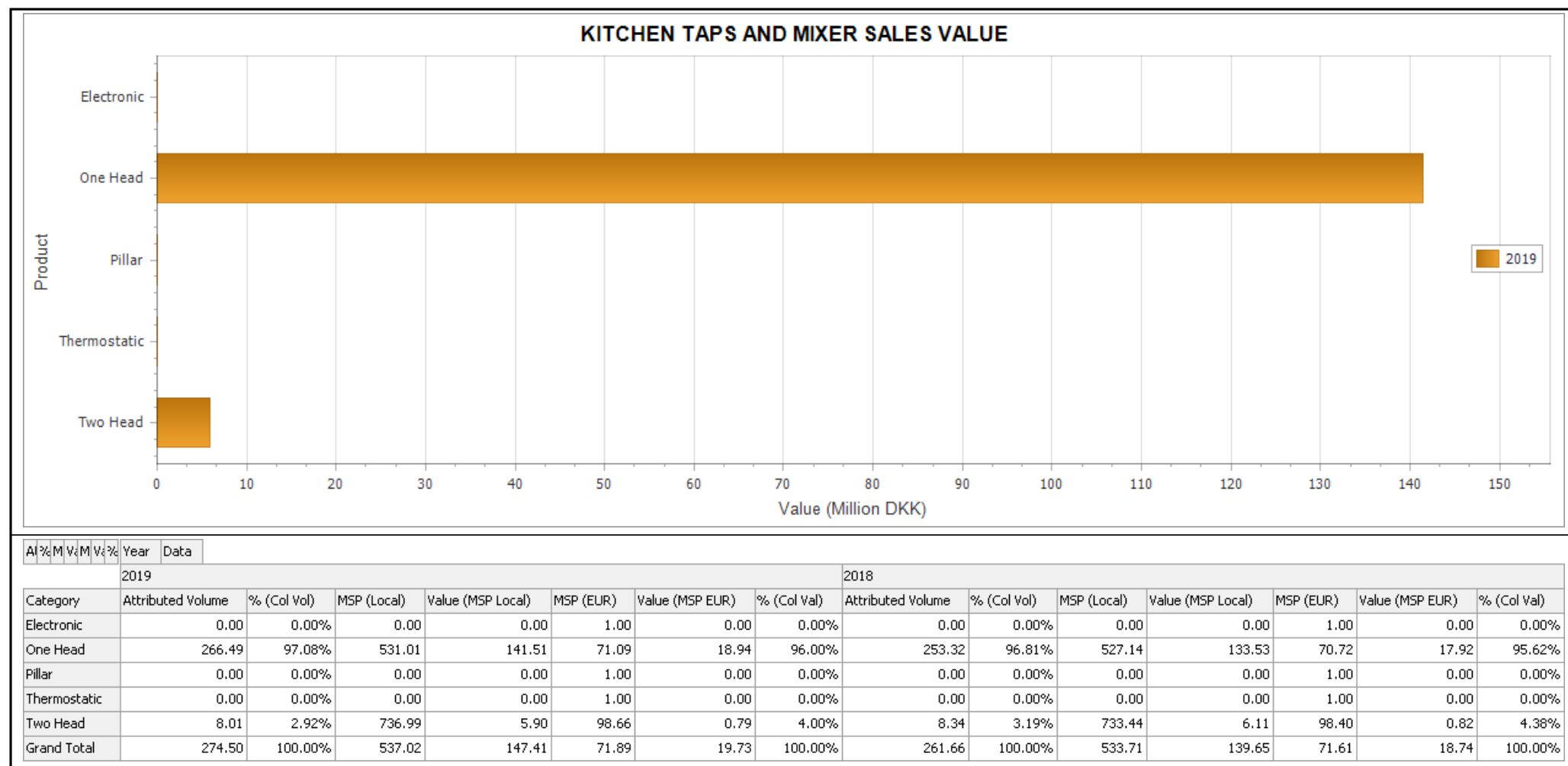
9.2 Historical Trends and Forecasts : Kitchen TM
DK - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

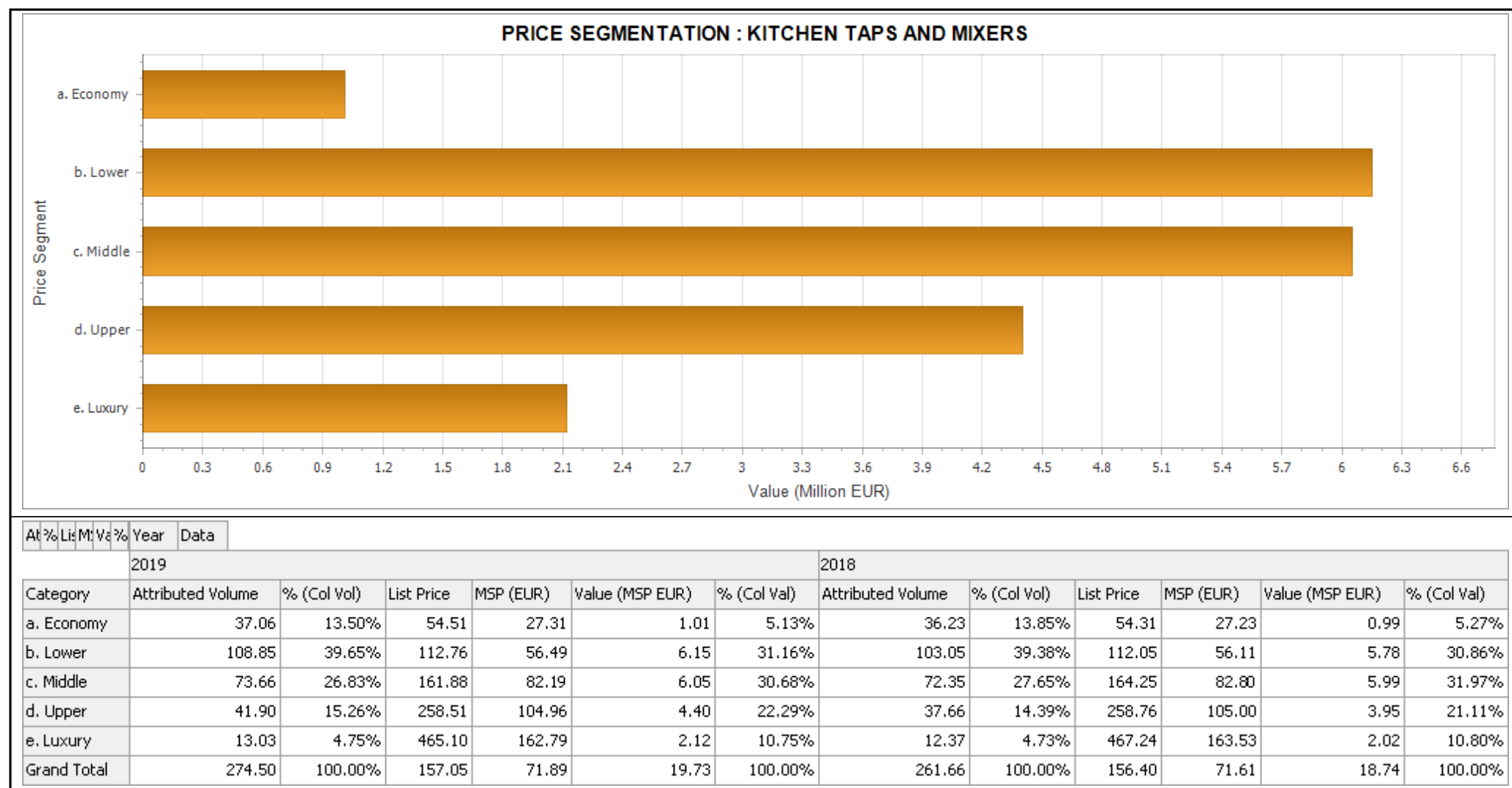
DK - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in DKK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

9.3.2 Price Segmentation : Kitchen Taps & Mixers

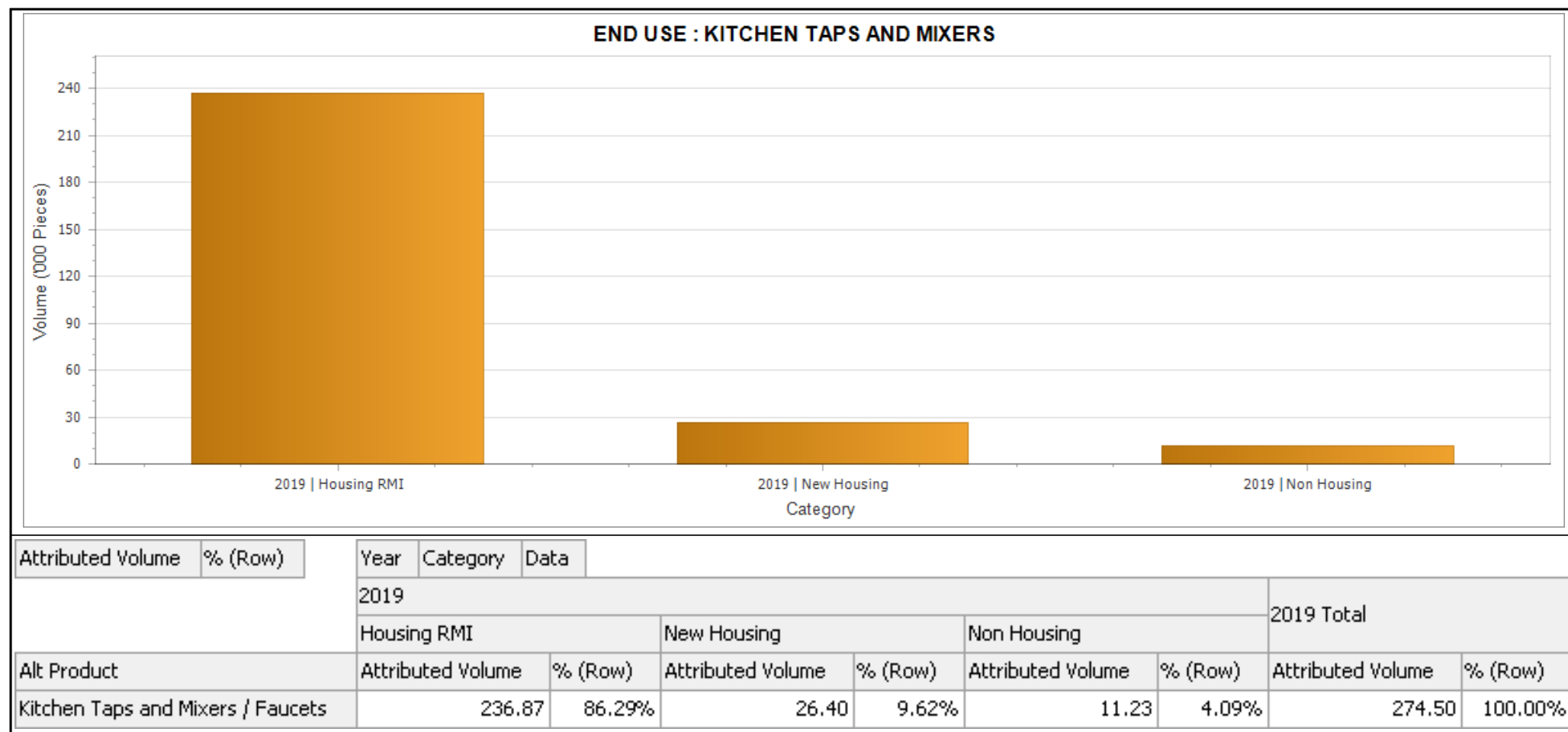
DK - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

9.4.1 End Use : Base Year

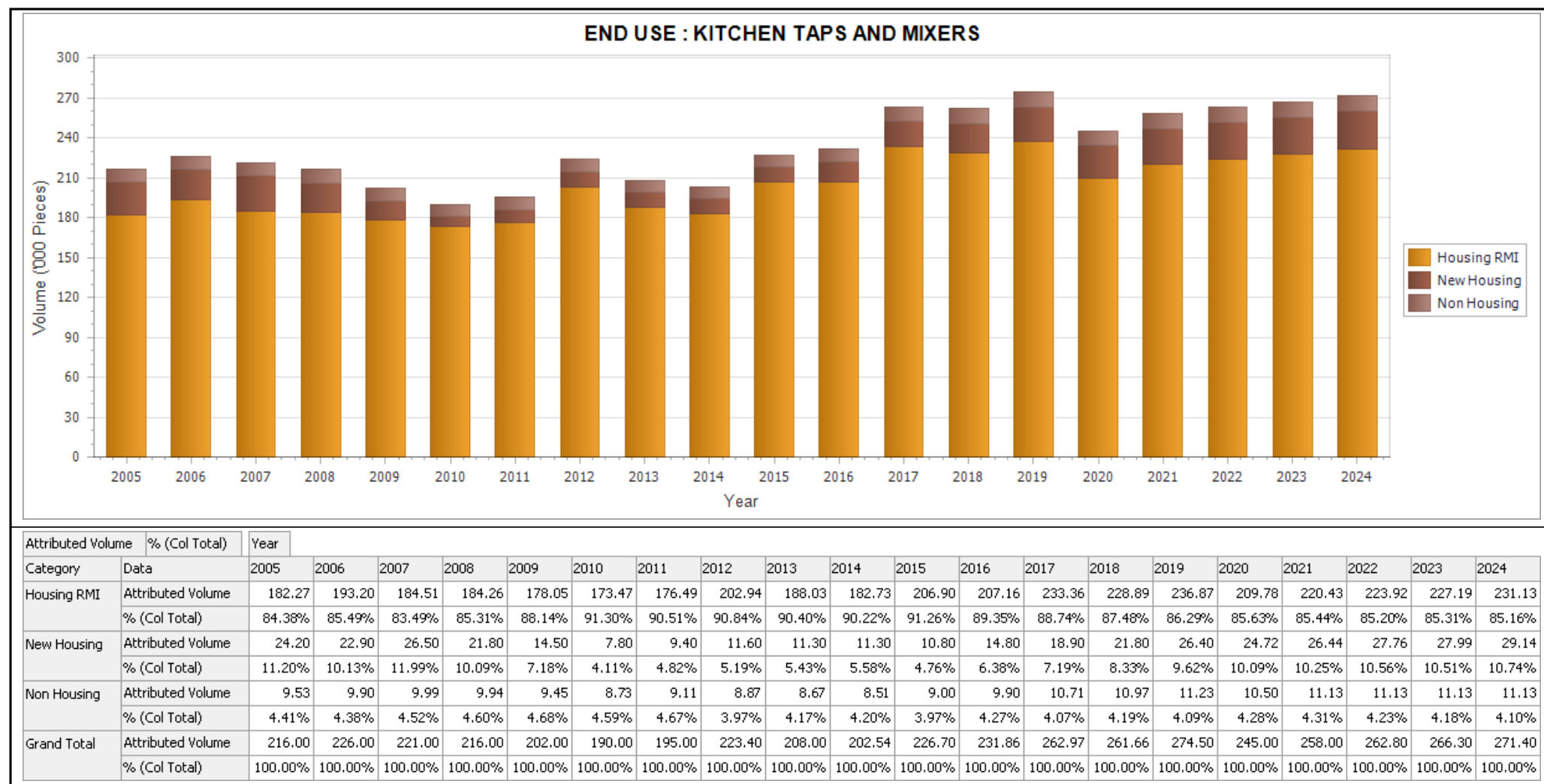
DK - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

DK - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

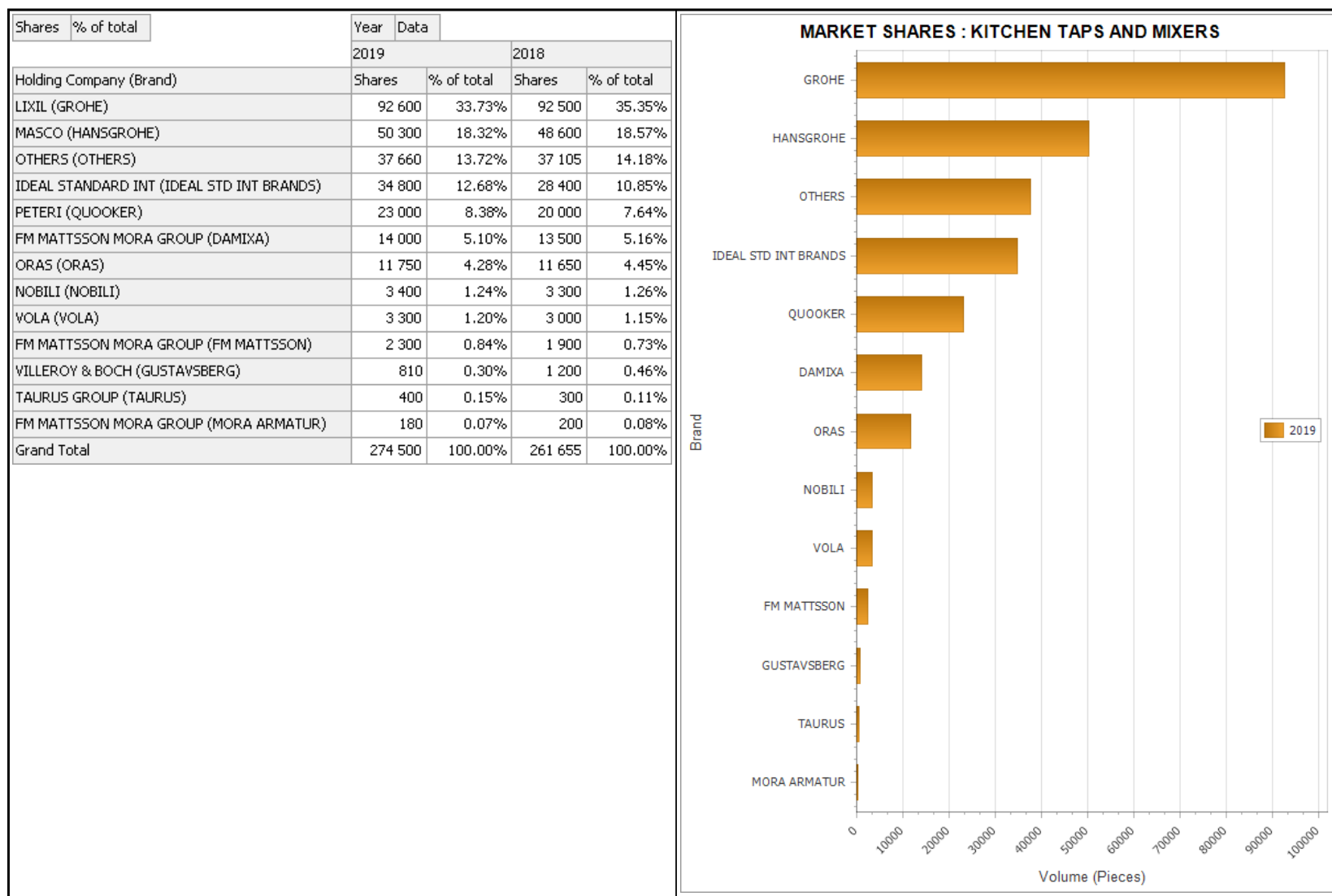


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

DK - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.4%
	Wholesalers / Merchants
	67.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.8%	6.0%	11.9%	14.8%	8.9%	30.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.8%		26.7%		38.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	15.0%	2.1%	5.3%	13.3%
Installers				
39.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.1%	11.6%	21.2%	25.3%	36.8%	0.0%	0.5%	0.1%	0.2%	0.3%	3.0%
	Residential						Non-Residential					
	95.9%						4.1%					
New Build			Residential RMI			New Build			Non-Residential RMI			
9.6%			86.3%			2.9%			1.2%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
8.2%	1.4%		7.8%	78.5%		2.2%	0.6%		0.8%	0.4%		

9.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.4%
	Wholesalers / Merchants
	65.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.0%	6.3%	12.6%	14.9%	9.3%	30.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		27.5%		39.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	13.0%	2.0%	5.5%	13.6%
Installers				
38.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.7%	0.5%	11.1%	21.9%	25.7%	35.0%
	Residential					
	95.9%					
New Build			Residential RMI			
10.7%			85.2%			
Project	Non-Project		Project	Non-Project		
9.1%	1.6%		7.7%	77.5%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.4%	0.2%	0.1%	0.3%	3.1%
Non-Residential					
4.1%					
New Build			Non-Residential RMI		
2.9%			1.2%		
Project	Non-Project		Project	Non-Project	
2.2%	0.6%		0.8%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers

DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2019

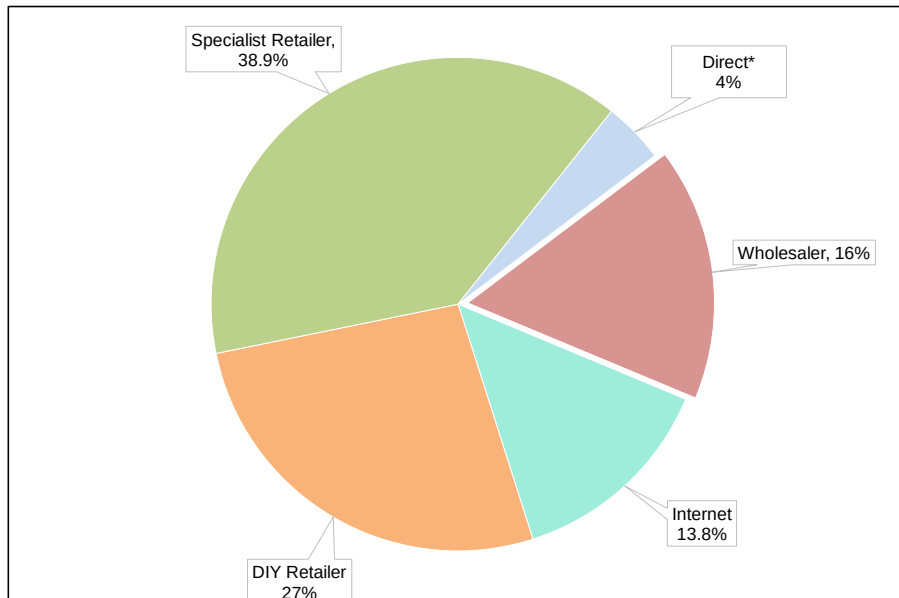
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.6%	13.8%	26.7%	38.9%	4.0%	16.0%	3.0%	80.0%	1.0%
100%					19.0%		81.0%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers

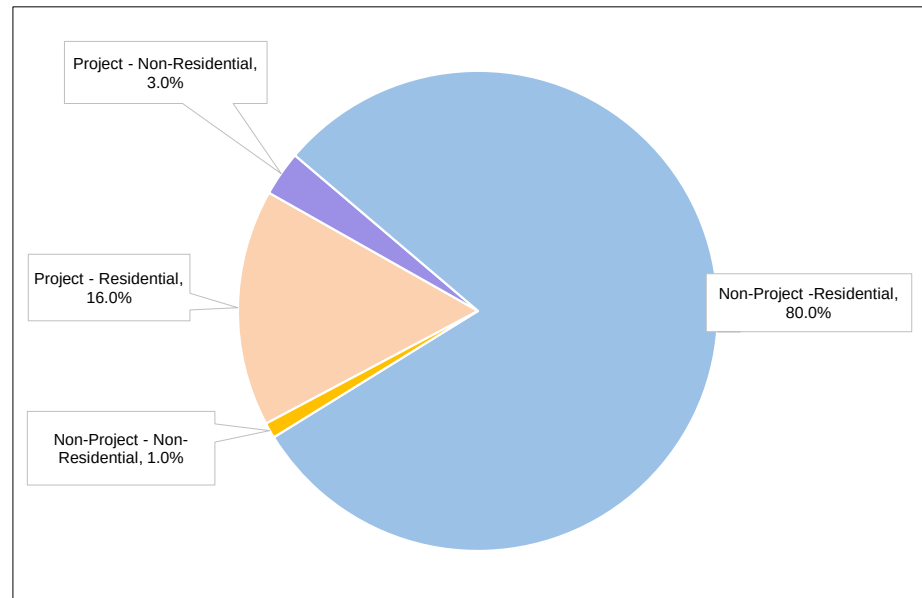
DK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.4%	13.4%	27.7%	39.7%	5.7%	16.8%	3.0%	79.1%	1.0%
100%					19.8%		80.2%	

DK - SALES OF KITCHEN TAPS AND MIXERS BY DISTRIBUTION CHANNEL: 2019



DK - SALES OF KITCHEN TAPS AND MIXERS BY POINT OF DECISION AND END-USE SECTOR: 2019



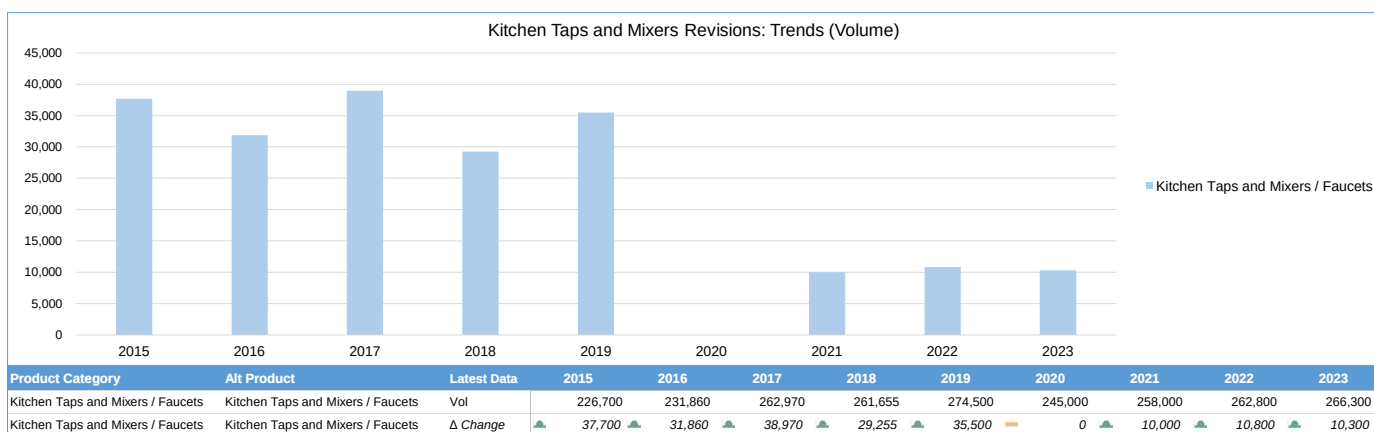
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Danish Kitchen Taps and Mixers Market (July 2020)

DK - REVISIONS IN THE DANISH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: July 2019



The historical trends for kitchen taps and mixers were revised upwards for all years, largely due to the feedback from manufacturers that indicated higher replacement ratio of these products in the renovation sector.